

Sagility (SAGILITY)

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Sagility India Limited

(Formerly Sagility India Private Limited; earlier Berkmeer India Private Limited)

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To,

The Manager The Manager

Listing Department Listing Department

National Stock Exchange (NSE) Bombay Stock Exchange (BSE)

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This is in continuation to Quarter 2 Financial Year 2024-25 Investors Call of Sagility India Limited held on November 27, 2024.

Pursuant to Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, we attach herewith the transcript of Quarter 2 Financial Year 2024-25 Investors Call of the Company which was held on November 27, 2024.

This information is also available at: www.sagilityhealth.com

This is for your kind information and record.

Thanking You,

For Sagility India Limited

Satishkumar Sakharayapattana Seetharamaiah

Company Secretary & Compliance Officer

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Encl: a/a

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Q2 & H1 FY25 Earnings Webinar

Wednesday, 27th November, 2024 at 4:00 PM

MANAGEMENT ● Ramesh Gopalan - Managing Director & Group CEO

● Sarvabhoutman Srinivasan - Group Chief Financial Officer

MODERATOR ● Siddharth Rangnekar – CDR India

QUESTIONERS ● Abhishek Kumar – JM Financial

● Abhishek Bhandari – Nomura

● Pranay Roop Chatterjee – Burman Capital

● Naysar Parikh – Native Capital

● Rishi Jhunjhunwala – IIFL

● Chirag Shah – White Pine Capital

● Pratyush Agarwal – White Oak Capital

● Radhika Mittal – Avendus Capital

● Nilesh Jain – Astute Investment Management

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Siddharth Rangnekar: Good evening, ladies and gentlemen, and welcome to the Q2 & H1 FY '25 Earnings Webinar of Sagility India Limited. This is Siddharth Rangnekar from CDR India, and I shall be moderating the event today.

As a reminder, all attendee lines will be in the listen-only mode and there shall be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded. Now to introduce the management we have with us today, Mr. Ramesh Gopalan, Managing Director and Group CEO; Mr. Sarvabhoutman Srinivasan, Group Chief Financial Officer.

Before we begin, I would like to state that some of the statements made on today's discussion may be forward-looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the Q2 FY '25 results presentation that has been uploaded to the exchanges earlier.

I would now like to hand over the forum to Mr. Ramesh Gopalan to begin the proceedings of this webinar. Over to you, sir.

Ramesh Gopalan: Thank you. Good afternoon, everyone and thank you for joining our first earnings call. Before I get into the Q2 financial results and operational

updates, I want to first acknowledge all of you who've been involved in taking Sagility public. It's a very landmark event for the company as a whole, and I want to thank all the advisors, investors, regulators, and my team for getting us to this point.

Given that some of you are hearing from us for the first time, I'm going to spend some time giving you some background about the company, the industry in which we operate, the opportunity size, and how we plan to capitalise on this opportunity over the next few years. After this, we will then talk about the previous quarter financials and the first half of the year numbers and our performance.

As you would have noticed, we've had a strong set of financials for the quarter, and we're very confident about the rest of the year ahead. Before that, let me first get into some of the details of the company.

So as I've told, many of you who we met at the road shows, we are one of the largest pure-play Healthcare Service providers in the U.S. market. All that we do is, U.S. Healthcare. And that is something, which we have gained deep expertise in. And so we have broadened deep domain expertise in the U.S. Healthcare space. And I'll talk about our Service portfolio. Our service portfolio is quite broad and deep. So we can offer a number of services to our clients both in Payer and Provider. And we generally classify them as both administrative services and clinical services.

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While what we do is core operations, there's a lot of investments that we've made in technology and transformation. And so, all of our operations are enabled by an underlying technology and transformative capabilities. We work for 45 client groups. The client groups, we mean clients and their subsidiaries. And out of these clients, five of them are part of the top 10 Payers. Payers are insurance companies in the U.S. And we also work with three of the top six PBMs. PBMs are Pharmacy Benefit Managers. The top six by claims volume, we work for three of them. And on the Provider side, we work with four of the large IDNs, lab companies, DME companies, and radiology Providers.

The most interesting statistic about our business is the fact that our top five clients have been with us for an average of 17 years. So very long tenure relationships and relationships that still continue to grow to this day, and we'll talk about that. Like we said, 100% focused on the U.S. Healthcare. We've been in the business for 24 years even though Sagility is just about three years old, the underlying business has been around for 24 years. And as many of you know, Sagility was formed as a result of a carve out from the divestment that AGS did in the beginning of '22.

We deliver from multiple geographies, five geographies in total. U.S. is our onshore geography. We have nearshore locations in Jamaica and Colombia, and then we have offshore centres in India and the Philippines. And we have a very tenured leadership team. Most of the management team transitioned over when Sagility was created. And we also today have a board with deep Healthcare experience. Our total headcount is about 38,000 people out of which we have 2,000 clinicians. Clinicians include, nurses, coders, dentists, pharmacists, and so on.

And our financial profile as, we've told you in the past, we've had a consistent track record of growth and profitability. Last financial year, we grew at 12.7%. And our EBITDA margins over the last two, three years have been consistent between 24% and 25%. Our adjusted PAT margin last year was 12.4% and a very healthy OCF to EBITDA conversion at 87.2%. And the numbers that you see, 105 claims per 1.5 billion process (05:10) and 75 million interactions just give you an idea of the scale of operations that we currently handle for our clients. And 94% of our headcount is in the offshore and nearshore geographies. And that's another reason why our margins are very healthy.

And all of the analysts who track Healthcare services, they rate us very highly. So we've been rated in the top quadrants by Everest Group's PEAK Matrix, by Avasant in their clinical services transformation. And very recently, ISG rated us as a leader in the GenAI Service Provider space. I'll talk about our GenAI capabilities. And our HR capabilities have also been

awarded for. And if you look at all of the awards that we've got, we've

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been awarded one of the best employers, in each of the geographies where we operate, be it India, Philippines, Jamaica, and the U.S. Now quickly talking about the industry, U.S. healthcare. A lot of you have asked me why U.S. Healthcare? But U.S. Healthcare as an industry is a very, very large industry. \$4.7 trillion is the total healthcare spend. About 17 plus percent of the GDP today, and it's likely to become 18% of the GDP by 2028. And if you look at the per capita spending on U.S. Healthcare, U.S. spends the most of all the countries globally, right? So roughly about \$12,500 per head, which is 50% greater than the next largest country. So very large overall spends and very large per capita spends as well.

And if you look at the specific target market size for us, the core operational spend between Payers and Providers is roughly about \$200 billion as of CY '23. And what is outsourced from this is, only about 20 odd percent. So about 19.5% to 21.5% in Provider and a little higher on the Payer side. So out of the \$200 billion, it's a \$45 billion opportunity that's been outsourced so far. And so, there's a lot of potential one to gain, wallet share in this \$45 billion. But more importantly, as the offshoring and outsourcing penetration increases from the \$200 billion, that gives us a much larger opportunity to grow as well.

Quickly on the Services, like I said, very broad and deep service portfolio. I won't spend a lot of time talking about the individual services. But like I said, for a Payer, it probably almost touched all of their functions in the value chain. So broadly, we bucketed them into the four pillars that you see for Payers.

- Claims is a critical part of what we do. As I've mentioned in the past, a lot of the claims get auto adjudicated in the U.S. And so the claims that we handle is the follow-up from the auto adjudication queue roughly about 15% to 25%. A lot of the work is a round reviews of those claims, rework of those claims and grievance and appeals, handling of grievance and appeals, from lower than desired payment. All of that is part of the claims workflow.

- Payment integrity is unique to Healthcare. So payments that are made can still be recouped, if the payer finds that they've

overpaid

those claims. And so we acquired a company called DCI in the last year. And, DCI has given us additional capabilities in the Payment Integrity space. And today, we have the ability to go to clients and essentially recoup overpayments that they may have done.

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- Clinical is another fast growing area for us. There's a huge clinician shortage in the U.S. And so, a number of our clients who in the past wanted to do some of this work in-house today are looking at service providers like us to outsource more of the clinical services. And broadly, the work that we do on the clinical side is of two types. How do you control the current clinical spend and how do you also control the future clinical spend, right? So we control the current spend by something called Utilisation Management, which is prior authorisation of services, concurrent review, and even review once the claims are submitted. And then future spend through programmes like, Chronic and Complex Case Management and Population Health Management are some of the initiatives to risk stratify the population and work with our clients to engage with high risk members so that they don't become high cost claimants in the future.

- I thought the last pillar is the rest of the administrative activities, helping clients with Enrolment, with Plan Building, with collection of premiums, and also managing their Provider network. So it's all of that Other services that we provide.

And as, you can see at the bottom, about 89.2% of our revenues comes from Payers. The balance 10.8% comes from Providers.

For Providers, what we do is broadly Revenue Cycle Management, which

includes the front office, middle office, and the back office. So things like Patient Engagement, scheduling in the front office, Coding in the middle office. And the bulk of what we do is in the back end, which is around follow through and collection of outstanding claims, as well as helping our clients, work through some of the Clinical and Coding Denials and recover money from the Payers.

And Healthcare requires a lot of certifications and accreditations, and we have them across the geographies where we operate. Like I said, technology is an integral part of what we do. And there's a lot of technology, that we have invested in and which we deploy in our operations. One is End-to-End Solutions that we've built. Like I said, Payment Integrity is a capability that we acquired, organically, we built capabilities around Utilisation Management, around another clinical programme called Aging-in Place.

So these are full grown programmes that have a technology back end and services on top of the technology, that we take to market.

And then we have functional products which are not full platforms, but these are more point solutions, which work with an underlying platform

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to deliver a business outcome. And then across the board in operations, we deploy what we call Robotic Process Automation, Analytics, AI. And the objective of all of this is threefold. One, to improve the efficiency, which is the primary purpose of why clients give us work. One is, obviously to take out cost, but to also improve efficiencies of their operations, two, we also increase the accuracy of the work that we do, right? So we sign up to very stringent quality measures. And so these tools help us improve the accuracy.

And thirdly, given that we handle large volumes of transactions, we use all of these technologies to generate insights from the work that we do, and we provide that insights back to our clients. And so we built a number of these digital services. As you can see, things like Intelligent Content Processing, Speech Analytics, Interaction Analytics, all of these are tools that we've built to be able to provide those insights to the clients. And lastly, as we target the mid-market and the small market, we are also looking at ways to bundle all of

our services and take them as what we

call Integrated Business Process-as-a-Service solutions. And that's something that we are working with partners, both, platform partners as well as system integration partners to be able to provide a holistic solution to our clients.

GenAI is a topic that has come about in all of our conversations. Like I said, we've acquired a company recently called BirchAI. And we'd already started working on a number of GenAI pilots in the last 18 months. And with the acquisition, we've enhanced our capabilities in all of the areas that you see here. So today, we are running a number of pilots across the front office, which is essentially all of the interactions that we have on behalf of our Payer clients with both Providers and members, ability to automate some of those interactions, ability to summarise the outcome of those interactions. All of this, we are deploying using GenAI.

And in the back office, a large part of the work around Grievance and Appeals, Letter Generation, Identification of Fraud, Waste and Abuse, we are using AI in a big way. But the biggest efficiency improvements that we are seeing is in the clinical space, where we handle medical documentation, clinical medical records, where GenAI helps us not only summarise that information, but also helps us classify and improve the efficiency of the clinician who's making the final determination.

And lastly, we're using GenAI in all of our operational needs within the organisation in our hiring, in our training, all of these, we're using GenAI to not only improve efficiency, but also improve the speed to proficiency as we call them. How do we get a newcomer more productive sooner?

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So lastly in terms of our go forward strategy, our top clients, we've worked with them for a number of years. Like I said, while the tenure has been long, these clients still continue to grow in double-digits. So a lot of our

top clients still give us a number of opportunities to grow. And we've done that over the last several years and we continue doing that.

In parallel, what we've also done is invested heavily in the go to market team. So the additional mandate now is in addition to the top clients, how do we penetrate the mid-market and the smaller clients? And we've successfully done that over the last two, three years and the number of client additions is a testament to that.

And like I said, we've invested a lot in technology over the last few years.

And we continue to invest in technology, not just in building full scale platforms, but also in areas like GenAI. And lastly, M&A is a key lever for us to build our capability. So we're looking at two kinds of M&A's. One is, capability-based acquisitions, just like a BirchAI or a DCI. And we are also constantly looking for other opportunities, which will give us access to a much larger pool of clients. Since, mid-market is a key focus area for us, we are actively looking at acquisitions which will give us more clients in the mid-market space.

With that, let me quickly jump, into the results for Q2. We are pleased to report that in Q2 FY '25, we registered a year-on-year growth of 21.1%, in rupee terms, which is 19.8% in constant currency terms. During Q2 FY '25, our revenues were \$157.9 million, and ₹13,250 million in INR terms. This is a 8.3% Q-on-Q growth in INR and about a 7.7% Q-on-Q growth in constant currency.

However, like we mentioned in the past, there is a seasonality to our business. The open enrolment or AEPS, it's called starts somewhere in October, November and goes on till early part of the subsequent year. And so there's a pronounced seasonality. So Q-on-Q numbers may always not be a best reflection of our business. So we would encourage you to look at year-on-year numbers always.

During the quarter, our Payer vertical grew 20.8% year-on-year and contributed to 89.2% on the revenue

mix. And the Provider vertical grew

23.7% and contributed to 10.8% of the total revenues. Our growth, like I said, like in the past, our growth was led by demand from our existing clients and our new logo wins. Our largest clients continue to provide us with many opportunities to increase our share of wallet. And this is possible because of our continued strong operational performance, and that is something that we've done, flawlessly over a number of years. And so that gives us the right to win additional business from our existing clients.

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We are also increasing the value that we provide to our clients. We are engaging in consulting engagements. For example, we are doing a customer journey mapping for a new client of ours. And for another client, we are engaged in clinical consulting. We are working with them in the utilisation management space to optimise their spend on high utilised, high spend specialties.

And like I said, we are also working on a number of GenAI pilots for our customers across both front and back office areas. And we were awarded the leader in GenAI service provider in 2024 by ISG. Also, our enhanced focus on the small and mid-market peer clients has started to show fruit as we widen our presence across both large and the midsize customers.

Now switching to the half yearly results, we are pleased to report that H1 FY '25, we registered a sequential growth of 15.3% in INR terms and a 13.8% in constant currency terms. And during the first half of the year, we recorded revenues of \$304.5 million, which translates to ₹25,484 million in INR terms.

Now switching to margins and operating profits. For the quarter, we delivered an adjusted EBITDA of \$40.3 million, which is ₹3,378 million in INR terms, which is an year-on-year growth of 22.2%. This reflects an adjusted EBITDA margin of 25.5%. Our adjusted EBITDA margin has been very healthy. Like I said, historically, we've maintained very consistent margins. And even this quarter, this margin has been possible because of operational efficiencies, both through tech-led initiatives and process improvements, and also lower than expected corporate cost, which we expect to be in line for the rest of the year. And our offshore revenues

were also higher than onshore, which is also a reason our margins were very healthy.

Our consolidated adjusted profit after tax for the quarter stood at ₹1,636 million, which is a year-on-year increase of 30.5%. Our continued reduction in our debt position is one reason why our adjusted PAT growth is very healthy. On a half yearly basis, our adjusted EBITDA of ₹6,538 million grew 12.8% year-on-year, while our adjusted PAT of ₹3,083 million grew 15.1% year-on-year.

So if you look at our people metrics, we added about 2,522 people to our headcount. So the overall headcount, at the end of the second quarter stood at about 38,380. Our annualised attrition is very stable at 25.8%. It's better than our historical levels. Thanks to our employee engagement initiatives. And as I showed you in the first slide, we won a number of awards for our employee engagement.

I'm pleased to inform you that our company was chosen as one of the best organisations for women in 2024 by Economic Times.

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Now let me hand it over to Srinivasa to walk you through the financials.

Srinivasa Srinivasan: Thank you, Ramesh. Firstly, welcome all to our first earnings call. Like

Ramesh mentioned, we had a very good quarter and a good first half of the year. Our revenue growth and profitability has been consistent in the last few years, and we expect this to continue going forward.

Like Ramesh mentioned, I would want to reiterate that our business has seasonality where the second half is slightly more pronounced than the first half, and that's due to the open enrolment seasonality in H2.

Therefore, we prefer our financial performance to be reviewed on a YoY basis and not

on a QoQ basis.

Besides the financial numbers, revenue, EBITDA, and profitability, if you look at the OCF, we generated an operating cash of ₹6,089 million in the first half of the year, which is 114% of our reported EBITDA. Yeah, the numbers shown in a graphical form, so I would quickly move on. We have shown the full financial numbers. You have the deck with you. So if there are any specific questions, we will take it up later.

Yeah, I would want to spend some time here on this slide. If you had noticed our earnings per share has been gradually improving. And what you see in the last column is the trailing 12-month earnings per share, for September '24. On the return on capital employed, it continues to be healthy at mid-40s, and it's largely driven by a robust operating performance. You will also notice that there has been a consistent reduction in the debt. And as of 30th September, our net debt including lease liabilities, is 0.78x of trailing 12 months EBITDA, and our net debt excluding the lease liabilities is only 0.34x of trailing 12 months EBITDA.

Yeah. I'll just pause here for a minute. This gives you a quick snapshot of our revenue and profitability. We have two adjustments in our EBITDA and three adjustments for our PAT. Let me walk you through the details. The earnouts, the first one from the reported EBITDA to adjusted EBITDA is on account of the earnouts under acquisition agreements. And this is pertaining to the acquisition of the DCI and Birch, the two companies that we had acquired in FY '24, and these are non-recurring in nature. And FY '26 will be the last year for these earnouts, and we have shown the details of what will that charge be in slide 18.

Share-based payment awards are, which is a second adjustment to the EBITDA are provided to the leadership team. And like we have mentioned this in the past to some of our existing investors, these are similar to the stock appreciation rights linked to the shares of Sagility B.V. The share-based payments are non-cash in nature as they would directly be settled by a promoter Sagility B.V. There is no obligation or liability on our

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company and also do not reflect in any dilution to the shareholders of Sagility India. The details of the same for future period is given in slide 18. These two adjustments flow through from EBITDA to PAT, and it is adjusted for tax. And in the adjusted PAT bridge, we also have a third adjustment, which is primarily for the amortisation of intangibles. This

was created purely due to the acquisition of Sagility by EQT and is non-operational in nature. The purchase consideration was significantly higher than the fair value of the assets acquired which resulted in the creation of goodwill and intangibles.

Intangibles including customer relationships in the U.S. was recognised at \$265 million to be amortised over a 16-year period. And the customer contracts with the Indian entity was valued at \$85 million and that amortisation got completed as of 31st March 2024. That this is completely non-cash, and there is no cash impact and is non-operational in nature.

Next slide.

So the go forward positions we have shown, what will the debt be in our books. As of FY '25, we are likely to have ₹8020 million. And for FY '26, it will be ₹5,670 million. We'd be repaying about ₹2,490 million in FY '25, ₹2,350 million in the next year, and we have provided the details. Also, you would have noted that in the share-based payments, we had a huge number in the first year. It's because of the change in the plan that I explained earlier, which is equity settled for the company, and the go forward number will diminish as it is shown here.

On the balance sheet, our cash and bank balances as of the end of Q2 stood at ₹5,068 million and after payouts of the shareholder loan in the Q1. CapEx spend during the first half of the year was ₹682 million. The DSOs at the end of

the quarter stood at 72.5 days. Our strong operational performance resulted in a very strong free cash flow of 101% to EBITDA. So that's the details I've shown in the cash flow slide. Overall, the balance sheet remains very healthy with a very low leverage. Over to you, Ramesh.

Thank you.

Ramesh Gopalan: So let me summarise. Looking ahead, on the revenue front, the key drivers poised to drive a sustained growth include a robust relationship with the existing clients and strong performance of our sales and marketing teams to win new logos. We see incremental opportunity as we focus on small and mid-market segment Payers, where as a firm, we can provide end-to-end offerings.

We expect the growth for the full-year ending March 25, to be in line with our growth performance in H1, and our EBITDA margins to stay steady at these levels for the full year. Summing up, we are very well positioned to

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deliver another strong operational and financial performance and begin our journey as a listed company on a very strong footing.

With that, I conclude my presentation and remarks, and I look forward to hearing your comments and addressing your questions.

QUESTION -AND -ANSWER SESSION

Moderator: Thank you very much. We will now commence the question-and-answer session. Anyone who wishes to ask a question may digitally raise their hands. When prompted, announce your name and the name of your company followed by your question. If you wish to remove yourself from the question queue or once you have finished asking your set of questions, please lower your hand and mute yourself. A request if you could limit your initial round of questions to two to three to ensure that every participant gets a chance to engage with the management. If you have any additional questions, would request you to kindly re-join. Ladies and gentlemen, we will wait for a moment for the question queue to assemble.

We'll take the first question from Abhishek Kumar of JM Financial. Your line has been unmuted.

Abhishek Kumar: Yeah, hi. Good afternoon, and congratulations, first of all, on your listing and on your first earnings presentation. My first question is on the business itself. Your top clients drive a lot of your revenues. And you've said that you still have a lot of opportunities to grow these larger accounts. Just wanted to understand, how do you look at mining these accounts? Is it more number of services? Is it more volume that that will drive the growth? And, also, if you can touch upon the competition in these accounts, who would be the vendor if you were to take market share away from some other vendors indeed? That would be my first question.

Ramesh Gopalan: Thanks, Abhishek. Yeah. So good question, right? So, like I said, I'll answer the concentration question also, right? So if we look at the peer industry and as you probably know, it's a consolidated industry in the U.S. The top 10 to 15 Payers command some where between 60% to 70% market share. And in fact, some of the segments like Medicare and others, you would have even four to five Payers commanding 60%, 70% of the market share. So our position is also reflective of the market position. So our top clients contribute a large portion of our revenues. And to your specific question, historically, we would have started working for all of these clients in one area. And over the last about 10, 15, 17 years, we have expanded to

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multiple areas. And as you saw, our service portfolio, we have pretty broad and deep exposure to all of the services, for a Payer organisation. To answer your specific question, we don't do all of the services even for the current set of large clients. So the portfolio that I showed you is all of the things that we do, but we may be doing them for different clients. But for the same client, even for our top client, we probably only do, roughly about 80% of the service portfolio that

at I've shown, right? So there is still opportunity for us to work with each of these clients in areas which we are not supporting them today on. And in a number of cases, they will for example, clinical, like you said is an area which has not been outsourced in a big way in the past.

And so these are white spaces for, even some of our larger clients. And we continue to get opportunities to work on those areas. So most of the growth for the Payer space I mean while our Payer clients may continue to grow that itself doesn't drive a large part of the growth because the volume growth is not significant. So most of the growth for us, from our top clients comes from additional lines of work, that we are able to penetrate.

And the wallet share increase is coming from that. And it's also not because we are replacing, I mean, we might replace some smaller vendors, but typically a large part of the growth is not coming from replacing another large vendor. But it's essentially coming from, getting new areas of growth. And if I ask you to go back to the slide that I showed, where if you look at the total outsourcing penetration, it's still in the 20s.

So there is still a large part of the work that clients still tend to do in-house. And, with the mounting cost pressures, more and more of that work is being outsourced. And that's what is leading to the growth.

Abhishek Kumar: Okay. That's very clear. Just again on competition in your top three, do you come across the larger IT services players? Because healthcare and life sciences is big vertical for them as well. And a lot of those guys are talking about using GenAI to get into a multi-tower kind of deals that includes BPO and other verticals. So does that pose a competition, for a pure-play BPO company like us?

Ramesh Gopalan: Yeah, first question, yes. There are some IT players, but not a lot of them are in the healthcare space, right? So, we in our prospectus, we had given you a competition slide. So we do come across people like, Cognizant, Accenture in some of our Payer opportunities. But not all of the Indian IT service players, do we see in those opportunities. To your second question, yes, GenAI is an opportunity for all of us, right?

The only differentiation between us and the IT service player is the fact that our domain expertise is far greater than some of the more generic IT

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services players. So we're not going to market leading with, saying that we have GenAI capabilities and tell us what problem we can solve for you. Rather because we are running those operations for our clients, we are able to do the pilots in the existing operations that we are currently running, and we are able to show them the benefits and sharing the benefits with the client.

So the slide that I showed you where we are running a number of pilots across front office, back office and clinical work, these are not projects that we are deploying for the client in their environment. These are work that we are doing for them today. And so these deployments are in the

operations that we currently handle for them. And so it's a very easy way for us to demonstrate the value that we can bring to the table. And then we have very innovative game share arrangements with the clients to monetise some of our efforts.

Abhishek Kumar: Well, maybe one last question, bit of a macro question. A lot of concerns around Donald Trump's Presidency and his views on life sciences, healthcare, pharma in general, his choice of Health Secretary as well. I just would like to, get your views on how you think that can impact their industry and us in particular? Thank you and all the best.

Ramesh Gopalan: Yeah. So broadly, I mean obviously, we'll get to know more details. But if you look at it, both the administrations, both the parties focuses on how do we reduce healthcare cost from ballooning, right? So from that point of view, there's

no divergence in thinking. And the kind of work that we do, our work for our clients, and I forgot to point this out is the revenues that we make is part of the non-discretionary spend, right? Because we run core operations for our clients. This is not a discretionary spend that the clients can switch on and off. This is something that they need to spend day in and day out to keep their operations running.

And so when there is a cost pressure on a client, it makes more sense for them to look at service providers like us because off the bat, we can bring about cost reductions. And on top of that, we can bring about additional efficiencies to further reduce the cost, right? So from that point of view, we don't see a major risk to our business directly, in terms of any policies. And from a coverage point of view, we are broadly diversified.

We operate across multiple segments, commercial, Medicare advantage, Medicaid exchange business. And so even if there's a shift of, volumes from one segment to another we have enough experience in handling all of those segments.

Moderator: Thank you, Abhishek. We'd like to move to the next question. We take the next question from Abhishek Bhandari of Nomura. Abhishek, your line has been unmuted. Request you to ask your question.

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Abhishek Bhandari: Yeah. Thank you to the management. My question is related to previous Abhishek's question. And if you look at, some of the features what President Trump made was around reducing these costs around insurance. And during the last few years of Biden Presidency, we had seen some leniency in terms of drop in premiums, which almost doubled the enrolment. So the question is, if that were to expire at the end of 2025, how much part of the business is linked to number of enrolments from government sponsored insurance company? That is the first question.

Ramesh Gopalan: So, I mean you're talking about the exchange business and government sponsored; I mean, even, Medicare is paid. The premiums are paid by the CMS, right? If you look at the exchange business today, the enrolments are I think have grown tremendously in the last three, four years, right? We don't think that is going away.

And like I said, ultimately, the percentage of insured population doesn't differ very much. If something goes away, the population moves to a different segment. And as long as, we have coverage across all segments, we are protected. And even if you look at our existing clients, there's always a shift in, I mean some of our top clients had very little exchange exposure four years ago.

Today, they have a couple of million members in the exchange business and we continue to support that. So if that moves away from one segment to another, we will still continue supporting those lives. And so we don't really see that as a big deterrent.

Abhishek Bhandari: Got it. Thank you, sir. My second and last question is around this captive sourcing proliferation in India. Many of the large U.S. healthcare Payers are also opening or increasing their captive presence in India. Is that in an area which is not currently with us or do you think there are certain overlaps in the existing business which may be moving to this captive shift, if at all they were to grow?

Ramesh Gopalan: Yeah. So I mean couple of large captives, that we are aware of are having done by clients, by healthcare Payers who are not our current clients. The other conversations that, even when we have with our current clients, a

lot of them are thinking about setting up more innovation centres in places like India to work on things that they're not comfortable giving to a third-party Provider.

A number of them are now thinking about setting up captives for core operations, which is what we do for them, right? So I mean, these conversations come up every now and then even with the existing clients. And we are closely working with them in

a number of instances, we are even willing to help them set up some of those captives for like I said for

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core innovation or for some of the transformational services that they want to try out internally.

Abhishek Bhandari: All right. Maybe if I can squeeze in one last one. So many of the IT companies, which also have BPO arms, they have been talking about huge productivity gains in the voice based contact centre as and when they get automated with GenAI. So the question for you is do you also have a point of view on this and how much part of our business is coming from this voice based contact centre in the overall scheme of things?

Ramesh Gopalan: The way we would talk about it is, when we don't per se, talk about it as a contact centre, right? So in the overall gamut of things and let me give you an example, right? So we spoke about claims. So when we handle claims for a Provider let's say a Provider submits a claim and I don't, end up paying the claim in full. The Provider is going to either pick up the phone, call me, do a chat or send a correspondence appealing the lower payment.

So that's an interaction that we handle, right? Is that interaction going to be completely automated? For some parts, yes. And we've been helping our clients do that, even in the past. For example, we've set up gateways between Payers and Providers to eliminate those calls and ensure that those appeals are directed in a different channel. If you look at the broad interactions that we handle for our clients both coming from Providers and members, yes, there is a certain percentage that we think can be automated.

And like I said, some of the GenAI pilots that we are running with our clients today, we are actively looking at, what are some of the call drivers that are amenable to automation. But healthcare being, very complex and the systems also being very, what should I say disparate and data not being in one place. We don't see a full automation, beyond 15%, 20%. But having said that, we think there is a tremendous opportunity to improve the efficiency, right?

So rather than an associate work through multiple systems trying to gather information to try and address the query, is there a way to use GenAI for knowledge retrieval? Is there a way to use GenAI for summarisation of the interaction. All of these are efficiency levers, which we believe will reduce the total quantum of work that a person needs to do.

Abhishek Bhandari: Thank you for those answers, sir and all the best.

Ramesh Gopalan: Thanks.

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Moderator: Thank you. We shall take the next question from Pranay Roop Chatterjee from Burman Capital. Your line has been unmuted.

Pranay Roop Chatterjee: Great. Thank you. Good evening to everyone. So my first question is essentially trying to understand the revenue model. So, I think we had about ₹4,800 crores of revenue in FY '24. Is it possible to break that down into how much is coming basis transactions happening? How much is a fixed subscription based revenue? And how much would we, let's say one-off implementation costs or those sort of revenue? I'm just trying to understand.

Ramesh Gopalan: Yeah. No, I get your question, right? So at a high level, everything that we do, like I said I would say over 90% of the work that we do is operational services, which is a recurring revenue. Unless, volumes decrease or unless, we lose an SOW, that's a revenue that will continue to accrue for us year-on-year. Our contracts are typically three year contracts and like I said for large clients who've been with us for 17 plus years, we've gone

through several renewal cycles of those contracts. So that's point number one. Number two, the models could be very different. We could be paid on a n FTE basis. We could be paid on a transaction basis. These are the two most common ways in which we get paid. But there are also models in which we get paid what we call a

PMPM basis, per number, per month. For some of the work that we do in revenue cycle or in payment integrity, we could also get paid on a contingency model, right? And payment in integrity, we get paid a percentage of the recoveries that we make for our clients, right?

So while those models also exist, the predominant models are effort based, which is either an FTE model or a transaction rate model. And in terms of the recurring revenues, like I said, over 90% of our revenues are recurring revenues.

Pranay Roop Chatterjee: Got it. Another question I had, and I had this before the IPO as well. Is that obviously, because of the transaction that happened in 2021, this entity was incorporated. Is it possible to share the revenue data of probably couple of older years just to see or assess what can be the growth profile of a company in the sector. Because right now, the only data we have is 12%, 13% for the last year. So maybe FY '19 or FY '14, if you can share some figures?

Ramesh Gopalan: So, I mean, what I can guide you is, HG S is part of discontinued operations after they divested this business. You can get the revenue numbers for a couple of years from that, right? Otherwise, there are no published audited separate numbers for healthcare revenue.

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Pranay Roop Chatterjee: Got it. So if we forget the history and focus incrementally, right, you mentioned this year 15% is something that can be done. So given the strength of, given the traction that you are seeing in the market for outsourcing, given the strength of your sales team is 15% a good number to keep in mind even after this year? Is that a good number? Can it be accelerated? What would the management team be happy with?

Ramesh Gopalan: Look. Historically, if I look at the last few years, you asked the revenue question, but I mean, like I said, the management team has been associated with this business for a number of years. Even if you go back three, four, five years, we've always grown in double -digits. We've grown, I would say in the low teens to mid -teens number. And that's a number that you see us growing this year as well.

And like I said, the first half we've grown at that rate, and we are fairly confident of maintaining the trajectory for the rest of the year. Two, three years is a long time for me to give a specific number. But given the fact that we've done double -digit growth in the low -to-mid teens, that's a number we are aiming to. Now, of course, with the increase in investments, in the market facing team and our focus also to penetrate the mid and small market, we could -- the attempt is always to increase the growth number. But if you look at our historical trend, it's been in the low-to-mid teens.

Pranay Roop Chatterjee: That's very helpful. So my last question is on your margins. Obviously, you mentioned, 24% to 25% has been stable for the last three years.

Incrementally, you are thinking differently. Because historically, we have been concentrated in top four, five clients, which are the large players. Now as we penetrate smaller sized players, and probably their share increases over time, how would it affect our margin profile? Is it reasonable to assume that you can maintain it, or is there a structural headwind to it? How should we look at it?

Ramesh Gopalan: So good question. So as we focus on the mid -market, do we think there is going to be a pressure on margins? We don't think so. We think, we can maintain similar pricing, similar margins at a client -by-client level. Having said that, the main factors around margin, if I take a step back and address your question more broadly, is the fact that in our business, there is always an expectation from clients that we will generate additional efficiencies.

So a lot of investments like I discussed in technology is to generate those efficiencies. And a large part of those efficiencies, we do tend to pass back

to the clients. But there's always an opportunity for us to retain some part of the efficiency, because like I said, I mean the efficiencies that we pass back to the client could be in terms of a reduction in the transaction price

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or it could be a gain share model, which means there's some part of the efficiency that that we manage to retain. Whether that efficiency is going to reflect in an increase in margin or whether I'm going to use that to invest further in technology. That's a management call. And since we've been keeping our margins stable and consistent, we think anything that we can do to continue to invest to grow our capabilities, that is something that we will do and try and keep our margins consistent.

Pranay Roop Chatterjee: Excellent. Great results and all the best.

Ramesh Gopalan: Thank you.

Moderator: We move to the next question from Naysar Parikh of Native Capital. Your line has been unmuted.

Naysar Parikh: Hi. So the five top clients that you have, can you give an idea of what would be your share of wallets in them? How many other players are there? Typically, do they divide it with two, three players, and how does that work? And secondly, when you win new clients, whose business are you actually winning? Because like you showed, these are long-term contracts. So it'll be for even your competition. So how do you win the new clients?

Ramesh Gopalan: Okay. Good question. So part of it I answered in Abhishek's question earlier. But let me repeat that. So your first question was top clients share of wallet, right? So most of the large clients when you work with them, especially in very critical processes like claims processing and so on, most of the large clients tend not to rely on one vendor. Mostly from a business continuity and de-risking point of view. So we will most likely be one of two vendors. In some cases, we may even be one of three vendors. Some of the smaller processes, smaller lesser or non-critical processes, we may have the 100% wallet share, but the core ones, typically clients have more than one vendor. So even if you look at our top three, top five clients, our wallet share of the outsourced stuff. So when we talk of wallet share, I want to make sure we're talking about the wallet share of the outsourced portion, will be anywhere between 30% to 45% in our top clients.

To your second question on new clients. Look new clients, if I again separate them as new clients in the large clients category and new clients in the mid and small market category, it's very different. The outsourcing penetration in the mid and small space is very, very small. So if I'm winning opportunities in the mid-market, it is very likely that the client hasn't outsourced at all, so it's a white space from an outsourcing point of view. And I get that, right?

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If it is a large client, it could be as an additional vendor. Like I said, sometimes clients during the renewal may want to bring in a new vendor so I may get an opportunity as an additional vendor, or I might be replacing some of the smaller vendors. But, typically, this is a very sticky business. As sticky as it is for me, it's sticky for some of the other large players as well.

And so either I come in as an additional vendor for an existing service or, like I said, in areas like clinical and so on. Those are white spaces even for large clients. So they're again spaces where the client may not have outsourced in the past. And so then it's a fresh opportunity for all of us.

Naysar Parikh: Got it. Understood. And who would be the largest player over here in the outsourced market according to you in U.S.?

Ramesh Gopalan: If you're talking about similar service profile, see some of the companies who operate in multiple segments, they don't break down health care numbers separately. And even when they do breakdown, if they do both IT work and operations work,

they don't give the split between IT and operations. So in talking to analysts, we believe that some of the bigger players like Accenture and Cognizant, their revenues could be closer to the 1 billion mark annually. So but, there wouldn't be more than two or

three folks who would have larger revenues than us in the space we are in.

Naysar Parikh: Okay. Got it. Just last . When we look at the TPAs, which are operating in India, and the kind of work that they are doing, if you were to contrast compare yourself what you are doing versus the TPAs in India, how would that be?

Ramesh Gopalan: If you look at it from a macro point of view, it is very similar. So they process claims, we process claims. Obviously, the level of automation and so on is very different in the U.S. versus what's in India. So without getting into those details, broadly, that's we also do claims. We handle grievance appeals, that the TPAs do. We help in enrolment. They also help in enrolment.

Clinical programmes, we do a lot more in the U.S., which may not be something that you see in the Indian context, especially, like I said, clinical programmes that are targeted towards reducing future clinical spends. Those kinds of programmes, you may not see too much in the Indian DPA market. And two, in the U.S., our Payer clients themselves manage the Provider networks. So these are large Provider networks where the onboard Providers contract with them manage their ongoing relationship. And that is something that we support our clients in doing. So from a macro point of view, a lot of the activities that we do is very similar to the TPA.

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Yeah. Payment Integrity is another thing that is unique in the U.S. context. But, yeah, so except for some of those differences that I spoke of, at a broad level, yes, activities would be similar.

Naysar Parikh: Got it. Thank you so much. I'll come back in the queue. Thank you.

Moderator: Thank you, Naysar. We take the next question from Pratyush Agarwal from White Oak Capital. Pratyush, your line has been unmuted. As we don't have audio from this line, we move to the next participant.

We take the question from Rishi Jhunjhunwala from IIFL. Your line has been unmuted. Rishi, you may go ahead.

Rishi Jhunjhunwala: Yes. Thank you for the opportunity. Just wanted to understand a little bit in terms of your medium term growth profile. So if we look at you have pretty high client concentration with top three clients contributing probably close to around two-third of your revenues. If you look at the industry, the health care services outsourcing grows at 8% to 9%. For you to do 13% to 15% kind of a growth rate on a sustainable basis, assuming that your top three clients probably will grow largely in line with how the industry is growing, given that your wallet shares are pretty high in those, and there will not be a situation where they will depend on a single vendor. It would typically mean that for the rest of your business has to grow consistently at 20% plus.

So just wanted to understand what will drive that growth on, for the rest of the business. And also, if you can give some colour in terms of your say top three clients, how they have grown over say past three to five years just a CAGR?

Ramesh Gopalan: Thanks, Rishi, for those questions. So first question it's a good question, right? I'll answer the second question along with the first. If you look at the top three clients combined, I don't have the exact number, but if I look at the last three, four years, it would probably be in the 9%, 10% range combined growth of the top three clients, right? So they continue to grow healthily, year-after-year. It's slightly higher than your 7% to 8% in that range.

But to answer your other question, what we are very good at doing is, we are very good at farming. So even when I open a mid-market client today or any new client today, typically, li

ke I've explained in the past, we get in with one or two services. And then, we are very good at being able to convert that to a third service and a fourth service and so on. So typically, if you get into a client with one service and in the next year, you're able to add on a new service, I mean, roughly, you're going to double the business. So that's a lot of the new clients that we are adding today are

going to grow much, much faster than clients who've been with us for 10, 15 years.

Just for the very fact that I'm starting on a smaller base. And then we are continuing to also look at more newer opportunities. So we are continuing to penetrate mid market clients. And so both the new engine, new logo growth, as well as farming from the logos that, I've opened in the recent past, those numbers are likely to be in the high teens, which is what combined will give a low -to-mid teens growth.

The one way of trying to increase that low -to-mid teens to higher teens growth, like I've discussed in the past is, can we open some of these new logos, not on a one service, two service basis, but can I combine a number of services and open it as a larger deal right from the get go. So that is the BPaaS model that we've been discussing. So we are in the process of trying that out, it's early days. But if we execute on that strategy successfully, then we believe that the deal sizes can be much larger and the growth rate can be higher than what it is today.

Rishi Jhunjhunwala: Understood. And just in terms of additional growth opportunities or addressable markets, so 90% of our revenues comes from the Payer side and Provider is still 10%. Do you see yourself growing aggressively on the Provider side also on one hand from a vertical perspective? And secondly, just thinking outside of U.S., are there any plans to try and do business outside also, given these probably would be replicable capabilities in other geographies as well.

Ramesh Gopalan: Yeah. The first question, yes. We want to grow the Provider aggressively. Even today, the Provider is growing marginally faster than the Payer of business. But we are constantly looking to grow that faster, because our Provider portfolio compared to the Payer is a lot more restricted today. Whereas, we have a number of capabilities on the Payer side that are equally applicable to the Provider side. And so we are looking at ways of expanding our service capabilities on the Provider side and growing that business more aggressively. Having said that, Payer will still continue to be the larger core part of our business for the foreseeable future.

To your next question, look, I mean theoretically not a lot of it, not everything is replicable globally. The administrative system of the U.S. healthcare is very different than what you would encounter in other places. But the clinical side, whatever we are doing is equally applicable, right? So that's one part of the response. But broadly, like I said, given the size of the U.S. market and the fact that we are still a very small player compared to that opportunity size.

We believe that, we need to keep focused on the U.S. market. Having said that, there are other adjacencies to the Payer and Provider markets that

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we haven't explored in the past. And that's something that we might, look at exploring in the future. But yeah, it's likely to be more in the U.S. for at least the near future before venturing outside.

Rishi Jhunjhunwala: Understood. And just one last question on margins. At that 24%, 25% EBITDA, you're pretty much in the top quartile when we look at players of similar businesses. So do you attribute this largely to the level of offshoring that you're able to do, or are there any other specific reasons for your margin differential versus some of the peers? And how defensible do you think that is, if you were to start seeing some sort of pricing pressure across

customers?

Ramesh Gopalan: You're right. The margins offshore are higher than the margins that you would generate on the same shore, right in the U.S. So that's true for almost everybody. And so the more offshoring you can do, the better are your margins, right? So and like I said, we have over 90% of our resources in nearshore and offshore geographies. And so that is one reason why our margins are high. The second question is our operating efficiency. We pride ourselves on being strong operators. We've done this for 24 years. We know how to run the business. And these are businesses where you need to manage headcount very carefully, and you need to manage efficiencies very carefully. And we master the art of doing that. So we believe that we can squeak or eke out more margins, than our competitors, even for the same price points. And your third question on

maintainability of margins, we've addressed that in the past, right? So there are several levers for us to act on, when it comes to margins. And efficiency is a big factor, like I've said. And we have several tools at our disposal to continue to generate those efficiencies.

In addition to pure operational efficiencies, we can use technology to generate efficiencies. The question always is, how much do you pass back to your client versus how much you're able to retain? And that is something that we've been successful in being able to generate a lot of value so that our clients feel that they're getting, the efficiencies that they expect of a service provider like us. At the same time, we are able to retain some part of that efficiency to manage our margins.

Rishi Jhunjhunwala: Great. Thank you so much, and all the best for second half and the following years.

Ramesh Gopalan: Thank you, Rishi.

Moderator: Thank you. We take the next question from Chirag Shah from White Pine Capital. Chirag, your line has been unmuted. You can ask your question.

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Chirag Shah: Okay. Thanks for the opportunity. So my first question is with respect to, how difficult it is to win a new business? Okay. Say, for example, right now in U.S. where you are, a new client, in terms of capability, in terms of time it requires from the effort you put and the time it requires to scale up. So that is the first question if you can just share how, based on your experiences.

Ramesh Gopalan: Thank you, Chirag for the question, right? So I mean in any industry, it's never easy to win a new client. More so in the operational world because the domain expertise is a very strong entry barrier, right? So you have to prove to the client that you have the capability because they are handing over their existing operations to a service partner. And this is something like I said, this is something that they need to run day in and day out, to keep the lights on. And so they can't afford to make a mistake by choosing the wrong partner, right?

So domain capability and operational expertise is a key requirement. And so that itself puts a big entry barrier for new players wanting to do this, right? But having said that, this decision while we've discussed this in the past in the roadshows while, objectively the cost advantages that you can get by offshoring some of this is very obvious.

But given the risks involved, people are very cautious when they make the decisions to choose a vendor and to offshore. So I would say, yes. It is difficult to get into a client. Your second question on ramp up, it depends on the size of the deal, right? So we've onboarded clients with 300, 400 FTEs and ramp them up in four to six months. So it depends. But for smaller deals, we could be up and running in a time as short as two to three months, right?

But the larger the size of the deal, it might take us, longer. Because, most other than the clinical work where we hire clinicians who are already trained, but we still need to train them on the U.S. health

care. For the nonclinical ones, we tend to hire people with limited healthcare experience. And we train them in U.S. healthcare and in the process before we deploy them. So there is hiring and training cycle which takes time. But for that, our ability to ramp up is quite fast.

Chirag Shah: When you say ramp up in say, four to six months, you need to achieve the optimum level, right? Optimum level of revenue from that contract?

Ramesh Gopalan: Yes, for the reasonable sized contracts. Yeah and by six months, we will be hitting the steady state revenue if that's what is, yeah.

Chirag Shah: Yeah. Also in terms of time required, suppose you start a discussion today with your client, either you approach them or they approached you. Unless it's a dire situation for the client. I'm excluding that part. But

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generally, you experience how much time it takes for you to make an entry, it will look like.

Ramesh Gopalan: Again, if the entry point is when a RFP is out and you're invited to participate, it could be anywhere between three to four months. But if you're essentially cultivating a relationship, which will then result in an

actual RFP and so on, it could take anywhere between six to eight months.

Chirag Shah: Okay. This is good enough. And second is any thought on, expanding your geographical reach?

Ramesh Gopalan: I just answered that question, sir. So like I said in the near future, we're going to be focused on the U.S. market, at least for the next couple of years, right? So we have a large opportunity there. And we think by staying focused, we can win a larger share of the business.

Chirag Shah: And one last question if I can squeeze in. So of the 100% of the opportunity that is available in general for outsourcing or say among top three clients, how much of you are doing today? Because some of the things will be done in-house. You highlighted only 20% is being outsourced, right?

Ramesh Gopalan: Yeah.

Chirag Shah: For you, of the 100% of opportunity available today in your assessment, how much you have already encashed and how much you think you can encash over next three years?

Ramesh Gopalan: I mean if I understand your question, you're asking me for I mean, there are multiple ways to answer that question. If you're asking me what's my market share amongst the players with similar services, I don't have exact number. But like I said, to in response to some other question, there are only two or three players who are bigger than me.

Chirag Shah: Let me rephrase the question, sir. I'm saying that there's an outsourcing opportunity of, say you said that today as well as the potential that could be outsourced is 100%. You are addressing only 20% as an outsourcer, correct? Now going from 20% to say 40%.

Ramesh Gopalan: Yeah.

Chirag Shah: What will it require to fall in place either for you or for industry? I'm putting it.

Ramesh Gopalan: Okay, okay. I get your question. So the 20% to 25% is an industry average, right? If you look at the different maturities, they'll be different, right? For example, if you classify the market into the large national Payers and the mid-market and the small market, it'll vary significantly. The large guys would have done a little more. They'll probably have a 40% plus,

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penetration. Whereas the smaller guys may be in the single -digits, right?

So what will it take is I mean, the industry, the cost pressures are only increasing. Someone asked the question, the reimbursement rates are coming down.

So everywhere there is a lot of pressure to reduce both the administrative and the clinical costs. And healthcare is a very local subject. So historically, people wanted to do this work in house, wanted to do the work in the community. But, as cost pressure firming and as a mid-market Payer or a small Payer, you don't have the resources to apply technology and so on. Then it becomes more importa

nt that you look at other opportunities to reduce cost, so that you can retain your market share in the market. So that we are beginning to see, because like I said, historically, our mid-market penetration was slow. But right now, as we are approaching more of the mid-market clients, they are more open to having conversations. To your earlier question, it's still not an easy sale, but at least they are more open to having those conversations today.

Chirag Shah: Okay. You addressed it in a different way.

Moderator: Chirag, may I request you to re-join the queue? We have a few participants waiting for their turn.

Chirag Shah: Yeah, I was just thanking them. Thank you very much.

Ramesh Gopalan: Thanks.

Moderator: Thank you so much. We'll take the next question from Pratyush Agarwal from White Oak Capital. Pratyush, your line has been unmuted.

Pratyush Agarwal: Yeah, hi. Congrats on a great set of results. I'm sorry earlier there was some audio issue. So my question is, on the client addition side. So given it's taken decades practically to build the current client base that trust the engagement. So can you talk about what could be a reasonable result in terms of new client addition, say for the next two, three to five years?

What would you say be a reasonable case for new client addition in terms of numbers?

Ramesh Gopalan: That's a good question, Pratyush. It's, I mean, historically also as a

company, as a division within a larger enterprise, we were not as focused on penetrating the mid and small clients, because we were growing healthily just with the top Payers. So the focus on the mid and small market started in earnest only about three, four years ago. So that's point number one.

And to your question, what we've done in the last couple of years is indicative of what we think we'll be happy with. Anything between eight

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and 12 clients a year is a number that we are targeting. If we manage to do better than that, we'll be happier. But that's a number that we are targeting to do.

Pratyush Agarwal: Got it. Thank you for that. And to an earlier point you were making in terms of engagement. So of our current client base, what are the percentage of, let's say, client or opportunities you say where you have a clear -- you've demonstrated success engagement trust. And now you think, these clients will ramp up in terms of wallet share irrespective of overall, let's say client per dollars growing or not in that particular, let's say, overall account?

Ramesh Gopalan: Okay. I may come across a little arrogant, but other than the clients that I've onboarded on the last 12 months or so, I would say I have that rapport with every other client. So for us, onboarding a client and giving them the experience of what we can deliver in the first 12 to 18 months is sufficient to build that trust and relationship for them for us to continue to grow with them.

Pratyush Agarwal: Got it. Thank you so much, and best of luck.

Ramesh Gopalan: Thank you.

Moderator: Thank you. We'll take the next question from Nilesh Jain from Astute Investment Management. Your line has been unmuted.

Nilesh Jain: Thanks for the opportunity. And congratulations for a good number.

Firstly, I just need one data point. I just wanted to understand, top five clients, revenue contribution for this quarter and maybe comparable quarter for the last financial year, if you can provide that?

Ramesh Gopalan: I don't have the numbers off hand, but it'd roughly be the same numbers, right? It'll be about 80% top five?

Sarvabhouman Srinivasan: Yeah. Top five is 80%.

Nilesh Jain: Okay. So in just to follow -up on that, I was just checking out comparing the numbers for FY '23 and FY '24 and for the quarter one. I see, obviously, number of client groups has increased from 35 to right now currently 45.

So there's been addition of around net basis, 10 clients you all have

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added. And in terms of share, if I look at the growth of your top five client has been around 11% odd. Balance of the remaining clients, revenue contribution has been around 21%.

So just wanted to understand, basically, in the next two, three years, where do you see your share of top five clients concentration wise? Like, do you expect it to come down to 75%, 70%? So we can see a larger chunk

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of growth coming from your new acquisitions or once that you recently acquired?

Ramesh Gopalan: Yes. I mean, that's the aim. So if you look at our concentration, it's come down. At least for the top three, has come down by almost 10 percentage points over the last three years. So we are actively targeting the mid and small space to grow them faster, to bring the top client concentration down. But having said that, like I keep saying the top client still continue to grow nearly at double-digits, which makes the job difficult.

But, yeah, in the next, if you're giving me a two, three year time frame, we want the top five clients from the 80% to come down somewhere between 60% to 65%.

Nilesh Jain: Right. Okay. Interesting. Just to follow -up on that, obviously, everyone been asking on the acquisition side. Just wanted to understand, what could be the case, if you're losing a client, what could be the possible reason? Is it your end of the contract that's not getting renewed? Then what could be the possible reason if you're losing a X client?

Ramesh Gopalan: Yeah. So the contract not getting renewed is very, very rare. So there been

one or two instances where, at some point, the client has decided to take the work in-house. And that typically happens when a client is only working with me in the U.S. So if, for whatever reason, they didn't want to offshore, they work with me in the U.S., then sometimes, in one or two cases, they've taken the work back.

But and we've not had too many client losses. The only other reason we may lose a client is if the client decides to opt out of a segment that we are supporting them on. So for example, we had a client in 2022, and we were supporting them on the exchange business. And the client the next year decided to exit the exchange business completely. So that's one reason we lost all the clients.

And, otherwise, if part of that business that we are supporting gets acquired and the acquirer doesn't want to continue to work with us.

That's happened in a couple of cases. But organically, like I said, when a contract ends, not renewing the contract with us, especially in the top 10, 15 clients, it's not happened.

Unidentified Analyst: Okay. Thank you, and I wish you all the best.

Ramesh Gopalan: Thank you.

Moderator: Thank you. We take the next question from Radhika Mittal from Aventus.

Your line has been unmuted. Radhika?

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Radhika Mittal: Thank you for the opportunity, and congratulations on a great set of numbers. I just wanted to ask, as a result of the company's strategy in focusing on smaller mid-market clients, is this something that will be margin accretive, simply on a perspective that these smaller clients will have lower negotiating power? So will revenue charge, let's say, per FTE improve?

Ramesh Gopalan: From a pure pricing point of view, Radhika, I don't think that'll happen.

Even though we may not have a negotiating power and we are unlikely to be the sole contender for the business. So there'll still be a competitive situation. While overall, you're right, in terms of, they're not as mature an outsourcer like a large Payer word. But I still don't think it'll be a very meaningful difference in terms of pricing.

But having said that, the opportunity to generate efficiencies and the ease with which we can get permissions to do that, we believe is a lot higher with mid-market clients, because there's a lot of protocols and red tape that you need to go through with large cl

ients before you can, implement any efficiency initiatives.

Radhika Mittal: Got it. Thank you. Congratulations and all the best.

Ramesh Gopalan: Thank you.

Moderator: That was the last question for today. I would like to hand over the forum to the management for their closing comments.

Ramesh Gopalan: Thank you. I hope, all of your questions have been addressed. In case, you have any further questions, feel free to write to the Investor Relations team. And thank you for your support in the IPO and later. And we look forward to connecting with all of you after the next quarter results. Thank you.

Sarvabhouman Srinivasan: Thank you.

Moderator: Thank you members of the management. On behalf of Sagility India Limited, this concludes the webinar. Thank you for joining us, and you may now log off Zoom.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company

takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Feb 2025

Sagility India Limited

(Formerly Sagility India Private Limited)

Registered Office - No. 23 & 24, AMR Tech Park, Building 2A, First Floor Hongasandara Village, Off Hosur Road, Bommanahalli, Bengaluru – 560068, Karnataka, India

Corporate Identity Number: U72900KA2021PLC150054

Tel. No.: 080 -71251500, Website: www.SagilityHealth.com

Date: February 10, 2025

To,

The Manager The Manager

Listing Department Listing Department

National Stock Exchange (NSE) Bombay Stock Exchange (BSE)

Exchange Plaza, 5th Floor Phiroze Jeejeebhoy Towers

Plot No. C/1, G -Block Dalal Street

Bandra-Kurla Complex Mumbai - 400 001

Bandra (E), Mumbai - 400 051 Scrip Code: 544282

Symbol: SAGILITY

Dear Sir/Ma'am,

Subject: Transcript of Investors Call held on February 05, 2025

This is in continuation to Investors/analyst webinar held on February 05, 2025, for discussing the unaudited financial results of the Company for the quarter ended 31st December 2024 .

Pursuant to Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, we attach herewith the transcript of the aforesaid webinar.

This information is also available on the Company's website <https://sagilityhealth.com/>

This is for your kind information and record .

Thanking You,

For Sagility India Limited

Satishkumar Sakharayapattana Seetharamaiah

Company Secretary & Compliance Officer

M. No. A16008

Encl: a/a

1 Sagility India Ltd.

Q3 & 9M FY25 Earnings Webinar

Wednesday, 05th February , 2025 at 7:00 PM

MANAGEMENT • Ramesh Gopalan - Managing Director & Group CEO

• Sarvabhouman Srinivasan - Group Chief Financial Officer

MODERATOR • Siddharth Rangnekar – CDR India

QUESTIONERS • Abhishek Kumar - JM Financial

- Manik Taneja - Axis Capital
- Ruchi Mukherjee - ICICI Securities
- Vikrant Gupta - PGIM India Mutual Fund
- Bhavik Mehta – JP Morgan
- Ankur Pant - IIFL Securities
- Bharat Sheth - Quest Investment Advisors
- Akshat Agarwal – Jefferies
- Deekshant Boolchandani - DB Wealth
- Sushovan Nayak - Anand Rathi
- Venkat Subramanian

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Siddharth Rangnekar: Good evening, Good evening, ladies and gentlemen, and welcome to the Q3 & 9M FY '25 Earnings Webinar of Sagility India Limited. This is Siddharth Rangnekar from CDR India, and I shall be your moderator for the event today.

As a reminder, all attendee lines will be in the listen-only mode and there shall be an opportunity for you to ask questions after the presentation concludes. Please note that this webinar is being recorded. To introduce the management we have with us today, Mr. Ramesh Gopalan, Managing Director and Group CEO; Mr. Sarvabhouman Srinivasan, Group Chief Financial Officer.

Before we begin, I would like to state that some of the statements made on today's discussion could be forward-looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the Q3 & 9M FY '25 results presentation that has been uploaded to the stock exchanges.

I would now like to hand over the forum to Mr. Ramesh Gopalan to begin the proceedings of this webinar. Over to you.

Ramesh Gopalan: Thank you, Siddharth. Good evening and thank you everyone for joining our Q3 earnings call. As you would have seen, we are pleased to report another very strong quarter, which is led by growth across our client portfolio. In addition, we announced the acquisition just last week. We acquired BroadPath, which will also be accretive to our earnings. And we'll talk a little more about that in our call. Our clients continue to give us more business and this is fuelled, both by our operational excellence and our investment in automation, analytics and GenAI. And these capabilities have helped us differentiate ourselves in the marketplace and also helped drive growth in all of our clients.

Let's get started with the financial summary. We are pleased to report in Q3 FY '25, we registered a year-on-year growth of 15.3% in rupee terms and is 14% in constant currency terms. During Q3 FY '25, our revenues were \$172 million and ₹14,531 million in INR terms. And this is a 9.7% Q-on-Q growth in INR and about a 9% Q-on-Q growth in constant currency. However, like we've mentioned in the past, we'd like to remind you that, there is a seasonality to our business. The open enrolment which runs all through the Q3 quarter as well as beginning of Q4 drives a large volume of business our way. So a Q-on-Q comparison may not be the best way to look at our performance. So we would encourage you strongly to look at year-on-year performance and not too much on the Q-on-Q numbers. Having said that, it was a very strong Q-on-Q performance this quarter. During the quarter, our Payer vertical grew 13.1% year-on-year and contributed about 89.3% of our total revenue. And the Provider business

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grew much higher at 38% and contributed to about 10.7% of our total revenues.

Now if you switch to the YTD results, we are pleased to report that we grew our YTD '25 compared to YTD '24 at 15.3% in INR terms and 13.9% in constant currency terms. The actual revenues, YTD were \$476.5 million in dollar terms, which translates to about ₹40,014 million in INR terms.

Now talking about margins for the quarter, we delivered an adjusted EBITDA of \$54.1 million which is ₹4,567 million in INR terms, which is year-on-year growth of 67.3%. This reflects an adjusted EBITDA margin of 31.4%. And this is a pretty high margin, which is essentially expected in the open enrolment season.

And the factors driving it are one, higher revenues, better operational

efficiencies, like I said, both organically as well as through use of technology and process improvements. Also, there's been some tailwind basis favourable foreign exchange movements. We also reported higher other income in the quarter driven by Forex gains, which further boosted our adjusted EBITDA.

Our consolidated adjusted profit after tax for the quarter stood at \$2,626

million which is again a year -on-year increase of 67.6%. And, like we mentioned before, our ongoing reduction of debt is further going to help us enhance our PAT margins. On a YTD basis, our adjusted EBITDA of \$11,104 million grew 30.2% year -on-year, while our adjusted PAT of \$5,709 million grew 34.5% year -on-year. Now if you look at our people metrics, our total headcount at the end of the year stood at 39,595. We added about 1,215 employees during Q3. And this is a large addition, like we mentioned in the past. We add head count during the open enrolment season. However, attrition has been at 21.8%, which continues to be very low, compared to the previous year. So overall, a very good performance operationally as well as financially as you can see. Some of the KPIs, I'll just pause for a few seconds for you to take a look at the numbers, and we've covered all of these numbers in my commentary.

Now jumping into the acquisition that we did, last week. The company's name is BroadPath Healthcare Solutions. The company was founded in 2008 and it's headquartered in Tucson, Arizona. It is, like us, it's a Health care services focused company. And like I've told, many of you in the past, our M&A strategy was both focused on capability acquisition as well as looking for Health care specific clients which can get us a large client base. And BroadPath fits in the second category.

What we get, in terms of services – a large part of the services do overlap with our services, but they also bring in specific capabilities in member acquisition, especially in the Medicare and Medicaid segments, which is a

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capability that we didn't have before. So it also brings addition to our service portfolio. But the most interesting part of this acquisition as far as we are concerned is the access that it gives to several mid -market clients. As I've mentioned in the past, diversification from our large client base into the mid -market is one of our stated strategy. And so the BroadPath acquisition clearly helps us in that regard. The other thing, in our due diligence, we found that, they are a great customer advocacy. Their NPS with customers were very high. And one unique operating feature of BroadPath is the fact that, they started as a work from home company, even before COVID. And that's been possible because of a platform called Bhive that they have. And this is a proprietary platform that, not only enhances employee engagement, but it also helps optimise operational metrics in a remote environment.

So it's a good acquisition, for us. And, we had put out a one page rationale for the acquisition. And just to touch upon the key aspects, one, it, increases our presence in our top 10 Payers. As you know, we had five of the top 10 Payers as our clients. This adds a sixth client to that list. And it also increases our footprint in two of our existing top 10 clients.

So essentially, it enhances our leadership position in the top 10 payer segment, which is a large part of the market. Financial synergies, this acquisition is EPS accretive from day one. It's been funded 100% from internal cash. And we also believe that synergy is not only from the cross sell, but also opportunities to reduce administrative cost will help us improve margins going forward.

In terms of the client base, like I said, it's a very diversified client base, more than 30 mid -market clients, and it gives us an opportunity to cross sell the broader Sagility portfolio of services into this new client's segment.

The Bhive, which is a unique value proposition, we intend to use Bhive broadly across our delivery geographies. And integrating Bhive with our GenAI solutions, we believe we can further enhance operational efficiencies. Like I said, they also bring in some new capabilities, especially the member acquisition, in both Medicare and Medicaid as well as enrolment services.

And from Sagility'

s point of view, given that we have multi -shore operations, that will be a great capability for us to take to their clients. And in terms of talent acquisition, it comes with about 1,600 employees, strong operational expertise, and it also comes with a very strong client facing team, sales marketing, account management team, which will be a great addition to us.

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So overall, it's roughly about a \$70 million top line. And like I said, it's EPS accretive from day one and funded 100% from cash. With that, let me hand it over to Srinu to walk you through, the financial highlights in more detail.

Saravahuman Srinivasan: Yeah. Thank you, Ramesh. Firstly, welcome all to the December '24 earnings call. Like Ramesh mentioned, we had an exceptional quarter and a good year so far. Our financial performance has been consistent in the last few years, and we expect this trend to continue forward.

I want to reiterate that our business has seasonality. Again, Ramesh stressed on this. Our H2, which is the second half of the year is slightly more pronounced than the first half due to the open enrolment season.

So I will not labour much on the revenue, EBITDA, and PAT numbers. What is more attractive here is the operating cash flow. We generated close to ₹9,132 million in the first nine months of the year, and that represents 94% of our reported EBITDA. And that actually helped us to fund the acquisition that Ramesh mentioned.

Next, this slide gives the impact of our seasonality in the business. We hire for seasonality starting Q3 with headcount picking in December and then gradually reducing from Jan through March.

Moving on to Slide 10. We have provided the numbers. We have provided the key numbers, financial metrics, both for short term and long -term.

This slide just talks about the Q3 over the previous years. And all green here, nothing much to really call out, and this presentation is also available.

The next slide will be on the cumulative nine -month performance. It's more a longer term view , where we have provided FY '23, FY '24 and the first nine months of the current year and also shown the comparison to the previous years. Again nothing much to really call out. I don't want to read out these numbers, all green and we hope to continue this trend.

These are some critical financial indicators, and I would want to bring to your notice that our EPS has been gradually improving. And what you see in the last column is the trailing 12 months EPS for December '24. On the return on capital employed, it continues to be healthy at the mid -40s, and it's largely driven by a robust operating performance. Our free cash flow stood at 82.5% of EBITDA, reflecting a very strong cash generation. You will also notice that there has been a consistent reduction in the debt. I'm referring to the last graph on the slide. And as of 31st of December, our net debt including lease liabilities is at 0.55x of trailing 12 months EBITDA.

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Slightly a busy slide. This gives you a quick snapshot on our revenues and profitability. And you will actually notice that there are two adjustments, adjusted EBITDA and adjusted PAT. I'll explain that to you in the next slide.

The first adjustment on EBITDA is on account of the earnouts under the acquisition agreements pertaining to the DCI and Birch, which are the two companies which we acquired earlier in FY '24. And these are nonrecurring costs in nature and hence adjusted in the EBITDA. FY '26 will be the last year for these earnouts, and we have shown these details in Slide 16 after two slides.

The second adjustment to the EBITDA pertains to the share based payments awards provided to the leadership team, which are linked to the shares of Sagility B.V., our parent company. These share based payment awards are not cash payouts from a company stand point as they are directly settled by Sagility B.V., and there is no obligation on the

company or there is no liability on the company, and there's no dilution

to the shareholders as well.

The details of the same are also provided in Slide 18. Coming on to the PAT, the above two EBITDA adjustments adjusted for tax, plus we also have an additional adjustment towards amortisation on the intangibles. This intangible was created during the acquisition of Sagility by EQT, and they are not operational in nature. The purchase consideration paid by EQT was significantly higher than the fair value of assets. And hence, we created customer relationships in the U.S. at \$265 million which was to be amortised over 16 year period. And there was also another intangible that got created, which was for \$85 million towards customer contracts in India, which got completed. The amortisation of that got completed by 31st of March, 2024. And these are noncash in nature, and these are also non-operational in nature.

Next slide, please. Here, we have shown the go forward positions in terms of what is our gross debt. What is the debt repayment? What's the likely interest payment? Because these are rupee denominated loan, and we have very clear repayments schedule as provided in the prospectus as well.

These interest s are at 8% coupon rate. We have also shown the expense P&L hit that you will see from a share based payment awards. Like I mentioned earlier, these are not a cash expense for the company, nor a liability for the company, but it flows through the P&L. The adjustments on the EBITDA, as I mentioned on the earn outs to Birch and DCI acquisitions, they get over in FY '26. So in FY '25, we will have ₹486 million and the next year, its ₹348 million .

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Moving on to the balance sheet, a very strong balance sheet as you would see. Cash at ₹7,263 million, our trade receivables are extremely under control, and DSOs have improved from 82 to 78 days. And we had a CapEx spend for the nine months ended December at ₹1,122 million. And overall, a very good balance sheet. And, it remains very healthy and very low leverage as well. Good cash conversion, cash generation. And any specific questions we'll be happy to take during the Q&A session. Over to you, Ramesh .

Ramesh Gopalan: So, as we've discussed, we had a very strong quarter in Q3 and this is driven by our continuing growth with all of our existing clients and our attempt to expand in the mid -market. Like I said, BroadPath is an acquisition that we believe will give us access to the mid -market, which was a stated strategy in terms of our client diversification.

So looking ahead to Q4, we hope to continue the strong positive performance. And looking at the full FY '25, we believe our growth will in INR terms will be very similar to the YTD growth for the nine months that you've seen. Overall, longer term, we believe that we will continue to grow in the low -to-mid-teens like we've committed. And our PAT margins, like I said, thanks to reduction in debt has improved. And so we expect to perform along similar lines.

With that, happy to take questions.

QUESTION -AND -ANSWER SESSION

Moderator: Thank you. We will wait for a moment for the question queue to assemble. Participants are requested to click the raise hand icon on the bottom panel. We have the first question from Abhishek Kumar of JM Financial. You've been asked to unmute.

Abhishek Kumar: Yeah, hi. Good evening, thanks for taking my question. Great quarter. First is, on revenue, it is two part question. One is, the growth in nine months and this quarter especially has been above the range that we have spoken about, which is likely growth over the medium term. So, question is, did the growth come above our quarter beginning expectation, because of the open enrolment period, etc? Related question is, how does it exactly help? Does it help you, the open enrolment period when there are more number of members joining the insurers

or payers that you are serving?

Or irrespective of that, just because of the churn, there is an increase in volume?

Ramesh Gopalan: Okay. So let me answer your second question first. So our open enrolment like we discussed, that's a season where most of the insurers renew or

add new members. And so the plan for the open enrolment is discussed, much in advance because we need to ramp up, to meet those volumes,

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right? So essentially, the growth in open enrolment volumes does not reflect the underlying strength of our client's addition to membership. So these are planned additions for which, typically clients pay us. And to answer your first question, yes. The growth was marginally higher than what we had anticipated at the beginning of the quarter. And, like I said, while most of the additions is anticipated, well ahead of the start of the quarter, there are always some additional volumes, that come in, that we might have handled during the quarter, which leads to increased revenue. So yes, the performance was slightly better than we had anticipated at the beginning of the quarter.

Abhishek Kumar: Great. Second question is on the Provider side. You did mention at the beginning of your presentation that the growth on the Provider side was much stronger. I couldn't find it on the PPT, but I remember it was 30% plus. So is that a conscious strategy to expand more, penetrate deeper the Providers? And also, does the open enrolment period benefit Providers as well like they do Payers? Thank you.

Ramesh Gopalan: Yeah. The open enrolment doesn't, make a big difference on the Provider side like it does on the Payer side. So that's not the reason for the growth. And to answer your first question, as you know, our Provider business is much smaller than the Payer business. So sometimes, I mean, it has grown faster than the Payer business in the past. So sometimes, because of the smaller base that the growth numbers are higher.

But broadly in terms of strategy, we want to grow, both the Provider and the Payer segments. Payer segment, like I said, is a much larger segment with a lot more large and more tenured clients. Whereas we are much smaller in the Provider segment even compared to some of the Provider only companies, that are out there. So our strategy is to grow both the Payer and the Provider businesses.

Abhishek Kumar: Sure. That's helpful. I'll come back in the queue. Thank you so much.

Ramesh Gopalan: Thank you.

Moderator: Thank you, Abhishek. We now move on to the next question. Manik from Axis Capital, you have been requested to unmute.

Manik Taneja: Hi, good evening. Thank you for the opportunity. While the seasonality on the business front or from a revenue standpoint is well understood, I wanted to quiz you with regards to the way we have seen margins expand in the current quarter, and especially given the fact that if I'm looking at your historical financials for last year, we didn't see the sequential improvement in margins last year. This time around the sequential improvement in margins or even if one looks at margins on a year-on-year

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basis, it probably seemed to be very, record margins. So if you could delve deeper into what's driven that and the sustainability of the margin profile on a go-forward basis.

Ramesh Gopalan: Yeah. One, operational performance had been extraordinary in this quarter with additional volumes of the top line that we picked on the way through directly to the margins. Two, we had a good exchange benefit, which got added almost close to about ₹44 crores of other income we got on account of exchange gain.

And I would say largely, it's tighter operations and the benefits of all the technology that we had invested in the past are slowly yielding to sales. But again, the extra volumes on account of the open enrolment that we got as top line, which flowed directly to the margins has significantly contributed

to the margins.

Manik Taneja: It would be possible to quantify the benefit of these incremental volumes to the margins and also give us some sense as to what maybe the sustainable margin profile looking at margins at 30% in the current quarter. Is that the new benchmark that we're looking at versus the 24%, 25% that we've seen in the past?

Ramesh Gopalan: No. If you look at on an annualised basis, the guidance that we gave around the 24%, 25% still continues to hold good, right? So that's why we

constantly encourage not only year -on-year comparisons, but also looking at it from more cumulative YTD numbers and full -year numbers.

Some quarters, because like Srini said, additional volumes because of open enrolment for which some of the hiring and ramp cost would have been incurred earlier, will result in either margin increases or margin dips in one quarter or another. But overall, steady state margins on an annual basis will still be around the numbers that we guided.

Manik Taneja: The last one from my end, basically, if you could talk about the sensitivity of margins to currency, given that almost 94% plus of our workforce has been based in India and Philippines, and also some timelines on the integration of the recently announced acquisition. Thank you and all the best.

Ramesh Gopalan: Thank you. Currency on margins, do you want to take the question?

Sarvabhouman Srinivasan: Yeah. The delta between the revenue growth in dollar terms and constant currency is about 1%, 1.5% so that has flowed directly into the margins.

Manik Taneja: Srini, just a clarification on the margin front. What I'm trying to understand is with the way USD /INR or USD /Philippine peso move, if you could help us understand a percentage move in any of these exchange rates, how does that impact your EBITDA margins?

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Sarvabhouman Srinivasan: See, I wouldn't really worry too much on the movement if rupee or peso are to appreciate much. But if they hold at steady levels, I'm sure we are most likely to hit our 25% plus margin profile that we guided earlier.

Manik Taneja: Thank you. I'll take it offline.

Ramesh Gopalan: And your second question on BroadPath integration, like I said, just to give you more colour, BroadPath, most of the delivery is in the U.S. with a very small footprint in the Philippines. So that's another point I wanted to guide on. So their margins are much lower than Sagility's margins.

Having said that, the opportunity to cross sell into the clients, the opportunity to offer the clients, other geographies where we have presence and the administrative side cost synergies, we believe will help us improve their margins on a go -forward basis . So there is a very detailed integration plan that is being worked on. Both, like I said in terms of taking our services to their clients as well as taking some of their specific capabilities and member acquisition to Sagility's clients as well as integrating some of the shared service functions across the two companies.

Manik Taneja: Sure. Wish you all the best.

Ramesh Gopalan: Thank you.

Moderator: Thank you. That was Manik Taneja from Axis Capital. We now move on to the next question from Ruchi M ukhija. I've unmuted your line. Ruchi, you may go ahead.

Ruchi M ukhija: Good evening, and very congratulations on a strong set of numbers.

Ramesh, could you help us understand for a BroadPath, the margin profile and plans around the leadership retention?

Ramesh Gopalan: Ruchi, I just did talk about the margins in response to Manik's question. Like I said, they are mainly onshore based delivery, because of which their margin profile is lower than Sagility's profile. It's in the lowest double -digit EBITDA margin numbers. But with the combination of both client level synergies and administrative cost synergies, we believe that we can improve those margins over the next two to three years. So that was question one and sorry what was the other question?

Ruchi Mukhija: Leadership retention?

Ramesh Gopalan: So, while the existing CEO and Chairman haven't moved over, the next set of leaders, who are basically both in the sales and client facing roles as well as operational roles, they've moved over as part of the acquisition.

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And there is a plan in place, in terms of their retention. So we're very confident of retaining the leadership. And we're very happy to have them on board because they come with very good credentials.

Ruchi M ukhija: Okay. Now coming to the seasonality, we understood, how Q3 turns out to be seasonally strong quarter for Sagility. Does the seasonality flow into

Q4 as well for us?

Ramesh Gopalan: It does. To early part of Q4, it does flow through. But just in the early part of Q4, right? So starting mid -Jan, towards second half of Jan, we start ramping down. So to that extent, there is some carryover effect from Q3 into Q4.

Ruchi Mukhija: Now last question, this is more around the hedging, and also partly relate to Manik's question. Could you help us understand, how the hedge position is for us, guide on the near term profitability and how should we read into this sharp INR depreciation, its influence on margin?

Ramesh Gopalan: On our hedging, about /close to 60% of our inflows into India and Philippines are hedged. And these are at, very close to present conversion rates in the sense present level is at INR85/PHP50-ish. So we are reasonably insulated. That's why I was trying to explain Manik that even, we don't anticipate and nobody can anticipate how rupee would move, but we don't anticipate it to significantly reduce. In the sense like, we are expecting it to hold or for rupee to depreciate further.

So having said that, we are very confident of holding our margins. So our hedge position, we've slowed down on taking forward covers, because one thing, we are not getting attractive premiums the way we want, and also, we want to wait and watch and not really jump the gun and do too much of hedging as well.

Ruchi Mukhija: And lastly, Ramesh, if you could comment how we see near term growth visibility spread between our large account and accounts beyond the top 10.

Ramesh Gopalan: I can't give you specific numbers, but what we are seeing is a broad growth across our client portfolio. Like we've discussed in the past, our large accounts continue to grow, and they continue to grow as a portfolio in the high -single digits, right? So and some of the non -top five, top 10 accounts are growing slightly faster.

So our overall revenue guidance as well as by the different client groups, the way we've guided in the past is still pretty much our guidance into the future as well.

Ruchi Mukhija: Got it. Thank you and all the best.

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Ramesh Gopalan: Thank you.

Moderator: Thank you, Ruchi. We move next to the question from Vikrant Gupta of PGIM. Your line has been unmuted.

Vikrant Gupta: Yes. I have three questions. I'll just ask all of them. So firstly, I was just looking at the earnings of couple of your large clients. They seem to be talking about medical costs continuing to go up and probably 2025 also being a repeat of 2024. So if you could comment on how that impacts your business opportunities both positively and negatively?

Secondly, in terms of the acquisition, the synergies that you have mentioned in your presentation highlight largely cross sell and probably the addition of a new capability. But you have not talked about offshoring given the high on -site presence of this workforce. So is that something that is not likely to play out?

And the third one would be the margin guidance that you have given 24% to 25%. This is excluding other income, and the two adjustments are largely the ones that are in the presentation, the share based awards and the acquisition payouts. Those were the three questions. Thank

you.

Ramesh Gopalan: Okay. Thank you. Thanks for your question. First on the medical costs, I think we've covered this in earlier presentations, right? So the business that we are in, which is more supporting our clients in their day -to-day operations that doesn't largely get impacted by some of the challenges, that you've mentioned that our clients face.

So in a way, if their volumes and their membership grows, we stand to gain. But even in times where they're under cost pressure, we both from virtue of the relationship and as well as the expectation of clients on us, we have opportunities to help them further reduce cost by taking on more of the functions that they are currently doing in house. So given both the aspects, it doesn't directly impact us, if based on some of the challenges that you spoke of that are some of our clients have expressed.

Secondly, on the acquisition, I did talk about offshore. I mean, I may not

have used the word offshore, but I said, one of the synergies is the fact that they are primarily onshore and we have multiple delivery geographies and so they could leverage additional geographies. Like I've mentioned in the past, the choice of a geographies is left to the client. And so some of the work from a regulatory point of view may have to stay onshore or more from a client preference. They may want to keep it onshore. But obviously, the fact that BroadPath is now part of Sagility opens up the option of, all of our offshore locations to their clients. And some of the cross sell that we intend to do, we believe will get delivered from offshore locations.

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And thirdly, on the margin guidance, yes, the 24%, 25% that we guided is not accounting for any additional other income gains, that we might get. But it's adjusted for the things that Srinu spoke about, which is earn outs and amortisation of intangibles and the share based compensation.

Vikrant Gupta: Okay. I just have one quick follow-up to the first question, you would classify that as a net positive or largely a neutral event, the medical cost going on?

Ramesh Gopalan: I would say they don't have a direct impact either way, right? So if the question is, does cost pressures on your client impact your revenues negatively? Definitely, they don't impact us negatively. Obviously, even in the existing work that we do for our clients, our clients expect us to bring in more efficiency and take cost out, but which is a pressure even in good times.

But the only added bonus, like you said is when they are under pressure, they do expect us to help them out by taking on more of the functions that they do in house. So net-net, that could end up being positive, but it's definitely not a concern for us.

Vikrant Gupta: Okay. Thank you.

Moderator: We take the next question from Bhavik Mehta from JP Morgan. Bhavik, your line has been unmuted.

Bhavik Mehta: Hi, thank you. So couple of questions. Firstly, on both growth and margins, is it possible to quantify the impact of the open enrolment seasonality you typically see in a year? Just so that we can understand what is the underlying growth and margin predicting the whole quarter.

And the second question is, on the acquisition. I think you said it's a low - double digit margin business. So with the synergies around administration cost, offshoring or cross selling, where can these margins go up to over the next two to three years?

Ramesh Gopalan: On the open enrolment, Bhavik, I don't know if there's anything additional, we can say. I think that question has been asked and we've tried to answer. But, if there's any more clarity that you need, probably we can take it offline.

On the acquisition front, yes, it is a low -double digit. Over the next two, three years with purely from the synergies and improvement in efficiencies, we believe that those margins can move up 600, 700 basis points.

Bhavik Mehta: Okay. Thank you

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Moderator: Thank you. We move to the next participant. The question comes from Ankur Pant of IIFL. Your line has been unmuted.

Ankur Pant: Hi, congratulations on a good set of results, and thank you for taking my questions. I have a few questions. First is on your stated strategy that you would look to penetrate more into mid-tier Pharma companies as well as look to crack complex deals, probably improve your deal structure as well, deal pricing, etc. Any improvement on that front that we have seen?

Ramesh Gopalan: So first of all, it's not Pharma. It's more health plans, health pay companies. Targeting the mid-market in addition to growing the large clients, like I said, it's a stated strategy. And, we organically continue to do that, right? Some of the logos that we won in the last few years have also started to grow year-on-year. And, like I said, BroadPath also comes in with its own set of mid-market clients, which are not existing clients for Sagility. So that gives us additional room to sell our services.

So, yes both organically and through the acquisition, that strategy is playing out. In terms of the larger deals, yes, the BPaaS deals is something that is still work in progress. We have a few conversations, that we're having as we speak. But, yes that's something that is still to play out and we hope to do that over the next few quarters.

Ankur Pant: Thank you. And then on BroadPath acquisition, I'm sorry if I missed it, but have you specified the growth that BroadPath has been seeing over the last few years? Because I could only find that it's \$70 million in revenue. But how has the growth been in recent times?

Ramesh Gopalan: So BroadPath, like I said, it started as a work from home company, even before COVID, right? So they had a low growth rate. But then during COVID, they got substantial volumes, essentially because a lot of existing service providers, couldn't move from a work from office to a work from home location. So the two, three years of COVID, really saw a huge surge in volumes for them. Those volumes, post COVID have gone down, right? So, essentially looking at the growth over the last two, three years would not be indicative of that longer term growth. But over the long -term, the growth has been in the high single to low -double -digit numbers.

Ankur Pant: Sure. And any light you can shed on the valuations, the discussion on valuations for this particular company because the valuations seem to be quite attractive on a headline basis. So anything that you can share how you arrived at it or anything like that ?

Ramesh Gopalan: So like we mentioned in the press release, we paid \$58 million. All of it was funded in cash. And I've also told you that the EBITDA margins are low double -digits, right? So that will give you an indication of the multiples.

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Ankur Pant: Sure. And lastly on the U.S. change in government, anything that you're worried about or anything that you're looking forward to or something that could impact on the regulatory front that we should keep an eye on?

Ramesh Gopalan: Look, we are continuing to watch that space every day, every week. As on date, we don't see anything that's going to impact our business, either positively or negatively. But, we will keep you posted as we get to hear more things. But at this moment, there is no change, basis whatever we know.

Ankur Pant: Sure. Perfect. Thank you so much.

Ramesh Gopalan: Thank you.

Moderator: Thank you. We move to the next question from the line of Bharat Sheth from Quest Investment Advisors . Your line has been unmuted, sir.

Bharat Sheth: Hi, thanks for the opportunity, and congratulations on good set of number. When you are talking about the in-house as well as outsourcing business, can you give us little more colour on our client? How much are they currently outsourcing and how much they are doing from in-housing? The second q

uestion related to that is, are we in some kind of a conversation in terms of when the cost pressures go high on them , so would they try to move certain part of the businesses to outsourcing. And how do we see it over next couple of years, for this trend to move?

Ramesh Gopalan: So good questions, Bharatji. So first, in the DRHP also we had spoken about ; we had a report from Everest which spoke about the whole outsourcing penetration in the Healthcare space across Payers and Providers. So basis that, numbers, if you look at it, across Payers and Providers, the current penetration is in the low -20s, right. So, if I remember right, it was 19%, 20% in Payers and maybe a couple of 100 basis points higher for Providers.

That is expected to increase by 500 to 600 basis points over the next five years according to Everest, right? So overall as an industry, the propensity to outsource more is going to increase. Specifically, if you ask about our existing clients, I mean, obviously, some of our large clients have outsourced more as a percentage of their total operations versus some of the mid and small market where the percentage outsourcing may be much, much smaller. So that varies, client -to-client. But as an industry as a whole, according to Everest , it's in the low -20s, likely to move up to high 20s, over the next five years.

And to your question on cost pressures, like I answered an earlier

question, cost pressures do provide an opportunity for us to help our clients with moving more work to us, because we can deliver it, not only

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at a lower cost to start with, but we can also bring about additional efficiencies over the contract period. So those are conversations we continue to have with our existing clients and yes, cost pressures in a way induce them to move on some of these initiatives faster.

Bharat Sheth: And second question, if you can give some colour on how much arbitrage our client will have, while doing in-house versus outsourcing, so which can be a more interesting business or where a good opportunity can open up in near term?

Ramesh Gopalan: Oh, I mean, this is not something new, right? So, obviously...

Bharat Sheth: Correct. But what kind of opportunity I mean, arbitrage, our client will have while doing in-house versus outsourcing?

Ramesh Gopalan: Yeah. Depends on which geography they want us to deliver from. So it could range anywhere from a 30% savings to almost 50%, 60% savings for them.

Bharat Sheth: And is that a meaningful size for them? I mean, from an overall expenses ratio?

Ramesh Gopalan: Yes. Obviously, I mean, if you look at it apples-to-apples, given that a lot of them are working in low-single-digit margins. Those kinds of savings are very meaningful. Having said that, we've discussed in the past that the overall administrative spend is roughly about 15% to 20% of the total premium. So large part of it is medical cost. While we do have services which can help them reduce the medical cost, that's not purely on the basis of doing work in a different geography, right? But on the administrative side, dollar-to-dollar, like I said, the savings could be anywhere between 30% to 50%, 60%.

Bharat Sheth: Thanks for your answer.

Ramesh Gopalan: Thank you.

Moderator: We take the next question from Akshat Agarwal from Jefferies. Akshat, your line has been unmuted.

Akshat Agarwal: Thanks a lot for the opportunity and congratulations on a great set of numbers, sir. I have a couple of questions. Firstly, I just wanted to understand the trajectory of your other expenses. So when I look at your revenues from operations, they've grown up at a healthy pace of 15%, but your other expenses have been flat year-on-year. So has there been a meaningful change in the trajectory? And is it not linked to revenues? And should we build this at a similar run rate going forward? Because that's contributed to a

massive margin expansion this quarter. That's the first one. I'll ask my next one once you answer this.

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Sarvabhouman Srinivasan: Yes. Broadly other expenses include SG&A as well, which are fairly flat across the quarters. And also some portion of the other expenses will be other direct expenses which could be related to technology cost or employee transportation or any other direct cost that can be associated to revenue. So it's a combination of both direct and indirect cost. And for your modelling, you can assume at similar levels.

Akshat Agarwal: That's great. Secondly, the receivables again, this time around are in the lower 70s. That is quite exceptional for any IT services company. Should we build a similar run rate going forward as well?

Sarvabhouman Srinivasan: Some of our large clients are wanting us to have a longer credit period. They are planning to increase it. So, I would suggest that you can safely assume around 80 to 85 days on an average. But if we can better that, we'll definitely try and do our best.

Akshat Agarwal: Thank you for that. And finally, on the acquisition, when would this acquisition start flowing into our financials? I mean when does it get consolidated? Does it get consolidated from 29 Jan or at a later date?

Ramesh Gopalan: It was a sign and close, simultaneous sign and close on the 29th. So they will start reflecting our financials from that date onwards.

Akshat Agarwal: Perfect. Thanks a lot for the clear responses and all the best for the future.

Ramesh Gopalan: Thank you.

Moderator: Thank you. We move to the next question from the line of Venkat

Subramanian. Your line has been unmuted.

Venkat Subramanian: Very good evening, and congratulations on a great set of numbers.

Ramesh Gopalan: Thank you.

Venkat Subramanian: I have a couple of questions. The first one being, who are the closest to competitors for Sagility in USA? And where are we placed in this market currently in U.S. as well globally? And do we have similar competition emerging from India? If so, what are the competitors from India in this industry? And the second question is, what is the benchmark for this industry in terms of valuation? Because it appears like a unique business model, which is being introduced and being listed in India. So way forward, how we should evaluate this company in terms of market calculation?

Ramesh Gopalan: So I'm not going to comment on the benchmark for valuation, but competition, I mean, we just went public about three months ago. And as part of that, we filed the DRHP and we've spoken about competition there. Nothing much has changed, in the last three, four months, right?

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We continue, we are one of the very few Healthcare only focused companies. And so on a like-to-like basis, there is hardly anyone similar to us. And one of the things that I had told a lot of you, in the past is that becomes, that was one of the reasons where our acquisition also was proving to be difficult because finding sizable Healthcare only firms was a challenge.

So, BroadPath was an exception in the sense that, it's one of the larger Healthcare only companies that we managed to acquire. So in terms of competition, we do compete with other generic BPM services companies, which operate across multiple segments where Healthcare is also one of the segments. And, it ranges all the way from, IT services firms like, Accenture and Cognizant to other firms like Firstsource, and EXL, and WNS and so on. But there is no real like to like comparison as a Healthcare only firm just like us.

Venkat Subramanian: Okay. Thank you.

Moderator: Thank you. We move to the next question from the line of Mr. Bharat Sheth from Quest Investment Advisors. Your line has been unmuted.

Bharat Sheth: What are the metrics that we can look at that some of the new businesses are coming from say in-house to outsourcing, third party outsourcing and

particular to Sagility.

Ramesh Gopalan: So every work that we do is on behalf of our clients, which means it's coming from in-house to someone like us, right? We've spoken about our portfolio of services, the broad set of services that we have both on claims, payment integrity, clinical engagement and other administrative services like enrolment and so on, right? So our clients could give us any of those works. And across clients, we may not be doing exactly the same set of work. It all depends on the client's priorities at any given point in time where they believe, they have the most needs and where they decide to focus on at that point in time.

So our entry point to our client could be with any service. And then over a period of time as we continue to deliver for the client, we will continue to mine and take over additional functions as we go along, right? So that's the way I would describe. So I'm not sure if I answered your question exactly, but that's the way it plays out.

Bharat Sheth: To put it differently, see out of whatever service that we are providing to our Payer side, which are the services you feel that have a higher entry barrier, and it's very difficult to create the capability in those services?

Ramesh Gopalan: We've spoken about this at length in the DRHP, right? We've given you the portfolio of services. All of the services that we do, we have deep

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expertise in that, right? So in terms of showcasing our capabilities to deliver those services, we are very confident, right? Beyond that, like I said, it's a very specific question to a client scenario as to what is the focus area for the client in that given year, that decides what they decide to work with us on.

Entry barriers per se, I don't think anything has higher barriers. In fact,

some areas like clinical, like we discussed, even in the prospect us, we believe, there'll be more propensity to outsource because of the labour shortages, the clinician shortages that many of our clients continue to face in the U.S. So some of the complexity barriers that clients might have perceived in the past, by which I mean, clients might have thought that this is something not possible for a third -party to help us with.

Now by the fact that we build capabilities in those services and also the fact that clients have existing shortages in those skillsets. They become a more prone to service products like us to take over and help our clients.

Bharat Sheth: Okay. Thank you and all the best.

Ramesh Gopalan: Thank you.

Moderator: Thank you. We move on to the next question. The question comes from Deekshant Boolchandani from DB Wealth. Your line has been unmuted.

Deekshant Boolchandani : Hi, so can you paint a picture for us that what are the kind of opportunities that you are looking for the U.S. government? Because I'm sure the company has thought about, the changes that the government might make, so what are the opportunities that if we see, we will bounce on them? They are clearly focused on Health care. Do you think it's going to be a cost accretive or a growth accretive?

Ramesh Gopalan: Okay. Let me answer the question. I'm not sure if I got it correct. Are you talking about government policies? Because, the segments that we work with are Payers and Providers. We don't directly work for the government.

But to another question I answer, is there anything that we are seeing in terms of government policies that is going to impact our business? So far, we haven't seen any recently. But broadly, Health care is a very regulated segment. And so if there are policies with respect to, for example, on Medicare, what is the payment that our clients are going to get from CMS? Those kinds of decisions do impact us, but we have to wait and watch on what some of those likely changes are going to be.

Deekshant Boolchandani : To specify my question a little bit – Trump has lat

ely appointed Kennedy

as a Health Care Chief of sorts to make sure that the Health care has been taken care of U.S. Do you think this Health care spend that they might do

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or a readjustment of spend? Is it going to be beneficial for us, or do you think that there is a particular opportunity that we can see in this segment that will now be developing?

Ramesh Gopalan: Like I said, it's very premature for us to make a statement on that. So we'll have to wait and watch, what exactly is going to be the thinking on the spend and how is it going to be reallocated. So once we have a better clarity on that, we may be able to comment more specifically.

Deekshant Boolchandani : Noted. So the second question is, so with their acquisition, it says on the press release that it's around 1,600 employees that we have acquired.

And in the PPT presentation, we see that around 25, 22 employees were added during Q3 FY '25. So, is there any sort of like, are these 1,600 people counted for in this 25, 22, or is it 25, 22 plus 1,600?

Ramesh Gopalan: Okay. So quick clarification. We are doing the earnings call for the quarter ended December. The acquisition closed on the 29th of January. It was after the quarter ended. So those numbers are not included in the numbers that we presented in the earnings presentation.

Deekshant Boolchandani : That's my bad. So to clarify, have we included any sort of addition of employees for this particular quarter? It's 1,215 employees that we have added during Q3 FY '25. So this would be 1,215 plus 1,600 people that we had acquired with our acquisition?

Ramesh Gopalan: Yes, 1,215 was added by Sagility to take care of open enrolment volumes. Like we've explained on the past, that headcount doesn't stay stable. Post open enrolment, some of those headcounts might come down. But, yes, the acquisition that we did in January added 1,600 headcount.

Deekshant Boolchandani : Got it. So is this headcount really something that will give a meaningful change to our top line apart from the existing business that of 30 clients that we have bought in? Is it something that will help us with their existing clients to expand?

Ramesh Gopalan: Sorry. Again, I'm not very sure I get your question. So if your question is, can 1,600 people do more work than they are doing today? A lot of the

operational folks are fully dedicated to the specific services they provide for the clients. So unlike other industries they cannot multitask on multiple clients. In our business typically when someone, for example, does claims for client A, they do client claims for client A on a full time basis. So that's how they are workers assigned to them and that's how they are built to the client. So these 1,600 employees are fully employed in delivering services to existing BroadPath clients. Having said that some of the personnel that we have acquired in sales, client services, and other areas they could help us with some of the cross

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sell and upsell. But in terms of pure revenue generation, if we were to generate more revenue, we'll have to correspondingly add to the headcount.

Deekshant Boolchandani : Got it. Last question is on the other income. Maybe this has been discussed before, but would you just expand a little bit of what comprises our other income?

Sarvabhouman Srinivasan: Yeah. The entire \$440 million. Is a combination of FX adjustment. And during this quarter, we have got about close to \$0.5 million of interest income where money is their part of overnight deposits. So it's a combination of those two.

Deekshant Boolchandani : How much of this would be the FX gains for us?

Sarvabhouman Srinivasan: Yeah. Just give me a minute.

Ramesh Gopalan: Just a ballpark percentage .

Sarvabhouman Srinivasan: FX gains would be roughly about close to \$300 million . The balance would be interest income.

Deekshant Boolchandani : Okay. If I could ask one more question

, please. So what has been the key growth driver for us in this quarter of growth, and what do you think that is going to be the key growth driver going forward?

Ramesh Gopalan: See our growth drivers in general, like we've discussed in the past, is getting additional work from existing clients, and adding new clients to the portfolio in addition to additional volumes that we may get from the same lines of work that we've been doing for clients. During open enrolment season, the additional volumes from the same lines of work, increases as a surge volume for that period. So that's exactly for example, if I'm doing, let's say member engagement work for a client, during open enrolment season, the same work they would want me to staff up, because they expect a lot more queries from members.

So the volume surge on existing lines of work, increases during open enrolment season. But the other drivers for growth, like I said, is getting additional lines of work from our existing clients as well as starting work with new clients. And those two drivers of growth will continue in the non - open enrolment periods as well.

Deekshant Boolchandani : Got it. Thank you so much for the clarity. Really appreciate it.

Ramesh Gopalan: Thank you.

Moderator: Thank you, Deekshant. We move to the last question from the line of Sushovan Nayak from Anand Rath . Your line has been unmuted.

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Sushovan Nayak : Thank you so much for the opportunity and a great set of results.

Congratulations. So, just one thing. I mean, obviously, one of the questions was the cost pressures on the customers, the Payers, which may increase outsourcing penetration, which you had mentioned. The other thing which I was just wondering is with the DOGE coming in, and there may be a lot of impact on the government department workers. Do you think that will accentuate the outsourcing penetration? Do you envisage that to happen, which will potentially benefit you from a tailwind standpoint?

Ramesh Gopalan: I don't know the indirect effect of that. But like I said, we don't directly work for government departments. So any efficiency that the DOGE is trying to create won't have a direct impact on us. But because if there are any flow down effects, because of any other regulatory changes like, we've discussed in earlier questions, that is something we have to wait and see.

Sushovan Nayak : Thank you so much.

Ramesh Gopalan: Thank you. That concludes our call today. Thank you, members of the management, on behalf of Sagility India Limited. We would like to conclude this webinar. Thank you for joining us, and you may now log off Zoom.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: May 2025

Sagility India Limited

(Formerly Sagility India Private Limited)

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Corporate Identity Number: L72900KA2021PLC150054

Tel. No.: 080 -71251500, Website: www.SagilityHealth.com

Date: May 21, 2025

To,

The Manager The Manager

Listing Department Listing Department

National Stock Exchange (NSE) Bombay Stock Exchange (BSE)

Exchange Plaza, 5th Floor Phiroze Jeejeebhoy Towers

Plot No. C/1, G -Block Dalal Street

Bandra-Kurla Complex Mumbai - 400 001

Bandra (E), Mumbai - 400 051 Scrip Code: 544282

Symbol: SAGILITY

Dear Sir/Ma'am,

Subject: Transcript of Investors Call held on May 15 , 2025

This is in continuation of the investors /analyst webinar held on May 15, 2025, for discussing the audited financial results of the Company for the period ended 31st March 2025.

Pursuant to Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, we attach herewith the transcript of the aforesaid webinar.

This information is also available on the Company's website <https://sagilityhealth.com/>

This is for your kind information and record .

Thanking You,

For Sagility India Limited

Satishkumar Sakharayapattana Seetharamaiah

Company Secretary & Compliance Officer

M. No. A16008

Encl: a/a

Sagility India Ltd .

Q4 & FY25 Earnings Webinar

Thursday, 15th May, 2025 at 8:30 AM

MANAGEMENT • Ramesh Gopalan - Managing Director & Group CEO

• Sarvabhouman Srinivasan - Group Chief Financial Officer

MODERATOR • Siddharth Rangnekar – CDR India

QUESTIONERS • Manik Taneja – Axis Capital

• Abhishek Kumar – JM Financial

• Rishi Jhunjhunwala – IIFL

• Bhavik Mehta – JP Morgan

• Pranay Roop Chatterjee – Burman Capital

• Ruchi Mukhija – ICICI Securities

• Sameer Dosani – ICICI Prudential AMC

• Atul Mehra – Motilal Oswal AMC

• Vishal Purohit – Investrix

Siddharth Rangnekar: Good morning , everyone , and welcome to the Q 4 & FY '25 Earnings Webinar of Sagility India Limited. This is Siddharth Rangnekar from CDR India, and I shall be your host for today.

As a reminder, all attendee lines will be in the listen -only mode and there shall be an opportunity for you to ask questions after the presentation concludes. Please note that this webinar is being recorded.

To introduce the management we have with us today, Mr. Ramesh Gopalan, Managing Director and Group CEO; Mr. Sarvabhouman Srinivasan, Group Chief Financial Officer .

Before we begin, I would like to state that some of the statements made on today's discussion may be forward -looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the Q4 & FY '25 results presentation that has been uploaded to the exchanges.

I would now like to hand over the forum to Mr. Ramesh Gopalan to begin the proceedings of this webinar. Over to you.

Ramesh Gopalan : Good morning everyone. Thank you for joining our Q4 and FY '25 Earnings Call. We are very pleased to report another very strong quarter led by growth across our clients. FY '25 concluded on a strong note, and our clients continue to offer us more opportunities, allowing us to win further share of wallet driven by operational excellence and strategic focus.

Our technology enabled services, which incorporate analytics, automation, and now increasingly, GenAI are helping us to continue to go deeper into our existing clients and at the same time, win new clients. In addition, our focus on mid -market payer clients, both through organic growth and further accelerated by the recent acquisition of Broad Path continues to widen our presence across the U.S. payer market. We are also very encouraged to see early signs of cross sell revenue synergy between Broad Path and the rest of the Sagility business.

As you know, this is our third earnings call, since our IPO and we had guided to mid to teen revenue growth, and a 24% plus EBITDA margins. And I'm very pleased to highlight that we've been able to consistently meet our stated growth and profitability expectations over the last three quarters.

I will now turn my attention to the financial highlights. We are pleased to share that Q4 FY '25 , we registered a strong year -on-year growth of 22.2% in rupee terms and 17.7% in constant currency terms. During Q4 FY '25 , revenues were \$181.8 million, and in INR terms ■15,685 million. During the quarter, our payer vertical grew 20.8% year -on-year and contributed 89.7% of the revenue mix. Our provider vertical grew at 36.9%, contributing 10.3% to the total revenues.

So switching from Q4 to the full -year FY '25, our revenues for the full -year stood at \$658.3 million, which is in INR terms ■ 55,699 million . This translates to a year -on-year growth of 17.2% in INR terms and 14.9% in constant currency.

Ramesh Gopalan: Switching to margins and operating profits, for the quarter, we delivered an adjusted EBITDA of \$46.8 million, which is ₹4042 million in INR terms, which is a year-on-year growth of 28.6%. This reflects an adjusted EBITDA of 25.8%. For the full FY '25, our adjusted EBITDA stood at \$173.6 million, which is ₹14,685 million in INR terms. This is a robust year-on-year growth of 28.4% in INR terms and an adjusted EBITDA margin of 26.4%. So for your information, our adjusted EBITDA does not include other income.

Our consolidated adjusted profit after tax for the quarter stood at ₹2,398 million, which is a year-on-year increase of 45.2%. The ongoing and continued reduction in our debt will continue to benefit our PAT margins. Our reported EPS for the fiscal year stood at ₹1.17 per share, which is a 119.3% increase from last year. Under adjusted EPS for the year stood at ₹1.76 per share, a 27.7% increase from last year.

Moving on to our employee count. We reported a total headcount of 39,409 at the end of the fiscal year. This accounts for additional 4,365 employees during the year. Our attrition stood at 27.5% in line with the number for the previous year. I'm also pleased to highlight a couple of accolades that we received from Everest Group during the quarter. Sagility was recognized as a major contender in the payment integrity solutions peak matrix assessment 2025 and a major contender in the health care payer Business Process as a Service or BPaaS.

Moving on to KPIs. For the year ended March 2025, we had 75 active clients. We onboarded 38 new clients, and 30 of those clients came through a Broad Path acquisition as we've mentioned in the previous call.

Before I hand it over to Srini, let me give you some color on the future. Like we've mentioned before, our growth strategy remains anchored in three pillars, deepening our wallet share with our existing clients, expanding into mid-market health plans, and selectively pursuing strategic acquisitions. The industry is facing a lot of headwinds in terms of cost pressures, evolving regulatory frameworks and policy changes. However, we see these as opportunities.

Health care payers and providers are increasingly seeking partners who can deliver scale, savings, and transformation, and Sagility is positioned well to deliver just that. Despite the economic uncertainties and unpredictability, our model remains resilient. Like I've told you before, we impact the operational business of our clients, and so we continue to remain strong. Like before, we continue to expect low- to mid-teens revenue growth in the

medium term, and we are also committed to delivering a steady-state margin.

Our strong cash flows, our healthy balance sheet, and our focused capital allocation have provided us the flexibility to invest for the long-term value creation, evident from the fully cash funded acquisition of Broad Path that we did earlier this year. I look forward to sharing more details through the course of this call, and I will address all of your questions.

Meanwhile, I'll turn it over to Srini, for getting into more details of our financial results. Over to you, Srini.

Sarvabhouman Srinivasan: Thank you, Ramesh. Firstly, welcome all to the March '25 earnings call. Like Ramesh mentioned, we had an exceptional quarter and a great year. Our financial performance has been consistent in the last few years, and we expect this to continue going forward as well.

Moving on to Slide 8. We have shown the financial highlights, revenue, EBITDA, profitability, all growing northwards and as we had projected. If you look at the OCF, I would want to bring your attention to the operating cash flows. The operating cash flow that we generated was about ₹12,141 million,

■1,214 crores for the financial year 2025 , which is almost 90% of our reported EBITDA.

I'll stay here for a minute for you to absorb numbers, then we can move on to Slide 9 . Next slide, please.

This slide gives you a good view and the impact of the seasonality in our business. Like we have always been saying, our H2 is more pronounced than the first half of the year, and we hire for seasonality in Q3 with headcount peaking in December and January and gradually reducing in March. We have shown both years FY '24 and '25. You will actually notice that, the headcount has in the operational account has reduced by 1,300 people from 39.6 to 38.3. But with the additional BroadPath, we are again back to 39,400 plus employees.

Moving on to Slides 10 and 11. Both these two slides, we are shown both long-term as well as short term, all metrics in green. We have provided the key financial metrics. Any specific questions on these two slides, I'll be responding to you in the Q&A session. I'll just pause here. Thank you. Next slide.

These are key financial indicators. You would notice that our earnings per share has been gradually improving. And on the return on capital employed, it continues to be very healthy at 54.9 %. It's largely driven by the robust operating performance, and our free cash flows stood at 80.5% of EBITDA, reflecting very strong cash generation like Ramesh mentioned. You will also notice that there has been a consistent reduction in the debt. And as of 31st

of March, our net debt plus the lease liabilities is only 0.68 x of our EBITDA. Again, the reported EPS is at 119% growth over previous year. That's what Ramesh also mentioned.

Yeah. Moving on to this slide, our organic revenues at ■54,943 million, which represents a 15.6% year-on-year growth, and our Q4 organic revenue at ■14,929 million , which is, 16.3% year-on-year and a 2.7% on a QoQ basis. Adjusted EBITDA margins excluding other income is lower than Q3, due to change in the revenue mix.

Like Ramesh mentioned, we had Broad Path acquisition that has come in , in this quarter and which is predominantly an onshore business. However, that business is doing well and comparable to our onshore business. Plus we also had salary hikes in this quarter , starting Jan. That's one of the reasons as to why the Q4 revenues have slightly lower EBITDA margins compared to the Q3.

Moving on to the next slide. Again, a quick snapshot of our revenue and the profitability. Like we have always mentioned, what's the difference between the reported EBITDA and adjusted EBITDA? We have some adjustments to the EBITDA as well as some adjustments to the PAT. The first one is on account of the earnouts under the acquisition agreements that were pertaining to DCI , Birch and Broad Path, which we had acquired. These pertain to the earn outs. Ideally, it should have been part of the purchase consideration, but these are routed through the P &L, and we have provided the details in subsequent slide.

The company, and these are non-recurring in nature. So that's one. When it comes to the adjustments to the PAT, there was a leveraged buyout, and we also had the amortization of intangibles. Sorry, I missed talking about the second adjustment in the EBITDA. It pertains to the share appreciation rights, that some of the senior employees of the company have got from the parent company S agility B.V. This is a non-cash expenditure for the company, and it is directly settled to the employees by the promoters.

So however it is from an accounting standard perspective routed through our P&L, and hence it does not impact our operating performance or cash. Like I had mentioned on the adjusted PAT, we have the amortization of intangibles,

which got created during the carve out from the sellers of this business. So this does not, this was a share purchase agreement and hence it is flowing through our balance sheet.

That's one of the reasons you will also see very high goodwill and intangibles in our balance sheet. Next slide, please. These are some of the go forward positions that we have shown. And, you will notice what's the repayment for loan, what are the potential cash position, share appreciation awards that will be routed through the P&L and the earnouts. Next slide, please.

Moving on to the balance sheet, very strong balance sheet. We have given notes. The goodwill and intangibles have increased due to the BroadPath acquisition. You also have intangibles, that is again due to the BroadPath acquisition. The DSOs, I would want to call out here, it has been a stellar performance, and the DSOs has significantly improved.

March '24, we had a DSO of 85 days. And this year, it stands at 79 days and this includes unbilled revenues for March. Overall cash flows, cash flows again healthy. Cash generated from operations stands at ₹12,141 million, free cash at ₹10,896 million and like Ramesh mentioned, all

the acquisition that we did with BroadPath, all have been paid from operationally generated cash, and we didn't have to borrow any money.

The debt that you would see on the balance sheet is to the promoter debt, which was also called out in the DRHP and that's the repayment that we have given the schedule.

That's it from me, I think. Open to questions?

Question -and-Answer Session

Moderator: Thank you, Srini. Participants who wish to ask a question, kindly click the raise hand icon at the bottom centre of your screen. We will wait for the question queue to assemble. The first question comes from the line of Manik Taneja from Axis Capital . Manik, your line has been unmuted.

Manik Taneja: Hi, thank you for the opportunity. So, Ramesh, I want to get your thoughts on two things. Number one, we've been hearing from a number of insurance companies in the U.S. about challenges in certain parts of their portfolio because of the changes at the government level and the policy level. So given your well entrenched in some of your top customers, do you envisage any near term challenges in your customer portfolio in the foreseeable future? That's question number one.

And the second question is with regards to this typical seasonality that we have in our business, how should we be thinking about, both near term revenue growth and margins in the backdrop of the typical seasonality of our revenue base?

Ramesh Gopalan: Okay. Thanks, Manik for the questions. Let me take the first question, like I mentioned in my opening speech, there is profitability pressure across the board. So especially if you look at the clients, who have a heavy exposure to Medicare business, Medicare Advantage business, you saw a couple of them reporting high utilization in calendar '24, which impacted their profitability significantly.

And those clients , just to add to that, those clients have consciously decided to exit the plans in certain unprofitable segments, because of which their

membership actually reduced during the open enrolment season that just concluded. So that was a very conscious choice, by those plans. Some of that impact is playing out as you would have noticed the recent announcement of results by United and so on.

So those profitability pressures on the Medicare business segment continue to exist. There are also pressures even in the commercial book of business for some of our clients. Having said that and I've said this before, our clients' profitability pressures and operational issues, in fact gives us an opportunity to partner with them to help them reduce cost further. So from that point of view, we don't see that directly impacting us in terms of opportunities for us to partner with our clients and deliver more work.

However, it's granted that, when our clients go through profitability pressures, they expect us as a service provider to help them reduce cost further. So there's always this pressure of trying to reduce more cost, asking for price reductions, looking for other opportunities to reduce cost for them. And so that pressure is always on us as a service provider and that's what this business is all about. How do you generate those efficiencies? How do you try and pass on those efficiencies to your clients, so that they can reduce their overall cost of work. But like I said, in terms of opportunities, we don't see that decreasing.

In fact, we are in active conversations not only with our existing clients but also with new clients. And we don't see any slowing down, of the deal pipeline because of the economic issues. In fact, I would probably say that those profitability pressures in fact, have increased the propensity for clients to work with service providers like us.

So that's I mean I can get into more details if you have specifics on that. The second question in terms of seasonality, that's something we've discussed

in the past also. In our business, H2 is more seasonal than H1 because most of the AEP or the open enrollment happens in Q3 and Q4.

We continue to staff up for Q3 and then we deliver on that towards the end of Q3 and the beginning of Q4. And so Q3 and Q4 will be much higher than Q1 and Q2. So typically, when we talk to analysts and investors, we ask them to look at year-on-year growth more than a Q-on-Q growth. And, if you have to look at sequential, then look at more in terms of halves, first half versus second half.

Because the difference between Q1 and Q2 and sometimes Q3 and Q4 could be positive, there could be an increase or a decrease. But essentially, H2 will be higher than H1. And all of these quarters on a year-on-year basis will give you a better visibility of our growth. And like I said we still continue to maintain our low to mid-teens growth on an year-on-year basis.

Manik Taneja: Just to clarify, with the BroadPath acquisition, does that seasonality increase if you could talk about the revenue patterns for BroadPath?

Ramesh Gopalan: Yes. BroadPath, the seasonality will increase in fact because BroadPath is, I wouldn't say a large part but a reasonable part of the business is in new member acquisition. So they help clients acquire new members during the open enrollment season. And so their Q3 revenues are substantially higher than any of the other quarters. And so that will add to our seasonality. So we expect to see a slightly more pronounced H2 this year.

Manik Taneja: Sure. Thank you all the best for the future.

Ramesh Gopalan: Thanks, Manik.

Moderator: Thank you, Manik. We have the next question from Abhishek Kumar of JM Financial. Abhishek, your line has been unmuted.

Abhishek Kumar: Yeah. Hi, good morning. I have a couple of questions first, on this Medicare Advantage. Obviously, there's a lot of noise, and looks like I mean there are a certain section of the Street that believes it is specifically United because they have been little more aggressive in expanding in that space.

Just from your perspective, your clientele, especially the top three, do you see them already asking for some price reduction? And also, if we were to look at the growth for this quarter, can you break that down between volume growth and pricing growth, especially the organic growth? Just for us to get some sense of any impending pressure on pricing?

Ramesh Gopalan: So let me give you the broad response, and then we'll get into specifics. So like I mentioned to Manik's question, Abhishek, this Medicare Advantage, utilisation rate has been playing out at different times for different payers. We've seen a couple of our payer clients go through the same pressures last year? And like I said, they have consciously decided to exit certain unprofitable segments.

And so their membership actually reduced, marginally in the Medicare segment over the last AEP. And so to your question, price reductions is not a new thing. So even in good times, people want a constant decrease in the cost of delivery. But when clients are under profitability pressures, that ask just increases. On the other hand, a lot of times these price reductions are not just outright price reductions without giving us an opportunity to do some transformation.

So we also get the opportunity to introduce technology, to introduce automation and through that take out some of the cost. So most, a large part of the price reductions that we give our clients do not directly flow to our bottom line because like I said we are able to generate those efficiencies in our operations. To your specific question of volume growth versus price

growth this quarter. Look, across the SOWs, we have multiple price points. So I don't know, Srini, if you have specific numbers.

But I would say substantial growth is volume growth. By volumes I mean volumes in the existing SOWs

and volumes because of addition of new SOWs. And so Srini, there'll be no price increases.

Sarvabhouman Srinivasan: There'll be no increases .

Ramesh Gopalan: We don't get price increases, but I wouldn't attribute any price decreases also in Q4, Srini.

Sarvabhouman Srinivasan: No, there has been no price change, I would say. In fact, when it comes for renewal, there is always pressure on to reduce the prices. There has been no price increases.

Abhishek Kumar: Understood. Maybe one more question on regulation, then I have one on margin. The other thing that, the Trump administration is trying is to put pressure on the pharma companies. Do we have any second order impact of that on the claim amount , and therefore our realisation with our clients?

Ramesh Gopalan: Yeah. That's a good question, Abhishek. So it's still to play out. So we do work with, a few PBMs. What is the direct impact on that, and how much of that is going to be passed on to consumers, or how much is going to come out of the margins? Those are yet to be seen. We haven't seen any impact. And like I said, mostly the pricing decisions don't really have a direct translation into the work that we do for our clients , because as I've always said, we do core operational work for our clients, and that continues.

But, obviously, like we just discussed on the Medicare plans, if there are pricing pressures that translates to further pressures on service providers like us. But in terms of volume of business transacted and the work that we do for them, we don't see a big impact on that.

Abhishek Kumar: Okay. One last question on margins. Srini, if you can break down the decrease in margin sequentially this quarter between what has come through BroadPath consolidation and what has been led by the wage hike. Thank you.

Ramesh Gopalan: Yeah. So I'll give you some broad numbers. S rini, you can add to that , right? So let's talk on the adjusted EBITDA margins because the difference between the reported EBITDA and adjusted EBITDA is two things. One is other income, and other income itself had almost 2.4 % reduction between Q3 and Q4. If you look at the adjusted EBITDA, that was lower by 2.6%, of which the impact of Broad Path was roughly about 110 basis points. And I've said this, at the time of Broad Path acquisition. For the full -year also, we expect Broad Path acquisition to be dilutive of EBITDA margins by almost 120 to 150 basis points, at least for the next fiscal.

And as we improve, as some of the synergies play out and we reduce some of the SG &A, that impact will reduce in the future years. So out of the 260 basis points, about a 110 basis points is because of Broad Path. And the salary increase net of the headcount reduction is about 60 to 70 basis points. And the balance 80 to 90 basis points is basically the Forex loss, which has been classified under other expenses that's because of the balance sheet restatement. And that's predominantly in the Philippines.

Abhishek Kumar: Philippines. Okay. Thank you so much, and all the best.

Moderator: Thank you, Abhishek. Participants who wish to ask a question, kindly click the raise hand icon at the bottom centre of your screen. We take the next question from the line of Rishi Jhunjhunwala of IIFL . Rishi, your line has been unmuted.

Rishi Jhunjhunwala: Yes. Thanks for the opportunity. Just a couple of questions. So first is, our top three clients this year have grown double -digit. And we know how large these clients are and how deeply we are entrenched in them. And despite that, we have been able to register double -digit growth. So just wanted to understand the incremental nature of work that is coming from these clients given that even at a \$140 million and \$ 150 million odd kind of revenue base for each of them. One would assume that or the common concern is that they will start saturating and

may not grow. So just wanted to get some colour on the nature of what we are doing in those clients ?

Ramesh Gopalan: Thanks for the question, Rishi. So we've answered those questions in the past also. Like we said, while we are being with some of these clients for 20 plus years, there are still opportunities for increasing our penetration with these clients. There are some parts of the business that they either haven't outsourced at all or the penetration has been very low. And we continue to find those opportunities. In some cases, it could be in the clinical, and it's not the same for all clients . So in some cases, we're penetrating more on the clinical side. In some cases, there are parts of the business segments that we've not been exposed to before, that we're getting exposed to. And in some cases, the volumes in the existing line of work is just increasing.

And like I've mentioned to many of you before, in spite of having one or two or even three partners, some of these clients in the past have tended to keep some work in -house. And with mounting cost pressures and profitability pressures, our clients have started releasing some of those additional volumes also to us.

So it could be additional volumes coming from the same line of business that we've been doing for them in the past. And that is some part of it, but the majority is getting to new service areas where clients have traditionally tended not to work with service providers like us. And we continue to find those opportunities.

And in the broader sense, again, going back to the points that we discussed in the past. When most of our clients are under profitability pressures, it makes it more pertinent for them to look for additional opportunities to take out cost. And so working with someone like us, makes it possible . So from that point of view, some of these opportunities have increased as we speak.

But coming back to the top three versus others, well, the top three have grown in double -digits. The rest of the clients have grown even faster than that. So we continue to add to the new clients and some of the non -top three are growing at 15% , 20% plus. And with the addition of BroadPath, that's just diversified our client base even more. And as we continue to execute on the cross sell to BroadPath clients, we expect a larger percentage of growth to come from the non -top three as well.

Rishi Jhunjhunwala: Understood. So it would be fair to assume that the current growth momentum should continue over the next 12 months also, and there is no particular macro reasons because of which there could be a dent on that.

Ramesh Gopalan: No. On the growth, we continue to maintain the low - to mid -teens, predictions that we've given. And at least at this point in time, we don't see any reason for that to be under pressure.

Rishi Jhunjhunwala: Understood. And just on the margins. So this year, we have executed pretty well on adjusted EBITDA. There has been almost, like a 200 plus basis points of expansion, and we ended at like 26.4. We have talked about being in the range of 24 to 25 basis points on a sustainable basis. So how do we look at the fiscal '25 margins versus how it might play out over the next two years? Do you intend to utilize the incremental margins for some of the productivity benefits you want to pass on to the customers or gain more business? Or do you think that we can actually through better execution, reset our margin band higher than '24 to '25?

Ramesh Gopalan: No. At least for the next 12 months, we are guiding to similar '24 to '25 numbers, which is where we want our at least the short term, steady state to be. Like I said, in some quarters, it could be marginally up, in some quarters, it could be marginally down. And because of the seasonality of the business, we hire in one quarter, they deliver in the other quarter. So you could

see some differences play out in terms of the margin, but the steady state will be around the 24 % to 25%.

There is a little bit of dilution because of the BroadPath acquisition. Like I said, 120 to 150 bps dilution, we expect in the margins from those steady state numbers. But that's broadly where we want to guide, at least for the next 12 months. Because we want to continue to invest in our technology and the client facing teams , because the opportunity to take out cost is very important, like I said.

As the clients are going through profitability pressures, the ask to reduce cost is increasing. And the only way to do that while protecting our margins is to be able to use technology. And for that, we need to invest and continue to build on our capabilities.

Rishi Jhunjhunwala: Great. Thank you so much, and all the best for next year.

Ramesh Gopalan: Thank you, Rishi.

Moderator: Thank you, Rishi. We take the next question from the line of Bhavik Mehta from JP Morgan . Bhavik your line has been unmuted. Please go ahead.

Bhavik Mehta: Thank you. Just one question. Can you talk about what been the pace of deal closure and deal ramp -up over the last few months? Because at least for the broader IT companies, we have been hearing about a lot of delays coming through because of the uncertain macro. But just curious to know, what been the trend for Sagility?

Ramesh Gopalan: Srini, correct me if I'm wrong. I think we've added about eight new clients for the year. I think two or three of them were added in the last quarter. And as we speak today, in this quarter, again, we are our deal pipeline continues to be strong. We are in active conversations, and in the final stages with at least

three additional clients. So like I said in the beginning, we don't see the impact on the pipeline or the deal closures, because of the nature of our business. Since we continue to impact their core operations, clients who are under profitability pressures, want to take advantage of the work that we do. And so we don't see any slowdown to our deal pipeline.

Bhavik Mehta: Okay. Thank you.

Moderator: Thank you. We take the next question from the line of Pranay Roop Chatterjee from Burman Capital . Pranay, your line has been unmuted. Please go ahead.

Pranay Roop Chatterjee: Hi. So my question on the regulatory has been answered and well covered. So I'll just move on from that. Your revenue guidance was low - to mid -teens. I just had a couple of questions on that statement. Is that in INR terms or constant currency?

Ramesh Gopalan: Yeah. That's a good thing. All of our guidance is in constant currency. So the low- to mid -teens is in constant currency, and that's organic growth. And as you know, we acquired Broad Path towards the end of January. So we just had two months of revenue of Broad Path last year. And so that'll play out for the full -year in FY '26. So if you include, Broad Path on top of that, our constant currency total growth is likely to be upwards of 20% for FY '26.

Pranay Roop Chatterjee: That is clear. Got it. When you guide incrementally on an organic basis, low - to mid -teen, even beyond, let's say FY '26 . Do you include inorganic growth

in that as well, or you feel that technically you can do a low- to mid -teen growth ?

Ramesh Gopalan: No. We are not including any inorganic that we do from here on, we are not including in that guidance. But like I mentioned, post of Broad Path acquisition . See Broad Path was a unique acquisition for us because, it was not as much about capabilities as about giving us access to the mid and small clients. And like I said, we had 30 plus new clients added to our portfolio . Thanks to the Broad Path acquisition. So going forward, I'm not saying, we won't do that, but it's more likely to be capability focused acquisitions. And so even if we do those, they may not

add too much to the revenue.

But to specifically answer your question, we are not including inorganic revenue in our guidance.

Pranay Roop Chatterjee: Perfect. Quick clarification on your margin guidance. You just mentioned, 24% to 25% on adjusted EBITDA levels. I presume the Broad Path dilutive impact would be on top of that for FY '26.

Ramesh Gopalan: Yes.

Pranay Roop Chatterjee: Perfect. Good. To end my discussion, I just wanted to speak a bit about the AI impact on your business. This has been asked multiple times previously as well. So I thought, maybe why not be a bit more specific and address certain nuances. So your business, you offer a wide suite of products. So if I were to focus on areas which were more prone to conversion to an AI product or, let's say automate .

For example, where you have deployed employees to basically receive, make phone calls, be a liaison between insurance company and the end customers. And you also made the acquisition, which is exactly in this field , recently, which is AI product to deal with this. When such a product comes in, how does that affect your overall revenue per unit work done, if I were to put it that way? Or let's say per conversation that you're having. When you deploy an employee to do it, you get a certain revenue, but when you have automated, you get a certain revenue. And I would presume automated, it's lower.

Ramesh Gopalan: Yeah. So let me answer it in a generic sense. So be it back office or be it front office, today, our billing models could be either based on FTEs that clients ask us to deploy to handle those volumes, or it could be per transaction. So GenAI, AI could have multiple impacts. The largest impact is additional productivity or reduction of effort. And so depending on the business model, we could have multiple ways of monetizing that. When we do AI work for client, essentially, the productivity improves, like I said, the effort reduces. And so if it's a transaction rate, all of the gains, accrue to us.

But obviously, when we start this journey, there's an explicit understanding with the client that some benefits of those would be passed on. So those benefits could be passed on to the client by a reduction in the transaction rate and how much we reduce the transaction rate to what efficiencies we generate determines what part of the gains accrued to us versus are passed back to the client.

In an FTE case, it's not as straightforward, but then again, we get into to gain share agreements. Most of the AI work since it improves that efficiency, you still can work on a transaction basis. But whereas if you automate something completely, then we could have a different model. For example, a transaction handled by a human could be, X dollars, whereas a transaction handled completely by a bot could be Y dollars, which is 20% of what a human handles.

So there are different ways of pricing and monetizing that. But largely, to answer your question, any impact of AI will have a revenue cannibalization impact.

Pranay Roop Chatterjee: That is perfectly logical, and in line with what I understood. Would that, is it too early to comment on what impacts such a conversion? It could be 10% of your business, 80% of your business, no one knows, in 10 years' time.

Ramesh Gopalan: Yeah, look it varies by SOWs and it varies depending on the maturity curve of different clients, how much they actually want us to do at this point in time and so on. Like I've mentioned to many people in our meetings before, the cannibalization impact that we see currently is in the range of about 1.5% to 2%. So which is already kind of factored into the guidance that we're giving. So when I say, mid to teen, low to mid growth, that is net of this revenue cannibalization.

We predict that in over the next two, three years that, 1.5% to 2% could go as 4% to 5%. But again, that's our pr

ediction over the next two to three years.

But we'll have to wait and see how clients adopt and how much of these pilots actually become full scale implementations.

Pranay Roop Chatterjee: And does this conversion affect your margins in any way? Is it too early to comment on that?

Ramesh Gopalan: Like I said, there are different levers to continue to protect the margins? Pricing of all of these, AI. I gave you a few examples if it's transaction or if it's FTE or if it's complete automation and so on. So broadly, the attempt is to try and stay margin neutral. The attempt of all of these implementations is to pass on a large benefit to the client. So that's the underlying thesis. So a large part of the benefit will accrue to our clients, whereas we will try to cover the cost of our implementation and broadly keep our margins neutral through the process.

Pranay Roop Chatterjee: Got it. And my last question, quickly, this can be a yes or no answer. At your client level, I understand, they are facing cost pressure and trying to outsource more. But exactly because of this, do you see at a client level, them trying to figure out ways to automate some of their core administrative processes in house? In any client, do you see some of these starting?

Ramesh Gopalan: Look. I mean, obviously the aim to automate, reduce manual labour is not new now? So that's been the attempt all along. With the availability of new technologies, the pace just goes up, so obviously, and some of these automation journeys can take a very long time. So if a client wants an immediate reduction to their current cost, working with a service provider like us gives them that immediate impact.

And then whatever automation can be done by us, by them, that plays out over a slightly more medium term. So I don't think any of this is new. Even in the past when clients gave us work, there were still attempts to improve productivity to increase automation. And that will continue to be the case in the future as well.

Pranay Roop Chatterjee: Thank you for answering my questions, I wish you all the best. You have executed pretty well this year.

Ramesh Gopalan: Thank you. Thank you, Pranay.

Moderator: Thank you, Pranay. Participants who wish to ask a question, kindly click the raise hand icon at the bottom centre of your screen. We move to the next participant. The question comes from the line of Ruchi Mukhija from ICICI Securities. Your line has been unmuted. Ruchi, your line has been unmuted. Perhaps you're on mute.

Ruchi Mukhija: Thank you for the opportunity. Ramesh, you did mention that, you started to see some synergy benefit from BroadPath. Could you elaborate more, what kind of success we have on synergies?

Ramesh Gopalan: So Ruchi, like we mentioned at the time of acquisition, the synergies broadly were of two kinds? One is on the cost side. They have a sizable operation in the U.S. We also have a sizable operation in the U.S. Some of the SG&A could at some point in time be consolidated and we could see some synergy benefits from those. Second is all of the vendor contracts. So overall, they were a smaller company than us. And so some of the synergies in software licenses and all of those cost could also play out.

So those are things that are happening as we speak. So we are trying to consolidate some vendors. We're trying to look at our SG&A positions. And so that will play out during this year. The biggest synergy the reason for the acquisition was more on the client side synergies. Like, we mentioned, they have 30 plus clients, most of them in the mid-market and smaller space. And their service portfolio was rather limited compared to the broad service

portfolio that we have. That's the synergies where we are starting to see some impact. It's still early days.

It's just been three months since the acquisition. But we've already had interesting

conversations with over 10 of their clients in areas, where Sagility could add value, which BroadPath didn't have the capability in the past. They are yet to convert into contracts and so on. But the early conversations are very encouraging and we hope that during the course of the year, we'll be able to convert some of those into specific contracts.

Ruchi Mukhija: Understood. You did mention that, this year as a part of your growth, along with the wallet share green, the M&A would be a key area. So do you envisage a very active M&A activity in FY '26 or we would focus more on integration of BroadPath before moving on to the next?

Ramesh Gopalan: Yes. The integration of BroadPath is very critical to us because it was a sizable acquisition from a client's and people point of view. But we continue to look at other acquisitions as well. So, there's nothing impending that I can talk about. But like I said, other than expansion into additional clients, our focus continues to remain building our capabilities in the different areas where we service today.

And so those capability focus, acquisitions is something that we'll continue to target. Yeah. How many, when, is still too early to comment on. But we are still active in the M&A space.

Ruchi Mukhija: Yeah, the last one, you did mention that technology investments are very critical for margin resilience. Could you talk about for FY '26, what kind of areas are we prioritising to invest?

Ramesh Gopalan: Look. AI, GenAI is an area that continues to be a big focus area for us. Like I've mentioned in the past, we've worked on several use cases. We are piloting, many of them with our existing clients. And depending on how they progress, they'll be good candidates to take to new clients as well. So that's an area we continue to work on.

We're also working on healthcare specific solutions. So we've invested in a number of those solutions solving specific problems in the healthcare space, which are common across clients. And so that's in the area of utilisation management, provider data management, and so on. And so we continue to invest in those healthcare specific solutions as well. So those are the two broad areas that we'll continue to invest in.

Ruchi Mukhija: Thank you, and all the best.

Ramesh Gopalan: Thank you, Ruchi.

Moderator: Thank you, Ruchi. We take the next question from the line of Sameer Dosani from ICICI Prudential AMC. Sameer, your line has been unmuted.

Sameer Dosani: Yeah. Thanks for the opportunity. How to think about, dividend policy by generating a good amount of cash flow right now? So how to think about dividends from here on?

Ramesh Gopalan: Srini, you want to take that?

Saravabhouman Srinivasan: Yeah, Sameer, as you had noticed that we had spent significant cash that we generated last year in acquiring BroadPath. And even as on the balance sheet date, we have a healthy cash. So, we have also given you the repayment schedule for our term loan. That has been agreed. So the payment of term loans and other financial commitments that we have already made, post which definitely we are likely to come with a policy, but it's too early, I would say. Probably in the next couple of quarters, we will decide and we might come out with a dividend policy.

Sameer Dosani: Apart from the ₹820 crore debt we have to pay to the parent, we don't have any other obligation. We don't have a different consideration of any...

Saravabhouman Srinivasan: Yeah. We don't have any other obligation. Yeah. And that's the only obligation, and that is a structured, we are not paying everything in this year itself. So there is a structured payout, so we will follow exactly that.

Sameer Dosani: And the other thing is this 24% to 25% adjusted EBITDA margin, this is net of dilution from BroadPath at least.

Ramesh Gopalan: No. This is before dilution of BroadPath, which is another 120 bps.

Sameer Dosani: Okay. So one should think margin would be around 23%, 24% by considering that addition.

Ramesh Gopalan: Yes.

Sameer Dosani: Okay. And over time, we can recover this is what we mentioned in BroadPath.

Ramesh Gopalan: Yes.

Sameer Dosani: Okay, got it. Thanks for the clarification.

Ramesh Gopalan: Thank you, Sameer.

Moderator: Thank you, Sameer. We take the next question from the line of Atul Mehra from Motilal Oswal Asset Management. Atul, your line has been unmuted. Please go ahead.

Atul Mehra: Yeah. Hi, good morning, and congratulations on very strong performance. My question is given how the landscape is likely evolving in U.S. healthcare with Trump administration and so on, do you see that like the opportunities for M&A could be very interesting and could be perhaps sizable also in some other cases. Given that in a dynamic kind of environment, you will always see in terms of something, which is available in distress or whatever. So anything that comes to mind or in your radar on that particular sense?

Ramesh Gopalan: Interesting, Atul. So look. I mean, I've told you the kind of acquisitions that are a good fit for us. So these are more either technology capability or services capability catering to payers and providers. So yeah, we are on the lookout. To your question, are we seeing a lot of deals out there under distress? Not yet. We are not seeing any of those. But yeah, I mean we also want to make sure that the quality of clients, the quality of relationships, and the profitability are solid before we decide on an acquisition.

Like I said, we are active. We are looking at all deals that come to the table. And so if there's a good opportunity at a reasonable valuation, we'll definitely do that. But I mean, at this point in time, we are not seeing too many of those.

Atul Mehra: Got it. Got it. And secondly, I have a question for Srini. So Srini, while you have spoken about the debt repayment schedule, is there a provision to prepay it in advance, or are there any in terms of cost implications around the early prepayment?

Sarvabhouman Srinivasan: No. Actually, these are external commercial borrowings routed through, and we have an average repayment period to satisfy through the RBI. So, unfortunately, we do not have a prepayment option. So it is just for the next couple of years. And then, so we even we want to pay it off quickly, but we have to hold an average repayment period.

Ramesh Gopalan: So in the next two years, broadly, we should be fully committed.

Sarvabhouman Srinivasan: We should be done with it. Yeah.

Atul Mehra: Yeah. All right. Thank you. Thank you very much, and wish you all the best. Thank you.

Ramesh Gopalan: Thank you, Atul.

Moderator: Thank you, Atul. We take the next question from the line of Vishal Purohit from INVESTRIX. Vishal, your line has been unmuted. Vishal, you can go ahead. Your line has been unmuted. Vishal, perhaps you are on. Yes, please go ahead.

Vishal Purohit: Yeah. Thank you so much for giving me the opportunity. My question is related to the earlier two questions of the debt in your books and the

repayment schedules. And how do you plan to fund this? Is the cash flow sufficient or you would look for other opportunities to fund this?

Sarvabhouman Srinivasan : Vishal, you would have noticed the cash that we generate every year. So, we will be paying these debt repayments through operationally generated cash. We will not borrow to repay these debts.

Vishal Purohit: A scenario, if I can ask the question, do we see some promoter level selling or OFS kind of scenario to just to repay the debt?

Ramesh Gopalan: No, the debt is on the operating company, it's a promoter debt. So the company has to pay the debt.

Vishal Purohit: Okay. All right. So you don't see any kind of equity funding, taking plac

e to
fund just to fund that in the short term?

Ramesh Gopalan: No.

Vishal Purohit: Thank you so much.

Moderator : Thank you, Vishal. That was the last question for the day. Thank you, members of the management. On behalf of Sagility India Limited, that concludes our webinar for the day and you may log off the event.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Aug 2025

Sagility India Limited

(Formerly Sagility India Private Limited)

Registered Office - No. 23 & 24, AMR Tech Park, Building 2A, First Floor Hongasandara Village, Off Hosur Road, Bommanahalli, Bengaluru – 560068, Karnataka, India

Corporate Identification Number: L72900KA2021PLC150054

Tel. No.: 080 -71251500, Website: www.sagilityhealth.com

Date: August 05, 2025

To,

The Manager The Manager

Listing Department Listing Department

National Stock Exchange (NSE) Bombay Stock Exchange (BSE)

Exchange Plaza, 5th Floor Phiroze Jeejeebhoy Towers

Plot No. C/1, G -Block Dalal Street

Bandra -Kurla Complex Mumbai - 400 001

Bandra (E), Mumbai - 400 051 Scrip Code: 544282

Symbol: SAGILITY

Dear Sir/Ma'am,

Subject: Transcript of Investors Call held on July 30, 2025

This is in continuation of the investors /analyst webinar held on July 30, 2025, for discussing the unaudited financial results of the Company for the quarter ended June 30, 2025.

Pursuant to Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, we attach herewith the transcript of the aforesaid webinar.

This information is also available on the Company's website <https://sagilityhealth.com/>

This is for your kind information and record .

Thanking You,

For Sagility India Limited

Satishkumar Sakharayapattana Seetharamaiah

Company Secretary & Compliance Officer

M. No. A16008

Encl: a/a

Sagility India Ltd .

Q1 FY26 Earnings Webinar

Wednesday , 30th July, 2025 at 7:30 PM

MANAGEMENT • Ramesh Gopalan - Managing Director & Group CEO

• Sarvabhousman Srinivasan - Group Chief Financial Officer

MODERATOR • Siddharth Rangnekar – CDR India

QUESTIONERS • Abhishek Kumar - JM Financial

• Manik Taneja - Axis Capital

• Rishi Jhunjhunwala - IIFL Capital

• Ruchi Mukhija - ICICI Securities

• Bhavik Mehta - JPMorgan

• Chirag Kachhadiya - Ashika Stock Broking

• Mohit Motwani - Tara Capital

• Fawaaz Sheriff - White Whale Capital

• Harshit Sachdeva - Columbus Capital

• Seema Nayak - ICICI Securities

• Raj Vyas - TM Investment Technologies

Siddharth Rangnekar: Good evening, everyone, and welcome to the quarter one FY '26 Earnings Webinar of Sagility India Limited. This is Siddharth Rangnekar from CDR India, and I shall be your host for today. As a reminder, all attendee lines will be in the listen-only mode, and there shall be an opportunity for you to ask questions after the presentation concludes. Please note that this webinar is being recorded.

To introduce the management, we have with us today, Mr. Ramesh Gopalan, Managing Director and Group CEO; and Mr. Sarvabhousman Srinivasan, Group Chief Financial Officer.

Before we begin, I would like to state that some of the statements made on today's discussion could be forward-looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the quarter one, FY '26 results presentation that has been uploaded to the exchanges.

I would now like to hand over the forum to Mr. Ramesh Gopalan to begin the proceedings of this webinar. Over to you.

Ramesh Gopalan: Thank you. Good evening, everyone, and thank you for joining us today. We've entered FY '26 with continued momentum in our operations. The performance this quarter reflects a differentiated position as a health care focus solutions and service provider across both our payer and provider businesses. This momentum is broad-based across different client relationships and service lines.

Let me give you a sense of the environment under which we are operating. Our payer and provider clients continue to navigate heightened cost pressures as they contend with regulatory evolution policy changes. In addition, resource shortages and new compliance and administrative requirements that these policy changes necessitate add to their challenges. Against this backdrop, Sagility is well positioned as a partner in bringing about better efficiency in their health care operations.

As you're aware, we operate in the non-discretionary services space, supporting clients in their core operations. Over the past 25 years or so, we've built our business around healthcare domain expertise. And over time, increasingly incorporating technology be it analytics, automation, and now AI, in order to manage a range of processes for our clients. This has helped us win and retain clients over decades.

I want to specifically talk about two clients today. Both of whom have reached milestones in the last few months. The first one is our oldest payer. We just

completed 25 years with them. What started as a journey in operational excellence has now matured into a very collaborative innovation led engagement where we jointly work on the future state of some of the core health care services.

The other client, is a decades old client. We just celebrated the 10 year partnership with them. They are a technology and services provider to workers' compensation insurance. While we started providing basic transactional support 10 years ago, today we used all of our transformation capabilities not only to reduce cost of operations, but we've also jointly introduced newer services to their insurance clients. These are of course just two examples and have many more such examples.

But essentially, we are very proud to have a very strong and enduring relationship with our clients. Built on trust and performance over the years. So that when they need a partner in their evolution, in the transformation journey, they look at us as a partner who can help us get there.

So with that, let me quickly jump into the financials for this quarter. Q1 FY '26 began on a very strong note with consolidated revenues of ₹15,389 million or approximately \$180.4 million. Reflecting a year-on-year growth of 25.8% in INR terms and 23.1% in constant currency. So this is, of course, inclusive of BroadPath. So if you just look at the organic numbers, that those numbers were also strong regis

tering 17.9% in INR terms and 15.4% in constant currency.

And if you look at the growth itself, it was pretty broad based with both our payer and provider businesses contributing. The pay vertical grew 24.7% year-on-year accounting for 88.4% of our total revenue mix. And the provider vertical delivered another strong performance expanding 34.5% year-on-year and contributing 11.6% to overall revenues. On the profitability front, we delivered an adjusted EBITDA of ₹3,687 million or \$43.2 million representing an year-on-year increase of 26.5%. This translates to an adjusted EBITDA margin of 24%, underscoring the impact of our focus cost management and delivery efficiencies.

It's important to note that our adjusted EBITDA excludes other income and forex gains. Net profitability also stayed strong. Our adjusted profit after tax for the quarter stood at ₹1,997 million. A solid 38% increase year-on-year supported by strong operating margins and declining finance cost. The

continued optimisation of a capital structure and disciplined execution is directly benefiting our bottom line. Srini will cover more about this in his section.

So now let me switch over to new wins. As of June 30, 2025 we have 77 active clients. And during the quarter, we won new business from 18 of our existing clients. That's almost 25% of our client base through a mix of expansions and new SOWs. And we also on boarded four new clients. The total potential annual contract value won from both new and existing clients stands at approximately \$32 million.

Amongst these, four new clients, one is a \$12 billion regional Blues plan. Another is a \$5 billion health system specialising in cancer, diabetes, and other life threatening illnesses. A third is a pharmacy benefit manager, and fourth is a technology TPA firm that owns a proprietary claims platform.

From the existing clients, some of the notable wins are, we are setting up a GCC for a client on a BOT model. So this is for work, that they don't do with us on an outsourced basis. We've also been engaged to do consulting for a client's claims operations. We're optimising not only their operations, but we're also helping them optimise their claims platform performance.

We also have multiple other opportunities like I said, it's broad based across the different service verticals like claims, payment integrity, clinical, RCM,

and other administrative processes. In parallel, several cross sell discussions are in progress with BroadPath. We've already submitted four proposals, and we've also won one cross sell opportunity. This is for a very large national payer who is currently a BroadPath client.

Finally, cost pressures that most of our clients is opening up additional opportunities for us. Clients are increasingly interested in proposals that are very bold in terms of cost takeout opportunities. And in wanting us to take out cost, they're giving us more opportunities to help us transform their operations. So these are likely to be larger deals going forward.

In terms of workforce, we close the quarter with the head count of 39,917 employees. This consists of operation specialists, clinicians, and technologists across five countries with deep domain understanding and continually engaged in helping creating beneficial outcomes for our clients. Annualised attrition was stable at 26.6% in line with the trend that we saw last year.

We also remain committed to building a future ready health care workforce with a sharp focus on engagement, capability, and retention. Employee engagement remains a critical pillar of our operating ethos, especially as we scale globally. Our investments in training, particularly within technology and health care domain, flexible delivery models, and remote engagement platforms are ensuring that we retain and grow the right talent pool.

I'd also like to talk to you about a couple of recognitions in the marketplace.

One comes from Avasant who was a key industry analyst in our sector. Sagility was named both as a leader in the health care payer business transformation as well as in the clinical and care management business transformation 2025. We also won the most preferred workplace FY '26 award by Marksmen Daily. So these are the KPI slides. I won't read out each of the numbers. I'll just pause for a couple of seconds for you to take a look at.

So this is the slide I want to spend a little bit of time. Over the last few months, many of you have asked us, what the changes in the environment mean to our business. And so today we wanted to take this opportunity to talk about some of the broad changes happening, in the health care environment in the U.S. and the impact, it has directly not only on our clients, but also on our business.

So first, let's talk about the one big beautiful bill. This has significant changes, especially, in the Medicaid area, right. So we believe that there is likely to be reduction in the Medicaid membership and the funding cuts are expected to impact Medicaid businesses both in terms of revenue and margins. Providers also will face challenges because of the reduction in patient volumes and a rise in uncompensated care. However, our exposure to the Medicaid business is very low. It's in the mid-single digits, which means we don't anticipate too much of an impact because of the drop in memberships. And these drop in memberships are likely to play out over the next several years.

Like, I've always mentioned before, some of these pressures on revenues and margins will also force our clients to look at more ways of optimising on the cost front. And that'll in turn increase the outsourcing by payers and providers to manage their cost.

The next topic is the Medicare utilisation rates. This is something that we spoke about last year. In CY '24, this played out in a number of our large clients. But it also continues to play out to some extent in CY '25 too. This again will strain payer margins. Even though CMS has announced a 5.03% increase in Medicare Advantage payments for CY '26. But again this also

represents an opportunity for us, as our clients look to improve efficiencies and lower cost of operations, we are well positioned to partner with them in this journey. We also think this will give us strong tailwinds for higher

outsourcing in the clinical area which we've spoken to you in the past.

Third is, tariffs. This is being mentioned over the last few months. However, the impact while there is going to be an impact to providers because of increased cost of imported medical equipment and pharmaceuticals. It's unlikely to have any direct impact on the work that we do for our clients. So we don't see tariffs as something that impacts our business.

Lastly is the growing adoption of generative and agentic AI. This also has been something that we've spoken to you in the past. We are witnessing a growing adoption of these technologies. However, the adoption has been gradual, but it's becoming increasingly clear that process exposure and domain expertise are the key differentiators to help drive meaningful business outcomes.

We've always said that our deep health care expertise and our continued investment in building new AI use cases accelerated with acquisition of BirchAI in 2024 directly impacts the operational work that we do for clients. And it positions us to be the one stop partner of choice when they look at options to transform their operations to deliver better business outcomes.

So with that, what we also thought we will do is, take this opportunity to talk to you a little more about the use cases in AI that we've been building. So currently, we've deployed about 18 AI -based use cases for eight of our existing clients. We're also working on 15 additional use cases that are directly relevant to the work th

at we do for clients. And like I've mentioned to you in the past, all of our AI use cases are very relevant to the operational work that we do for our clients. And we in fact implement them in the operations, that operational work that we do for our clients. Some examples, Nurse Assist, this is AI -based clinical reviews. This enables automated understanding and application of medical necessity guidelines across unstructured medical records.

We've also built, an Appeals Assist both for payers and the providers. For payers, it's an AI driven real time decision support system. It not only classifies appeals, it extracts information from the appeal letters. It helps in decision making. And the end result of all of that has improved star rating performance for our clients. For providers, it's other end of the spectrum. It analyses the clinical denials. It checks the medical records. It determines

whether it makes a valid case for appealing those denials. And if that's the case, it also helps generate these appeal letters.

The third use case is around contract validation. As you know, the contracts between payers and providers are very complex. We're using AI to not only extract some of the key contract terms, but also normalise them across the contracts. The fourth, in a lot of our provider and member engagement work that we do for clients. We're using AI not only for doing audit and analytics, but we are also using it for automating some of the lower threshold engagements, which do not require a human contact. So this is across all of the channels in which providers and networks communicate with our payer clients.

So these are all use cases that we do for our clients. But what we've also simultaneously started doing is, building AI -based use cases for our internal operations. As you know, we have a workforce of close to 40,000 employees. We hire people in the hundreds every month. We train them on client processes before we deploy them in operations. And so today, we are using Agentic AI collaborators to enhance not only our recruitment but also our training outcomes. So essentially, the goal is to have a much more efficient, operational process. But also help us, lower cost in the future and to serve our clients better.

So before I hand over to Srini, I want to emphasise some of the points that we've gone over. We remain sharply focused on execution. We've increased the technology and consulting capabilities that we take to clients that has

helped us drive higher wallet shares. And like we've said, it's also helped us expand into the relatively under penetrated mid-market segment.

As before, we will selectively continue to leverage acquisitions both for building capabilities as well as for getting market access. Looking ahead, we expect to sustain growth in the low to mid-teens in constant currency. So this is something that we've told you in the past. We continue to maintain the low to mid-teens growth in constant currency organically. And with BroadPath, we are confident of achieving 20% plus growth, for FY '26. Our adjusted EBITDA, we have guided to our 23% to 24% in the last call.

But given the strong performance in Q1, we think, we will achieve a 24% plus EBITDA in FY '26. We continue to generate healthy cash flows to reimburse into capability building and digital transformation. And as a company, we're very excited for the opportunities that lay ahead of us.

With that, I will hand over the session to Srinivasa, and I'll be back to take calls at the end. Thank you. Over to you, Srinivasa.

Saravabhouman Srinivasan: Thank you, Ramesh. Good evening, everyone. Like Ramesh, shared these numbers, our performance on revenue, EBITDA, and adjusted PAT has been fantastic on a Y-o-Y basis. And we have consistently, we have been consistent and we have met our guidance numbers that we had given in the past.

Also the cash conversion has been on exp

ected lines. And what is, heartening to see is we have reduced our DSO by just by one day. So bringing it down from 76 days to 75 days. So this has been a steady, a good start for this fiscal year, and we hope to continue this momentum. And we are very confident of the guidance that Ramesh just said. Next slide, please. This is just a quick snapshot of the quarter wise performance, and what is interesting to see here is the impact of seasonality that we have in our business.

If you look at the sequential quarter, there is a decline and that has been consistent between the previous year and the current year. We are not too concerned or worried about the drop in the margins because if you look at our Y-o-Y performance in the next slide, you will appreciate how we track our business and how we are working to our targets. Yeah. We can move on, Ramesh.

This is what I just said. If you focus on the Y-o-Y performance, it's been stable on a quarterly Q1 compared to the previous Q1 on pretty much on all parameters and a very healthy margin percentages. And we can move on, Ramesh. I would want to just stay focused on this slide. The right way to look at our business is the full year performance and the trailing 12 months.

If you notice the trailing 12 month basis as well, we have featured a pretty good growth on all the metrics, which is revenue, EBITDA, and PAT. And we have grown stably and steadily. And this is the right way to measure our business. We have time and again said in the past that our business has seasonality. Our H2 is slightly more pronounced than the first half of the year. And there are no surprises for us and it has been pretty much panning out the same way as we had anticipated.

Like Ramesh gave the guidance, we are quite confident of reaching the low teens to mid-teens on the organic basis and with BroadPath including, we will be no farther than 20% in terms of growth and sustaining the profitability at 24%.

That is the adjusted EBITDA at 24%. We can move on, Ramesh. Some financial indicators, all of them pretty much on healthy lines, good cash conversion. This cash conversion despite we had repaid about ₹125 crores, almost \$14.5 million of debt to the parent company in Q1 of this year.

And, all of these have been planned, and we had shared these details to all of

you earlier as well. So no real callouts here. Just to reaffirm that from an operational performance, our ROCE has been above 50%. We can move on, Ramesh. This is again the tabular form of the entire P&L that we have provided. And you will notice the Y-o-Y on revenue is about 25.8%, adjusted EBITDA at 26.5%, and adjusted PAT at 38%.

So, the right way to start or the right way to measure Sagility is not just Q-o-Q but Y-o-Y as we have seasonality. Just reiterating the fact that, this is not a concern for us and it's been on expected lines.

We can move on, Ramesh. These are the adjustments to the adjusted EBITDA, to the reported EBITDA and to the PAT. The first graph on the top is the adjustments to the adjusted EBITDA. The first adjustment A that you see for ₹155 million is an account of the earn outs that we have made, we have provided for the acquisitions that we have done in the past, which is DCI, Birch, and BroadPath.

The adjustment B is the provision for the share based payment awards, which is basically the stock appreciation rights provided to the key employees, which are directly settled by the parent company Sagility BV. This is a non-cash expense for the company, and hence it's been treated as part of adjustments.

And in the past also, we have provided how these numbers would pan out for the future periods. So it's in line. No surprises. Nothing to really call out. The second part of the adjustments are the above two adjustments, adjusted for tax percentage. And the third one is on account of amortisation of the intangibles that got created when

Sagility as a business got carved out from HGS. And, we have explained this also in the past. And so this is not an account of our performance and hence been adjusted.

We can move on, Ramesh. There was a request from some of the investor community to share the go forward positions, especially on account of the intangibles to be broken between, what has got created when the carve out happened.

So the last two lines, you will see intangibles A is on account of the carve out, and, B is the intangibles that we had created when we acquired companies like the Birch, DCI, and BroadPath. You would notice that there has been a reduction to the debt. And, we anticipate to repay ₹235 crores of rupees in FY '26 and the rest would get cleared in the next fiscal year. We can move on. A very healthy balance sheet, nothing really to call out from a perspective.

Just start again reiterating the fact that, we repaid debt despite repaying debt, good cash conversion, and a solid balance sheet. Yes, Ramesh. We generated healthy cash flows in Q1 in line with what we had anticipated. Our operating cash flow to the reported EBITDA is about 90% and free cash to the reported EBITDA is at 81%. So pretty much in line with the previous year's performance.

So, nothing really to call out. It's just that, again great effort by the team and good operational performance coupled with solid governance has helped us reach here. That's it from my end. Thank you. And back to you, Ramesh, and happy to take any questions, if any.

Question -and -Answer Session

Siddharth Rangnekar: Thank you, Srin. Participants who wish to ask a question can kindly click the raise hand icon at the bottom centre of your screen. We shall wait for a moment for the question queue to assemble. The first question comes from the line of Abhishek Kumar from JM Financial. Your line has been unmuted. I request you to go ahead.

Abhishek Kumar: Yes. Hi, good evening and thanks for taking my question. Congratulations on

a good organic growth despite all the uncertainties. Now my first question is on your outlook. We did 14% plus growth on an organic basis. You still reiterated low to mid -teens. Our business looks very predictable. You're tracking above the upper end of your low to mid -teens outlook. Just conservatism on your part, or you think there are few things that you need to win during the year to achieve or to maintain this 15% plus growth?

Ramesh Gopalan: Abhishek, good question, right? So it's not I mean, is the 15% growth already in the bag now. But, we are reasonably confident that the low to mid -teens will happen, given the state of our pipeline and given what we know about the seasonality to our business, right? So yeah beyond that, obviously there could be positive surprises. The growth could be higher. There could be negative surprises. But broadly, sitting where we are, we are reasonably confident of

this range, which is the low to mid -teens. And with the BroadPath like we said, 20% plus is something that we are reasonably confident about.

Abhishek Kumar: So, second question is, on the risk slide that you have put out, very useful, especially couple on two, three of these risks, the mitigation that you have talked about is higher outsourcing. So two part question. One, on the rising Medicare rates, I think this has already started pinching some of the insurers. So in response to that, have you seen some discussions around higher outsourcing already? That's question number one. Question number two is in your top accounts, how has been the or, what is the current level of outsourcing compared to the overall market? Overall market for payer, we understand is maybe early 20s to mid -20s. But compared to that, what is the outsourcing penetration for your top accounts? Because essentially, that will determine how much more they can outsource. Thanks.

Ramesh Gopalan: So Abhishek, th

ese questions have been asked and answered in the past also, relative outsourcing, right? So broadly, the top national payers are the ones who outsourced much more than the broader market. So we've always told you in the past as well that the mid and the lower end of the market is underpenetrated from an outsourcing point of view. Beyond that, the industry numbers in the low 20s is what industry analysts talk about. Any other numbers that I give is highly, what should I say speculative in the sense.

I don't have a firm basis to say, client is outsourcing percentages X or Y. But broadly, we think that the top national payers would have somewhere in the 40s in terms of their current outsourcing. The question is not, is I mean what is the limit? Because there's obviously, there are risk issues because of which clients still want to retain some part of the operations in -house.

But like I've mentioned in the past, with cost pressures mounting, payers are more and more open to looking at ways to reduce cost. And it's not just the labour arbitrage that clients are looking at. Clients are also looking at a more holistic solution in terms of partners who can not only run these operations seamlessly, but people who can also bring transformation and reduce cost of operations beyond the labour arbitrage, right?

So that's one reason why we are very bullish because in this current environment, the cost pressures are severe. So we spoke about Medicare Advantage, but even outside of that across health care, both payers and providers, there's enormous cost pressure. And so all of the clients are looking at ways to lower cost. And that is forcing them to relook at some of even the traditional work that they've outsourced where they've retained

some part of it in house. Is there someone who can take the whole thing and run it more efficiently for them? So there are lots of newer models that clients are exploring. And so we are very bullish that given, like I said, not only, do we have a stellar operational performance over the years, but all of the investments that we've made in transformation is positioning us well in being the right partner for not only running those operations, but also effectively taking costs out.

Abhishek Kumar: Sure. Maybe on Medicare cost already impacting or including discussions and on outsourcing? Any evidence?

Ramesh Gopalan: Yeah, all the clients. Like I said, this is just not I mean, Medicare was a topic spoken about. And this Medicare utilisation, we've spoken last year also, right? The Medicare utilisation is not a new phenomenon in '25. Couple of our large clients were impacted by it in '24. And that trends continues to play through in '25. And we've seen those clients giving us more and more work, right? So as you've seen in even in FY '25, our top three, top five, top 10 clients grew in double digits. And a lot of that growth is essentially playing out to the same theme that I just spoke about.

Abhishek Kumar: Thank you so much, and all the best.

Ramesh Gopalan: Thank you.

Siddharth Rangnekar: Thank you. We take the next question from Manik Taneja of Axis Capital. Your line has been unmuted, Manik.

Manik Taneja: Thank you for the opportunity. And Ramesh, congratulations for the steady performance, and good to see some incremental disclosures. I actually wanted to just pick your brains with regards to the typical seasonality that we have in our business. Given some of these industry specific trends that you spoke about, do you think this drives some impact to the seasonality patterns as customers take longer to decide on some parts of their portfolio? And you also mentioned that, that some of these pressures are driving some profitability pressures. Some of these changes are driving productivity pressures while you've raised your -- while you're confident about your adjusted EBITDA margin outlook for the year. Do you

think over the medium term, this could pour some risk to our current margin profile?

Ramesh Gopalan: Good. So, Manik, let me take your questions one by one. The first part, the seasonality, like we've spoken in the past, it's not driven by buying cycles, but it's more driven by the open enrolment season. So that's the season when

people get the opportunity to switch plans or renew their plans. And so there is a renewed effort by all of our clients to attract newer clients and support incoming new members. So the volume of transaction goes up in that period. And so that cycle is unlikely to change.

So with the acquisition of BroadPath like we've mentioned in the past, BroadPath is also into Medicare advantage sales. So their peak season is likely to be in the Q3 of our fiscal year, which is the October through December time frame. And then we have the other seasonality of Q4. So Q3 and Q4 being the seasonally high quarters for us will continue, even into the future. So I don't think, that is likely to change.

On your second question, that's a good question. So the pricing pressures, like I've mentioned in the previous calls, the pricing pressures are increasing because, like you said, as the client's profitability pressure increases, they want us to do more for less. And so that's not something that is new to us that's been going on for some time. The reason we are confident that our that we can still sustain these margins is because, the way to generate efficiencies for our clients is just not by reducing our labour price. So it's more of how do we bring some of the transformational capabilities to play and how do we generate efficiencies.

And so like I've mentioned in the past, when you generate efficiencies through transformation, you always have an opportunity to retain a part of those efficiencies which can go a long way in retaining the margins.

Manik Taneja: Sure. That's helpful. And, Ramesh, if I can ask one more. With regards to client interest from delivery location standpoint, if you could just talk about how are you seeing the interest from between India and Philippines, from a low-cost standpoint over the course of last 12 months.

Ramesh Gopalan: So broadly, this discussion on let's explore new geographies. That's not as -- we're not seeing it as much as before because now the focus is shifted more to how can you transform, how can you eliminate interactions, how can you eliminate transactions over all and how can you bring about those efficiencies. So but from a pure labour point of view, India and Philippines continue to be the lower cost geographies.

The one change that we are seeing is, people are more interested in exploring India as a geography for even the engagement transactions, especially the voice -based transactions. Previously, as you know, all of that used to be done in the Philippines and clients who wanted this new assure, we used to do it

out of Jamaica and Columbia. But now clients are interested in exploring India also. There are newer technologies, like Sanas and so on, which harmonises accent and things like that. And so India is likely to benefit from some of those technologies.

So but overall, I would still say India and Philippines will continue to be the geographies where we see most of the work moving when it comes to offshore locations.

Manik Taneja: Sure. Thank you. Appreciate the responses. I'll get back into the queue.

Siddharth Rangnekar: Thank you, Manik. We take the next question from Rishi Jhunjhunwala from IIFL Capital. Your line has been unmuted, Rishi.

Rishi Jhunjhunwala: Yes. Thanks for the opportunity. So while our peer growth has been fairly decent, what we have also seen is a pretty strong growth on the provider side, which has been growing at 35% plus year -on-year. Can you explain some of the drivers of that and what is the medium term strategy to expand this part of t

he business?

Ramesh Gopalan: Yeah. So Rishi, one thing, I want to call out as, I mean, you're broadly right. But the revenue split between players and providers, also will vary by quarters because, for example, in the seasonally high quarters of Q3 and Q4, the seasonality is mainly on the payer business. So the proportion of payer revenues will be higher than providers in those quarters. Whereas it'll be the other way. I mean, the proportions will be different in Q1 and Q2.

But broadly, on an annual basis, you're right. Our provider business has been growing a little faster than the payer business. I wouldn't put that to any specific reason. One, like I've said in the past, it's a slightly it's a much smaller base to grow from. And two, we have some very strong relationships even on the provider side, right? So unlike many other competitors who work with smaller provider clients. We have some really sizable provider clients who continue to grow with us. We are also actively looking at expanding our portfolio of services, but I can't say that that has started to generate higher growth in the provider yet. But, we are hoping that we can continue this momentum on provider and even try and see if we can accelerate by expanding our service portfolio.

Rishi Jhunjhunwala: Got it. And second question is, in the past, you have said that look at our growth on a 1H over 1H and 2H over 2H basis rather than quarterly Y -o-Y. Of course, Q -o-Q, there is clear seasonality, but even, on a Y -o-Y basis at times,

1Q, 2Q could have those aberrations. Last two years, we had seen 1Q having an extended decline versus what you've delivered this year. It could probably be a function of you actually doing better or accelerated growth. But do we expect that to spill over in 2Q in terms of relatively lower growth? So, again, on a 1H basis, how do we look at growth there?

Ramesh Gopalan: Look, it's a tough thing at this point to say exactly where Q1 will be with respect to -- Q2 will be with respect to Q1. But to your point, yes, we ideally would want people to look at H1 versus H1 year -on-year. But if you were to

take our H1 in FY '26 over H1 of FY '25, I still, think we will fall in the low -to-mid teens, kind of a number. So there is momentum starting the year. Like I said, the pipeline both from new clients and existing client continues to be healthy. I don't see, why, there should be a drop in Q2. But broadly, if you look at H1 versus H1, we will still be in that broad low -to-mid teens from an organic point of view.

Rishi Jhunjhunwala: Okay. Thank you so much. All the best.

Ramesh Gopalan: Thanks, Rishi.

Siddharth Rangnekar: Thank you, Rishi. We take the next question from the line of Ruchi Mukhija from ICICI Securities. Your line has been unmuted, Ruchi.

Ruchi Mukhija: Thank you for the opportunity, and congratulations, Ramesh, on the steady performance. In the deal wins, you announced about GCC win. Could you talk more about how this came to us, and do you see more such deals in the market? And if you could also talk about the scope and the tenure of this deal that we have bagged ?

Ramesh Gopalan: Sure, Ruchi. It is an existing client of ours, right? So, while we are setting up, like I said, while we are helping them set up a GCC, it isn't to move any of the work that we currently do for them. So these are work with clients that they have, who have restrictions in terms of giving it to third parties. And so they want to take the advantage of lower cost geographies in delivering some of the work that they are currently doing onshore. So the deal construct is a little fluid. They have a right to, like I said, it's a build operate transfer model. They have a right to take it back over a period of time. It could be, anywhere between two to four years.

So we are helping them in the whole process. We're helping them set up their centres. We're helping

them hire. We're helping them train. We're helping them run the business before handing it over back to them. But then, the size,

the maximum scale it will reach before they move it in -house and the time frame at which they'll move it in -house, that's a little fluid contractually. They could do it, like I said, anywhere between two to four years.

Ruchi Mukhija: Thank you. Appreciate that. All the best.

Ramesh Gopalan: Thanks. Thanks, Ruchi.

Siddharth Rangnekar: Thank you, Ruchi. We take the next question from the line of Bhavik Mehta from JPMorgan. Your line has been unmuted, Bhavik. Bhavik, you may go ahead.

Bhavik Mehta: Hey, thank you. Just one question. Over the last three months or so, what's happening with the market both of our funding perspective from macro perspective. Have you seen any change in pace of deal conversions or revenue ramp up?

Ramesh Gopalan: Bhavik if I understood your question, you're asking the deal flow, have we seen any change, right? So, in fact, like I said, because of the pressures on margins, people are more keen to look at ways to reduce cost. And so we don't see any negative impact on deal cycles or deal flows. Obviously, the core operational deals being complex, they typically take three to six months from start to finish. But that's been the case even in the past. But, otherwise, we're not seeing any delays or any disruption to the deal cycles.

Bhavik Mehta: And also in terms of conversion of deals to revenues, is that pace also broadly unchanged?

Ramesh Gopalan: Sorry? I didn't get that.

Bhavik Mehta: The conversion from deals to revenues, the revenue ramp up of the deals,

what you have called is that...

Ramesh Gopalan: Yeah, that also remains unchanged. Yeah. I mean, most of our deals have a ramp up cycle because, as I've mentioned in the past, we don't keep a bench. So we have to hire and staff up for the new deals. And so that takes, a while to ramp up to full capacity. So there's no change to those timelines.

Bhavik Mehta: Okay. Thank you.

Siddharth Rangnekar: Thank you. We take the next question from the line of Chirag Kachhadiya from Ashika Stock Broking. Your line has been unmuted. Chirag, you may go ahead.

Chirag Kachhadiya: So, Ramesh, I have a question on the strategy part, as somewhere the intent of U.S. government is to look on the outsourcing and so in this environment, how do we -- the strategy in our way to remain strong player in the value chain in the U.S. market? And also, the conversation with for your top client, this is still what like, what will the situation one year or two year down the line? We need more consolidation amongst our peer group, or are we going to remain resilient and we'll gain more market share from the competitors?

Ramesh Gopalan: I'm not sure I understood you completely, but let me try to answer because the consolidation are you talking about consolidation of vendors? Are you talking about consolidation of in the peer market?

Chirag Kachhadiya: Yes, I'm talking about consolidation of vendors? Yeah.

Ramesh Gopalan: Vendors. Yeah. The consolidation of vendors is happening. So I might have spoken about this in the past also. Especially with some of our larger clients, when they realise that they have a long tail in the vendor list, they want to consolidate into a few vendors. That doesn't mean, like I've said, big national payers are not going to work with just one vendor. They'll definitely have three or four vendors across their different areas. For every major process, they are most likely to have at least a couple.

But having said that, sometimes they have many more than a few. So and so, consolidation of work from the long tail, into these chosen few vendors is something that, most of the large clients are looking at. And we've gained wallet share on that basis even in the last few years.

In terms of your other ques

tion, in terms of the overall market environment like I said. Health care cost is a big concern and that continues to remain a big concern. So overall health care costs are growing. The pressure on our clients is continuing to increase. Margins are highly strained. Utilisation with an aging population, utilisation rates are only likely to go up. So, essentially, the cost pressures are not going to go away. Obviously, they're likely to be higher in some quarters, some years, than other years for our clients. But the overall trend in terms of increasing cost pressures, that is unlikely to go away.

And so ability to not only deliver lower cost, but do similar or exceptional service at lower cost and using all of the transformation capabilities is going to be a very significant task in the future.

Chirag Kachhadiya: Yeah. In continue to this pricing and all, in future, let's say we command a relatively high market share in coming years. So at that time, will we have a pricing power because ultimately it's an outsourcing service. So we think that, if the scope of price increase will prevail in coming years.

Ramesh Gopalan: Like I said, I don't think, at least for the national payers, it is not going to be, that they're going to have one vendor who can start to call the shots. So there'll always be multiple vendors. While, I wouldn't say, as service providers, we'll have the leverage to increase prices. But what I can say is, the more transformation we can do, the more we can help our clients take out cost. We can also start to see some upside, in terms of retaining Manik's questions like

I mentioned, retaining some part of those efficiencies for ourselves. But the ask at this point is, how can you reduce my cost? Not working with vendors who want to increase their prices.

Chirag Kachhadiya: And one final question on headcount. So three, four years down the line, let's say, we double our revenues. So headcount will remain in the same range or slightly higher than what it should be?

Ramesh Gopalan: So with the transformational work, the growth will start to become non-linear at some point. So but broadly, it'll -- I mean, will headcount increase if my revenues increase? Will it increase at the same proportion? Unlikely. Because a lot of the deals where we are signing with clients today, not too many of them are on a pure FTE model. Even on a transaction model, if I can deliver those transactions with fewer humans, the clients want a portion of those savings, but the clients are not concerned about how many people I have to deliver those transactions.

So as we start to increase the level of transformation in the work that we do, the relationship between revenue and headcount will start to diminish. And so, it is slightly to become more non-linear as we go forward.

Chirag Kachhadiya: Thank you so much. All the very best.

Ramesh Gopalan: Thank you.

Siddharth Rangnekar: Thank you. We will take the next question from Mohit Motwani from Tara Capital. Your line has been unmuted. Mohit?

Mohit Motwani: Thanks for the opportunity. I had a question on BroadPath. You mentioned about, you are in the discussion to cross-sell proposals with BroadPath clients. And I think you mentioned that you have already cross-sold to one

client. So just want to understand, are these new areas of work, which was not getting outsourced previously or, you are trying to replace some existing vendors which were there doing the work for them?

Ramesh Gopalan: Yeah. So we've discussed this. So in the sense let me reiterate, right? BroadPath's client base is other than a couple of clients which are national payers, bulk of the clients are in the mid and the small market segment range, right? And like I've said in the past, the penetration of outsourcing in that bucket is very, very small. So most of the times when we are having these cross sell conversations with

those clients, we are typically not talking about replacing existing vendor.

It's almost always work being done in-house, which we are trying to get them to outsource. So there is that initial hurdle that we need to cross in terms of do I really want to outsource or not? But like I keep saying, the cost pressures are increasing across the board, right? It's just not the national payers who are facing cost pressures. The cost pressures are even higher for the mid-market and the smaller clients.

And so even though they may not have done that in the past, the propensity to start to listen to, some of these proposals has increased. And that's what makes us bullish that, some of these cross sell conversations will result in revenues in the future.

Mohit Motwani: Sure. And your guidance of adjusted EBITDA margin at 24%. So, does it bake in any improvements in margins of BroadPath? I understand it's just been, I think three to four months few months since we closed the acquisition. But any operational initiative that you have already undertaken to optimise cost on the BroadPath side and any improvement that we should expect in the future quarters?

Ramesh Gopalan: Yeah. So like I mentioned in the past, there are multiple initiatives at play. So on the core operations front, yes, while there might be some efficiency, the

focus is more on how do I cross sell and how do I increase the revenue base. And if some of these cross sell BroadPath for the most part other than a very small component, which was done offshore, almost three quarters or more of that revenue came from onshore.

If some of these cross sell are for delivery from a different offshore geographies, then by that very nature, the margins will improve. But, also what we've started doing is to look at the SG&A, so mostly on the G&A side, and we had started to see what kind of synergies we can get in the G&A costs.

So vendor contracts, personnel, we've started to look at all of those. And so optimising the G&A spend will also give a boost to the EBITDA of BroadPath. So broadly, we are expecting, like I guided in the past, we are expecting BroadPath's EBITDA margin to improve from high -single -- low -double digits to mid -double digits over the next couple of years.

Mohit Motwani: Thank you so much for these answers and the best for future endeavours.

Ramesh Gopalan: Thank you.

Siddharth Rangnekar: Thank you, Mohit. We will take the next question from the line of Fawaaz Sheriff from White Whale Capital. Your line has been unmuted.

Fawaaz Sheriff: Hi, thank you for taking my question. I wanted to ask how is the revenues recognised in your business? Is it contract based or time based? And if so, can you give me a split as to how it's been recognised this quarter?

Ramesh Gopalan: Sorry. We may not have spoken with you in the past, but our business, we do core operations work for clients. So this is not a contract or a project. It is regular operations. It's a recurring revenue model for us. So all of the revenue is recognised based on the work that is delivered during the month.

Fawaaz Sheriff: Okay. And so it's 100% is towards transactional, if I'm right, if that's the way it is.

Ramesh Gopalan: Yes.

Fawaaz Sheriff: Okay. Got it. Thank you.

Ramesh Gopalan: Okay, 100%, almost 100%. So we might do some time and material based work, especially on the transformation side if the client is separately paying us for some of those transformational initiatives, we might build them on a project basis. But that given the overall revenue of Sagility, I would say that's more like a small single -digit number.

Fawaaz Sheriff: So on a transactional basis, so it's outcome based if I'm not wrong. So if the hospital or the vendor does well, we do well. Is my understanding right over there?

Ramesh Gopalan: No, not all of our revenues are outcome based. Most of our revenues are effort based, right? So even if it's a transaction based billing, it is the number of transactions that I process. So that's the predominant way. There are some outcome based billing models but not, when you talk of outcome not that if my client overall does well I do well, right?

So it's outcome on the specific process. For example, if I'm working for a provider, trying to collect age receivables, I'll get paid based on the cash that I collect for my client, right? So it's very specific to the outcome of that process. Similarly, if I'm doing payment integrity work, I get paid based on the recoveries that I make on the claims that are paid. So again, it's linked to the outcome of that specific process.

Fawaaz Sheriff: All right. Thank you for answers.

Siddharth Rangnekar: Thank you. We'll take the next question from Harshit Sachdeva from Columbus Capital. Your line has been unmuted, Harshit.

Harshit Sachdeva: Hi, thank you. Great set of numbers. Just wanted to get clarity on any margin levers and client expansion. What does the outlook look for the rest of the year and deal pipelines? And on margins, especially, how do you look to improve margins and any levers that you can pull? You might have talked about it in the past. So thank you.

Ramesh Gopalan: Yeah. So Harshit, I think like, we guided. So we had guided a 23% to 24% EBITDA and we're saying we're likely to do slightly better than that 24% plus EBITDA numbers, right? In our kind of business, the margin levers are essentially the efficiencies that we generate. Efficiencies can be through technology, efficiencies can be through, operational efficiencies, reducing redundancies, better manpower utilisation.

All of those are levers for us. And all of that, in a way that we have to generate consistently on a year -on-year basis because, most of the geographies where we operate, there is a cost inflation. And our contracts are longer term contracts where there is no price inflation. So given that, it's a part of our system to generate efficiencies on a year -on-year basis.

And so those levers are pretty much the same except that the technology lever is essentially now opened up to give us a much larger array of opportunities to improve efficiencies. And that's what we've been talking about, right? Clients realise that, clients want us to use those opportunities to reduce the cost for them. So rather than a COL A (Cost of Living Adjustment), most of the contracts now ask us to reduce price on a go forward basis. And the lever to do that is basically using technology.

Harshit Sachdeva: And the second part of my question was any, what does the client pipeline look like and more expansion during the year, I mean, onboarding new clients with strategies with that?

Ramesh Gopalan: Well, like I said, pipeline looks healthy. Our historical growth has been a mix of growth from existing clients as well as new logos. In the given year, most of the growth will come from existing logos because new logos, like I said, one, the deal cycles three to six months and two, the ramp up times that required. So any new wins that I generate in a year is unlikely to give me a large revenue in the same year. And so most of this revenue will get pushed out to the subsequent year.

So any growth that you see in a given year is basically the logos that I have onboarded the previous year and the continued growth that I see from my existing clients. And like I mentioned in the opening statement, we won new deals or additional work from 18 of our 77 clients. And that's been the historical trend. So we'll continue to pursue a number of opportunities with our existing clients. And that is the healthy pipeline that gives us the confidence to say that, we will still continue to deliver low to mid -teens for the full year.

Harshit Sachdeva: Thank you so much. Thank you.

Ramesh Gopalan:

Thank you.

Siddharth Rangnekar: Thank you. We'll take the next question from the line of Seema Nayak from ICICI Securities. Your line has been unmuted, Seema. Seema, you may go ahead. Seema?

Seema Nayak : Yeah. Thanks for taking my question. My question is regarding intangible asset amortisation. It is the highest in last four quarters. So is it led by BroadPath, and how do we see that going forward? And my second question is regarding provider segment growth. This segment has been growing 35% plus for the

past three quarters. So are we pivoting more towards provider led growth ?
Yeah. Those are my questions.

Ramesh Gopalan: Srini, you want to take that?

Sarvabhouman Srinivasan: Yeah. On the intangibles amortisation, Seema, it has always been, we had created intangibles when the business had got carved out. So it had two components. So it's not probably the highest. In FY '24, we had the highest

number where one of the intangibles had got completed. So what you see now is the intangibles on amortisation, with respect to the business that got carved out plus the new businesses that we had acquired and where we had created intangibles.

We have shown the split of those in the forward -looking slides as well. And the rest is just an exchange rate adjustment when we convert , because the intangibles that got created in The United States is for the business that was for towards customer relationships. It was a 16 year deal that ■140 crores of number that you see on the forward -looking table is just adjusted for the exchange. So otherwise, there are no yoyos to the intangibles like you see. So if you still have any questions, you can connect with me separately. I can explain that to you.

Ramesh Gopalan: On the provider, Seema, we discussed, right? So provider is only 10% of our overall revenues. So the growth numbers on that is also a result of the smaller base that we have, right? Are we aggressively looking to grow the provider business? Yes. We are aggressively looking to grow the provider business. Like I've mentioned, our broad provider footprint is with large providers, not just health systems, but also ancillary providers. But broadly, what we deliver to them is, the extended revenue cycle operations as a portfolio.

But what we are also trying to see is, are there other capabilities that we have on the payer side that can be leveraged from the provider side? So our attempt is to try and grow our portfolio of services on the provider side, which will if we do successfully, we'll also further accelerate the growth on the provider side. But today to your question, the growth is higher because of the smaller base and because of the fact, like I said, just like on the payer side, we have some very large relationships on the provider side, which continue to grow for us.

Seema Nayak : Thanks and all the best.

Ramesh Gopalan: Thank you.

Siddharth Rangnekar: Thank you. We will take the next question from the line of Raj Vyas of TM Investment Technologies. Your line has been unmuted, Raj.

Raj Vyas: Congratulation on a good set of numbers. My questions is basically, a general type. So, with the anticipated increase of outsourcing opportunities, what are the major operational changes as we as a company are addressing currently? And looking at the current macroeconomic changes and with respect to inflations and other changes as well. So are we looking on with the newer

geographies and verticals, that should typically help expand the market for Sagility in the near term?

Ramesh Gopalan: Okay. So let me try and answer the question on the operational front. Yes, so today, a lot of, like I said, lot of effort goes into transformation of these operations, using all of the technologies available including AI, right? So like some of the examples that I gave in terms of nurse, appeals assistant, so on. There is always a human in the loop

oop, but AI is doing a lot of the work that previously humans used to do, right?

So it means a different set of training. It means a different set of, working for our associates, which is something that we are rewiring and training the whole organisation. And secondly, like I said, we're also introducing AI in some of

our internal operations. I mean, just as an example, I said we hire 100s of people every month. We train people for six to eight weeks. And typically, even today, it's either an instructor led training or if it is even self-training, it is more linear.

So everybody goes through the same modules. What we are also trying to attempt with Agentic AI and so on is how do I personalise this training based on the capabilities of each of the individuals that we hire. So the training doesn't have to be a cookie cutter for all of the people that we hire. How do we also tailor the kind of people that we hire for a specific client and for a specific process?

Ability, all of the tools available today, Agentic AI and so on gives us that opportunity to personalise to a high degree, right? So that's going to change the way we hire, we train, and we deploy people into operations. So to your question on operationally, how we are adapting to the new environment, a lot of those changes are in play as we speak. To your broader question on macro and markets, I've spoken about this in the past.

So we today, in fact our performance stands out compared to a large part of the market is because of our differentiated positioning in health care. So we like the vertical where we operate. We like the space we are in. And so we're going to continue to play in the health care vertical. In the health care, the work that we do for payers and providers is there more work that we can do that, than we currently do. I already spoke to you about providers.

We're constantly looking at expanding our service portfolio, and so that's something that we'll attempt. Within the larger health care ecosystem, are there other entities, that we can service? That is also something that we are

keen to explore. While payers and providers is 100% of our revenues today, can we expand that to a different segment within health care is also something that we look at. But broadly, where we'll operate at least for the foreseeable future will be in the larger health care space and not in any other vertical.

Raj Vyas: Last question from my side. The slide, in the starting highlighted that there is no tangible impact from the tariff thing. But are there any proactive risk assessment, we are looking or so that we try to mitigate the risk or in case tariff impacts, like tariff impacts, in the future?

Ramesh Gopalan: So I don't know how to answer the question. So I'm saying there's no direct impact. So we've done our analysis, and we don't see tariffs impacting us. Tariffs on the way, the tariffs are structured today and the goods on which tariffs are imposed. We don't see it impacting us. If, as situation changes and if the rules of the game change, we will continue to assess and see how it impacts us and we will let you know in the subsequent calls.

Raj Vyas: Okay. Understood. Thank you for answering my questions. Thank you.

Siddharth Rangnekar: Thank you. We will take the last question of the day from the line of Manik Taneja of Axis Capital. You've been unmuted, Manik.

Manik Taneja: Yeah. Hi, thank you once again for the follow-up opportunity. Ramesh, I just wanted to check with you on this adjusted EBITDA margin outlook that you have provided. Earlier, our adjusted EBITDA margin was inclusive of other income. In this quarter's presentation, you basically excluded the other income out of it. So just wanted to confirm the outlook of 24% plus is X of other income with the way we are reporting now.

Ramesh Gopalan: Yes. That is correct. But we started, excluding other income from the last quarter also, right? Srinu, just...

Saravabhouman Srinivasan: Correct, correct, Ramesh. This was a request from the investor community not to include. So that's the reason why we have shown all the

quarterly, we have included a slide, showing the last nine quarters performance as well.

Manik Taneja: Sure. And if you could just also help us with the contribution of BroadPath in the current quarter, if you can call that out.

Sarvabhoulman Srinivasan: In terms of EBITDA.

Ramesh Gopalan: So organic and inorganic numbers, Manik.

Manik Taneja: Sure. I understood that. Thank you.

Siddharth Rangnekar: Thank you. That was the last question for the day. Thank you. Members of the management on behalf of Sagility India Limited, that concludes our webinar for the day, and you may log off the event. Thank you, everyone.

Ramesh Gopalan: Thank you, everyone.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Oct 2025

Date: October 31 , 202 5

To,

The Manager The Manager

Listing Department Listing Department

National Stock Exchange of India Limited (NSE) BSE Limited (BSE)

Exchange Plaza, 5th Floor Phiroze Jeejeebhoy Towers

Plot No. C/1, G -Block Dalal Street

Bandra -Kurla Complex Mumbai - 400 001

Bandra (E), Mumbai - 400 051 Scrip Code: 544282

Symbol: SAGILITY

Dear Sir/Ma'am,

Subject: Transcript of Investors Call held on October 29, 2025

In accordance with Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are attaching the transcript of the Investors/Analyst Webinar held on October 29, 2025, which was conducted to discuss the unaudited financial results of the Company for the quarter and half year ended September 30, 2025.

This information is also available on the Company's website <https://sagilityhealth.com/>

This is for your kind information and record.

Thanking You,

For Sagility Limited

(formerly Sagility India Limited, Sagility India Private Limited)

Satishkumar Sakharayapattana Seetharamaiah

Company Secretary & Compliance Officer

M. No. A16008

Sagility Limited

(Formerly Sagility India Limited, earlier Sagility India Private Limited)

Registered Office - No. 23 & 24, AMR Tech Park, Building 2A, First Floor Hongasandara Village, Off Hosur Road, Bommanahalli, Bengaluru – 560068, Karnataka, India

Corporate Identification Number: L72900KA2021PLC150054

Tel. No.: 080-71251500, E-mail : investorservices@sagility.com, Website: www.sagilityhealth.com

Sagility Limited

Q2 FY26 Earnings Webinar

Wednesday , 29th October, 2025 at 7:30 PM

MANAGEMENT • Ramesh Gopalan - Managing Director & Group CEO

• Sarvabhoushan Srinivasan - Group Chief Financial Officer

MODERATOR • Siddharth Rangnekar – CDR India

QUESTIONERS • Manik Taneja - Access Capital

• Ruchi Mukhija - ICICI Securities

• Chirag Kachhadiya – Motilal Oswal

• Raj Vyas - Motilal Oswal

• Rishi Jhunjhunwala - IIFL

• Vams hi Krishna - Kotak Securities

• Bhavik Mehta – JPMorgan

Siddharth Rangnekar: Good evening, everyone, and welcome to the quarter two and first half FY '26 Earnings Webinar of Sagility Limited. This is Siddharth Rangnekar from CDR India, and I shall be your host for today. As a reminder, all attendee lines will be in the listen -only mode, and there shall be an opportunity for you to ask questions after the presentation concludes. Please note that this webinar is being recorded.

To introduce the management we have with us today, Mr. Ramesh Gopalan, Managing Director and Group CEO; and Mr. Sarvabhouman Srinivasan, Group Chief Financial Officer.

Before we begin, I would like to state that some of the statements made on today's discussion could be forward-looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the quarter two and first half, FY '26 results presentation that has been uploaded to the exchanges.

I would now like to hand over the forum to Mr. Ramesh Gopalan to begin the proceedings of this webinar. Over to you.

Ramesh Gopalan: Thank you, Siddharth. Good evening, everyone, and welcome to our Q2 and H1 FY '26 discussion. Let me give some opening remarks. In the first half of FY '26, we continue to demonstrate strong momentum across both Payer and Provider segments, underscoring the depth of our expertise and a proven ability to deliver at scale. The broader U.S. healthcare landscape continues to face ongoing challenges from rising costs, shrinking margins, and growing regulatory complexity. These factors are accelerating the industry shift towards digital transformation and operational efficiency.

In the backdrop of ongoing macroeconomic uncertainties, our client relationships remain very strong. And we continue to engage in deep collaborative discussions with our clients about future possibilities. And in turn, they continue to entrust us with a growing share of the transformational agenda. Our ability to serve as strategic advisors combined with execution excellence enables us to stay embedded in their growth and transformation journey, driving mutual value and long-term partnership continuity.

We are adopting a consulting-led approach to help clients modernise traditional delivery frameworks, harnessing next-generation capabilities and GenAI-based models to drive efficiency at a very large scale. Through this

consultative and technology-driven approach, we are enabling our clients to build resilient future-ready operations.

Now moving into H2 FY '26, the AEP or the annual enrolment period has just kicked off. And this is a very crucial season for our Payer clients. We've ramped up operations, and we are deeply engaged in supporting them through one of the most operational intensive phases of the year. Let's move to the next slide.

So now talking about our performance in Q2 and H1. We maintained our momentum building on the strong start to the year. Consolidated revenues for Q2 came in at INR 16,585 million or \$189.4 million. Marking a year-on-year expansion of about 25.2% in INR terms and 20% in constant currency. Organic growth was also strong registering 16%, year-on-year growth in INR terms and 11.1% in constant currency. This performance was supported by continued traction across both payer and provider segments with both of our segments contributing.

The payer business grew 24.2% year-on-year accounting for 88.5% of the total revenue mix, while the provider vertical delivered strong performance expanding 33.4% year-on-year and contributing 11.5% to overall revenues. Operating profitability remained robust with adjusted EBITDA at INR 4,352 million or \$49.8 million representing a year-on-year increase of 25.6%. So this EBITDA translates to an EBITDA margin of 26.2%, very robust. And this reflects our assertion that technology and transformation using levers like GenAI benefit not only our clients but ca

n also help us improve our margins.

It's important to note that our adjusted EBITDA excludes other income and forex gains. And this result highlights very strong operational execution and improved delivery efficiency. Net profitability also stayed strong. Our adjusted

profit after tax for the quarter stood at INR 3,010 million, up 84% year -on-year aided by strong EBITDA margins, higher forex gains, and declining finance cost. The consistent optimisation of our capital structure, including steady debt repayments, continues to strengthen cash flows and support investments in technology, analytics, and AI led transformation.

We switch to the half yearly results. We are pleased to report that H1 FY '26 registered a year -on-year revenue growth of 25.5% in INR terms and 21.4% in constant currency terms. And during the first half of the year, we recorded revenues of \$369.9 million, which translates to INR 31,974 million. Organic growth was also strong, registering 16.9% in INR terms and 13.2% in constant

currency. Half yearly adjusted EBITDA of INR 8,039 million grew 26% year -on-year, while our adjusted PAT of INR 5,007 million grew 62.4% year -on-year.

I'm also happy to announce that the Board has announced as approved , an interim dividend of 0.05 or 5 paise per share to be paid in Q3. So let me turn my attention now to the new wins. As of September 30, 2025, we have 82 active clients. During the quarter, we secured business from 24 existing clients, and we also added five new clients. The aggregate annual contract value won from new and existing clients stands at \$34 million.

Some sample client wins include out of these five, there is a regional Blues plan, a provider of home medical supplies and equipment, and a regional health care organisation which offers integrated clinic -based services along with a health insurance plan. BroadPath, as you know, our focus continues to be on cross sell to BroadPath clients.

In Q1, we reported our first cross sell win secured from a subsidiary of a large national Payer . And we are very pleased to announce that we have secured an incremental SOW from the same client. And in addition to that, we've also won a claim, SOW from a mid -sized health plan that serves small and medium -sized businesses. We continue to see good momentum in our cross sell discussions with BroadPath clients, and we have already submitted several proposals in the first half of 2026.

Industry recognitions. I'm happy to state that Sagility has recently been recognised for our commitment to excellence and a people first culture. We've earned the great place to work certification in India, a testament to our strong workplace values and employee engagement. Additionally, Sagility Philippines has been honoured as the winner of the Asia CEO Awards 2025, the Service Excellence Company of the Year. These achievements reflect the dedication of our teams and our unwavering focus to deliver value to both our clients and our people.

At the end of the quarter, we had 44,185 employees across the five countries and also a skilled team of operation specialists, clinicians, and technologists. The deep domain expertise continues to drive impactful outcomes for our Payer and Provider clients. Annualized attrition remains steady at 26.3%, and it's consistent with the last year's trend. Our growth has been matched by strong hiring momentum and stable retention, demonstrating the maturity of our delivery model.

We are leveraging AI not just in the work that we do for our clients, but we are also deeply committed to building a future ready workforce. We are investing in Agentic AI powered learning platforms to drive faster personalised up -skilling across both healthcare and technology domains. This AI enabled adaptive learning ecosystem is designed to enhance workforce capability, support retention, and prepare our teams to lead through transformation.

Next slide, please.

Yeah. These are the standard KPIs that we've reported in the past. So you can take a look at our client distribution and so on. But we'll come to the market updates. We started giving you market updates every quarter. And so let's talk

about some of the changes in the last quarter. As you know, this tariff discussion has been going on for a long time. It's kind of normalised as a long-term policy measure.

So if you look at the impact on our clients' payers and providers, the tariff driven increase in the cost of imported medical equipment, pharmaceuticals, and so on is impacting our Provider clients more than that of the Payers. And there is no tangible impact to us, in terms of the implication of these tariffs.

The other big change is the marketplace integrity and affordability final rule. So according to this, Payers must upgrade eligibility enrolment and compliance systems and meet stricter verification and reporting rules. So there is a few of that, people focus on the ACA market will start to see reduced membership and premium inflows. But as we've already told you, our exposure to this market segment is very low. And so we don't think, it'll have a substantial impact on us.

In addition, we are well positioned to support payers in their increased demand for automation led eligibility and enrolment validation. Providers will also see shifts in patient coverage. They'll require tighter eligibility checks and revenue cycle vigilance.

The third that we wanted to talk about is the higher act. Many of you would have heard about this. This will have impact across the outsourcing ecosystem, both IT services, and companies like us. There's a proposal to charge a 25% excise tax on outsourcing payments to foreign entities for services to U.S. customers. But this bill, so far hasn't passed either the House or the Senate. But the implication if something like this were to pass, and which is happening even without this is that Payers and Providers are looking at taking out cost, adopting a more technology driven solution to run their operations. And even if the tax were to be imposed, the offshoring benefits

that clients get would more than compensate this excise tax that would be imposed.

And lastly, the H-1B policy, many of you know of these announcements and the subsequent changes. As a company, we have very little exposure to this H-1B program. In fact, we have a large employee base in the U.S., and over 99% of our employees are either a and most of them are citizens and a few of them are green card holders. So between these two categories, over 99% of our employees are covered. So this isn't something that is going to be a major impact to us. Let's move on to the next slide.

So we wanted to cover something different today, right? So since our IPO days, the constant question that most of you have asked us is around GenAI. So what is the impact of GenAI to our business? And we've openly acknowledged that GenAI is going to be transformative. It is going to result in some revenue cannibalisation. However, we are also investing in GenAI use cases so that we can deliver significant value to our clients. And we believe that this will help us grow our revenues from both existing and new clients.

Some of you have come back and are saying, okay, if that's the case, how do you think this will play out? And so we thought we'll take the opportunity today to walk you through some of the deal constructs that we are currently working on. So that you can have an understanding of how GenAI is embedded in all of these deal constructs and how it plays out, when we go to market.

So we've given three case studies here. These are active deals that we're working on. The first one is the transformation space. In this, the key, is our domain expertise. The fact that we understand the payer value chain end-to-end. Using domain expertise is the

key but then applying GenAI as a lever to take out cost that's what this case is all about. So this is for a large national Payer, who has already used traditional levers like offshoring and automation. And they are now gotten whatever savings that they can get through these traditional means. They wanted us to unlock further cost savings through next

generation levels.

The solution that we proposed, what we call transformation in place. This is essentially first process engineering in terms of looking at the whole end-to-end process. While we were just doing claims for this client, we are looking at some of the upstream processes, which also result in additional work on the claim side. We're using operations, analytics, process reengineering, and GenAI to deliver an additional 20% savings to the client.

So in this specific case, while we are already doing some of the work for this client, the addition of upstream processes will more than compensate the savings that we are committing to the client. And because we are doing an end-to-end and a large savings commitment, we are also likely to take wallet share of some of the work that are being done by other service providers.

The deal construct here is, no more the traditional FTE or transaction rate, but it's more of a per-member-per-month or what we call PMPM. And so, we'll charge them on a PMPM basis. And any savings that we generate, there's a gain share model by which clients will get to retain a large part of the benefits while we will also get to keep some of the benefits. So that's one example of how domain expertise and both GenAI are leveraged to create a more end-to-end solution to generate cost savings. The second example, the example in the middle is one of transformation in an engagement services work. And this is for a regional player who wanted to achieve substantial cost savings and an elevated member and provider engagement experience using our cloud based engagement services in GenAI.

Here, the key level is GenAI. And so we are proposing a GenAI powered cloud-based engagement solution. And we are committing to a 25% to 40% savings across members, brokers, and provider interactions. The way these savings would be generated is through the use of GenAI. And GenAI will help us contain some of the transaction, which means humans will not be required to deal with some of the transactions. It'll be completely automated.

And for those transactions that humans will deal with, it'll also help us in generating productivity improvement through Agent Assist. And the deal construct in this is an upfront commitment on savings. Like I said, 25% to 40%, depending on the various queues. And the way, the deal construct works is while we will charge the client a certain rate for transactions handled by humans, the AI agents, will also be charged at a different rate. And that rate will be a fraction of the cost, that we charge for a human process transaction. So this is an example where GenAI is the primary driver of the cost savings.

And where also you can attribute a specific revenue to GenAI, like I said, we will charge the work done by AI agents at a different rate from human agents. The third example is very different. This is for helping a client increase the revenue. And in this instance, we are proposing a solution. We are stitching together a solution which involves both technology and services.

So this is for another for a national Payer, who currently provides B2B services for health benefit plans, health benefit companies, and other health plans.

They currently provide provider network and claims repricing. They want to sell additional services to their clients by taking over services like Provider payments and Provider engagement. So they came to us and asked us if we can design a solution to help them get into those new service lines. And so with the technology partner,

we will provide data aggregation services and this technology partner will help us integrate with our CRM solution so that we can provide both technology and operational services like this provider payments and engagement.

In this case again, we are going to charge the client on a PMPM basis. And this PMPM will cover both our platform and operational expenses. So the first phase is stitching together the solution and delivering this on a PMPM basis.

And then there'll be a Phase 2 where we'll again use GenAI to further improve efficiencies of these operational services and deliver further savings to the client.

So just wanted to give you a flavour of the different kinds of engagements that we are getting into where GenAI and other transformational capabilities are playing a very key role. And the key theme in all of this is the scope of these engagements is much larger than the traditional service models where client used to just outsource one part of the service.

And so now these are more complex. These are more end-to-end. And transformation is a key part of all of these deal constructs. Let's move to the next slide, please. The first time we are also introducing a dedicated section that showcases our expertise through a selection of case studies, white papers, solution videos, and, expert talks.

We won't place all these videos here. But I strongly encourage you to go to our website and take a look at some of our solution videos. They'll give you a flavour of some of our AI offerings, including AI enabled virtual agents and nurses that we've spoken to you in the past, which are driving better productivity and engagement across our client operations.

They showcase how Sagility is leveraging advanced technologies to deliver measurable outcomes and transform service delivery. We've also showcased the solutions at leading industry events and webinars, such as the AHIP webinar featuring our Sagi360 and our co-market solution with Availity.

These platforms allow us to demonstrate the power of our AI driven solutions and share insights on what's new and what's next for 2025.

In addition to the 18 use cases that we spoke about last quarter, I'm happy to announce that we've successfully now deployed 25 distinct AI use cases across nine clients. So before I hand over the presentation to Srini, let me summarise by emphasising a few themes.

Our focus on execution remains steadfast, supported by the ongoing strengthening of our AI and technology capabilities. These have helped us deepen engagement with existing clients and extend our reach into the mid-market space. We will as always pursue acquisition selectively. And in those acquisitions, we seek to not only enrich our capabilities, but also expand our market access.

Looking ahead, we expect to sustain organic growth in the low to mid-teens in constant currency. We had earlier guided annual constant currency growth of 20% and an adjusted EBITDA of 24% plus. But now given the good momentum that we are seeing, I'm pleased to increase the revenue guidance in constant currency to 21% plus and an adjusted EBITDA guidance of close to 25% for the full fiscal FY 2026.

Our healthy cash generation will continue to fund investments in AI and tech capabilities and position Sagility strongly for the opportunities ahead. With that, let me hand over to Srini to walk you through the financial performance. Over to you, Srini.

Sarvabhouman Srinivasan: Thank you, Ramesh. Hi, all. Like Ramesh had shared these numbers earlier, we have got robust revenue growth and solid margin performance and good PAT performance as well. Cash conversion has also been good. DSOs stood at 78 days, which is, one of the best considering that we have significant credit period. And the key takeaway in this slide is 25% plus growth in INR terms, both in revenue as well as in adjusted EBITDA.

Next slide, please. This slide t

alks about the seasonality, where we have always said that the H1 in our business is slightly lower than the H2. H2 is where we have the open enrolment season. So we have just tried to depict the

last two years out of the last 9 quarters movement, and you can actually notice that there is increase between Q2 to Q3.

So we are expecting a better Q3 compared to the previous year. And also sequentially, there is likely to be a growth. Our Q3 as I said has got open enrolments and BroadPath contributes to the member acquisition business.

So that is also likely to accelerate in Q3. If you notice, we have actually added between Q1 to Q2 of last year, Q1 FY 2025, I'm referring to the top right two boxes. We have an increase in headcount of close to 2,500. As against that, we have added close to 4,300 people in this year. And that's the reason why I'm bullish about how the performance is likely to be.

Next slide, please. This is more a longer term view of how Sagility has performed. And besides FY 2024 and 2025, we have also tried showing how our revenues have grown on a trailing 12-month basis. That is for the trailing 12 months ending September. You can see solid growth in revenues, in adjusted EBITDA as well as in adjusted PAT. And this growth is not just in dollar terms, it is also not just in INR terms. It's also in dollar terms.

And the primary reason is the reduction in the interest costs and also the reduction in the amortisation expense that is driving higher PAT growth. And please note that the adjusted EBITDA is excluding other income. Next slide, please. These are some of the financial indicators that we have been showing.

In the trailing 12 months, we have the adjusted EPS stands at 2.15, as shown here. And EPS is constantly growing. That is what I would want to bring to. Even the reported EPS stands at 1.71. We'll come to the details on the cash conversion, but before that, ROCE is stable at 50% plus and we didn't have any debt repayment in this quarter, but there is a scheduled repayment which is happening in H2 more towards the end of Q3 and beginning of Q4.

So we have a repayment and this schedule has already been provided to you. And a cash conversion has been fairly good, I would say in the sense. And you will actually see a reduction in OCF primarily on account of two factors. One, we had close to about \$6 million of unrealised gain. So that's not adding to the cash. And two, we also had advanced tax payments of close to \$19 million. And \$19 million that includes for both Q1 and Q2. For Q1, we paid that money only in July.

And also Q2 was also paid in September. So the tax payout happened for the full H1 in this quarter. So that's another reason as to why there has been a cash outflow resulting in a lower cash conversion. And if we exclude the other income, especially with respect to the unrealised effects, the cash conversion for H1 should have stood at 74%. Next slide, please.

This is a P&L format, sharing all the numbers in one comprehensive view where we have shown sequential quarter growth as well as comparison over the previous years. And also, we have shown the half yearly performance.

Nothing really to call out, other than, I would say a solid operational performance with clear focus on cost management and prudent use of cash and overall good performance.

Next slide, please. Here are the adjustments to the EBITDA. For some of the new investors who have joined, we do have a difference between our reported EBITDA and adjusted EBITDA and there are three reasons for that. One is on the earn outs that the acquisitions that we have made, there are adjustments that are shown as expenses. And we have as Sagility, we have made three acquisitions.

One is the payment integrity business, one is the BirchAI, and the other one is the BroadPath. So had these been paid upfront as cash, it would have gone out as a purchase

se consideration. But these are deferred purchase consideration, which are primarily to retain key employees of the acquired entities and hence these are routed through the P&L. The second adjustment, adjusted B that you see on this are pertaining to the share based payment awards.

These are shared appreciation rights given to some senior leaders in the team, and this will be honoured directly by our parent company, Sagility BV and not the current company. And though these flow through our P&L, these are not a liability or a cash that will be settled by this company. It will be settled by Sagility BV, our parent company. Like we have explained in the past, this just flows through the books, but it is not a liability or a cash out flow or not going to dilute the shareholders' interests.

The third adjustment, that you see on the EBITDA is the FX gain adjustment. We have started showing adjusted EBITDA other than other income. So, this time, since the rupee had weakened significantly and so did Peso, our adjusted EBITDA is lower than the reported EBITDA.

We have also shown the bridge on the right hand side between the reported and the adjusted for half years. On the PAT, that is besides the adjustments that I had mentioned as adjustment one and two towards the earn outs and share based payments, we also have adjustments towards amortisation of intangibles.

I know this is a repeat, but there are some new investors. So, then this business got acquired. The excess of cash paid over the purchase consideration was there was a purchase price allocation that was done and

significant portion of, close to \$265 million was treated as amortisation of intangibles towards customer relationships in the U.S. which is continuing.

And every year, we have close to about \$16.5 million of charge as it has a 16 year life. So that's the adjustment. Moving on to the next slide, please. These are some of the go forward positions. As I said, we have a repayment of debt that is likely to happen in the last quarter of this year. And by end of next fiscal, the entire debt will be cleared. This is an external commercial borrowing at 8% coupon rate from the parent company, and these are rupee denominated loan. So this has a structured repayment pattern. As per the RBI norms, it has to stick to the average repayment period, and that's exactly what it is. And these interest rates are competitive and you guys know it better.

Like I said, the share-based payment awards that positions are also given. This we'll get over by FY '29. The earn outs on DCI, Birch is also likely to get over, bulk of it will get over by this year itself by end of March and these are, anyway, contingent upon conditions. So, we have made sufficient provisions and we'll ensure that appropriate action will be taken.

The last two intangibles that I had explained. The one intangibles that you see as A, is the bigger one, which is the \$16.5 million of write off towards the customer relationships in the U.S. The second intangibles B, are largely the intangibles that this company has created on account of acquiring companies like the DCI, which is the payment integrity business, BirchAI, and BroadPath. Next slide, please.

Moving on to balance sheet. No major, call out. Things are robust, stable. We have made the right investments wherever it is required. Despite a reduction in the borrowings that you would see, our cash position has improved. Next slide, please.

This is the cash flow, where we have compared the previous years, full year with the first half of the year. Most likely, the run rate, we will hit or marginally exceed the cash generated compared to the previous year, and that's because in the previous year, you will see the fourth row, you'll see, we had almost INR 48 crores of tax refunds, whereas, in the previous year, that had actually helped and the taxes paid were net of refunds,

so we had INR 48 crores there. Whereas, this year, we don't have that.

Our additions to fixed assets have been very prudent, and we have consolidated some sites, which has actually helped us in an optimising operational cost. And nothing really to call out there. So broadly, overall, an

operating cash flow we had generated close to INR 558 crores or INR 5,585 million. And our free cash flows were at INR 4,776 million .

I'll just pause here so that you can absorb. And if there are any specific questions, we'll be happy to answer later. That's all I had. Thank you.

Question -and -Answer Session

Siddharth Rangnekar: Thank you, Srin. Participants who wish to ask a question, kindly click the raise hand icon at the bottom of your screen. We will wait for the questions to assemble. We take the first question from the line of Manik Taneja of Axis Capital. Manik, your line has been unmuted

Manik Taneja: Thank you for the opportunity, and congratulations for a great performance in the current quarter. I just wanted to get your sense on two things. Given that the BroadPath business also is largely linked to the open enrolment business, do you think the revenue seasonality will probably be much higher this year compared to what we've been accustomed to in the prior years?

And similarly, from a margin standpoint, if you could call out the different percentage on margins for second quarter FY '26. And once again, given some of the growth leverage that you will enjoy in the third quarter. How should we be thinking about the margins playing out in the near term? And while you've increased year outlook for margins for FY '26, it would be great to understand how are you thinking about margins over the medium term? Those would be my questions. Thank you.

Ramesh Gopalan: Hi, Manik. Thanks for your questions. First, on BroadPath, yes. Like we mentioned, when we acquired BroadPath, a substantial part of the business is towards helping clients acquire newer members during the AEP for Medicare, right? So and that seasonality for them is more pronounced in Q3. Whereas our open enrolment traditionally was a little more pronounced in Q4, right? So to that extent, yes. Q3, is likely to be a bigger quarter for us. And, like I said, the AEP season has kicked off from the 15th of October, and there's a lot of action going on as we speak.

So, yes, the contribution of BroadPath or the seasonality. If I just look at BroadPath's revenues, their seasonality is heavily skewed in Q3, and their revenues actually dropped in Q4. Whereas, the traditional Sagility's revenues are both, high both in Q3 and Q4. But Q4, traditionally, is a slightly better

quarter for us than Q2, right? So that both those effects will basically mean Q3 and Q4 are both likely to be good quarters for us as a whole.

Your second question on margins. Like I said, we've kind of given the momentum we are seeing. We've increased our adjusted EBITDA margin to closer to 25%. However, look Q3 while the contribution from BroadPath will be higher as a percentage of our overall revenue. And as you know, while it is seasonal and likely to generate better margins for BroadPath than other quarters. As a whole BroadPath margins, as we've discussed in the past are much lower than Sagility's margins, right? So the higher proportion of BroadPath revenue might dampen the margins a little bit in Q3. That's why we are guiding more of a 25%, for the full year. Otherwise, if you look at our Q1 and Q2 performance and look at a traditional Q3, Q4 performance, it could have been even higher, right? But BroadPath's outsize contribution in Q3 will dampen margins a little bit.

And then the medium term question that you asked. Look we broadly maintain that our margins will be in the 24% to 25% range. When we are acquired

BroadPath, given that the margins were lower, we did say that it'll dilute our EBITDA margins anywhere betw

een 120 and 150 basis points, which is happening as we speak. It is not reflecting the overall margin because the underlying the traditional business is being more robust. Some of the cost initiatives, like we mentioned are playing out. Some of the transformation that we are doing, like I've historically said, while a large part of the savings from those transformation we pass it back to the clients. We also manage to retain some part of those savings. And that's also helping us improve our margins.

So overall, I would continue to be bullish on margins. We'll guide closer to the start of every fiscal year. But I would think the 24% to 25% range would be at least our baseline goal, even in the medium term.

Manik Taneja: Sure. Thank you, Ramesh, and wish you all the best.

Ramesh Gopalan: Thanks, Manik.

Siddharth Rangnekar: Thank you. We take the next question from the line of Ruchi Mukhija from ICICI Securities. Ruchi, your line has been unmuted.

Ruchi Mukhija: Thank you for the opportunity, and congratulations on good set of number. I truly appreciate your disclosures on AI. I have couple of questions here. In the AI case studies that you disclosed, from existing client you promised 20% saving. For a regional client they were 25% to 40% saving now committed. Is

that a secular trend that you see more savings in new account versus existing? Is this some trend we see?

Ramesh Gopalan: Thanks Ruchi for your question, right. So in this case, I mean, first, I might not have been very clear. All these case studies are with existing clients, right? So it's, even case two, is for an existing client. The nature of savings depends on the kind of work that we are doing, and also on the scope of work, right? So this is, the second client, the savings are much greater. Because the use case for GenAI there, we believe is likely to generate a much greater cost savings than in case one .

Secondly, in the second case, while the bulk of it is GenAI, when we look at the overall scope, there is also some re-shoring that might happen. So we might be able to also provide the client some saving by moving both from higher cost to low cost geographies as well. But bulk of those savings come from GenAI. And GenAI based savings are likely to be different depending on the use case where we deployed.

Ruchi Mukhija: Okay. You talked about difference in pricing between AI agents and FTE. Could you now help us understand, quantum of the difference even qualitatively?

Ramesh Gopalan: That's a good question, right? So if in engagements, for example, I'm just on the flight trying to give you numbers. It depends on where the human agent is currently working from, right? So if you take a traditional offshore geography, the broad math would be an AI agent could probably be anywhere between 25% to 35% of a human agent. Whereas the same AI agent, if the human were to be based onshore, could be as low as 10% to 15% or 10% to 12% of the human agent, right?

So it depends on, what base you're comparing with whether the human agent is onshore or offshore.

Ruchi Mukhija: Okay. The last question is for Srini. Could you quantify how much was the currency led tailwind in the current quarter to our operating margins?

Sarvabhouman Srinivasan: The average FX rates in Q2 was much higher than the Q1. The impact was almost 1.1% improvement in adjusted EBITDA close to about 6 million.

Ruchi Mukhija: Thank you. All the best for the future.

Sarvabhouman Srinivasan: Thank you.

Siddharth Rangnekar: Thank you, Ruchi. We take the next question from the line of Chirag Kachhadiya from Motilal Oswal . Chirag, your line has been unmuted. You can go ahead.

Chirag Kachhadiya: Yeah. Hello. Congrats on a good set of numbers. Just one question. You mentioned, during the quarter, we have benefit of AI into our margins. So if you can quantify like, what benefit in terms of this

point we have due to

Generative AI or other efficiency led measures. And also, if you can clarify like, what pass on from this benefit we have given to the clients. That's all.

Ramesh Gopalan: That'd be very difficult to give a specific number saying how much did AI help in improving the margin, right? So the overall reason why I gave some case studies is also to help all of you understand how GenAI , not only how are we using GenAI in deal constructs, but how commercially it also plays up, right?

If you look at my three case studies, case study one also used GenAI, but it'll be very difficult for me to say what revenue did they generate purely from GenAI, because it's not a completely automated transaction. It is assisting humans improve their prod activity, right? So it's very difficult to kind of attribute specific numbers.

In case two, yes, some portion of the revenue could be attributed directly to GenAI, because I'm charging separately for a GenAI based transaction where there are no human involvement, right? So in our business, it's not very easy to very specifically quantify that this is the revenue that GenAI is either generating or this is the savings that I'm making purely because of GenAI.

Chirag Kachhadiya: Thank you. We take the next question from the line of Abhishek Kumar of JM Financial. Abhishek, your line has been unmuted.

Abhishek Kumar: Good evening, and congratulations on a good quarter. My first question is on the ACV number that you have started disclosing for last two quarters. I just want to understand what to make of this, because what you were disclosing is, \$32 million to \$34 million ACV per quarter, while our quarterly revenue run rate is now close to \$190 million. So, is it just the net new and this will result in incremental revenue, as we move forward, or I mean, just a definition of ACV will be helpful.

Ramesh Gopalan: Yeah. So thanks, Abhishek, for your question. Yeah. So, essentially, ACV is annual contract value, right? So and what we are disclosing is additional revenue, right? As you know, in our business, bulk or almost all the revenues

is recurring revenues. So we don't include any renewal of contracts in this number. So all of these wins are essentially incremental revenues.

And in the normal course of business, \$32 million ACV should generate \$32 million over a period of four quarters, and it should be recurring year -on-year, right? However, one caveat to that is in our business, I mean, ACV is a little indicative, right? So client might commit to giving us a certain proportion of their business, which could mean certain volumes. But these volumes are not cast in stone, right. So the volumes can go up, volumes can come down. So it's not a very hard coded ACV number. So this is the directional ACV number based on the scope of work that the client has committed. But, it could go up or come down.

But broadly, yes. This is the revenue that these new deals will generate over the course of the year. And then, it's likely to continue to recur in future years.

Abhishek Kumar: Sure. And given there is, ask from your client to pass on productivity, AI, or otherwise. As you've indicated earlier, some part of this. So, I mean, it's not as simple as \$120 million gets added next year, and so your revenue will be

higher by \$120 million. There will be some deflation on the base business.

Ramesh Gopalan: Yes. That is also true. And also, look, what I want in Q1, I will start generating some of that revenue in Q2, Q3, and Q4, right? So it's not going to be directly additive only in the next year. Part of it will flow through in the current year's growth as well.

Abhishek Kumar: Okay. One last question. I think last quarter, Ramesh, you mentioned that, when you talk about low-to-mid teens growth, you also build in 1.5 odd percent of AI-led deflation every year. That's big then. And now, since you have

started using AI to get more business from the three use cases that we saw today. Do you think that calculation, needs a rethink, and now we can actually at least that 1.5% will go away? Any thoughts on those lines? Thank you.

Ramesh Gopalan: Yeah. It's a good question, Abhishek. Again, look, it's a mix of things, right? Even in the use cases that I spoke about, I'm taking a certain portion of the work that I'm already doing. The scope is being increased by either adding upstream processes to that or adding more volumes to what I already handle, which is basically means clients giving me some of the work that they are already doing.

On the whole portfolio, I'm committing a savings, which means a portion of the work that I'm already doing, I'll be cannibalising a part of that revenue. But

I'm replacing it with additional work that the client is giving, right? So it's always going to be a mix of that when I'm dealing with existing clients. Of course, when I go to a new client and I pitch a completely new service and I bundle the upfront cost commitment, then I will reflect it in the ACP values that I recognise. And so that is not going to be considered a cannibalisation.

But with existing clients, there's going to be a mix of cannibalisation plus additional work that I get. So, I don't know if that's what you are hinting at, but so the cannibalisation will still continue to be there. What percentage, it's going to be is obviously we'll have to wait and see how it plays out. But even this year, there is cannibalization one, because of all of these technologies transformation.

But in our business, there's also cannibalisation when we don't lose work, but the client suddenly asks us to move certain piece of work that we're doing for them from an onshore geography to an offshore geography, right. We retain the same business. We retain the same SOW. We retain the same volumes. But now I'm delivering the same piece of business rather than which I was delivering at \$100. Now I might be delivering it at \$60, right? So there are various forms of cannibalisations that happen in our business. And so the growth that we ultimately put out is net of all of those cannibalisations.

Abhishek Kumar: Sure. That's very insightful. Thank you and good luck.

Siddharth Rangnekar: Thank you. We take the next question from Raj Vyas of Motilal Oswal. Raj, your line has been unmuted.

Raj Vyas: Yeah. Hi. So, first of all congratulations on a very good set of numbers. And, in terms of your slide with respect to the excise, this 25%, this tax. So wanted to understand if it gets implemented or something, we will definitely have a margin compression. So, if we can give some numbers, if it gets implemented, then how much of the if it gets affected on the margins for Sagility?

Ramesh Gopalan: Look, it's not that something we will absorb completely, right? So this is going to play out. First of all, I mean, upfront, I want to say the likelihood of, something like this getting implemented is low. But, yeah, nothing can be ruled out. This is not specific to, firms like us. It's going to impact every outsourcing business, including IT services and firms like us. And thirdly, we deliver from multiple geographies. Is this going to play out? Is it going to be the same level for all geographies? Is it going to be different? We don't know, that also. And, fourthly, to your point that all of these costs will be absorbed by us

is also untrue.

So we will have to sit down and negotiate with each client. Obviously, there'll be some amount that we may have to absorb and some we may be able to pass on to clients. So it's going to be a mix of all of that. So at this point, I don't have a specific number. But, if it looks like, this is something that'll pass, we will come back with a more definitive number.

Raj Vyas: Okay. Secondly, as we have mentioned in the previous concalls as well that, Q3 and Q4 are the seasonally typically the best, at the strongest quarter due to this U.S. open enrolment cycle and Medicare advantage sales. So how we are looking forward for the next H2 FY 2026 and also I've missed the revenue guidance that you have mentioned. So could you please share that as well?

Ramesh Gopalan: Yeah. So let me give the guidance, right? Previously, we are guided to see the organic constant currency growth of low to mid -teens is a range that we are still committing to. That's the same numbers we had given earlier as well. But combined with BroadPath, we had said, we'll be north of, we we'll do 20%, is what we had guided. Now we are saying we'll probably do 21% plus. So we are increasing that by 100 basis points or more.

Raj Vyas: And the question with respect to, the seasonality as Q3 and Q4 are typically, seasonally good. So how we are looking for the H2 FY 2026? Can you throw some light on that?

Ramesh Gopalan: Yeah. We discussed that, right? So BroadPath will have a seasonally strong quarter in Q3. And, Sagility also will have a better H2 compared to H1. So if you look at historically our business, if you look at the revenue split, it's roughly 53% to 54% in H2 compared to a 46% to 47% in H1, right. So that's the typical split of our revenue. So that will continue for us, and that's pretty much, what will be the case for BroadPath as well. But in BroadPath's case, it might be even a little more skewed. I don't have the exact numbers, but the 53:47 or 54:46 that I'm talking about for Sagility. For BroadPath, the skew might be even a little more.

Raj Vyas: Okay. So thank you. And, that is from my side.

Ramesh Gopalan: Thank you.

Siddharth Rangnekar: Thank you, Raj. We'll take the next question from the line of Rishi Jhunjunwala from IIFL. Rishi, your line has been unmuted.

Rishi Jhunjunwala: Yes. Thank you so much. So firstly, in your past experience of years when there has been significant INR depreciations, in the following years, how have clients reacted to it? Have you been asked to pass on the benefits of currency to them in any formal manner, or do you think they generally do not interfere with currency movements, when it comes to year end or year beginning pricing for the next year? How have various cycles of, and our depreciation played out for us?

Ramesh Gopalan: Hi, Rishi. Yeah. Good question, right? So in our business, two things I will comment, right. One, clients all of our contracts are negotiated in U.S. dollars. And as a rule, I can't think of any client where we have a COLA clause for any of our offshore delivery, right? So clients don't pay a COLA. So, essentially the cost is, their cost is spent in dollars.

And so they do understand that given the inflationary impact in some of our delivery geographies, currency movement is a lever that we need to use to tackle those inflationary impacts, right? So typically, most clients deal in U.S. dollars. But then given like we've discussed, given all of the transformation levers in play, they're constantly looking to a cost reduction from their current dollar pricing.

So they always deal in dollars, and they also don't get involved in cost of living adjustments in offshore geographies.

Rishi Jhunjhunwala: So, sir is it fair to assume that, the fact that most of the companies across IT services and BPO services are incrementally facing pressure on AI productivity to be passed on to the customers. This rupee depreciation will help offset some of those pressures. And as a result, the impact on absolute EBITDA on that in future years may not be as accentuated if rupee remains stable?

Ramesh Gopalan: Look, the rupee depreciation is not a new thing, right? So the rupee depreciation has been happening over the years. And like I said, some part of it helps us overcome the cost increases especially in our business, salary increases e

very year has to come out of that. But to a large extent, we rely also on efficiencies that we generate in our operations to fund the rest of the gap. We don't just rely on currency movements to retain stable margins. We also focus a lot on efficiencies, right?

And like you said, AI helps us is another lever for us, right? Rather than just, operational efficiencies, which is more staffing efficiencies and other productivity improvements. Today, I can use AI to also generate additional

efficiencies. Granted, I can't keep all of it to myself. My clients want a large part of it. But I still can't retain a part of it to offset the cost increases, right? So and remember, I operate from multiple geographies.

We always think of depreciation from a rupee point of view. We've had several years where the Philippines pesos appreciated with respect to the dollar, right? And we still have to manage that and still try and keep our margin stable, right? So yeah, I mean it's a play involving a number of currencies that we have, Jamaica and so on. Yes. In some years, it benefits us. In some years, it cannot benefit us much. But our constant endeavour is, is not just to rely on currency, but also on our own internal efficiencies.

Rishi Jhunjhunwala: Right, sir. Thank you. The other question is on capital allocation. So now you've announced an interim dividend. How do we think about capital allocation slightly from a medium term perspective? Do you think that the quantum of dividend is going to sequentially improve? And is there a particular payout that we should expect, say, one year, two years, three years down the line?

Ramesh Gopalan: We haven't specifically pegged a percentage of our earnings or cash flows, right? So first of all, we want to just directionally give the message that, we want to start paying dividends. But as you know, we still have debt on our books. We still are keen on doing M&As. So we want to make sure that we have cash left to be able to do all of that. So directionally, yes. We will pay dividends. And as we extinguish debt on our books, the quantum of dividends is likely to go up.

Rishi Jhunjhunwala: Understood. And one last question in terms of demand, we are one of the few companies which are effectively have increased our revenue growth guidance now versus where we were at the beginning of the year. How much of that do you attribute to the underlying demand being better in the areas where we operate versus us potentially executing better either from a wallet share gain perspective or from a client addition perspective?

Ramesh Gopalan: Good question, right? So look, wallet share, like I said in our business doesn't happen, that often. So, I would say our growth isn't coming from taking mainly taking wallet share from others. The biggest thing is and we've said this many times. The market is going through a lot of change, right? Our specific clients in the health care industry, especially payers, a lot of them are going through profitability pressures.

So today, the focus is how can you help me take out more cost from my

operations, right? And so we are seeing clients more open to talking to us on larger deals, right? So if you're willing to give me a commitment, like the examples we gave, if you're willing to take out 20% cost or 30% cost, I'm willing to give you a larger portion of the pie.

I mean, in fact, in some of the processes, I'm willing to give you the full pie. And most of the time, the full pie basically means work that they are currently still doing, internally, right? And so that's what we think is playing out that improves our revenue growth, right? So and obviously, we're adding more clients as well. But as you know, in our business, initial years, the revenue contribution from newer clients is very small.

So I wouldn't say a large part of the growth is coming from the new clients that we're adding, but

they'll of course help us grow in the subsequent years. But a large part is also coming from clients willing to look at larger deal constructs, because they're under pressure to take pass out.

Rishi Jhunjhunwala: Understood. Thank you so much, sir. All the best.

Ramesh Gopalan: Thank you, Rishi.

Siddharth Rangnekar: Thank you. We'll take the next question from Vams hi Krishna of Kotak Securities. Your line has been unmuted.

Vams hi Krishna: Congrats for the strong quarter. So just, Ramesh, just wanted your thoughts on the examples that you have given. Say, some of the larger mature outsourcing you have committed slightly lower of course, material savings. Whereas for some of the regional players, the savings seems to be slightly higher. So is there a flavour in terms of, say, the size of or the scale of clients to where the savings will be different?

Or is it, across various service lines, the extent of savings will be different? And then I have follow-up.

Ramesh Gopalan: Yeah. So, yeah, I mean, Ruchi asked the same question, right? So I mean, see, mature you're right. In a certain sense that mature clients have exhausted a lot of the traditional levers available to them in terms of cost takeout, right, both in terms of sending the work to the best geography where they'll get the most cost advantage, using traditional tools like RPA, and other forms of automation.

So all of that is exhausted. So anything incremental that we generate is through things like AI and so on. So the overall quantum may be slightly lower. But the answer is still it depends on the current process that we're looking at and whether some processes are amenable to complete automation, right?

So if you can, if in a given process, if you can even take 20% of the transactions and 20% or 25% and completely automate them and then generate a productivity increase of 15%, 20% of the balance 75%, 80%. Then you get to the 30%, 35% cost saving number, right?

So ultimately, it depends on the process that you're looking at, what percentage can be completely automated, what level of efficiencies can you generate in a human centred interaction. And also the level of maturity, right? When you do a combined deal to your point, there might still be other traditional tools that you could employ, that you could deploy to generate additional savings.

There could still be some incremental shoring gains that you could get. So those may be possible in slightly less, mature cases. Whereas in more mature clients, the opportunities for those traditional funds may not exist.

Vams hi Krishna: Just please say so, the processes, what I understand is that maybe claims processing or say, network management, there can be a little higher

disruption. So is that the right understanding, or, do you think there are other process or which are the process that you think will be relatively more resilient to others?

Ramesh Gopalan: Look, yeah, see even in claims, right? So, for example, even in the traditional claims, the productivity of how many claims I can do varies greatly from client to client, right? It all depends on the kind of systems, claims platforms that they use, how the y've configured those platforms, what are the processes, right? What are some of the unique processing guidelines they may have, right? So all of that depends, influences what the existing productivity is, right? And so when you may look at a scenario like that and you say, I want to implement AI, then the question becomes, given all of those complexities for this specific client, what is the level of efficiency that you can generate, right?

So even within claims across two clients, the cost savings that you could generate could be very different.

Vams hi Krishna: Got that. And maybe one for Sridi. Say, what is the reason for the increase in other financial liabilities? What does this involve?

Sarv

abhouman Srinivasan: Yes. Give me a minute.

Ramesh Gopalan: So, Sridi, can you answer the question?

Sarvabhouman Srinivasan: Yeah, yeah.

Vams hi Krishna: Other financial liabilities, which has increased from about ■300 crores to ■390 crores, so.

Sarvabhouman Srinivasan: Yeah. Vams hi, I'll get back to you. I'll get the details and get back to you.

Vams hi Krishna: Okay. Thanks.

Siddharth Rangnekar: Thank you, Vamsi. We take the next question from the line of Bhavik Mehta from JP Morgan. Your line has been unmuted.

Bhavik Mehta: Hi, thank you. So couple of questions. Firstly, obviously, we have been growing at around low to mid -teens from an organic perspective, and margins have been going up in the organic business. And we have seen some of your peers over the past couple of year s do some growth margin trade off where they want to accelerate growth and invest in the business, which comes at a cost of margin. So given at the scale where you are, is there a thought process in terms of, maybe accelerating the growth fro m mid -teens to maybe high 10% or 20% plus and maybe dilute the margins to an extent because that will help you scale faster, win more wallet share at a faster pace. I'm just curious to know how are you thinking about growth versus margins?

Ramesh Gopalan: Yeah. I get your question, Bhavik. Look, I don't think we're losing deals, because of our pricing and so on, right? So how much trade off do we really need to do on margins to grow? That's, I'm not fully convinced, right? But, I mean, to the question that people have asked me in the past with AI being able to generate more efficiencies that you can retain, are you going to constantly guide to a higher margin year -on-year?

And our answer has always been no. We're happy staying in the 24% to 25% range. We'd rather use that to grow our business than be focused on improving margins, right? So the improvement that you're seeing in the last couple of quarters is not a conscious e ffort of sacrificing growth and improving margins. It just so happens that, whatever we've been able to retain has helped us improve margins.

But, to your point, yes. We are happy being in the 24% to 25% range, but we will take all of the gains either in investing more in our capabilities or in

aggressively growing revenues.

Bhavik Mehta: Okay. Got it. This second question is, on dividend and good to see dividend announcement coming through. If I take like a three to five year view, is there a certain payout percentage which is there in mind which you'll be comfortable with given your M&A ambitions as well? Because typically, we see mid cap IT companies give a 40%, 50% as payouts as a percent of net profits every year. So is that something we should assume for Sagility as well based on that?

Ramesh Gopalan: At this point at the board level, we haven't narrowed it down to a specific number. But like I said, we just wanted to make a start and give a directional view that we will start paying dividends. But we'll come back to you in a subsequent quarter, Bhavik.

Bhavik Mehta: Okay. Got it, thank you.

Siddharth Rangnekar: Thank you, Bhavik. We take that as the last question. Thank you, members of the management. On behalf of Sagility Limited, that concludes our call for today. You may now log off the event.

Ramesh Gopalan: Thank you, everyone.

Sarvabhouman Srinivasan: Thank you, everyone.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Oct 2025

Date: October 31 , 202 5

To,

The Manager The Manager

Listing Department Listing Department

National Stock Exchange of India Limited (NSE) BSE Limited (BSE)

Exchange Plaza, 5th Floor Phiroze Jeejeebhoy Towers

Plot No. C/1, G -Block Dalal Street

Bandra -Kurla Complex Mumbai - 400 001

Bandra (E), Mumbai - 400 051 Scrip Code: 544282

Symbol: SAGILITY

Dear Sir/Ma'am,

Subject: Transcript of Investors Call held on October 29, 2025

In accordance with Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we are attaching the transcript of the Investors/Analyst Webinar held on October 29, 2025, which was conducted to discuss the unaudited financial results of the Company for the quarter and half year ended September 30, 2025.

This information is also available on the Company's website <https://sagilityhealth.com/>

This is for your kind information and record.

Thanking You,

For Sagility Limited

(formerly Sagility India Limited, Sagility India Private Limited)

Satishkumar Sakharayapattana Seetharamaiah

Company Secretary & Compliance Officer

M. No. A16008

Sagility Limited

(Formerly Sagility India Limited, earlier Sagility India Private Limited)

Registered Office - No. 23 & 24, AMR Tech Park, Building 2A, First Floor Hongasandara Village, Off Hosur Road, Bommanahalli, Bengaluru – 560068, Karnataka, India

Corporate Identification Number: L72900KA2021PLC150054

Tel. No.: 080-71251500, E-mail : investorservices@sagility.com, Website: www.sagilityhealth.com

Sagility Limited

Q2 FY26 Earnings Webinar

Wednesday , 29th October, 2025 at 7:30 PM

MANAGEMENT • Ramesh Gopalan - Managing Director & Group CEO

• Sarvabhoushan Srinivasan - Group Chief Financial Officer

MODERATOR • Siddharth Rangnekar – CDR India

QUESTIONERS • Manik Taneja - Access Capital

• Ruchi Mukhija - ICICI Securities

• Chirag Kachhadiya – Motilal Oswal

• Raj Vyas - Motilal Oswal

• Rishi Jhunjhunwala - IIFL

• Vams hi Krishna - Kotak Securities

• Bhavik Mehta – JPMorgan

Siddharth Rangnekar: Good evening, everyone, and welcome to the quarter two and first half FY '26 Earnings Webinar of Sagility Limited. This is Siddharth Rangnekar from CDR India, and I shall be your host for today. As a reminder, all attendee lines will be in the listen -only mode, and there shall be an opportunity for you to ask questions after the presentation concludes. Please note that this webinar is being recorded.

To introduce the management we have with us today, Mr. Ramesh Gopalan, Managing Director and Group CEO; and Mr. Sarvabhouman Srinivasan, Group Chief Financial Officer.

Before we begin, I would like to state that some of the statements made on today's discussion could be forward-looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the quarter two and first half, FY '26 results presentation that has been uploaded to the exchanges.

I would now like to hand over the forum to Mr. Ramesh Gopalan to begin the proceedings of this webinar. Over to you.

Ramesh Gopalan: Thank you, Siddharth. Good evening, everyone, and welcome to our Q2 and H1 FY '26 discussion. Let me give some opening remarks. In the first half of FY '26, we continue to demonstrate strong momentum across both Payer and Provider segments, underscoring the depth of our expertise and a proven ability to deliver at scale. The broader U.S. healthcare landscape continues to face ongoing challenges from rising costs, shrinking margins, and growing regulatory complexity. These factors are accelerating the industry shift towards digital transformation and operational efficiency.

In the backdrop of ongoing macroeconomic uncertainties, our client relationships remain very strong. And we continue to engage in deep collaborative discussions with our clients about future possibilities. And in turn, they continue to entrust us with a growing share of the transformational agenda. Our ability to serve as strategic advisors combined with execution excellence enables us to stay embedded in their growth and transformation journey, driving mutual value and long-term partnership continuity.

We are adopting a consulting-led approach to help clients modernise traditional delivery frameworks, harnessing next-generation capabilities and GenAI-based models to drive efficiency at a very large scale. Through this

consultative and technology-driven approach, we are enabling our clients to build resilient future-ready operations.

Now moving into H2 FY '26, the AEP or the annual enrolment period has just kicked off. And this is a very crucial season for our Payer clients. We've ramped up operations, and we are deeply engaged in supporting them through one of the most operational intensive phases of the year. Let's move to the next slide.

So now talking about our performance in Q2 and H1. We maintained our momentum building on the strong start to the year. Consolidated revenues for Q2 came in at INR 16,585 million or \$189.4 million. Marking a year-on-year expansion of about 25.2% in INR terms and 20% in constant currency. Organic growth was also strong registering 16%, year-on-year growth in INR terms and 11.1% in constant currency. This performance was supported by continued traction across both payer and provider segments with both of our segments contributing.

The payer business grew 24.2% year-on-year accounting for 88.5% of the total revenue mix, while the provider vertical delivered strong performance expanding 33.4% year-on-year and contributing 11.5% to overall revenues. Operating profitability remained robust with adjusted EBITDA at INR 4,352 million or \$49.8 million representing a year-on-year increase of 25.6%. So this EBITDA translates to an EBITDA margin of 26.2%, very robust. And this reflects our assertion that technology and transformation using levers like GenAI benefit not only our clients but ca

n also help us improve our margins.

It's important to note that our adjusted EBITDA excludes other income and forex gains. And this result highlights very strong operational execution and improved delivery efficiency. Net profitability also stayed strong. Our adjusted

profit after tax for the quarter stood at INR 3,010 million, up 84% year -on-year aided by strong EBITDA margins, higher forex gains, and declining finance cost. The consistent optimisation of our capital structure, including steady debt repayments, continues to strengthen cash flows and support investments in technology, analytics, and AI led transformation.

We switch to the half yearly results. We are pleased to report that H1 FY '26 registered a year -on-year revenue growth of 25.5% in INR terms and 21.4% in constant currency terms. And during the first half of the year, we recorded revenues of \$369.9 million, which translates to INR 31,974 million. Organic growth was also strong, registering 16.9% in INR terms and 13.2% in constant

currency. Half yearly adjusted EBITDA of INR 8,039 million grew 26% year -on-year, while our adjusted PAT of INR 5,007 million grew 62.4% year -on-year.

I'm also happy to announce that the Board has announced as approved , an interim dividend of 0.05 or 5 paise per share to be paid in Q3. So let me turn my attention now to the new wins. As of September 30, 2025, we have 82 active clients. During the quarter, we secured business from 24 existing clients, and we also added five new clients. The aggregate annual contract value won from new and existing clients stands at \$34 million.

Some sample client wins include out of these five, there is a regional Blues plan, a provider of home medical supplies and equipment, and a regional health care organisation which offers integrated clinic -based services along with a health insurance plan. BroadPath, as you know, our focus continues to be on cross sell to BroadPath clients.

In Q1, we reported our first cross sell win secured from a subsidiary of a large national Payer . And we are very pleased to announce that we have secured an incremental SOW from the same client. And in addition to that, we've also won a claim, SOW from a mid -sized health plan that serves small and medium -sized businesses. We continue to see good momentum in our cross sell discussions with BroadPath clients, and we have already submitted several proposals in the first half of 2026.

Industry recognitions. I'm happy to state that Sagility has recently been recognised for our commitment to excellence and a people first culture. We've earned the great place to work certification in India, a testament to our strong workplace values and employee engagement. Additionally, Sagility Philippines has been honoured as the winner of the Asia CEO Awards 2025, the Service Excellence Company of the Year. These achievements reflect the dedication of our teams and our unwavering focus to deliver value to both our clients and our people.

At the end of the quarter, we had 44,185 employees across the five countries and also a skilled team of operation specialists, clinicians, and technologists. The deep domain expertise continues to drive impactful outcomes for our Payer and Provider clients. Annualized attrition remains steady at 26.3%, and it's consistent with the last year's trend. Our growth has been matched by strong hiring momentum and stable retention, demonstrating the maturity of our delivery model.

We are leveraging AI not just in the work that we do for our clients, but we are also deeply committed to building a future ready workforce. We are investing in Agentic AI powered learning platforms to drive faster personalised up -skilling across both healthcare and technology domains. This AI enabled adaptive learning ecosystem is designed to enhance workforce capability, support retention, and prepare our teams to lead through transformation.

Next slide, please.

Yeah. These are the standard KPIs that we've reported in the past. So you can take a look at our client distribution and so on. But we'll come to the market updates. We started giving you market updates every quarter. And so let's talk

about some of the changes in the last quarter. As you know, this tariff discussion has been going on for a long time. It's kind of normalised as a long-term policy measure.

So if you look at the impact on our clients' payers and providers, the tariff driven increase in the cost of imported medical equipment, pharmaceuticals, and so on is impacting our Provider clients more than that of the Payers. And there is no tangible impact to us, in terms of the implication of these tariffs.

The other big change is the marketplace integrity and affordability final rule. So according to this, Payers must upgrade eligibility enrolment and compliance systems and meet stricter verification and reporting rules. So there is a few of that, people focus on the ACA market will start to see reduced membership and premium inflows. But as we've already told you, our exposure to this market segment is very low. And so we don't think, it'll have a substantial impact on us.

In addition, we are well positioned to support payers in their increased demand for automation led eligibility and enrolment validation. Providers will also see shifts in patient coverage. They'll require tighter eligibility checks and revenue cycle vigilance.

The third that we wanted to talk about is the higher act. Many of you would have heard about this. This will have impact across the outsourcing ecosystem, both IT services, and companies like us. There's a proposal to charge a 25% excise tax on outsourcing payments to foreign entities for services to U.S. customers. But this bill, so far hasn't passed either the House or the Senate. But the implication if something like this were to pass, and which is happening even without this is that Payers and Providers are looking at taking out cost, adopting a more technology driven solution to run their operations. And even if the tax were to be imposed, the offshoring benefits

that clients get would more than compensate this excise tax that would be imposed.

And lastly, the H-1B policy, many of you know of these announcements and the subsequent changes. As a company, we have very little exposure to this H-1B program. In fact, we have a large employee base in the U.S., and over 99% of our employees are either a and most of them are citizens and a few of them are green card holders. So between these two categories, over 99% of our employees are covered. So this isn't something that is going to be a major impact to us. Let's move on to the next slide.

So we wanted to cover something different today, right? So since our IPO days, the constant question that most of you have asked us is around GenAI. So what is the impact of GenAI to our business? And we've openly acknowledged that GenAI is going to be transformative. It is going to result in some revenue cannibalisation. However, we are also investing in GenAI use cases so that we can deliver significant value to our clients. And we believe that this will help us grow our revenues from both existing and new clients.

Some of you have come back and are saying, okay, if that's the case, how do you think this will play out? And so we thought we'll take the opportunity today to walk you through some of the deal constructs that we are currently working on. So that you can have an understanding of how GenAI is embedded in all of these deal constructs and how it plays out, when we go to market.

So we've given three case studies here. These are active deals that we're working on. The first one is the transformation space. In this, the key, is our domain expertise. The fact that we understand the payer value chain end-to-end. Using domain expertise is the

key but then applying GenAI as a lever to take out cost that's what this case is all about. So this is for a large national Payer, who has already used traditional levers like offshoring and automation. And they are now gotten whatever savings that they can get through these traditional means. They wanted us to unlock further cost savings through next

generation levels.

The solution that we proposed, what we call transformation in place. This is essentially first process engineering in terms of looking at the whole end-to-end process. While we were just doing claims for this client, we are looking at some of the upstream processes, which also result in additional work on the claim side. We're using operations, analytics, process reengineering, and GenAI to deliver an additional 20% savings to the client.

So in this specific case, while we are already doing some of the work for this client, the addition of upstream processes will more than compensate the savings that we are committing to the client. And because we are doing an end-to-end and a large savings commitment, we are also likely to take wallet share of some of the work that are being done by other service providers.

The deal construct here is, no more the traditional FTE or transaction rate, but it's more of a per-member-per-month or what we call PMPM. And so, we'll charge them on a PMPM basis. And any savings that we generate, there's a gain share model by which clients will get to retain a large part of the benefits while we will also get to keep some of the benefits. So that's one example of how domain expertise and both GenAI are leveraged to create a more end-to-end solution to generate cost savings. The second example, the example in the middle is one of transformation in an engagement services work. And this is for a regional player who wanted to achieve substantial cost savings and an elevated member and provider engagement experience using our cloud based engagement services in GenAI.

Here, the key level is GenAI. And so we are proposing a GenAI powered cloud-based engagement solution. And we are committing to a 25% to 40% savings across members, brokers, and provider interactions. The way these savings would be generated is through the use of GenAI. And GenAI will help us contain some of the transaction, which means humans will not be required to deal with some of the transactions. It'll be completely automated.

And for those transactions that humans will deal with, it'll also help us in generating productivity improvement through Agent Assist. And the deal construct in this is an upfront commitment on savings. Like I said, 25% to 40%, depending on the various queues. And the way, the deal construct works is while we will charge the client a certain rate for transactions handled by humans, the AI agents, will also be charged at a different rate. And that rate will be a fraction of the cost, that we charge for a human process transaction. So this is an example where GenAI is the primary driver of the cost savings.

And where also you can attribute a specific revenue to GenAI, like I said, we will charge the work done by AI agents at a different rate from human agents. The third example is very different. This is for helping a client increase the revenue. And in this instance, we are proposing a solution. We are stitching together a solution which involves both technology and services.

So this is for another for a national Payer, who currently provides B2B services for health benefit plans, health benefit companies, and other health plans.

They currently provide provider network and claims repricing. They want to sell additional services to their clients by taking over services like Provider payments and Provider engagement. So they came to us and asked us if we can design a solution to help them get into those new service lines. And so with the technology partner,

we will provide data aggregation services and this technology partner will help us integrate with our CRM solution so that we can provide both technology and operational services like this provider payments and engagement.

In this case again, we are going to charge the client on a PMPM basis. And this PMPM will cover both our platform and operational expenses. So the first phase is stitching together the solution and delivering this on a PMPM basis.

And then there'll be a Phase 2 where we'll again use GenAI to further improve efficiencies of these operational services and deliver further savings to the client.

So just wanted to give you a flavour of the different kinds of engagements that we are getting into where GenAI and other transformational capabilities are playing a very key role. And the key theme in all of this is the scope of these engagements is much larger than the traditional service models where client used to just outsource one part of the service.

And so now these are more complex. These are more end-to-end. And transformation is a key part of all of these deal constructs. Let's move to the next slide, please. The first time we are also introducing a dedicated section that showcases our expertise through a selection of case studies, white papers, solution videos, and, expert talks.

We won't place all these videos here. But I strongly encourage you to go to our website and take a look at some of our solution videos. They'll give you a flavour of some of our AI offerings, including AI enabled virtual agents and nurses that we've spoken to you in the past, which are driving better productivity and engagement across our client operations.

They showcase how Sagility is leveraging advanced technologies to deliver measurable outcomes and transform service delivery. We've also showcased the solutions at leading industry events and webinars, such as the AHIP webinar featuring our Sagi360 and our co-market solution with Availity.

These platforms allow us to demonstrate the power of our AI driven solutions and share insights on what's new and what's next for 2025.

In addition to the 18 use cases that we spoke about last quarter, I'm happy to announce that we've successfully now deployed 25 distinct AI use cases across nine clients. So before I hand over the presentation to Srini, let me summarise by emphasising a few themes.

Our focus on execution remains steadfast, supported by the ongoing strengthening of our AI and technology capabilities. These have helped us deepen engagement with existing clients and extend our reach into the mid-market space. We will as always pursue acquisition selectively. And in those acquisitions, we seek to not only enrich our capabilities, but also expand our market access.

Looking ahead, we expect to sustain organic growth in the low to mid-teens in constant currency. We had earlier guided annual constant currency growth of 20% and an adjusted EBITDA of 24% plus. But now given the good momentum that we are seeing, I'm pleased to increase the revenue guidance in constant currency to 21% plus and an adjusted EBITDA guidance of close to 25% for the full fiscal FY 2026.

Our healthy cash generation will continue to fund investments in AI and tech capabilities and position Sagility strongly for the opportunities ahead. With that, let me hand over to Srini to walk you through the financial performance. Over to you, Srini.

Sarvabhouman Srinivasan: Thank you, Ramesh. Hi, all. Like Ramesh had shared these numbers earlier, we have got robust revenue growth and solid margin performance and good PAT performance as well. Cash conversion has also been good. DSOs stood at 78 days, which is, one of the best considering that we have significant credit period. And the key takeaway in this slide is 25% plus growth in INR terms, both in revenue as well as in adjusted EBITDA.

Next slide, please. This slide t

alks about the seasonality, where we have always said that the H1 in our business is slightly lower than the H2. H2 is where we have the open enrolment season. So we have just tried to depict the

last two years out of the last 9 quarters movement, and you can actually notice that there is increase between Q2 to Q3.

So we are expecting a better Q3 compared to the previous year. And also sequentially, there is likely to be a growth. Our Q3 as I said has got open enrolments and BroadPath contributes to the member acquisition business.

So that is also likely to accelerate in Q3. If you notice, we have actually added between Q1 to Q2 of last year, Q1 FY 2025, I'm referring to the top right two boxes. We have an increase in headcount of close to 2,500. As against that, we have added close to 4,300 people in this year. And that's the reason why I'm bullish about how the performance is likely to be.

Next slide, please. This is more a longer term view of how Sagility has performed. And besides FY 2024 and 2025, we have also tried showing how our revenues have grown on a trailing 12-month basis. That is for the trailing 12 months ending September. You can see solid growth in revenues, in adjusted EBITDA as well as in adjusted PAT. And this growth is not just in dollar terms, it is also not just in INR terms. It's also in dollar terms.

And the primary reason is the reduction in the interest costs and also the reduction in the amortisation expense that is driving higher PAT growth. And please note that the adjusted EBITDA is excluding other income. Next slide, please. These are some of the financial indicators that we have been showing.

In the trailing 12 months, we have the adjusted EPS stands at 2.15, as shown here. And EPS is constantly growing. That is what I would want to bring to. Even the reported EPS stands at 1.71. We'll come to the details on the cash conversion, but before that, ROCE is stable at 50% plus and we didn't have any debt repayment in this quarter, but there is a scheduled repayment which is happening in H2 more towards the end of Q3 and beginning of Q4.

So we have a repayment and this schedule has already been provided to you. And a cash conversion has been fairly good, I would say in the sense. And you will actually see a reduction in OCF primarily on account of two factors. One, we had close to about \$6 million of unrealised gain. So that's not adding to the cash. And two, we also had advanced tax payments of close to \$19 million. And \$19 million that includes for both Q1 and Q2. For Q1, we paid that money only in July.

And also Q2 was also paid in September. So the tax payout happened for the full H1 in this quarter. So that's another reason as to why there has been a cash outflow resulting in a lower cash conversion. And if we exclude the other income, especially with respect to the unrealised effects, the cash conversion for H1 should have stood at 74%. Next slide, please.

This is a P&L format, sharing all the numbers in one comprehensive view where we have shown sequential quarter growth as well as comparison over the previous years. And also, we have shown the half yearly performance.

Nothing really to call out, other than, I would say a solid operational performance with clear focus on cost management and prudent use of cash and overall good performance.

Next slide, please. Here are the adjustments to the EBITDA. For some of the new investors who have joined, we do have a difference between our reported EBITDA and adjusted EBITDA and there are three reasons for that. One is on the earn outs that the acquisitions that we have made, there are adjustments that are shown as expenses. And we have as Sagility, we have made three acquisitions.

One is the payment integrity business, one is the BirchAI, and the other one is the BroadPath. So had these been paid upfront as cash, it would have gone out as a purchase

se consideration. But these are deferred purchase consideration, which are primarily to retain key employees of the acquired entities and hence these are routed through the P&L. The second adjustment, adjusted B that you see on this are pertaining to the share based payment awards.

These are shared appreciation rights given to some senior leaders in the team, and this will be honoured directly by our parent company, Sagility BV and not the current company. And though these flow through our P&L, these are not a liability or a cash that will be settled by this company. It will be settled by Sagility BV, our parent company. Like we have explained in the past, this just flows through the books, but it is not a liability or a cash out flow or not going to dilute the shareholders' interests.

The third adjustment, that you see on the EBITDA is the FX gain adjustment. We have started showing adjusted EBITDA other than other income. So, this time, since the rupee had weakened significantly and so did Peso, our adjusted EBITDA is lower than the reported EBITDA.

We have also shown the bridge on the right hand side between the reported and the adjusted for half years. On the PAT, that is besides the adjustments that I had mentioned as adjustment one and two towards the earn outs and share based payments, we also have adjustments towards amortisation of intangibles.

I know this is a repeat, but there are some new investors. So, then this business got acquired. The excess of cash paid over the purchase consideration was there was a purchase price allocation that was done and

significant portion of, close to \$265 million was treated as amortisation of intangibles towards customer relationships in the U.S. which is continuing.

And every year, we have close to about \$16.5 million of charge as it has a 16 year life. So that's the adjustment. Moving on to the next slide, please. These are some of the go forward positions. As I said, we have a repayment of debt that is likely to happen in the last quarter of this year. And by end of next fiscal, the entire debt will be cleared. This is an external commercial borrowing at 8% coupon rate from the parent company, and these are rupee denominated loan. So this has a structured repayment pattern. As per the RBI norms, it has to stick to the average repayment period, and that's exactly what it is. And these interest rates are competitive and you guys know it better.

Like I said, the share-based payment awards that positions are also given. This we'll get over by FY '29. The earn outs on DCI, Birch is also likely to get over, bulk of it will get over by this year itself by end of March and these are, anyway, contingent upon conditions. So, we have made sufficient provisions and we'll ensure that appropriate action will be taken.

The last two intangibles that I had explained. The one intangibles that you see as A, is the bigger one, which is the \$16.5 million of write off towards the customer relationships in the U.S. The second intangibles B, are largely the intangibles that this company has created on account of acquiring companies like the DCI, which is the payment integrity business, BirchAI, and BroadPath. Next slide, please.

Moving on to balance sheet. No major, call out. Things are robust, stable. We have made the right investments wherever it is required. Despite a reduction in the borrowings that you would see, our cash position has improved. Next slide, please.

This is the cash flow, where we have compared the previous years, full year with the first half of the year. Most likely, the run rate, we will hit or marginally exceed the cash generated compared to the previous year, and that's because in the previous year, you will see the fourth row, you'll see, we had almost INR 48 crores of tax refunds, whereas, in the previous year, that had actually helped and the taxes paid were net of refunds,

so we had INR 48 crores there. Whereas, this year, we don't have that.

Our additions to fixed assets have been very prudent, and we have consolidated some sites, which has actually helped us in an optimising operational cost. And nothing really to call out there. So broadly, overall, an

operating cash flow we had generated close to INR 558 crores or INR 5,585 million. And our free cash flows were at INR 4,776 million .

I'll just pause here so that you can absorb. And if there are any specific questions, we'll be happy to answer later. That's all I had. Thank you.

Question -and -Answer Session

Siddharth Rangnekar: Thank you, Srin. Participants who wish to ask a question, kindly click the raise hand icon at the bottom of your screen. We will wait for the questions to assemble. We take the first question from the line of Manik Taneja of Axis Capital. Manik, your line has been unmuted

Manik Taneja: Thank you for the opportunity, and congratulations for a great performance in the current quarter. I just wanted to get your sense on two things. Given that the BroadPath business also is largely linked to the open enrolment business, do you think the revenue seasonality will probably be much higher this year compared to what we've been accustomed to in the prior years?

And similarly, from a margin standpoint, if you could call out the different percentage on margins for second quarter FY '26. And once again, given some of the growth leverage that you will enjoy in the third quarter. How should we be thinking about the margins playing out in the near term? And while you've increased year outlook for margins for FY '26, it would be great to understand how are you thinking about margins over the medium term? Those would be my questions. Thank you.

Ramesh Gopalan: Hi, Manik. Thanks for your questions. First, on BroadPath, yes. Like we mentioned, when we acquired BroadPath, a substantial part of the business is towards helping clients acquire newer members during the AEP for Medicare, right? So and that seasonality for them is more pronounced in Q3. Whereas our open enrolment traditionally was a little more pronounced in Q4, right? So to that extent, yes. Q3, is likely to be a bigger quarter for us. And, like I said, the AEP season has kicked off from the 15th of October, and there's a lot of action going on as we speak.

So, yes, the contribution of BroadPath or the seasonality. If I just look at BroadPath's revenues, their seasonality is heavily skewed in Q3, and their revenues actually dropped in Q4. Whereas, the traditional Sagility's revenues are both, high both in Q3 and Q4. But Q4, traditionally, is a slightly better

quarter for us than Q2, right? So that both those effects will basically mean Q3 and Q4 are both likely to be good quarters for us as a whole.

Your second question on margins. Like I said, we've kind of given the momentum we are seeing. We've increased our adjusted EBITDA margin to closer to 25%. However, look Q3 while the contribution from BroadPath will be higher as a percentage of our overall revenue. And as you know, while it is seasonal and likely to generate better margins for BroadPath than other quarters. As a whole BroadPath margins, as we've discussed in the past are much lower than Sagility's margins, right? So the higher proportion of BroadPath revenue might dampen the margins a little bit in Q3. That's why we are guiding more of a 25%, for the full year. Otherwise, if you look at our Q1 and Q2 performance and look at a traditional Q3, Q4 performance, it could have been even higher, right? But BroadPath's outsize contribution in Q3 will dampen margins a little bit.

And then the medium term question that you asked. Look we broadly maintain that our margins will be in the 24% to 25% range. When we are acquired

BroadPath, given that the margins were lower, we did say that it'll dilute our EBITDA margins anywhere betw

een 120 and 150 basis points, which is happening as we speak. It is not reflecting the overall margin because the underlying the traditional business is being more robust. Some of the cost initiatives, like we mentioned are playing out. Some of the transformation that we are doing, like I've historically said, while a large part of the savings from those transformation we pass it back to the clients. We also manage to retain some part of those savings. And that's also helping us improve our margins.

So overall, I would continue to be bullish on margins. We'll guide closer to the start of every fiscal year. But I would think the 24% to 25% range would be at least our baseline goal, even in the medium term.

Manik Taneja: Sure. Thank you, Ramesh, and wish you all the best.

Ramesh Gopalan: Thanks, Manik.

Siddharth Rangnekar: Thank you. We take the next question from the line of Ruchi Mukhija from ICICI Securities. Ruchi, your line has been unmuted.

Ruchi Mukhija: Thank you for the opportunity, and congratulations on good set of number. I truly appreciate your disclosures on AI. I have couple of questions here. In the AI case studies that you disclosed, from existing client you promised 20% saving. For a regional client they were 25% to 40% saving now committed. Is

that a secular trend that you see more savings in new account versus existing? Is this some trend we see?

Ramesh Gopalan: Thanks Ruchi for your question, right. So in this case, I mean, first, I might not have been very clear. All these case studies are with existing clients, right? So it's, even case two, is for an existing client. The nature of savings depends on the kind of work that we are doing, and also on the scope of work, right? So this is, the second client, the savings are much greater. Because the use case for GenAI there, we believe is likely to generate a much greater cost savings than in case one .

Secondly, in the second case, while the bulk of it is GenAI, when we look at the overall scope, there is also some re-shoring that might happen. So we might be able to also provide the client some saving by moving both from higher cost to low cost geographies as well. But bulk of those savings come from GenAI. And GenAI based savings are likely to be different depending on the use case where we deployed.

Ruchi Mukhija: Okay. You talked about difference in pricing between AI agents and FTE. Could you now help us understand, quantum of the difference even qualitatively?

Ramesh Gopalan: That's a good question, right? So if in engagements, for example, I'm just on the flight trying to give you numbers. It depends on where the human agent is currently working from, right? So if you take a traditional offshore geography, the broad math would be an AI agent could probably be anywhere between 25% to 35% of a human agent. Whereas the same AI agent, if the human were to be based onshore, could be as low as 10% to 15% or 10% to 12% of the human agent, right?

So it depends on, what base you're comparing with whether the human agent is onshore or offshore.

Ruchi Mukhija: Okay. The last question is for Srini. Could you quantify how much was the currency led tailwind in the current quarter to our operating margins?

Sarvabhouman Srinivasan: The average FX rates in Q2 was much higher than the Q1. The impact was almost 1.1% improvement in adjusted EBITDA close to about 6 million.

Ruchi Mukhija: Thank you. All the best for the future.

Sarvabhouman Srinivasan: Thank you.

Siddharth Rangnekar: Thank you, Ruchi. We take the next question from the line of Chirag Kachhadiya from Motilal Oswal . Chirag, your line has been unmuted. You can go ahead.

Chirag Kachhadiya: Yeah. Hello. Congrats on a good set of numbers. Just one question. You mentioned, during the quarter, we have benefit of AI into our margins. So if you can quantify like, what benefit in terms of this

point we have due to

Generative AI or other efficiency led measures. And also, if you can clarify like, what pass on from this benefit we have given to the clients. That's all.

Ramesh Gopalan: That'd be very difficult to give a specific number saying how much did AI help in improving the margin, right? So the overall reason why I gave some case studies is also to help all of you understand how GenAI , not only how are we using GenAI in deal constructs, but how commercially it also plays up, right?

If you look at my three case studies, case study one also used GenAI, but it'll be very difficult for me to say what revenue did they generate purely from GenAI, because it's not a completely automated transaction. It is assisting humans improve their prod activity, right? So it's very difficult to kind of attribute specific numbers.

In case two, yes, some portion of the revenue could be attributed directly to GenAI, because I'm charging separately for a GenAI based transaction where there are no human involvement, right? So in our business, it's not very easy to very specifically quantify that this is the revenue that GenAI is either generating or this is the savings that I'm making purely because of GenAI.

Chirag Kachhadiya: Thank you. We take the next question from the line of Abhishek Kumar of JM Financial. Abhishek, your line has been unmuted.

Abhishek Kumar: Good evening, and congratulations on a good quarter. My first question is on the ACV number that you have started disclosing for last two quarters. I just want to understand what to make of this, because what you were disclosing is, \$32 million to \$34 million ACV per quarter, while our quarterly revenue run rate is now close to \$190 million. So, is it just the net new and this will result in incremental revenue, as we move forward, or I mean, just a definition of ACV will be helpful.

Ramesh Gopalan: Yeah. So thanks, Abhishek, for your question. Yeah. So, essentially, ACV is annual contract value, right? So and what we are disclosing is additional revenue, right? As you know, in our business, bulk or almost all the revenues

is recurring revenues. So we don't include any renewal of contracts in this number. So all of these wins are essentially incremental revenues.

And in the normal course of business, \$32 million ACV should generate \$32 million over a period of four quarters, and it should be recurring year -on-year, right? However, one caveat to that is in our business, I mean, ACV is a little indicative, right? So client might commit to giving us a certain proportion of their business, which could mean certain volumes. But these volumes are not cast in stone, right. So the volumes can go up, volumes can come down. So it's not a very hard coded ACV number. So this is the directional ACV number based on the scope of work that the client has committed. But, it could go up or come down.

But broadly, yes. This is the revenue that these new deals will generate over the course of the year. And then, it's likely to continue to recur in future years.

Abhishek Kumar: Sure. And given there is, ask from your client to pass on productivity, AI, or otherwise. As you've indicated earlier, some part of this. So, I mean, it's not as simple as \$120 million gets added next year, and so your revenue will be

higher by \$120 million. There will be some deflation on the base business.

Ramesh Gopalan: Yes. That is also true. And also, look, what I want in Q1, I will start generating some of that revenue in Q2, Q3, and Q4, right? So it's not going to be directly additive only in the next year. Part of it will flow through in the current year's growth as well.

Abhishek Kumar: Okay. One last question. I think last quarter, Ramesh, you mentioned that, when you talk about low-to-mid teens growth, you also build in 1.5 odd percent of AI-led deflation every year. That's big then. And now, since you have

started using AI to get more business from the three use cases that we saw today. Do you think that calculation, needs a rethink, and now we can actually at least that 1.5% will go away? Any thoughts on those lines? Thank you.

Ramesh Gopalan: Yeah. It's a good question, Abhishek. Again, look, it's a mix of things, right? Even in the use cases that I spoke about, I'm taking a certain portion of the work that I'm already doing. The scope is being increased by either adding upstream processes to that or adding more volumes to what I already handle, which is basically means clients giving me some of the work that they are already doing.

On the whole portfolio, I'm committing a savings, which means a portion of the work that I'm already doing, I'll be cannibalising a part of that revenue. But

I'm replacing it with additional work that the client is giving, right? So it's always going to be a mix of that when I'm dealing with existing clients. Of course, when I go to a new client and I pitch a completely new service and I bundle the upfront cost commitment, then I will reflect it in the ACP values that I recognise. And so that is not going to be considered a cannibalisation.

But with existing clients, there's going to be a mix of cannibalisation plus additional work that I get. So, I don't know if that's what you are hinting at, but so the cannibalisation will still continue to be there. What percentage, it's going to be is obviously we'll have to wait and see how it plays out. But even this year, there is cannibalization one, because of all of these technologies transformation.

But in our business, there's also cannibalisation when we don't lose work, but the client suddenly asks us to move certain piece of work that we're doing for them from an onshore geography to an offshore geography, right. We retain the same business. We retain the same SOW. We retain the same volumes. But now I'm delivering the same piece of business rather than which I was delivering at \$100. Now I might be delivering it at \$60, right? So there are various forms of cannibalisations that happen in our business. And so the growth that we ultimately put out is net of all of those cannibalisations.

Abhishek Kumar: Sure. That's very insightful. Thank you and good luck.

Siddharth Rangnekar: Thank you. We take the next question from Raj Vyas of Motilal Oswal. Raj, your line has been unmuted.

Raj Vyas: Yeah. Hi. So, first of all congratulations on a very good set of numbers. And, in terms of your slide with respect to the excise, this 25%, this tax. So wanted to understand if it gets implemented or something, we will definitely have a margin compression. So, if we can give some numbers, if it gets implemented, then how much of the if it gets affected on the margins for Sagility?

Ramesh Gopalan: Look, it's not that something we will absorb completely, right? So this is going to play out. First of all, I mean, upfront, I want to say the likelihood of, something like this getting implemented is low. But, yeah, nothing can be ruled out. This is not specific to, firms like us. It's going to impact every outsourcing business, including IT services and firms like us. And thirdly, we deliver from multiple geographies. Is this going to play out? Is it going to be the same level for all geographies? Is it going to be different? We don't know, that also. And, fourthly, to your point that all of these costs will be absorbed by us

is also untrue.

So we will have to sit down and negotiate with each client. Obviously, there'll be some amount that we may have to absorb and some we may be able to pass on to clients. So it's going to be a mix of all of that. So at this point, I don't have a specific number. But, if it looks like, this is something that'll pass, we will come back with a more definitive number.

Raj Vyas: Okay. Secondly, as we have mentioned in the previous concalls as well that, Q3 and Q4 are the seasonally typically the best, at the strongest quarter due to this U.S. open enrolment cycle and Medicare advantage sales. So how we are looking forward for the next H2 FY 2026 and also I've missed the revenue guidance that you have mentioned. So could you please share that as well?

Ramesh Gopalan: Yeah. So let me give the guidance, right? Previously, we are guided to see the organic constant currency growth of low to mid-teens is a range that we are still committing to. That's the same numbers we had given earlier as well. But combined with BroadPath, we had said, we'll be north of, we we'll do 20%, is what we had guided. Now we are saying we'll probably do 21% plus. So we are increasing that by 100 basis points or more.

Raj Vyas: And the question with respect to, the seasonality as Q3 and Q4 are typically, seasonally good. So how we are looking for the H2 FY 2026? Can you throw some light on that?

Ramesh Gopalan: Yeah. We discussed that, right? So BroadPath will have a seasonally strong quarter in Q3. And, Sagility also will have a better H2 compared to H1. So if you look at historically our business, if you look at the revenue split, it's roughly 53% to 54% in H2 compared to a 46% to 47% in H1, right. So that's the typical split of our revenue. So that will continue for us, and that's pretty much, what will be the case for BroadPath as well. But in BroadPath's case, it might be even a little more skewed. I don't have the exact numbers, but the 53:47 or 54:46 that I'm talking about for Sagility. For BroadPath, the skew might be even a little more.

Raj Vyas: Okay. So thank you. And, that is from my side.

Ramesh Gopalan: Thank you.

Siddharth Rangnekar: Thank you, Raj. We'll take the next question from the line of Rishi Jhunjunwala from IIFL. Rishi, your line has been unmuted.

Rishi Jhunjunwala: Yes. Thank you so much. So firstly, in your past experience of years when there has been significant INR depreciations, in the following years, how have clients reacted to it? Have you been asked to pass on the benefits of currency to them in any formal manner, or do you think they generally do not interfere with currency movements, when it comes to year end or year beginning pricing for the next year? How have various cycles of, and our depreciation played out for us?

Ramesh Gopalan: Hi, Rishi. Yeah. Good question, right? So in our business, two things I will comment, right. One, clients all of our contracts are negotiated in U.S. dollars. And as a rule, I can't think of any client where we have a COLA clause for any of our offshore delivery, right? So clients don't pay a COLA. So, essentially the cost is, their cost is spent in dollars.

And so they do understand that given the inflationary impact in some of our delivery geographies, currency movement is a lever that we need to use to tackle those inflationary impacts, right? So typically, most clients deal in U.S. dollars. But then given like we've discussed, given all of the transformation levers in play, they're constantly looking to a cost reduction from their current dollar pricing.

So they always deal in dollars, and they also don't get involved in cost of living adjustments in offshore geographies.

Rishi Jhunjhunwala: So, sir is it fair to assume that, the fact that most of the companies across IT services and BPO services are incrementally facing pressure on AI productivity to be passed on to the customers. This rupee depreciation will help offset some of those pressures. And as a result, the impact on absolute EBITDA on that in future years may not be as accentuated if rupee remains stable?

Ramesh Gopalan: Look, the rupee depreciation is not a new thing, right? So the rupee depreciation has been happening over the years. And like I said, some part of it helps us overcome the cost increases especially in our business, salary increases e

very year has to come out of that. But to a large extent, we rely also on efficiencies that we generate in our operations to fund the rest of the gap. We don't just rely on currency movements to retain stable margins. We also focus a lot on efficiencies, right?

And like you said, AI helps us is another lever for us, right? Rather than just, operational efficiencies, which is more staffing efficiencies and other productivity improvements. Today, I can use AI to also generate additional

efficiencies. Granted, I can't keep all of it to myself. My clients want a large part of it. But I still can't retain a part of it to offset the cost increases, right? So and remember, I operate from multiple geographies.

We always think of depreciation from a rupee point of view. We've had several years where the Philippines pesos appreciated with respect to the dollar, right? And we still have to manage that and still try and keep our margin stable, right? So yeah, I mean it's a play involving a number of currencies that we have, Jamaica and so on. Yes. In some years, it benefits us. In some years, it cannot benefit us much. But our constant endeavour is, is not just to rely on currency, but also on our own internal efficiencies.

Rishi Jhunjhunwala: Right, sir. Thank you. The other question is on capital allocation. So now you've announced an interim dividend. How do we think about capital allocation slightly from a medium term perspective? Do you think that the quantum of dividend is going to sequentially improve? And is there a particular payout that we should expect, say, one year, two years, three years down the line?

Ramesh Gopalan: We haven't specifically pegged a percentage of our earnings or cash flows, right? So first of all, we want to just directionally give the message that, we want to start paying dividends. But as you know, we still have debt on our books. We still are keen on doing M&As. So we want to make sure that we have cash left to be able to do all of that. So directionally, yes. We will pay dividends. And as we extinguish debt on our books, the quantum of dividends is likely to go up.

Rishi Jhunjhunwala: Understood. And one last question in terms of demand, we are one of the few companies which are effectively have increased our revenue growth guidance now versus where we were at the beginning of the year. How much of that do you attribute to the underlying demand being better in the areas where we operate versus us potentially executing better either from a wallet share gain perspective or from a client addition perspective?

Ramesh Gopalan: Good question, right? So look, wallet share, like I said in our business doesn't happen, that often. So, I would say our growth isn't coming from taking mainly taking wallet share from others. The biggest thing is and we've said this many times. The market is going through a lot of change, right? Our specific clients in the health care industry, especially payers, a lot of them are going through profitability pressures.

So today, the focus is how can you help me take out more cost from my

operations, right? And so we are seeing clients more open to talking to us on larger deals, right? So if you're willing to give me a commitment, like the examples we gave, if you're willing to take out 20% cost or 30% cost, I'm willing to give you a larger portion of the pie.

I mean, in fact, in some of the processes, I'm willing to give you the full pie. And most of the time, the full pie basically means work that they are currently still doing, internally, right? And so that's what we think is playing out that improves our revenue growth, right? So and obviously, we're adding more clients as well. But as you know, in our business, initial years, the revenue contribution from newer clients is very small.

So I wouldn't say a large part of the growth is coming from the new clients that we're adding, but

they'll of course help us grow in the subsequent years. But a large part is also coming from clients willing to look at larger deal constructs, because they're under pressure to take pass out.

Rishi Jhunjhunwala: Understood. Thank you so much, sir. All the best.

Ramesh Gopalan: Thank you, Rishi.

Siddharth Rangnekar: Thank you. We'll take the next question from Vams hi Krishna of Kotak Securities. Your line has been unmuted.

Vams hi Krishna: Congrats for the strong quarter. So just, Ramesh, just wanted your thoughts on the examples that you have given. Say, some of the larger mature outsourcing you have committed slightly lower of course, material savings. Whereas for some of the regional players, the savings seems to be slightly higher. So is there a flavour in terms of, say, the size of or the scale of clients to where the savings will be different?

Or is it, across various service lines, the extent of savings will be different? And then I have follow-up.

Ramesh Gopalan: Yeah. So, yeah, I mean, Ruchi asked the same question, right? So I mean, see, mature you're right. In a certain sense that mature clients have exhausted a lot of the traditional levers available to them in terms of cost takeout, right, both in terms of sending the work to the best geography where they'll get the most cost advantage, using traditional tools like RPA, and other forms of automation.

So all of that is exhausted. So anything incremental that we generate is through things like AI and so on. So the overall quantum may be slightly lower. But the answer is still it depends on the current process that we're looking at and whether some processes are amenable to complete automation, right?

So if you can, if in a given process, if you can even take 20% of the transactions and 20% or 25% and completely automate them and then generate a productivity increase of 15%, 20% of the balance 75%, 80%. Then you get to the 30%, 35% cost saving number, right?

So ultimately, it depends on the process that you're looking at, what percentage can be completely automated, what level of efficiencies can you generate in a human centred interaction. And also the level of maturity, right? When you do a combined deal to your point, there might still be other traditional tools that you could employ, that you could deploy to generate additional savings.

There could still be some incremental shoring gains that you could get. So those may be possible in slightly less, mature cases. Whereas in more mature clients, the opportunities for those traditional funds may not exist.

Vams hi Krishna: Just please say so, the processes, what I understand is that maybe claims processing or say, network management, there can be a little higher

disruption. So is that the right understanding, or, do you think there are other process or which are the process that you think will be relatively more resilient to others?

Ramesh Gopalan: Look, yeah, see even in claims, right? So, for example, even in the traditional claims, the productivity of how many claims I can do varies greatly from client to client, right? It all depends on the kind of systems, claims platforms that they use, how the y've configured those platforms, what are the processes, right? What are some of the unique processing guidelines they may have, right? So all of that depends, influences what the existing productivity is, right? And so when you may look at a scenario like that and you say, I want to implement AI, then the question becomes, given all of those complexities for this specific client, what is the level of efficiency that you can generate, right?

So even within claims across two clients, the cost savings that you could generate could be very different.

Vams hi Krishna: Got that. And maybe one for Sridi. Say, what is the reason for the increase in other financial liabilities? What does this involve?

Sarv

abhouman Srinivasan: Yes. Give me a minute.

Ramesh Gopalan: So, Sridi, can you answer the question?

Sarvabhouman Srinivasan: Yeah, yeah.

Vams hi Krishna: Other financial liabilities, which has increased from about ■300 crores to ■390 crores, so.

Sarvabhouman Srinivasan: Yeah. Vams hi, I'll get back to you. I'll get the details and get back to you.

Vams hi Krishna: Okay. Thanks.

Siddharth Rangnekar: Thank you, Vamsi. We take the next question from the line of Bhavik Mehta from JP Morgan. Your line has been unmuted.

Bhavik Mehta: Hi, thank you. So couple of questions. Firstly, obviously, we have been growing at around low to mid -teens from an organic perspective, and margins have been going up in the organic business. And we have seen some of your peers over the past couple of year s do some growth margin trade off where they want to accelerate growth and invest in the business, which comes at a cost of margin. So given at the scale where you are, is there a thought process in terms of, maybe accelerating the growth fro m mid -teens to maybe high 10% or 20% plus and maybe dilute the margins to an extent because that will help you scale faster, win more wallet share at a faster pace. I'm just curious to know how are you thinking about growth versus margins?

Ramesh Gopalan: Yeah. I get your question, Bhavik. Look, I don't think we're losing deals, because of our pricing and so on, right? So how much trade off do we really need to do on margins to grow? That's, I'm not fully convinced, right? But, I mean, to the question that people have asked me in the past with AI being able to generate more efficiencies that you can retain, are you going to constantly guide to a higher margin year -on-year?

And our answer has always been no. We're happy staying in the 24% to 25% range. We'd rather use that to grow our business than be focused on improving margins, right? So the improvement that you're seeing in the last couple of quarters is not a conscious e ffort of sacrificing growth and improving margins. It just so happens that, whatever we've been able to retain has helped us improve margins.

But, to your point, yes. We are happy being in the 24% to 25% range, but we will take all of the gains either in investing more in our capabilities or in

aggressively growing revenues.

Bhavik Mehta: Okay. Got it. This second question is, on dividend and good to see dividend announcement coming through. If I take like a three to five year view, is there a certain payout percentage which is there in mind which you'll be comfortable with given your M&A ambitions as well? Because typically, we see mid cap IT companies give a 40%, 50% as payouts as a percent of net profits every year. So is that something we should assume for Sagility as well based on that?

Ramesh Gopalan: At this point at the board level, we haven't narrowed it down to a specific number. But like I said, we just wanted to make a start and give a directional view that we will start paying dividends. But we'll come back to you in a subsequent quarter, Bhavik.

Bhavik Mehta: Okay. Got it, thank you.

Siddharth Rangnekar: Thank you, Bhavik. We take that as the last question. Thank you, members of the management. On behalf of Sagility Limited, that concludes our call for today. You may now log off the event.

Ramesh Gopalan: Thank you, everyone.

Sarvabhouman Srinivasan: Thank you, everyone.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Feb 2026

Sagility Limited

(Formerly Sagility India Limited , earlier Sagility India Private Limited)

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Corporate Identification Number: L72900KA2021PLC150054

Tel. No.: 080 -71251500, E-mail : investorservices@sagility.com , Website: www.sagilityhealth.com

Date: February 03 , 202 6

To,

The Manager The Manager

Listing Department Listing Department

National Stock Exchange of India Limited (NSE) BSE Limited (BSE)

Exchange Plaza, 5th Floor Phiroze Jeejeebhoy Towers

Plot No. C/1, G -Block Dalal Street

Bandra -Kurla Complex Mumbai - 400 001

Bandra (E), Mumbai - 400 051 Scrip Code: 544282

Symbol: SAGILITY

Dear Sir/Ma'am,

Subject: Transcript of Investors Call held on January 28, 202 6

This is in continuation of the Investors/Analyst Webinar conducted on January 28 , 202 6, to discuss the unaudited financial results of the Company for the quarter ended December 31 , 2025.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby attach the transcript of the aforementioned webinar.

This information is also available on the Company's website <https://sagilityhealth.com/>

This is for your kind information and record .

Thanking You,

For Sagility Limited

Satishkumar Sakharayapattana Seetharamaiah

Company Secretary & Compliance Officer

M. No. A16008

Encl:a/a

Sagility Ltd.

Q3 FY26 Earnings Webinar

Wednesday , 28th January, 2026 at 7:30 PM

MANAGEMENT • Ramesh Gopalan - Managing Director & Group CEO

• Abhishek Kayan - Deputy Chief Financial Officer

MODERATOR • Siddharth Rangnekar – CDR India

QUESTIONERS • Manik Taneja – Axis Capital

• Raj Vyas – Bonanza Portfolio

• Vamsi Krishna – Kotak Securities

• Ninad Sarpotdar – Aditya Birla Money

• Chirag Kachhadiya – Motilal Oswal

• Rishi Jhunjhunwala – IIFL Capital Services Limited

• Riddhansh Chandak – Unifi Mutual Fund

• Nandan Arekal – JM Financial

• Arvind Arora – A Square Capital

Siddharth Rangnekar: Good evening everyone and welcome to the Quarter 3 and 9M FY 2026 Earnings Webinar of Sagility Limited. This is Siddharth Rangnekar from CDR India and I shall be your host for today. As a reminder, all attendee lines will be in the listen -only mode and there shall be an opportunity for you to ask questions after the presentation concludes.

Please note that this webinar is being recorded. To introduce the management we have with us today Mr. Ramesh Gopalan, Managing Director & Group CEO and Mr. Abhishek Kayan, Deputy Chief Financial Officer. Before we begin, I would like to state that some of the statements made on today's call could be forward -looking in nature and may involve uncertainties and risks. A detailed statement in this regard is available in the Q3 and 9M FY 2026 results presentation that has been uploaded to the stock exchanges.

I would now like to hand over the forum to Mr. Ramesh Gopalan to begin the proceedings of this webinar. Over to you.

Ramesh Gopalan: Thank you, Siddharth. Good evening and welcome to our Q3 and 9M FY 2026 discussion. Let me start with some opening remarks.

In Q3 FY 2026, we continue to build on the strong momentum from the first half of the year. Our performance across Payer and Provider segments reflects the depth of our healthcare domain expertise and our ability to deliver consistently at scale. As clients navigate the evolving regulatory environment, they continue to rely on our execution excellence, operational stability and our expanding role in shaping the transformation agendas.

The last quarter was especially important as it marked the beginning of the AEP or OEE season for several of our large payer clients. I'm pleased to report that the results were broadly ahead of expectations with strong traction across Medicare Advantage programs. Parts of our portfolios of membership growth above forecast, driving higher operational activity across engagement services, prior authorisation, claims processing, and clinical workflows. A near perfect handle to forecast performance across key portfolios remained a clear differentiator, further reinforcing our position as a trusted partner for our clients. As you know, the addition of BroadPath has expanded our exposure to open enrolment related work. Historically, OE seasonal revenues accounted for approximately 3% of our annual revenues. Following the acquisition of BroadPath, it's likely to increase to 4.5%. However, specifically for this year, given the favourable OE season, we project this to be closer to 5.5% for FY 2026. As we've discussed in the past .

Looking ahead to Q4 and FY 2027, our long-term growth strategy remains anchored in three pillars.

The first one, expanding into white spaces within existing accounts, second, building large transformation led and outcome based managed services

constructs. And third, accelerating our expansion into the middle and small market segments.

We've made considerable progress in each of these three areas. For example, in the white space expansion, we grew our clinical operation footprint significantly for a large payer client in Q3, demonstrating how Sagility can continue to grow within long standing relationships. Cross sell into BroadPath was limited this quarter as payers were primarily focused on the AEP season. However, our ongoing conversations remain active and we anticipate these discussions will gather momentum once the AEP seasonal peaks subside.

On a second strategic lever, large end-to-end managed constructs, our pipeline continues to advance. These deals typically have longer sales cycles, and we are engaged in multiple conversations where clients are explicitly looking for multiyear transformation anchored savings and Sagility is well positioned to meet the task through a combination of domain led operational depth and technology enabled delivery. As an example,

we launched Sagility

Synchrony, an integrated operating solution for Medicare Advantage that consolidates key lifecycle functions to accelerate time to market, strengthen compliance and improve member experience. At the same time, we are deepening GenAI adoption through a growing portfolio of production use cases and a strong pipeline of new opportunities.

On the third, the mid and small market expansion, seven of the 12 new logos that we won in the first nine months of FY 2026 have come from this segment. With that, let me now turn my attention to the performance in Q3.

Move to the next slide, please. Consolidated revenues for Q3 stood at **■19,712** million or \$222 million. This represents a year-on-year growth of 35.7% in INR and 29.1% in constant currency. So this has been an exceptional quarter for us. Our organic growth was also strong at 19.9% year-on-year in INR terms and 13.9% in constant currency. Momentum in business was seen both in the Payer and Provider segments. Payers reported 37.3% growth year-on-year contributing 90.4% of the total revenue for the quarter, whereas providers reported 21.6% year-on-year growth, delivering 9.6% of the total revenues for the quarter.

Our operating profits showed strength. Adjusted EBITDA came in at **■5,125** million or \$57.7 million reflecting a growth of 24.2% year-on-year. Adjusted EBITDA margin stood at 26%. This robust operating profitability is an outcome of our deep focus on execution excellence, process optimisation and driving technology led transformation across our portfolio. A quick reminder, our adjusted EBITDA does not include other income and Forex gains. Adjusted PAT for Q3 came at **■3,229** million, increasing 23% year-on-year on the back of robust EBITDA margins and declining finance costs. Ongoing reduction in debt continues to strengthen our cash flows and enable continued investment in technology and in our domain.

Moving on to the nine months FY 2026 results. Our nine months saw a year-on-year growth of about 29.2% in INR terms and a 24.2% in constant currency. We reported revenues of **■51,686** million or \$591.8 million for the first nine months of FY 2026. Organic growth was also strong at 18% in INR terms and 13.5% in constant currency. Our nine months adjusted EBITDA came in at **■13,164** million, up 25.3% year-on-year. Adjusted PAT stood at **■8,236** million, up 44.3% year-on-year.

I'll now turn my attention to the new wins. As of December 31, 2025, we have 81 active clients. And during Q3, we won business from 22 existing clients

while adding three new clients. The aggregate annual contract value or ACV won from existing and new clients stands at 30.5 million for Q3. Our new client wins this quarter includes a top 10 health insurance company, a benefit administration company, and a regional health insurance plan.

I'd also like to highlight a few recognitions from the last quarter. Avasant's RadarView cited Sagility as an innovator in revenue cycle management business process transformation in 2025, reflecting stronger practice maturity driven by scaled technology enabled services, deeper domain specialisation, and more repeatable outcome led revenue cycle transformation. Great Places to Work recognised Sagility amongst India's Best Workplaces in Pharmaceuticals, Healthcare, and Biotech 2025. And we were also recognised at the Healthcare Information Management Association of the Philippines Excellence. In addition, we earned the EcoVadis committed badge, highlighting our continued commitment to sustainability and responsible business practices. These recognitions reinforce the depth of our talent, the consistency of our delivery, and the values that guide how we operate across markets.

To move to the next slide, at the close of the quarter, we had 48,522 employees across five countries. As I've said before in our previous earnings call, our workforce includes highly skilled

operational specialists, clinicians and technologists. Annual attrition for the quarter remained steady at 22.8%. Importantly, during the AEP season, we successfully hired skilled resources to cater to seasonal growth while effectively managing attrition, cross scaling our teams and consistently delivering strong performance across our portfolio.

We continue to make incremental investments in AI powered learnings, both in healthcare and technology domain, which helps us enhance the skills and prepare a future ready workforce.

On this slide, you'll see the standard KPIs that we report on client concentration, capacity additions, grouping of clients by annual revenues, and so on. I'll just pause here for a couple of seconds for you to look at the numbers, but I'm not going to read out each of them.

So let's move to the next slide. So I want to cover a few of the market developments related to our business.

Continues to be a lot of activity that impact the U.S. healthcare market. First one, the ACA subsidy expiration has resulted in a decline of roughly 3.4% in enrolments and these are provisional results. However, we've told you before, our exposure to the ACA market is very negligible and so we are unlikely to be impacted by that.

As part of CMS' proposed changes to 2027 Medicare Advantage, the STARS rating focus is shifting towards client safety and patient experience. We believe that this will accelerate the demand for care coordination and member experience, two areas that we are very strong in. Similarly, new measures are being introduced in HEDIS along with the push to digital and fire aligned reporting, which will create opportunities in HEDIS abstraction. While we don't do a lot of HEDIS work at this point in time, we plan to take advantage of these changes and finally, on the PBM front, all of you would have heard and seen the news on the pharma and the PBM front over the last quarter. There is a much higher scrutiny on price transparency, higher accountability for clinical outcomes, and stronger coverage policies, all of which is likely to present additional opportunities for us.

If you move to the next slide, we'll talk specifically about the Medicare AEP 2026 and the ACA marketplace.

Starting with Medicare AEP for 2026, the industry view so far is that the season has largely been in line with expectations. At the same time, payers are clearly shifting their posture from membership growth to margin repair, prioritising better risk mix and stronger STAR cohorts over pure enrolment expansion. We

also expect 2026 to be a consolidation phase with reduced participation in certain low margin, high utilisation segments. The outcomes across our specific large payer relationships have been broadly ahead of expectations.

ACA marketplace like I've mentioned earlier, the provisional results from CMS indicates declines in both new consumers and overall enrolment compared to last year, largely linked to higher net premiums as premium tax credits expire, which is driving churn. And like I said, our exposure to the ACA market is very negligible.

So what does this mean operationally to us? Higher administrative throughput across engagement service volumes, prior authorisation, claims, and clinical workflows alongside continued cost pressure at the payer side. At the same time, there's a heightened emphasis on STAR's recovery clinical quality and automation.

Industry wide plans are moving towards digital and AI led operating models and towards outsourcing to improve margins while protecting member experience and benefits. Overall, we view these trends as supportive for us. Payers are looking for partners who can deliver operational efficiency, quality

outcomes, and scalable execution, and these things align directly with our strengths.

Moving over to the next slide. So this is a section that we introduced in the last quarter, wh

ich showcases our expertise through a selection of case studies, white papers, solution videos, and expert talks.

Like I mentioned earlier, we launched a new offering called Sagility Synchrony for Medicare plan submission, sales, and enrolment. We also started to consult with some of our clients on both admin and clinical cost optimisation in their operations.

Like before, I encourage all of you to explore our collections on solution videos, case studies, go to market documents on this slide, as well as on our website.

I'm also pleased to update that we have successfully deployed 32 distinct AI driven use cases across 10 clients.

In conclusion, we had an exceptional Q3. As we enter the final quarter of FY 2026, our priorities remain clear. Continue our execution excellence at scale and embed technology and AI enabled transformation to help our clients build highly efficient, resilient, and future ready operations. In our Q2 earnings call, we had increased our guidance on constant currency revenue growth to 21% plus and an adjusted EBITDA margin of 25%. Due to the better than expected OE season, we are increasing our revenue guidance in constant currency to 22.5% for FY 2026, which includes an organic growth of 13.8%. Our adjusted margin guidance will continue to remain at 25% for the full fiscal.

With that, I now hand it over to Abhishek to walk you through the financial performance, and I'll take questions later in the call. Thank you. Over to you, Abhishek.

Abhishek Kayan: Thank you, Ramesh. Good evening. I'm pleased to present an overview of Sagility's financial results for the third quarter and the first nine months of the fiscal year 2026. Q3 showed strong revenue and profitability driven by consistent revenue growth that we expect to continue. Our nine months FY 2026 results are above the guidance shared in the last earnings call. This was driven by strong operating performance and better than expected AEP season.

Moving on to cash flows. Operating cash flow conversion at the end of nine months was 49.7%, impacted mainly by increase in account receivables in

Q3, driven by high growth in Q3 over Q2. As you know, we have seasonality in our business, and revenues in Q3 is almost 33 million higher compared to Q2. This revenue increase of 17% over Q2 has led to an increase in AR by 15% over Q2. At quarter end, our DSO was 86 days, 51 days in billed AR, and 35 days in

unbilled. We expect the DSO number to come back to normal at the end of quarter four.

Next slide, please. Q3 usually benefits from strong seasonal Medicare AEP and OE activity, which results in a revenue increase over Q2. This year, the addition of BroadPath has further expanded our exposure to open enrolment related work. And with an exceptional OE season overall, we have registered a 17% growth over Q2.

However, given the seasonality we experienced in the second half of the year, it is important not to focus solely on quarter-over-quarter business growth. If you look at the slide in front of you, you'll see a quarterly revenue trend for last nine quarters, and that will give you a sense of how Q4 and Q1 would pan out. We ended the quarter at a global head count of 48,500, reflecting the scale added to support AEP and ongoing ramp in our payer and provider operations. Let me now share a broader perspective on our long-term performance.

This slide provides a detailed view of our growth trajectory on a full-year basis. You'll notice that we have consistently achieved high growth in revenue, adjusted EBITDA, and adjusted PAT. The significant increase that you see on adjusted PAT is driven by higher operating profits and reduced interest expense and lower intangible amortisation charges.

Next slide, please. On this slide, we've captured few key financial indicators. Adjusted EPS continues to improve steadily in line with adjusted PAT growth. The adjusted EPS

or trailing 12 months FY 2026 is 2.27 and is higher than 1.76 that we reported for FY 2025. Our adjusted ROCE remains steady in the range of 50%. And this is a long-term trend that we have observed over the last few years. Cash conversion has been lower year-to-date due to higher DSO in December, higher noncash expense, and tax refunds that we received in last year. Our net debt continues to come down as we continue to repay our debt.

This is a busy slide, but would give you a very comprehensive view of our P&L. I'd like to highlight that in this quarter, we have a onetime impact due to new labour code in India that came into effect on 21st November 2025. This new labour code standardises the definition of wage on which certain employee benefits like gratuity, leave encashment and statutory bonuses are computed. We have reported a onetime impact of past service cost of ₹328 million, which has been reported as an exceptional line item in the P&L below EBITDA. We estimate an ongoing impact of 20 bps on our profitability going forward. If you can move on to the next slide.

On this slide, we present the adjustments to EBITDA. Our adjustments on EBITDA include adjustments made for M&A earnout, stock appreciation rights, and other income and forex gains. While our adjustments on adjusted PAT includes the adjustment made for EBITDA as well as adjustments made towards intangible amortisation and the exceptional items that we have booked this quarter for onetime impact coming out of new labour code.

This is a go forward view of our debt repayment plan of share based payment awards, earn outs, and intangible amortisation. We give this every quarter. There is a small change that we made for FY 2026, and that is on account of deduction in SAR on account of certain resignations that have happened in the previous quarter. Our debt would be fully repaid by FY 2027.

No major call out on the balance sheet. Our balance sheet continues to be healthy and stable. If you can move on to the next slide. Again, no major callouts on the cash flows. Cash position and conversion continues to be strong.

With this, I end my presentation. Thank you.

Siddharth Rangnekar: Thank you, Abhishek. Participants who wish to ask a question, kindly click the raise hand icon at the bottom centre of your screen. We shall wait for the questions to assemble. We take the first question from the line of Manik Taneja from Axis Capital . Manik, your line has been unmuted.

Manik Taneja: Thank you for the opportunity. So you called out that the impact of open enrolment this year essentially was much higher than what we anticipated. If you could help us understand what is driven by the acquired portfolio or the organic business? That's question number one.

And then related to it, how should we be thinking about this playing out from the ramp down that you see on the open enrolment piece sometime given the timing of the open enrolment cycle? And how does that impact Q4?

And finally, with regards to margins, while you've seen very solid revenue growth, margins remain broadly in a very tight range. If you could help us understand the moving parts to that. Those would be my questions. Thank you.

Ramesh Gopalan: Sure. So Manik, thanks for your question. Let me address the revenue questions, and I'll ask Abhishek to address the margin question. Like I said in my opening remarks, the performance across our traditional large clients as well as BroadPath, both were very strong in this quarter, right? Overall, Medicare advantage performance came in line with expectations for the industry as a whole. But specifically for some of our clients, it was ahead of expectation, which means there was a lot more activity than we anticipated. So the performance was equally strong across both organic business as well as across BroadPath.

To your other question, yes, the seasonality

of OE is a known factor in our business. And like I said in my opening remarks, it used to be about 3% of our revenues where solely attributable to the seasonal nature of OE. With BroadPath, that's likely to go up to 4.5%. But this year, given that we had

exceptional performance on both organic and BroadPath, we think we are projecting the OE related additional revenues to be 5.5% of our total FY 2026 numbers. And we've also given you the overall guidance for the fiscal. So that should give you an idea of how we think Q4 is going to pan out.

Abhishek Kayan: Manik, on the margins, I get your question. We've grown substantially in this quarter, but our margins % are flat compared to previous quarter. So let me answer this for you. Essentially, bulk of the growth in revenues that have come in this quarter have come in because of OE -linked revenues. And as you know, OE-linked growth typically happens in U.S. locations and in other offshore locations, but not in India.

So, specifically in this quarter, I had a higher share of non -India revenues. So while we benefited from a stronger forex, we benefited from operating leverage, but that was kind of compensated by higher share of revenues coming in from lesser profitable locations. So these factors netted out each other, and that led to our margin profile for this quarter to be consistent with what we reported in previous quarter.

Manik Taneja: Great. Thank you, and all the best for the future.

Siddharth Rangnekar: Thank you, Manik. Participants who wish to ask a question, kindly click the raise hand icon at the bottom centre of your screen. We take the next question from the line of Raj Vyas from Bonanza Portfolio. Raj, your line has been unmuted.

Raj Vyas: So, first of all, congratulations on a very good set of numbers. And look, as you

mentioned, that we were ahead of the expectations as well. So clearly was expecting that we would increase your guidance, and that has happened.

My question is with respect to the top 10 clients, right? So it is now contributing to 84.6% of our revenue. So though it is down on a FY 2025 basis, if we look at it, that was around 90.5%. So what are the key strategies that we are looking in place so that we can further diversify our pool beyond the top 10 clients so that our revenue contribution remains intact even if there are some kind of uncertainties going ahead.

Ramesh Gopalan: Thanks, Raj, for your question, right? We've answered this question in the past also, and let me link it back to the three strategic objectives that I spoke about at the beginning of the call, right? One of them was to expand into mid and small market, and that's something that we've been focused on over the last three plus years.

And like I said, you've starting to see consistent increases in the number of new logos that we've been in the mid and small market segments. How at your point, these small clients start small and will take us a period of time to grow the revenue. So if you look at the concentration of the top three or the top five

or the top 10, they've been coming down consistently year-on-year, and we are very confident that that downward trend will continue.

But I've always also at the same breath mentioned to all of you in the past that our top clients continue to keep growing, right? So while they've been top clients, one of the strategic objectives that I laid out was also to mine additional white spaces and larger clients. And that's what we are continuing to do, right? While your question alluded to hiccups in some of these clients. Yes, the whole industry is under a lot of pressure because of the regulatory and other cost pressures. But that's what gives us the opportunity to continue to mine additional opportunities with the top clients.

And so while we continue to push for mid-market and small market account growth, our top clients continue to grow in

high-single digits. And that's why the concentration doesn't come down as fast as you probably would like to see.

Raj Vyas: Understood. Also, I guess, last quarter, we have announced a dividend of 5 paise, right? And we also highlighted that we may continue to give it. Do we have to pay debt is it, or we have to keep cash as well in our hand. And at the same time, we are also seeing the right, our receivables have also increased. So I guess my suggestion or my thought is that how can we improve this trade receivables segment so that we can continue keep giving dividends ahead as well. Because last quarter only we started, and again, in this quarter, I guess, there is no dividend to the shareholders?

Ramesh Gopalan: No, even when we gave dividends last quarter, we didn't say that we're going to give dividends every quarter, right? So we will look at our full-year results, and we will take a call at the end of the year. To your other question, there is no issue with the DSO, right? Like Abhishek mentioned, when your quarter-on-quarter revenues grow up by 17%, unbilled receivables go up, right? So all the work that we did in December are yet to be built, right? So that's it's just a factor of the revenue growing by 17.5% that the DSO appears to be high, right? So there is absolutely no problem in our collection cycle. And like Abhishek mentioned, the DSOs will come down again in Q4 once the revenue growth rate stabilises on a quarter-on-quarter basis.

Raj Vyas: Okay. And lastly, that as we will be paying our debt by FY 2027, as you have mentioned in the call as well, so after that or during the period, are we looking for other M&A acquisitions as well so that that could be helpful as a company to us so that we can acquire smaller companies, and we can get benefit from them as well?

Ramesh Gopalan: Yeah. Like I've mentioned in the past, M&A continues to be something that we

are keen on. We have a team that's constantly looking at opportunities for acquisition. And, yes, it depends on the size of the acquisition. A couple of acquisitions that we've done, we've managed through internal accruals. We've not had to raise additional debt.

And so depending on the size of the acquisition, we'll have to take a call. But to your question, overall, yes, M&A continues to be a key strategy for us. And if you find the right opportunity at the right valuation, we'll be more than happy to consider that.

Raj Vyas: Okay. And lastly, how's the demand panning out currently? As I know we have moved into the last quarter, but it's been few days only. As our demand scenario looking not just this quarter, but beyond them as we move into FY 2027 as well. So how's your demand scenario overall looking both in the geographies that we operate currently?

Ramesh Gopalan: Yeah. So, like, I mean, it's basis what we see is how we've increased our guidance for the full year. So demand continues to be good. So if you go back to the commentary, we continue to see opportunities in our existing clients, and we continue to add new logos. And given that clients continue to be under cost pressure, there is more and more opportunity that we see because clients use outsourcing as a lever to reduce cost and manage their profitability. So we continue to see opportunities both from existing clients and from new clients.

And as a company, again, I did talk about our strategy of getting into some of the larger outcome based managed services constructs. Some of those conversations are also going on pretty well. So we are confident that those will help us improve our close rates and continue to keep the growth momentum going forward.

Raj Vyas: I understood.

Siddharth Rangnekar: Thank you, Raj.

Raj Vyas: Yeah. Thank you, and all the best.

Ramesh Gopalan: Thank you.

Siddharth Rangnekar: We take the next question from the line of Vamsi Krishna from Kotak Securities.

Vamsi Krishna: Hey. Hi. So my first question is for you, Ramesh. So just when you say the market is incrementally moving towards outcome based engagements, so how is Sagility positioned to maybe capture greater share from some of the undifferentiated vendors?

And second, is on the pricing, which CMS has announced for the CY 2027 MA plans. Now, this is a case that it could lead to increased outsourcing, but then some of your larger accounts are say, fairly mature outsources. So how would that have an implication for Sagility?

Ramesh Gopalan: So, Vamsi, I mean, the similar questions, we've answered on the second part, right?

So let me take your first question, right? Outcome based engagements, like I've said in the past, we continue to build on our capabilities both as a domain expert as well as our transformation capabilities. So a large part of these outcome driven models is essentially contracts in which clients expect more than just the labour cost based arbitrage. They expect cost reduction over several years. And those cost reductions typically come about because of technology and transformation.

And if you look at, for example, the synchrony that I was talking about, that's a solution that we've taken to the market in partnership with a couple of technology vendors. So these are platform players, and so we have partnered with them to offer this end -to-end service to our clients. So essentially , clients don't have to pay a license fee for the platform, and we would manage the whole thing as a managed service both the technology and the services around those technologies.

So it's going to be a combination of continuing to build on our domain expertise, continuing to build on some of our transformational capabilities, and thirdly, to continue to partner with some of the technology vendors who have platforms and stitching it all together to get to this end -to-end offering with a cost takeout commitment.

And like I said, it's an evolving journey. Our capabilities are increasing. And as you will see over the next two, three quarters, we are likely to launch many similar offerings, which takes advantage of partner capabilities and our own capabilities.

To your second question, look, this profitability pressure is not new. And I've I mean, told everyone about this over the last several quarters. And we continue to show growth in our large accounts, right? So, yes, our clients are mature outsource rs in a number of areas. But, again, there are number of additional areas in which they still can do more. And those are the areas where we are trying to win new business. And some of the managed service constructs those conversations are also being held wi th some of the large clients, right?

So when we were doing piecemeal outsourcing for them in the past, now they are trying to look at end -to-end and saying, okay. If you guys can actually deliver value by looking at this whole value chain end -to-end, are we more than happy to give it to you u nder, I mean, if you can promise committed cost takeouts over the three to five year time frame, right? So those opportunities are coming not just from newer clients, but also from our existing clients.

And specifically on the MA reintroduction, we didn't talk about it because it just came out yesterday. It's preliminary numbers. Yes, the preliminary

numbers seem to suggest that the rate increases are not going to happen. But we'll wait to see what happens when the final numbers are announced in March and April. But that's only going to put additional pressure on our clients, right?

So the one thing which is also very clear from all these conversations is while there are additional opportunities that are also going to be additional pricing pressures because clients continue to look at all opportunities to improve their profitability. Lot of the work that we currently do will also come un der pressure. But then that's where, like I've said, we need to use our transformation capabilities to try and deliver those cost take also the clients are looking for without having a bigger impact on our margins.

Vamsi Krishna: Got it. And good to know that you are launching new platforms and, of course, on profitability, you have anyways delivered better than what was earlier guided for. And just my third question is, and last one is on the white spaces that you have identified. And say, what could be the addressable market, which can or what's the growth rate of those white spaces that you are trying to expand into?

Ramesh Gopalan: So, see clinical continues to be a big area that that where we are seeing an opportunity. Like I said, we expanded into the clinical area for one of our existing large relationships. We continue to see opportunities there for that client as well as for ot her clients. I spoke about HEDIS , though we don't do too much work there. We want to take advantage of that with all of the changes going on.

STARS as a program, while we've been doing clinical work, we're kind of trying to get all those capabilities together and go -to-market as effectively helping clients improve their star ratings. So everything around clinical seems to be a big growth area. We're also on the back of the acquisition of DCI. We are also trying to expand our payment integrity capabilities to a much broader scope. So all of that is likely to drive growth in areas where we weren't present before.

Vamsi Krishna: Sure. Thank you. And maybe last, Abhishek, can you help us with the margin walk for the quarter? And that's my last question. Thank you.

Abhishek Kayan: Can you repeat your question, Vamsi?

Vamsi Krishna: So I was asking for the margin walk for the quarter?

Abhishek Kayan: Margin walk with previous quarter?

Vamsi Krishna: Yes.

Abhishek Kayan: See, essentially, we delivered adjusted EBITDA of 26.2% in previous quarter. Our current quarter's adjusted EBITDA is 26%. So we are broadly in the same range as previous quarter. Approximately, I can tell you, right. I mean, we

benefited by 1% because of favourable Forex in quarter three versus quarter two. We also benefited by 100 bps because of operating leverage. I mean, we had significantly higher revenues, and we had some scale benefits. So that impact was almost 100 bps.

We had 220 bps of negative impact because of change in the delivery mix in this quarter. The share of revenues that were delivered from U.S. almost doubled compared to previous quarter. We had a huge AEP linked seasonal growth in U.S. in BroadPath. And the organic business also saw AEP related seasonal businesses delivered from Philippines, Jamaica, and U.S. So because of this, the revenue share of low margin geographies was higher compared to India, and that led to a 220 bps dip over previous quarter. Net - net, we had a 20 bps dip over previous quarter. I hope this helps.

Vamsi Krishna: Very helpful. Thank you.

Siddharth Rangnekar: Thank you, Vamshi. We will take the next question from the line of Ninad Sarpotdar from Aditya Birla Money.

Ninad Sarpotdar: Hello, good evening. Congratulations on the great set of numbers. Just a few questions. Wanted to understand that this slashing of CMS funding, I just wanted to get some understanding whether if at all it happens, will the impact of drop in volumes or new enrolments will be much more higher or immediate than I understand that cost pressures will always drive our business as outsourcing partners. But that will happen over the time. But immediate impact, could it be adverse for us? That's my first question.

Ramesh Gopalan: Okay. So let me try and clarify a few things, right? The membership for 2026 was decided through the AEP that just concluded, right? So the membership for 2026 is not going to change because of this. And the rates that were

also announced is the rates for calendar year 2027. So that's going to take effect 12 months from now. And again those are preliminary numbers.

We are still waiting for the final numbers in March and April, right? Hopefully, that should address your question of immediate impact. So there's no immediate impact either on membership or on rates basis.

Ninad Sarpotdar: No. Immediate, I meant for the next year only, just the focus was on like whether will be impacted more adversely with the drop in volumes and the improvement will happen gradually over the time was my question.

Ramesh Gopalan: If membership increases, why would volumes drop? So volumes are not going to drop, right? Like I said few of our large clients have had growth ahead of

expectations in the AEP season. And for those clients volumes are going to increase, right? Obviously, the reimbursement per member, I mean again that is CY 2027. Again it's not funding is being cut, it is the rates are not going to increase. Rates are not going to increase, risk adjusted rates will go by 2% or something.

But essentially, coming back to your question, AEP drives the membership volumes, and membership volumes drives the activity volumes.

Ninad Sarpotdar: Good and in terms of growth, I mean, how can you classify or bifurcate? Do you do that in terms of increased SOWs or addition of or launching of new solutions and in terms of organic growth? So can you throw some light on that?

Ramesh Gopalan: Look, new SOW or launching a new product which is sold to an existing client, all is part of organic growth, right? So organic versus inorganic is only the differentiation between the growth coming out of an acquired entity versus growth coming from the business that was there in the previous year, right? But all of those contribute to growth. Like we report new wins every year, those new wins comprise of both revenues coming from new logos, new clients that we open, as well as additional business that we sell to existing clients.

Ninad Sarpotdar: Okay, okay. Understood, yeah. That's all from my side.

Ramesh Gopalan: Thank you.

Siddharth Rangnekar: Thank you, Ninad. We take the next question from the line of Chirag Kachhadiya from Motilal Oswal. Chirag, your line is unmuted.

Chirag Kachhadiya: So congrats on a good set of numbers. Just one question in continuation with what previous participant has asked. So what I understood so far from the proposal that the spend is going to remain stagnant on Medical Advantage part. So in that case, is there a possibility that the volume of work will increase as the insurance companies have a cost pressure on? If you can share some like on this call.

Ramesh Gopalan: Yeah. So like I answered to the previous question also, Chirag, yes. I mean, cost pressures result in a number of initiatives that clients take, right? One is, obviously they need to reduce admin cost as much as they can as well as the clinical cost. So on the admin side, which is what a lot of the work that we do is predominantly on the admin side. So there are two things to do if there are still work that is being done onshore. And if that work can be offshore, clients look to service providers like us to help them with that.

Second thing, like I said, while to the earlier question, some of the larger clients may have been mature outsourcers. There is still smaller chunks of work upstream and downstream because of the scale issues that they have not thought of outsourcing before. But if you combine it in an end-to-end model, obviously, that's something that we could take over and move parts of it offshore and run the rest of it onshore, but still give them a committed saving through technology and transformation.

So those are the opportunities that clients are warming up to because any reduction in admin cost is going to help them at this time where there is pressure on

profitability. And then on the flip side, like I said, there is always pricing pressure. So either new business that comes or contracts that get renewed, there is constant pressure on what more can you do at the same price or how can you reduce my price even further.

And so those conversations will obviously put a downward impact on revenues and margins. But that's where we try and see how best we can deliver to the client's request without a bigger impact to our profitability.

Chirag Kachhadiya: I was asking if we look at our current margin profile, it is I mean, ahead of most of our peers, I mean, we're running almost peak on year to peak margin. And let's say cost pressure comes, is there any possibility that we may witness some margin pressure considering the client's end situation and all and considering our position of a peak margin?

Ramesh Gopalan: Look, there's always margin pressure, right. So I'm not going to tell you that there is no margin pressure. There's always margin pressure. And like I said, in times of heightened profitability concerns at our clients end, there is going to be pressure, right? So the answer to your question is, can you deliver what the client wants in terms of cost reductions for them and still continue to maintain your margins, right? So that's the balancing act that all of us have to do.

So far, we are confident that we can do that. But obviously, we will keep updating our guidance if that changes. But this is not a new thing. This has been going on for the last several quarters. So the profitability pressure is not something that's happened. And again, these rates are going to take effect in 2027. So not reacting to the rates of 2027. Even if you go back, utilisation rates were high, profitability pressures were high even three quarters ago, five quarters ago with some of our large clients, right? This profitability pressure, especially on the Medicare Advantage plans is not something that is new. And so that's the environment that we've been managing all this while.

And so we'll continue to keep you posted, but at this point in time, like we guided for the full year, we are reasonably confident of achieving those margins.

Chirag Kachhadiya: And one final question on the BroadPath synergy. So what we thought a year back to integrate BroadPath in this portfolio, are we running on time, or is there some delay in acquiring the clientele and create a common pool of offering combined services to a common client pool?

Ramesh Gopalan: Look. I mean internally, we didn't expect the synergies to all play out in the first year. So whenever you acquire a business with about 2,000 plus people, it takes a while to integrate and so on. Most of the integration is over.

The delivery side of the integration will happen effective April 1. And as you know, Chris, who was the Chief Sales Officer at BroadPath, we've elevated him to take over all of our sales operations, all of our sales across Sagility. So some of those movements have happened. And the cross sell, like I said in my opening comments, the cross sell obviously in Q3 didn't happen because of the AEP season. But there are at least a dozen opportunities that we are actively discussing as we speak.

And we are very confident that those conversations will result in some deals. So the synergy is likely to play out over the next two to three years. But there is a lot of opportunity because like the whole thesis was BroadPath was only delivering a narrow set of services, whereas we have a much broader offering to take to those clients.

Chirag Kachhadiya: Okay. Thank you. All the very best.

Siddharth Rangnekar: Thank you. We take the next question from the line of Rishi Jhunjhunwala from IIFL. Your line has been unmuted.

Rishi Jhunjhunwala: Yes. Thanks for the opportunity. Ramesh, in your vast experience of doing business in this space, in the past year

when there has been a pressure on profitability from your customers, is it fair to assume what you have experienced in the past is net-net an operating profit level? It hasn't ended up being deflationary to your business given that either, any pressure on volume and pricing has been offset by productivity or the other way around. And as a result, some of the concerns around how this will play out on our financials going forward should also not be very high.

Ramesh Gopalan: Yeah, Rishi. That's the way it's been so far. So and we've spoken about the levers that we have at our disposal, right? So productivity improvements year-on-year is a big factor that offsets any pricing reduction or any cost savings that our clients demand. Use of technology and transformation is another big lever that obviously, that effectively drives the productivity. So that's another big lever that helps keep our margin safe. And yes, whenever we get a benefit of exchange rate, that also helps us drive in the long run, right?

So those are the levers that we have. But to your question, profitability pressures like I answered to the earlier question. I mean, this has been I mean, there are periods when this is higher than others. And I would say over the last few quarters, there's been a heightened profitability pressure on our clients, which is obviously translating to a lot of demand on cost takeouts and better efficiencies that they demand from us. And some of these larger constructs also gives us that flexibility to not look at it on an FTE basis or on a transaction basis.

But it also helps us move the narrative to more an outcome based in which case you're dealing it from headcount. And that gives you a lot more opportunity to use technology and other levers to help maintain your margins.

Rishi Jhunjhunwala: Understood. And the second question is, through the course of the year, we have raised our revenue growth guidance from 20% plus to now 22.5%. Would you be able to provide some colour on what has been the reason for this increase? Is it that we have been able to win a bigger share of the wallet from our customers, or the underlying outsourcing penetration has actually increased a lot more than what you potentially were anticipating at the beginning of the year?

Ramesh Gopalan: Yeah. I mean like we've answered this question many times. Wallet share gains, there are wallet share gains here and there, right? But that doesn't predominantly drive growth. Most of the growth comes from the outsourcing penetration that we talk about, which we call white spaces, right? Things that clients haven't done in the past, where we have the advantage because we have the skill sets, we understand the domain, so we have the end-to-end capability. So those are some of the things that give us an advantage in convincing clients that we are best positioned to deliver on those white spaces. But yes, that falls into your definition of outsourcing penetration and leasing, right? That's what drives most of the growth.

Like I said, some of these new constructs would basically take some of the work that we are already doing from our clients, add additional components to it, but be defined through a different business model rather than a FD or a transaction pricing model, right? So in that case, also, there is a marginal increase in the outsourcing penetration, but then that also changes the whole construct of the deal.

Rishi Jhunjhunwala: Understood. Thank you so much, Ramesh.

Siddharth Rangnekar: Thank you. May I request the participants to limit the initial questions to one per participant, as there are a lot of participants in the queue. Time permitting, we'll come back to you. We take the next question from the line of Shrenik Mehta from IndoAlps Wealth. Shrenik, your line has been unmuted.

Rishi Jhunjhunwala: I just wanted a medium term picture of how you're looking at gliding towards an ROE number, which would be at least over the cost of your capital 15%, 20% range. Do you see this happening in the next one or two years, two, three years, or do you see that this will be much longer?

Ramesh Gopalan: So I'll ask Abhishek to answer the question, right? So there are adjustments that you need to do to any of the return matrices that you compute, right? So want to understand on what basis you're computing first. But broadly, the guidance that we've given both from a profitability and from a revenue growth,

forgetting the FY 2026 guidance is we continue to believe that we can grow in the low -to-mid teens organically, and any acquisitions that we do will be on top of that.

And we still think, while 2025 and 2026 are impressive numbers. We traditionally guide in the 24% EBITDA range, right? So, I mean, even over the medium term, we'll continue to retain the guidance. Obviously, at the end of next quarter, we'll give you a better guidance for FY 2027. But if you're asking for the medium term from a top line growth and a profitability perspective, those will still continue to be our guidance at this point in time.

And, Abhishek, can you respond to the specific ROE request?

Abhishek Kayan: So Rishi, let me step back and give you a background on how this company was formed. Essentially, Sagility was a carve out from a predecessor company wherein the predecessor company sold the health care business in form of asset transfer to our promoter, right? Sagility B.V. And the net purchase consideration was significantly higher than the physical assets acquired as part of this process, because there was a huge goodwill and intangible that got created on our books. So if you look at our balance sheet, the goodwill and intangible that you see on our balance sheet is not because of the acquisitions we have done post our formation, but it is because of the way we were created as part of carve out from our predecessor company. And, obviously, because of such high amounts on balance sheet because of goodwill and intangibles, the equity is very high, right?

I don't know where I got cut off, but what I was saying was, I mean, if you do a plain vanilla ROE calculation, just on the reported numbers, you'll end up with a low ROE. But if you make these adjustments for the high intangibles and goodwill that sits on our books because of the way we were created, you will end up with a high two digit number on ROE. Happy to connect with you offline to explain you this. Also request you to read our RHP wherein we have explained this.

Rishi Jhunjhunwala: So you mean the ROCE would be a much better measure for you rather than the ROE. But ROCE is also just in initial single double digit, right?

Abhishek Kayan: Maybe I'll request you to look at Slide 13 in our investor deck, wherein we have given an adjusted ROCE number, which is at 50%, and we've explained the way we have calculated this. We have made an adjustment for the high goodwill that sits in our books. I can take it offline, which I can explain you.

Rishi Jhunjhunwala: Okay. Thank you.

Siddharth Rangnekar: Thank you. We take the next question from the line of Riddhansh Chandak from Unifi AMC. Riddhansh, your line has been unmuted.

Riddhansh Chandak: Hi. Congratulations on a good set of numbers. I actually had a general question on the broader market within the U.S. If outsourcing penetration is already, say, high within the larger clients. How do you see this trajectory? How far can it go in terms of headroom? Could you just give some colour on that, please?

Ramesh Gopalan: Riddhansh, yeah. This question we've answered in the past. But like I said, the only anecdotal we can give is our top five clients have been with us for 18 odd years. And last year, the top five grew in high -single digits still, right? So when people ask us is there headroom to grow, which

is what I tried answering in the previous questions, there are still white spaces in these clients that we are still growing. The large clinical opportunity that we want in Q3 was from a top five client, right?

And so if you look at our set of numbers at the end of FY 2026, you will see that our top clients will still grow at a very high rate. And some of the larger

managed services deal constructs that I was talking about are also constructs with some of the large clients, right? So the question that keeps coming, what is the headroom to grow? We continue to show year-on-year that our top clients continue to grow at that higher rate, which is one reason why our concentration also doesn't come down as rapidly as everybody would like to see it, right?

But we are very confident that there is still enough room to grow in our top accounts.

Riddhansh Chandak: Apologies. I think I misphrased that question over there. What I intended to ask was on the lines of what percentage do the larger clients do outsourcing is how would I say this better? Outsourcing penetration in the larger clients, could you put a percentage to that?

Ramesh Gopalan: Yeah. I would roughly, I mean, it's a very difficult number, but look, the Everest report in our RHP decks and the industry penetration is in the 20's. So we would think that the larger clients would be closer to 50% to 60%, right? But there are still spaces there where we think we can get more work, and we continue to explore those areas. But, yeah, I mean, if you were to ask me to put a number, I would probably think 50%, 60%.

Riddhansh Chandak: Right. Thanks for taking the question. All the very best.

Ramesh Gopalan: Thank you.

Siddharth Rangnekar: Thank you. We take the next question from the line of Nandan Arekal from JM Financial. Nandan, your line has been unmuted.

Nandan Arekal: Thank you for taking my question and great set of numbers. So my question is on the net new ACV number. This has seen a slight drop this quarter from the previous quarter. So is this due to some sort of productivity pass back that we are seeing some near term bookings go down a little bit? And do we expect lumpiness in our bookings because of the large managed services contracts that we're talking about? And how should we look at the net new ACV number going forward? Yeah. Thanks.

Ramesh Gopalan: Good question, right? So, yes, depending on some of those contract wins, there will be some lumpiness to our ACV. To your question, the ACV win numbers have got nothing to do with giving efficiencies back, right? Because these are deal wins that have just happened during the quarter. And so the execution on those deals would have just started out or in some cases may not even have started in the same quarter, right? So that's got no relation to that.

The reason if there was a marginal dip, obviously, the AP season is a season where clients are very busy with their new enrolments, right? So the discussions on a lot of opportunities don't proceed as fast as it proceeds in the other quarters. So we are confident that that number will pick up. But your broader question, yes. There will be some lumpiness depending on, on which quarters we've been what size of deals. But we hope to see these numbers go up even otherwise gradually inch up over the coming quarters.

Nandan Arekal: Yeah. Okay. My second question is on the medium term outlook. So do we have maintained that, we'll do low-double digits. So in the context of, let's say, the productivity that we're giving back to clients, cost pressures, and also the outcome based models that we're looking at, do we see any sort of risk to those that medium term outlook?

Ramesh Gopalan: Not really, right? The cost pressures, like I said, cost pressure is only going to translate to clients asking for more commitments on efficiency improvements from our side, right? So that's

more of a question on how much it's going to impact our margins and how do we manage it with all the levers that I just spoke about, right?

The cannibalisation because of some of these efficiencies, that's part and parcel of our business, and I've answered this question in the past. Even today, I would say about 150, 200 basis points of cannibalisation happens. And cannibalisation happens in multiple ways. One of the cannibalisation that mostly we talk about is technology based cannibalisation. But in our business, there's also cannibalisation when work moves from one geography to another geography, right?

So for the same volume of work, if I'm delivering it in the U.S. and tomorrow the client wants me to deliver from a different geography, there is a cannibalisation in revenue, right? So that typically plays out during the life cycle of an SOW or with the client relationship when they're first comfortable and they want us to do work onshore versus later, they want us to move the same work offshore.

But all of this put together, the level of cannibalisation is only likely to increase, right? So that's a statement that we've made in the past also. But our low-to-mid teen growth that we're talking about or the low teen growth that we're talking about is obviously net of all of these cannibalisations. And, yes, we need to work harder for the same level of growth. That's for sure.

Nandan Arekal: Yeah. Just a clarification to this. So are we expecting this medium term outlook we have given for the organic, if I'm not wrong. So for the inorganic portion as well, do we expect the same level of growth, or is it slightly higher, lower? Yeah.

Ramesh Gopalan: BroadPath was acquired in January, right? All of this becomes organic from Q1 next year onwards.

Nandan Arekal: Got it. Understood. Yeah. Thank you. Very helpful.

Siddharth Rangnekar: Thank you. We take the next question from Arvind Arora from A Square Capital. Arvind, your line has been unmuted.

Arvind Arora: So, how much we have spent for automation or innovation kind of things for the current year, and what is our plan? What is we are budgeting for next year?

Ramesh Gopalan: Look we don't give out specific numbers, right? But, broadly, we have a large tech and transformation team. We were just looking at it. We have over 400 heads in our tech and transformation team. While they may do some direct billing to clients on specific technology or transformation work, a bulk of what they do is building some of these Gen AI use cases. A bulk of what they do is the transformation that helps in generating those tech based efficiencies that we pass on to the clients. We are continuing to invest in that capability.

Arvind Arora: Any person like, round off numbers like percentage of revenue that we are intend to spend? Because this is the things which can save us, correct?

Ramesh Gopalan: Yeah. I mean, I don't know if, I don't have a number off the top of my head, but Abhishek, we can come back to you.

Arvind Arora: Okay. Understood. And since you mentioned about GenAI, so how this GenAI theme is paning out, And are we also getting any farming opportunities due to this? Or are we also expecting any increase in margin going forward? Or like due to this GenAI your automation client is also coming and asking for gain share or something like that is happening. Like, how these teams are, like, panning out? If you can shed some light on it.

Ramesh Gopalan: Yeah. I mean, I've been saying the same thing over the last 45 minutes, right? The outcome based constructs, the managed service constructs, there is an expectation of higher cost takeouts because of higher efficiencies. And a lot of times, those efficiencies are delivered through GenAI and other transformational initiatives, right? So obviously, that's what is the expectation from the client, and that's one of the growth levers that

we spoke about.

To answer your question, yes. Those are all things that that help us position ourselves as someone who can help clients take cost out.

Arvind Arora: So then, protection, like for us going forward from margin perspective would be, like as you mentioned, delivery on time and delivery with quality, correct? And that part, can be done by automation or like, an improving the learning curves, something like that. Is my understanding correct or?

Ramesh Gopalan: Yeah. So what's your question?

Arvind Arora : No. I got your answer. Thank you.

Ramesh Gopalan: Okay. Thank you.

Siddharth Rangnekar: Thank you. That was the last question for the day. We thank the members of the management for today's call. And on behalf of Sagility Limited, this concludes the webinar for the day. You may now log off the event.

Ramesh Gopalan: Thank you. everyone.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Apr 2026

Date: April 02, 2026

To,

The Manager The Manager

Listing Department Listing Department

National Stock Exchange of India Limited (NSE) BSE Limited (BSE)

Exchange Plaza, 5th Floor Phiroze Jeejeebhoy Towers

Plot No. C/1, G -Block Dalal Street

Bandra -Kurla Complex Mumbai - 400 001

Bandra (E), Mumbai - 400 051 Scrip Code: 544282

Symbol: SAGILITY

Dear Sir/Ma'am,

Subject: Transcript of Investor & Analyst Day held on March 25, 2026

In continuation of our earlier communications dated March 13, 2026 and March 25, 2026, please find attached the transcript of the Investors' and Analysts' Day held on Wednesday, March 25, 2026.

This information is also available on the Company's website <https://sagility.com/investor-relations/financial-summary/>

This is for your kind information and record.

Thanking You,

For Sagility Limited

Satishkumar Sakharayapattana Seetharamaiah

Company Secretary & Compliance Officer

M. No. A16008

Encl:a/a

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Sagility Ltd.

Investor & Analyst Day Transcript

Wednesday, 25th March 2026

MANAGEMENT • Ramesh Gopalan - Group CEO and Managing Director

• Srinivas Mattapalli – Executive Vice President, Group Chief

Financial Officer

• Abhishek Kayan – Deputy Chief Financial Officer

• Roopam Narayan - Executive Vice President, Solutions & Practice

• Srikanth Lakshminarayanan - Senior Vice President, Healthcare Practice

• Krithika Srivats - Senior Vice President, Clinical Practice

• Madan Moudgal - Executive Vice President, Chief Digital Officer

• Ram Mohan Natarajan - Senior Vice President, Business Transformation

• Chris Shiffert - Chief Growth Officer

• Dhaivat Mehta – Vice President, Global Brand and Corporate Communications

QUESTIONERS • Atul Mehra – Motilal Oswal Financial Services

• Pallavi Deshpande – Sameeksha Capital

• Shreesti Rastogi – Canara Robeco AMC

• Siddharth Vora – HSBC Mutual Fund

• Anil Nahata – Parami Financial

• Chetan Shah – Jeet Capital

• Namit Arora – IND GROWTH Capital

• Pallavi Deshpande – Sameeksha Capital

• Ravi Menon – Macquarie Capital

• Varun Gandhi – Finavenue Growth Fund

Page | 2 Dhaivat Mehta: Good afternoon, this is Dhaivat Mehta, Vice President of Global Brand

and Corporate Communications here at Sagility. And on behalf of everyone at Sagility, it is our pleasure and privilege to have you amongst us here today. I hope you've been able to grab a bite to eat. We really appreciate you being amongst us. I know all of you have busy days, and so we really do appreciate it. Well, today, we have several members of our leadership team here, and we're going to walk you through some of our strategic roadmap and how we intend on continuing to create long-term sustainable value.

We are going to have a Q&A session. Team, if you can go to the next slide, please. I want to make sure that we share with our delegates here. So, this is a QR code, and there are several QR code stands across the room as well. If you have any question that comes up as we go through the presentations, please feel free to put in your question on this QR code link. We will have a dedicated Q&A session right at the end.

We will take all those questions that you have put forward, but also, we will have a team that will go around with mics, and so you will be able to ask questions that way as well. Of course, if you go to the next slide, it's important that we take a moment to look at the safe harbour statement regarding forward-looking sta

tements. So, I will pause for three or five

seconds and we can look at the statement together. Okay. With that, I won't be taking too much of our time.

Let me hand it over to Ramesh, our MD and CEO, who will take the next session. And we have multiple sessions thereafter. We have a tea break. We have a long day here today. We are going to be here together till dinner and cocktails. So, look forward to knowing many of you better.

Ramesh, over to you.

Ramesh Gopalan: Okay, thanks. Thanks Dhaivat. Good afternoon. Welcome everyone. Lots of familiar faces. So like Dhaivat said, it's a long day. We are going to continue all the way until 7. Let me quickly tell you what's planned. So, this is the broad structure of what we intend to present.

So, as you can see we will start with my session, but the whole idea here is I have met almost all of you. You have heard from me several times, but today is the opportunity for you to hear from my team. So we will dive deeper into some of the topics. I want you to walk away with a good understanding of our capabilities, our go forward strategy and how we plan to execute on that strategy over the coming years.

Page | 3 We have a tea break between 4 and 4.30 but a lot of our presentations include demos. So hopefully you will get a better feel for some of the products and solutions that we have built and like Dhaivat said at the end of the day we will have a 45-minute Q&A session. So please post your questions through the QR code and also, we will have mics around at the end for further questions. Again, just a placeholder for those of you who don't know us. Many of you have seen this slide before. We are a leader in health care operations transformation.

So that is what we do. All of our clients are U.S. healthcare clients. Two major segments Payers and Providers. Payers constitute about 87%, 88% of our revenues. Providers about the balance 12%, 13% and we go to market on three pillars. One is a deep domain expert experience and throughout this afternoon that is the key theme that you will keep hearing from the rest of my team. You will get a first-hand experience of how deep in domain we are as experts in U.S. healthcare and the second thing you will also get to see the breadth and depth of a service portfolio. So, I've told many of you in the past that when it comes to especially the payer value chain, we touch almost all the functions in the payer's ecosystem. So, and just not touch cursorily but we have deep expertise in each of those functions and that sets us up for some of the future work that we are doing and the third part again over the last at least 10 plus years we've been focused on tech led transformation. So you will see a number of use cases today. Some of the demos that will showcase the depth of our transformation capability and hopefully you will walk away with a good understanding of how we get the domain and the transformational capabilities to gether to improve the value or to improve the efficiencies and operations and add value to our clients. Again clients and so on. We've discussed in the past the key messages relationship strength. We

work with some of the large payers in the U.S. Today we work with seven of the top 10 payers and three or four of these relationships have been around for over 20 years. So if you'd look at the top five clients, the average tenure of those clients is 18 years.

So these are long-term relationships and like I've mentioned in the past not only are they long-term relationships, these relationships continue to grow and we'll show you numbers from the last 12 months on how the top five and the rest of the clients have grown. So very sticky relationships, we've proven to them that we are a great partner. We've added value to them over the years, and they still continue to grow with us and in terms of the scale of operations operate from five geographies

, multiple sites
within these geographies.

Page | 4 We won't cover a lot about operations today but one thing that underlies everything that we are doing today and that we intend to do tomorrow is the operational strength that we bring. So we've done this work for 25 plus years. We are known as leaders when it comes to delivering on operational metrics and KRAs and that is the foundational trust on which everything else that we do is built. In terms of financials, again we don't intend to get deeper into the financials, but in the Q&A session happy to answer questions, but if you look at our track record we have grown consistently in double-digits over the last five years and our margins have also been consistent in the 24%, 25% EBITDA range.

In terms of recognition, so all of the analysts, the industry analysts who track healthcare operations in the U.S. If you look at all of the reports, you will see that we feature in the top quadrant. So be it Everest, Avasant, HFS, ISG and so on. But within that, I would like to highlight a few of the more recent ones especially as it relates to today's topic which is what does AI mean to our business. If you look at Everest PEAK Matrix, we have been rated in the Leaders Quadrant for intelligent payer operation and the word intelligent is use of transformational technologies like AI and so on. Similarly ISG has stated us as leader in generative AI services and Business Intelligence Group have taken our use case on Sagility SmarTec Nurse Assist to award us the winner of the Augmented Intelligence Award and you will see a demo of this in action later in this presentation. So this many of you in one-on-one meetings and conferences we have gone through this.

I'm not going to spend a lot of time on this. This is just to say that the statement that I made. One of the pillars that we go to market on is our breadth and depth of our services and this kind of showcases that breadth and depth. If you look at the value chain the first five pillars are all related to payer business, payer and PBM practices. As you can see if you look at the lifecycle of let's say a member, an insured who goes through the payer organisation all the way from member acquisition up until renewal of that member. Everything that the payer needs to do to run their operations we touch almost all of those functions.

We group them logically into these practice areas and then my team that will come after me will dive deeper into some of these practice areas and tell you how the domain depth has helped us build solutions that solve critical business problems for our clients. But member lifecycle, provider lifecycle, claims, clinical payment integrity, these are the practice areas on which all of our solutions are built and underlying all of this is

Page | 5 consulting and technology services. So we do business unit assessments. We do journey mapping.

We do some of the upfront consulting to identify the opportunities with some of our clients and we also have like I said a transformation team where some of the point solutions and some of the Agentic AI deployments we do across all of these practices and like I said you will see some examples of those in the later sessions. So one of the questions that we discussed recently especially at the beginning of this year is all of the changes that are happening in the U.S. healthcare system and how Sagility is navigating those changes and so thought I will take five to 10 minutes to just cover some of the big changes in the U.S. healthcare and how we are well positioned to help our clients through those changes.

Again won't treat all of this and we have covered this in earnings calls in the past, but there have been a slew of changes in the last three to six months. A lot of them just picking up on the One Big Beautiful Bill. There has been funding cuts specifically impacting the Medicaid business.

That

is likely to play out in the coming months and years.

So we haven't seen the impact of it yet. Most of it will take effect towards the end of the year and the beginning of next calendar year, but it is expected Medicaid heavy plans are expected to lose some members. We will talk about the Medicare not only Medicare but across the board we will talk about the increase in utilisation and the challenges that that poses. So we have a couple of slides which will dive deeper into that and AI.

So today all through today's session we will talk about AI sorry -- Agent AI and the impact of that on our business and how we plan to capitalise on that. But yes, there are constraints in the U.S. healthcare system when it comes to the use of AI. And we will talk about some of those complexities and the constraints and then explain to you how we plan to leverage the power of AI to increase the efficiency of our operations. ACA subsidy, we have spoken about this in the past and this has played out in the open enrolment season that happened early this year. So there has been a decline in new consumers and there has also been a decline in overall enrolment.

Tariffs not something that impacts us much. Obviously there have been some changes recently, but even before there was not much of an impact to us and we don't expect this to impact us and then the H1B there were questions around that and we have clarified. We have people in single digits with H1B Visa. As all of our employees in the U.S. over 99% of them

Page | 6 are either Green Card holders or citizens and so this is not something that impacts us. So in a nutshell, if you look at most of these changes what it means is two things.

There is membership volatility in many of the plans and two there is a margin compression right and let's double click on the margin compression issue. And this is a representation of the top payers right. Some of them are our clients, some of them are not, but we just wanted to give you what is happening across just not the top payers, but across the industry. The thing that is very common across all of the payers is the increase in what we call the MLR. So if you look at all these graphs and these represent over four years.

The MLRs have gone up from the low 80s to high 80s and in some cases even 90 plus. What that basically tells you is payers are increasingly spending over 90% of their premiums in just paying claims. So essentially left with very little money to run operations and make a profit and so this is the margin compression that you keep seeing in all of the earnings calls of our clients.

All of their CEOs and CFOs if you look at the consistent teams, it talks about higher utilisation how they need to improve their margins. People are talking about this being the trough from which they hope to recover and a lot of them are talking about cost takeout, reducing administrative expenses.

So all of the challenges are around margins and how to improve profitability. Some of them have strategically exited certain markets which are high utilisation markets and so that is caused also membership changes. Some have lost membership consciously, some have gained membership, but ultimately this is all with respect to how to improve their bottom lines. So, the question that many of you asked us is in this context since you guys work with a number of large payers. What does it mean for you?

How do you expect to grow when your clients are going through all of these issues, and we wanted to spend some time and talk about how essentially some of these margin compression issues that our clients face is a tailwind for us and why is that. It's not that everybody can go around saying that it's going to benefit them, but we are uniquely positioned for the following reasons. First, we deal with healthcare operations.

Page | 7 So one of the things that keeps constantly coming up i

s how are you

different from IT services players and we have said that the spend on us is not discretionary spend. Clients have to continue to run their operations and one of the things to improve margin is to reduce the cost of operations and that is where partners like us come into play.

So our domain expertise is one of the main reasons why clients expect us or expect partners like us to be able to reduce cost when it comes to their operations and secondly as I said we worked with some of these clients for 15, 20 years right and so we have proven over a period of time that we are credible that we can scale and we can deliver value right and so when clients want a quick cost reduction, we are the ones who can do it with very low transition cost and timelines because we understand their ecosystem, we understand their processes and we have a very good understanding of their business in some cases even better than some of their own people. And third we have spoken about the transformation capabilities.

A lot of the work that today clients expect us to do is over and beyond just the cost differential between their geography and delivery geography. A lot of it is around how can you further transform a business. How can you take cost out of my operations and all of the capabilities that we have built and some of that that we will demonstrate to you today will show you how we use those capabilities to add value to or take cost out and reduce overall cost of operations for our clients.

And lastly and Roopam will cover this. We are open to multiple business constructs. One of the challenges for clients today is if they need to do transformation they have to invest significantly upfront and some of our business constructs basically, we tell the clients that they don't have to invest significantly at the start. We will make the investments on their behalf and we will straight line the savings for them over a period of time. So those kinds of constructs we are more open to and we are open to that because we are very confident in our ability to execute on the transformation and show the savings to the clients and so to answer that question if you look at it both from a viewpoint of top five clients as well as the rest of the clients. You can see in the last 12 months which is December 2025 over 2024, the top five grew close to 10%. 9.9% is the growth of our top five and if you look at the rest of the clients it's even more healthier. It's 28% growth.

So across the board both in the top clients and in the rest of the portfolio we have grown in spite of the macro pressures on the industry. So the

Page | 8 cost, the profitability challenges are real and in that environment over the last three, four years we have continued to show sustained growth across our portfolio of clients. So transitioning from there. So, like I said our clients expect and this is not new.

One of the things I wanted to talk to you about is the fact that outsourcing and offshoring gives them a cost advantage is a known thing. So that was the origin of offshoring. If you go back 25 years, the whole premise of offshoring was you deliver it from a lower cost geography and that gives them a big cost reduction. But that's kind of table stakes and it's been table stakes not just now, but it's been table stakes for a number of years now.

So the added value that clients expect from service providers like us is beyond that cost differential what additional value that you can bring to the table and that value being someone who runs operation is how do you reduce my cost of operations. So reducing the cost of operations on an ongoing basis is part of our DNA. So it's not new today. It's been there with us for the last 15 plus years and this is the journey that we've taken in reducing the cost of operations.

If you look at the early days, it was all about process improvement right. So all of you

would have heard of the terms Six Sigma and SOP redesign business process reengineering. All of those were things that we did in the early days to essentially look at the processes upstream, downstream,

look at some of the handoffs. How do we eliminate unnecessary task? How do we improve efficiency? Ultimately resulting in lower cost of operations. In the last 10 years, 2015 onwards when some of the digital tools became available.

Things like RPA, things like analytics, process mining. These are capabilities that we used in the last 10 years essentially to identify what are the bottlenecks in the process and in some of the simpler rule-based processes can be used RPA bots to improve the efficiency of operations and they have generated a reasonable amount of efficiency.

If you look at typical RPA bots that we've deployed in the last 10 years at a process level they could generate anywhere between 15%, 20% efficiency. So that's something that we've generated in the processes that are amenable to such interventions and those are efficiencies that in some form of fashion we've passed back to our clients. And now in the last 12, 18 months since the road show, we have been talking about this. We have invested heavily in Gen AI and a number of use cases we have

Page | 9 demonstrated to you which are more in nature of if I were to call them more passive uses of Gen AI.

We've embedded them at a process level. They either do, they automate some portion of the task. They help retrieve knowledge based on which our humans have to make decisions and in some cases they've also automated documentation. And all of that we've done making sure that there are enough guardrails in place and so on. So this has been the journey so far, and now when we look at what we've been doing in the last six months or so and into the future. It's to take this to the next level.

But before we do that, I wanted to talk about some of the constraints that the U.S. healthcare industry has, and how as company given our transformational capabilities and our domain expertise. How do we plan to navigate through some of those constraints and still show tremendous value to our clients. If you look at the U.S. healthcare landscape, I want to talk about some of the constraints across these four constructs. The regulatory issues, the clinical judgment required in a lot of the work that we do and also the whole healthcare ecosystem. The number of stakeholders, the relationship between the stakeholders and the complexities of some of those relationships. And then lastly we will talk about fragmented data and legacy systems which is something that I'm assuming a lot of you would have heard from others in other industries as well, but it's amplified in healthcare.

Talking about the regulatory complexity in healthcare. So I won't go through all of these laws and what they mean, but essentially you can understand that healthcare is a highly regulated industry in the U.S. There are number of laws that we need to abide by and some of these laws do pose constraints when it comes to implementation of AI and Agent AI. A simple example the healthcare HIPAA. HIPAA has very strict guardrails around privacy and security. So there is a minimum use standard. So you can only use the data that's required to complete the task and not overuse. So obviously if you're using AI and Agent AI, in some cases you can't give access to all of the data, because the law prohibits that. And when we talk about clinical, we'll also talk about places where there are guidelines and laws today where some of the medical decisions cannot be done by an autonomous agent. What this means overall is when we try and implement AI and Agent AI in healthcare. You got to be careful that what you do is auditable, what you do is explainable and what you do is compliant. So what that means is it limits how much you can do in an autonomous

way and we'll show you some examples where we've tried to blend what power we can get from an Agent AI implementation

Page | 10 along with human in the loop to be able to accomplish greater efficiency for our clients.

Next, when you look at clinical judgment. There are number of factors and I'll touch upon a couple of them. One, we spoke about the regulatory aspect of it in which a lot of the clinical decisions things that impact the care cannot be taken autonomously. A human always needs to be involved in making those decisions. So that's one constraint, but even

otherwise healthcare is not something that in some cases can be done autonomously, because for example and Krithika will talk about this. In a clinical care gap it is seen that the member or the patient doesn't understand that there is a gap, but it's some societal barriers, it's some behavioural reasons because of which the member or the insured isn't taking the right action. And in those cases you need a human to be able to understand and do the right nudging so that those gaps can be closed. And more importantly one of the bigger concerns when it comes to AI is, is there going to be a bias in terms of parity to some of the behavioural health and other benefits that members are supposed to have. And so if you look at regulations, we need to make sure that there is no bias that violates any parity rules.

Talking about complex stakeholder relationships. We've discussed in the past about the U.S. healthcare ecosystem and how there is an interplay between payers, providers, members, employers. So all of them kind of come together and the incentives of all these different stakeholders are diverse. And more importantly the complexity is also in the number of contractual and payment related relationships.

When we talk of an insurance company, it's not that they sell one single plan. So every state, every county, the variations of the plans could be different. The benefits could be different. Similarly, every provider relationship, every provider contract is different. There are nuances in those contracts. So much so that one of the acquisitions we did DC on payment integrity. The service there is just to reprice the contracts. I mean these are contracts that have been loaded onto the system. Auto adjudication rates are in the high 80s and 90s.

In spite of that we have an opportunity to go back and review the payments that have been made against the contract, and we find more than enough opportunity where the payer has actually overpaid, because the intent of the contract wasn't really established when they set it up in the system to make those auto adjudications. So those kinds of

Page | 11 complexities in terms of the number of permutation combination and what needs to get paid is immense.

And also when it comes to the member or the patient there is very limited.

I mean this is healthcare is one of the products where the people who actually buy those products have very little understanding of how it works. Even as a consumer, members have fairly limited understanding of how this works and that creates the additional level of complexity.

What this means is as practitioners as people who run healthcare operation we need to have a very strong understanding of the ecosystem to be able to precisely deploy AI. And you'll see in some of the examples that we showed today how that understanding of the total healthcare ecosystem is very important to be able to do this.

And lastly, like I said you would have heard this from others as well. The fragmented data and legacy technology infrastructure, but healthcare and we've discussed this in the past and most of you know healthcare is from -- as an industry is quite behind in terms of modernising some of these platforms. Today if see a lot of these platforms are outdated. A lot of the information across the ecosystem be it membership, billing

g, claims. They all act in; they are all in siloed systems. There is very little exchange of this data and what it also like I said in because of regulatory constraints sometimes there is also restricted access across these silos, because you need to get consents before you can go across the silos and get the data.

And so what that poses, the challenge that it poses is that an Agentic AI doesn't have access to all of the data in the enterprise. And so you will see some of the examples that we demonstrate today. With those constraints we can still implement an AI based solution, which works with these constraints and still delivers value to the clients. What it means as a practitioner for us is the reason, the knowledge required to understand the client's ecosystem so that we know precisely how to deploy this AI. Like I said, the question that all of you ask is with all of this advances in AI, why are your clients not adopting it immediately right. And hopefully some of the complexities that we discussed are basically the constraints

that our clients and we need to work through to be able to get the power of AI. But we believe that given our history and given our domain expertise we are uniquely positioned to help our clients because of the following reasons.

Page | 12 Like I said, and you will see today we've designed processes in which human is always in the loop and we can use the power of both AI and the human in the loop to deliver much better outcomes for our clients. You will also see the deep clinical and domain knowledge that's required to deliver on some of these promises. And like I said we are very flexible, I mean, even though today a lot of our contracts are on FTE or transaction basis. We are very open at this point in time with clients on multiple pricing constructs and we are willing to take risks to be able to deliver those efficiencies to our clients.

And finally our proprietary tech and our ability to integrate AI into the process workflow is something that will separate us from others. So it's a combination of all of these capabilities that gives us the confidence that we are better positioned to take advantage of the technology.

And so the way we see the future evolving is rather than using AI passively in a specific process we are at the stage where we are embedding AI in our end-to-end workflow. So you will see demonstration of that today.

We've created a whole set of what we call SmarTec agents. One, I'll talk about the internal one, but essentially in the work that we do for our clients both on the administrative side on the clinical side these SmarTec agents are utilised in complex workflow. So we can automate a complex workflow from end-to-end and use agents and humans appropriately in the workflow cycle to deliver the value that the clients are expecting us to deliver. And you will see specific examples of that today.

And then the final holy grail where how do I -- if I'm able to overcome some of the data constraints and the legacy system constraints. How can I even increase the power of AI by having AI do the reasoning and the decision-making and that's where our Synchrony series of solutions come into play. And we'll give you some examples of that today. So essentially think of it as an offering in which we take a life cycle end-to-end. For example the Medicare Synchrony product takes the membership enrolment life cycle all the way from plan design to enrolment and billing and within this life cycle how do we bring partner platforms and create an orchestrated agentic workflow on top of that. So that within that lifecycle the agents can make autonomous decisions with appropriate human intervention but be at a much higher level than what it could do in a legacy environment.

So that's where we think the future is and you will see today that some of the partners that we are working with, some of the partner products that

s that

we are working with. So in that new ecosystem both with the partners and with our expertise will create that agentic workflow like I said with a much

Page | 13 higher level of autonomous decision-making. Then what we can do in the previous era. So those are the two things where we think the future is headed and we wanted to give you a taste of that the coming presentations.

The subsequent presentations is like I said going to focus more on how do we execute on the strategy. And like I said, deep domain expertise is a key prerequisite for execution of the strategy, and so Roopam, Srikanth and Krithika will touch upon how we bring that expertise to the table and how that expertise helps us deliver on the promise of AI. So you will see some of the new business constructs. You will see how our understanding of payer and provider ecosystem gives us the depth. And like I said, you will also see some examples of what we mean by Synchrony and what value it brings to the client.

Second is, we'll also have presentations on our tech-led transformation so that's going to be a lot of demos on how we use Agentic AI and what is the value that it delivers to our clients. And you'll also get to see how we're using the partnership ecosystem to deliver on that value. And towards the end Chris will talk about how we are taking all of these capabilities to market.

Like I said our large clients as well as the rest of the clients continue to grow at a healthy pace, and so where is that growth going to come from? What are the solutions that we plan to take to that market? And then the strategy of penetrating the mid and small market is something that we are very bullish on and what kinds of solutions appeal to that clientele and how we plan to do that and also some of the new services that we are working on. So all of this we will cover in our last section.

So at the end of the day you will see how the domain expertise, how the transformational capabilities and taking all of this in a very focused way to the market. How that's going to power our growth in the coming years. So with that there is 10 minutes. I can possibly take a couple of questions and then pass it on to the next speaker.

Atul Mehra: Yeah, hi. Thanks for hosting this. Just one question, so the biggest apprehension today like we all know is around AI and so on and so forth.

So can you give an example. So you spoke about how difficult complex things are. But could you explain it with an example how AI could...?

Ramesh Gopalan: That's in the next session. You will see some live examples of areas where we've deployed and you will see a...

Page | 14 Atul Mehra: Deployed, but also in the sense that, like what is it in our business that a way is AI proof in some sense or how things not be like completely like our business model may be not impacted to the fullest extent or to any major extent because of AI. If you can like walk through some real life example. Thank you.

Ramesh Gopalan: I think Roopam who comes after me is going to give you a real -life example. So I don't want to steal his thunder. But the broad response to your question is, we are looking at AI as a force multiplier. We are not looking at AI as a disruptor. Of course there will be disruption like I said. Generating efficiencies and operations and passing it back to the clients is part of our DNA. So that's something that goes, that's an ongoing part of our business, and so it's happened in the past. It will happen in the future. But today with AI and Agentic AI, we think it's a capability that will really open up additional opportunities for us and given in the context of the market, which is the cost pressures and the margin pressures that a lot of our clients' face.

We believe that this is essentially going to help us even grow faster than we have in the past. It's a question of how we embrace it, how we deploy it and how thought

fully we deploy it keeping into account all of the constraints that we spoke about. And I think given the position that we are in from a domain depth, we've done this for 25 years. We understand the ecosystem, and so we believe we are very uniquely positioned to help our clients in this journey. So we are looking at AI and Gen AI as a force multiplier and not something to be concerned about and that's the message that I wanted to leave with all of you.

As you see through the rest of the presentation, we are essentially embracing this as a tool that can reduce cost of operations for our clients and given this in the current environment where most of them are struggling for profitability. How do we use this to add value to our clients, make the relationship stickier and continue to grow with them and places where we will grow and how we plan to grow is what Roopam and the rest of the team will talk to you about.

Pallavi Deshpande: What we're saying there is no deflation of impact that what we see in the IT services space that is not something we see in this space.

Ramesh Gopalan: Again, right at any efficiency could be and we'll talk about it maybe in more detail after all the presentations right. Adding value to our clients has two aspects to it. This one way to kind of impact the invoice that I build to my clients, which is generating the efficiency in the operations that I do

Page | 15 for clients, but the bigger impact is what we say cost avoidance for the client.

So if you see a number of examples that we'll show it not only means that the only way to add value to my clients is not just by reducing my invoice. Yes, that's a component and AI will impact that, but the bigger value that AI can add to my client is how can I help my clients avoid cost that they would have otherwise incurred? So that's the bigger play. And so to your

question at the micro level, at an SOW level if I generate efficiencies will it impact the revenue I generate? Yes, but as you can see from the rest of the presentation it also opens up opportunities for us to enlarge the scope of the work that we do.

Look at a process end-to-end whereas we were operating in silos before and how that will increase the pie. So at a micro level, yes, there will be some reduction, but it also opens up an additional stream of opportunities for us.

Participant: Just wanted to understand, so what AI has done is the provider have always been disaggregated and may not have access to the best technologies as the peers have. But in AI, we are seeing multiple companies trying to provide these unique solutions, autonomous coding or better transcription, which leads to better claims in the first place. So what AI is likely to do is improve the provider's journey. And in that context, how do we add that better value to keep the payer more competitive? Because it almost looks like much of the AI is coming after the payer. In that context, how would you add significant value going forward either using AI or maybe whichever way possible.

Ramesh Gopalan: It doesn't change the answer right. Everything that we spoke about so far is to make the payer more competitive, is to reduce the cost of operations. And we'll also show you an example how we bring the knowledge of having worked with providers and payers and how we bring value to that interaction between a payer and a provider as well. So there's an example where we talk of a HealthBridge Connect, which is basically a connect between payers and providers to reduce the cost of both payers and providers. Because every time for example a simple example a provider builds a claim and doesn't get paid on time or doesn't get paid the amount that they think they should get paid. It causes friction. It causes an interaction. It adds to the cost. How do we work since we know what are the reasons why that friction exists. How do we work with both parties to reduce

cost for both parties. These are friction points

Page | 16 which if we use the right intervention and technology, we can reduce cost for both parties.

And so those are some of the interventions that we've done with some of our large clients which have been very useful. But broadly everything that you will see and hear today is essentially how to reduce cost of operations for our payers right and large part of that is the relationship the payer has with the provider. Some of the friction points in those interactions and how to reduce that friction.

Participant: Just a quick question. I understand that the cost of operations reduce to some extent. So in that way, do you believe the entire services by both outsource or in-house done by the payers, and that size will reduce, but you will end up getting a higher part of that as outsourced thing, what does the reduced size of the services is? Because some of the AI would also help them automate their own internal processes right now. Some of them will help you automate the process you're providing them. Is there a leakage of your processes going back to them in-house and maybe more opportunity of their in-house process coming back to because of the AI you generate. If you can give them that numerical answer that would just be.

Ramesh Gopalan: Yeah, so before we get into the details, one of the things that I've shared with lot of you is the macro status on outsourcing penetration. So if you remember doing the road show and subsequently the slides we showed. Payer as a whole the outsourcing penetration is in the low 20s. So when all of us start saying oh if this is automated what's going to happen is payer going to take the work in-house. It's the other way around. There is still 70% plus work that is done internally by the payers today right. So the efficiency is going to be generated in both parts of the pie. Both in the work that we do currently for the payers, but more importantly the large portion of the work that they still currently do in-house. And some of the business constructs and some of the examples that you'll see today is exactly to address that right. How do we use the power of AI to increase like I said, to increase the opportunity size. We might be doing just one function for the client, but because today if I can combine the up stream

and downstream and generate a higher value, the client is more than happy to let us do that.

So while yes the work that I do might generate efficiencies and disrupt my revenue there, but it also increases the size of the pie. So you'll see some examples of that.

Page | 17 Namit Arora: Hi, Namit here from INDGrowth. Yeah, my question was around within your own organisation, how are you leveraging AI within Sagility as an organisation? And secondly, how are you using AI to develop some AI native offerings for the future rather than sort of looking at the current? Thank you.

Ramesh Gopalan: I mean we didn't talk about that. He is chomping at the bits to talk about what we are doing internally in the organisation. So, yeah I mean one part of AI and the part that we are going to discuss today is the offerings that we take to clients. But AI is so mething that we are also embracing internally as an organisation. Everything that we do today right starting from hiring to training and everything is going to be completely reimaged using AI and all of that is in the works.

So, we believe in the next 12 to 18 months that's going to have a big impact on the cost of doing business for us and we'll talk about that more in subsequent earnings calls and so on. But there are a number of initiatives underway to make our operations much more efficient because today as you know a large part of what we do is hire people and because we hire them in multiple geographies where there is very little understanding of U.S. healthcare. A lot of time and investment goes in hi

ring and training

those people and how can AI impact that significantly. So those initiatives are also under play and if you have time towards the end, I'll ask Anand to give you some more examples.

Namit Arora: Thank you. Thank you again for hosting this and having the entire senior team here. Thank you.

Ramesh Gopalan: Thank you. We will move on to the next session. Like I said, if we have time at the end of each session, we will take a few questions, but we will have about 45 minutes at the end to take other questions. So thank you.

Roopam Narayan: Thank you, Ramesh. Hi, good afternoon, good evening. My name is Roopam Narayan, I take care of Practice & Solutions. I'm based out of Denver, Colorado. Some of the questions that you asked and probably will get answered in this session itself. So one of the things about looking at AI or any of these tools is that customers can implement it. Service providers like us can implement it. Who can implement it faster? Who can give results and ROI faster and better?

And who can commit to an ROI. I mean these are the questions that will make the decision of whether we grab more business out of the client or whether we just lose part of our own revenue. So that's where the entire session that I'm going to talk about will come into this. So we have our

Page | 18 traditional methods of growing. We are growing in our existing as well as new clients.

But we have specifically focused on outcome -based offerings leveraging AI primarily to grow much faster and grab market share which was not available to us. It was not even part of the addressable market for most of the outsourcing vendors in the past. And that comes to us because we are actually an AI first organisation. So I'll cover three and I have examples for this one and my colleagues Sri and Krithika, they'll come and give some additional details and these are with numbers so you can probably see the power of AI and how these impact our clients business and how it impacts us. So it's a win -win for both the organisations.

So Managed Services Structure deals, you probably would have seen a lot on the IT services side. It hasn't happened much on the business process side. So let's start from there. And in this part, like any other IT services, managed services deal, client outcomes are very clear that they are looking at cost savings committed, number one. Number two, they are looking at speed to value.

So you don't have to really wait for two years, three years of your automation projects to kick in and therefore you get the refund. They are also looking at zero or no CapEx, no upfront spending. So that's really

needs to be part of the deal. So that's the benefit. And then the differentiation comes in operations specifically which touches their members, providers, external stakeholders directly and that's why it's not discretionary is that they do not want a black box outsourcing model. So a lot of part that builds is really the trust and that comes through incumbency. That comes through a very strong delivery track record that we have these clients. So typically most of our managed services proposals that have gone in and where we have signed up or we are going to sign now in next maybe months to quarters are really with the existing customers. And that's the benefit that you will see from the client outcomes.

On our side, like we said, is a scope 70 plus percent scope which was previously not available to us. It was retained by the client. That becomes open to us because managed services always end -to-end. So we will take the entire enterprise volume and do an end -to-end managed service . That comes in and most of the scope issues not coming to us was onshore. Obviously at a higher per FTE cost rate and therefore the automation has much higher benefits there. ROI is much higher there. So that's part you

Page | 19 will see from that part o

f it. We get the control on automation projects. So far we have been working with the client in partnerships and we go and give some suggestions and we provide the automation. Their IT team will come in best efforts basis. They will go deploy the automation in the production environment and then it will take another three to six months before value is realised.

But here in this case, as part of the contractual agreements, we have secured control over the automation projects including that with the Gen AI. So that's the second part that is good for us. And this breaks the linearity. There is no discussion now on transactions or FTEs. This is actually getting into base fee and ARCs and Rooks are more aligned with their revenue which is membership. So if you acquire more membership, we get more revenue. If you lose membership of course, still a floor. We are willing to let go of some part of the revenue because that's how this entire model works.

So this is a very powerful one and I have a live example of one of the scope which I will cover in the next slide. Coming further, now we are talking of getting into the mid -market. We have some clients. These are the clients and I think there was a question on payers are usually the businesses aggregated at top with the payers and then provider is not completely fragmented and disaggregated business like I think you brought that up. Even in the payer side, if you leave out the top 10 payers, the subscale payers have tough time competing in the market. And that's because not the cost of operation, which is still fairly linear, it's cost of underlying technology. That's where they are looking at partners who can come in, who can bundle in technology and give a Synchrony, what we call it as an AI led solution, but it also brings in platforms so that data is not in five different platforms and there is lot of M&A activity which happens in those smaller plants. So it's that they have three plans which have come together and now three different claims platforms. So how do you address that? So that's where our Synchrony services come in.

Where we are coming not just for the operations but including the tech platforms underneath it. Some models may not require us to own the licenses. Clients can own the license, but we still have the IT production support, IT support everything is part of our offering. What's the other value from the client point of the area? Speed to Value. When client like that which is stretched for resources, they will take years to implement or integrated multiple platforms.

Page | 20 When we do it, we are going to convert those years to less than a year, nine months, 10 months and platform is alive. ROI is much faster, much better, realise that's something which comes in. And then what we are doing is the biggest cost is really technology and technology is really upkeep and making it compliant. Your CMS changes, Interop came in, No Surprises Act came in, pricing transparency came in.

I mean how many IT technology are you going to keep on adding in every

module, every platform. It's extremely difficult. But we do it on our platforms. It serves three clients, four clients, five clients, shared service. So that's something which we can deliver for these people and it becomes the platform becomes future proofing for these clients.

And if you see that those are the client benefits, very similar benefits for us. We get higher penetration in the market with a higher wallet share. Because now we are not just talking of offshore claims processing, we are talking of claims, conflict, claims payments, provider data management, provider calls everything put together is one bundle. EDI, file exchanges, IT production support everything is part of that one Synchrony Claims Lifecycle the way we call it. It is all covered in one process. We take end-to-end, we deliver it. So that's where you get th

e first two

bullets of our penetration in mid-market and high wallet share with the same customers and it's a very sticky model. Like I said is that if you see the M&A activities which have happened so many plans came with Medicare and the moment the reimbursement rate dropped, increase dropped, they have either shutdown, they are not in the Medicare market anymore or they got bought by a larger plan. And we have ourselves lost business. I mean we lost a care management business in a similar plan because they got acquired by a larger plan.

But when you have a platform-based business, the acquirer cannot change the platform overnight. So it basically gives you a sticky five, seven-year kind of contract. So that's the other part of benefit that we get out of the Synchrony Lifecycle Operations.

And lastly with the MLR becoming such a big problem. A lot of growth has happened in the MLR. You probably would have heard not from us but from even others is that clinical business is actually growing faster than the rest. And the reason is simple that if your medical cost is going up something has to be done. There are other actions of renegotiating provider contracts etc or changing the benefits, making more cost share go to the member that insurance company doesn't have the 100% liability of those claims. So those are adjustments on your benefit products

Page | 21 provider contracts, but a lot is about how can you change your health of the population.

So they are not consuming high cost expensive items in your healthcare and therefore get the benefits. MLR reduction services, we differentiate from managed services. Look if somebody gave me a UM process saying that it's a 6 million process, can you run it in 5 million. It's a managed services. But when we are talking of a 6 million spend and the plan is saying is that I am getting a medical cost impact of 18 million, can this become 30 million.

So then the discussion is no longer of 6 million versus 5 million. It's a question what is a medical cost, what is a medical impact. So that is what we are focusing on that and Krithika will cover actually with the journey of a member patient you can call it and how it works in MLR reduction part of this one. So that's the three areas that you will see us focusing on and we have some early wins in these areas. We have some good pipeline. We have tested these offerings. All of them the lynchpin, the bedrock for this is very strong delivery which is still our strength and a very strong domain led technology that is again our strength which are the part which goes inside these offerings. I have one, one slide each one for these before we get into individual cases and we will drill down deeper. So next slide is really one of the constructs. It is close to the numbers that we have negotiated.

Now this is a process which is costing 25 million to the client. It is a single LOB or one of the LOBs doesn't have the member lifecycle. It does not get into enrolment and that side of this house. But this is only claims with some provider lifecycle. So provider data management the claims calls that come in because of the provider claims etc is this one.

Like I said we normally talk of 6 million is our revenue for last eight -10 years. Give or take with membership increase which happens because of population and automation benefits that go like Ramesh said that it goes back to the customer. It has been stable around that. Maybe it will reduce for Gen AI because the productivity will be higher than the membership

growth that we will get.

But it's 6 million there but you see the pie we don't have. 13.5 is retained with just about 15%, 20% members who are so called the restricted groups which cannot be offshored. So the processing happens onshore client retains it. There are a couple of other vendors in the 5.5 million. But

Page | 22 when you're doing a full end-to-end

because any Gen AI deployment, any such deployment is an enterprise level.

When the client did their ROI mapping and everything they said, we can reduce this and give you 5 million starting day one. Okay. Because we are using the same technology that the client allowed us to do. So our technology team is at parity with theirs. They have other priorities. They have other projects. By the time they come and do this, it's going to take them time. They will take them longer. We can shorten that cycle and give them the benefit from day one and do a five year deal.

So think from our perspective 6 million possibly declining now becomes instead of 30 million over five year or less. Now is a 100 million for us. So that's a 3.5x growth for us in terms of revenue. And from the client point of view it's no brainer. Okay.

It's not your risk not your investment. The party that you have done is already doing most of your volume which is us. The delivery is working better than anybody else who can deliver. And that's how we are getting this kind of a business. It has a direct impact on our revenue margins and from the client point of view upfront savings. So that's really the kind of benefit that a managed services model that. This slide is a little bit busy. I'll not get into lot of this one. Just to explain that the multiple causes of medical cost increase. That's inevitable.

Okay, you have GLP drugs, you have high consumption on behavioural health, you have an elderly population, you have a backlash that we have seen in the market against claims denial or authorisation denial for services. So, all that points to things happening where medical cost will increase. The way to contain that cost is to have your members take the preventative care in advance and you cannot go chase every member. So how do you identify the right membership chase them and between the two sides, one is control the utilisation so that you don't have the waste. That is one part of the offering which is very important.

The other side is make your population healthy. So that and it kind of feeds together into each other and that's what we have developed using our AI framework and analytics framework and that's what's giving us and when Krithika comes in, she'll take a patient journey and show you how this works and how we had not done the intervention, what was the impact? So that's really from end to end situation that we have mapped out and shown this one.

Page | 23 All the discussion then no longer happens on I'm spending \$10 million on my Care Management and I have to bring it down to \$9 million. Fine you can bring that down. But is the \$10 million giving you \$15 million impact or is that giving you \$30 million impact. There the difference is \$20 million, not \$1 million worth of saving. So, when we are having discussions in MLR Reduction it's about the impact rather than just getting 10% saving on a given process like a managed services model.

So, this is a very powerful model that will get into. In many cases, what we have started finding now is that clients are actually adding the cost to come with new programs in Care Management, because it's likely to have 3x, 4x, 5x ROI, and we are the ones who will be running those programs. So, it's a new market for us. So that's where we are saying is that market is actually expanding for us including AI platforms and not reducing. So, that's a very different statement that you will hear from us compared to many other vendors.

If we go to the next slide and get into the Synchrony services. You will find that we have put together a series of services that are there in terms of a Payer life cycle that we had put in as the first slide. Now in this Synchrony services, enrolment and billing is one part of the membership life cycle. Complex enrolments are in Medicare and ACA plan. So, we have fully flesh out Medicare ACAs under this one. When Sri co

mes in, he will talk about a Medicare life cycle under the enrolment building. We have Claims Life Cycle. The previous slide where I showed the managed services that was a managed services for claims, but we are in discussion on a Synchrony where we are bringing in our platform with a partner for the Claims Lifecycle. Utilisation Management again we have couple of very strong partners and right now we are I think Krithika will probably have the right numbers 21 identified plans where our Synchrony Utilisation Management with the partners is being targeted for. And these are mid-market. Mid-market I will define as less than a million members. These are not very small, but they are still smaller than the plans that we typically handle today. SmartStep Aging in Place is our award-winning platform-based service. Long-term careers are already using this. So far, it's been used by long-term insurance companies primarily because their objective is not to have a higher percentage of their members go and use long-term care facility because it costs them money. So, they have been using it. But now it's come as part of offering of that you can do post-acute care and keep the member at home and well at home, taking care at home so that the member does not go back to some skilled nursing home facility where

Page | 24 again there is big spending for the health plan. So, you will find those kinds of solutions which have direct impact to outcomes of our customers. And therefore, they are willing to pay us our right share of revenue and margins. And none of these are linked to actual transactions or FTEs or something like this, because these are all outcomes.

And these are customers who are tested with, or we already have a strong revenue coming from them already. PI services, again, it's a platform-based service. Ramesh pointed out that we can look into the old contracts and come back with that where the client or payer client overpaid and therefore there is recovery. We recover that money and we get contingency based payments for it. So again, it's contingency based model. There's no FTE based linearity. AI driven, all the contract loading etc. I think somebody asked about internal use of AI. These platforms are not being sold to the customer. So, all efficiency that we have to load hundreds and thousands of contracts and thousands of fee schedules is all Gen AI driven.

So, it all brings everything together and we get much faster results on our PI than most of our competitors, and therefore it improves our margin and revenue, because the faster you recover that's your revenue. So that's something that you will find.

A&G is something that you will probably see in our technology demo on appeals on how it's completely been. Wherever we can automate components of appeal of course there is human in the loop. That's again part of the solution that you will see there.

RCM is in the provider side that's the offering that's again platform based. So, all these are AI driven with an underlying platform that we have, or we bring in with our partners. The client doesn't have to pay for platform. Client doesn't need to pay for our FTEs. Clients are actually paying us for outcomes. So that's really the kind of positioning that you will have with each of the Synchrony services, which differentiates us, which also breaks the linearity with the number of FTEs or transactions or any of these models. And Gen AI here is our friend. So, think like that. So, it's basically enabling us to compete in the market, grab market share and really improve our margins. That's really the three objectives the way I'll put out of the use of AI when it comes to our business.

So this is where I just wanted to leave that these are the three kinds of offerings which are all outcome based, all Gen AI based and if you now go back to the questions that were there, you will understand that

Gen AI is

Page | 25 actually what we are leveraging to grow our business, grow our margins by giving even higher impact and higher ROI to our customers.

We completely understand if you don't do anything what the expectation is that your revenue is going to drop. Some business will get pulled back, because the client has already automated much faster. All those things will happen. But it will not happen if you have these outcome-based

services which are actually giving ROI and speed to value which is better than what most of the plans can do themselves internally. So, I will leave it that.

The next two sessions will get into the core admin side which is the payer - provider synergy that will be with Sri. After that the clinical portion which Krithika will explain clinical gets a little bit too technical. So, we are trying to take it through a member patient journey in terms of without generative AI based solutions that we had, what was happening, how we improve the UM experience, which is to avoid the waste and get the right service authorised for the patient.

And then the next phase was how post service, how we can take care of the same patient with our same Gen AI -based platform services and ensure that you do not have readmissions, you do not have problems of somebody cannot get taken care of after a surgery at home and therefore has to go back to some nursing facility. So, all that you will hear through a patient journey and these are I mean of course in all HIPAA and masking our customer data we kind of taken the information from there and created a journey map for that.

So, hopefully, in this session we could convey what is happening in the market and how our offerings and the growth numbers that you have seen this year which will continue in the later on years. How that is getting delivered using our domain expertise and technology.

Okay, I also have about six minutes, maybe one or two questions I can take, and then we will move to Sri.

Shreesti Rastogi: Hi, this is Shreesti here from Canara Robeco AMC. Just wanted to understand on the managed services piece and we spoke about how from \$6 million we became a \$20 million deal. Did not understand exactly what happened because we said that 13.5 million is unrestricted. So, from unrestricted to actually getting awarded to us, it was difficult to comprehend. That was one.

Secondly, when we speak about AI life cycles and managed services deals that we are now incrementally working on. So first of all, what

Page | 26 percentage is these in terms of revenue and how does it help us in terms of protecting our existing business? If you could quantify that that would be more helpful for us to understand.

Roopam Narayan: Okay. So, let's go with the first one. First of all, the premise is Gen AI is across the board. It can do restricted as well as non -restricted business, right. So, it doesn't matter to Gen AI agents. Autonomous agents can handle restricted business and no n-restricted. So, when you are deploying Gen AI solutions, let's say I am just giving an example of claims match with provider data, which is causing all the pains and you have to resolve this. It's a Gen AI solution from us which is going to do that. That works in the restricted business, it works in the business that we have, it works in the business that other vendors also have the volume.

But for us to bring our technology and give it their two methods either we go sell the technology, charge per transaction to the customer that's another method or there is something like that which is a traditional model. The other is which we ask the client that give us your entire onshore, your other vendors business and our business, anyway we have it, okay. You can stay out of it. Now you don't have to pay for any of that, because we are deploying our technology. We are deploying Gen AI agents. We are automating. And therefore, the ent

ire revenue. So out of

the 20 million we have onshore resources. So, the fallouts after Gen AI is still being managed by us. But it will be our agents not the clients' agents. So, let's say because Gen AI agents will become our resources not the client. So, client does not have any resources after this. It's all Sagility resources who are working on the system, okay. So, I hope you got that that how that business has come to us. Onshore offshore, okay. So, when it gets restricted for onshore, so traditional methods now you also if you go back to the history the way Ramesh was explaining. There is no value for onshore business to be outsourced because there is no labour arbitrage there.

So, if you see most of the large plans and outsourcing the onshore business has not been outsourced. This method allows us to take the

onshore business put the entire end-to-end cost. Put Gen AI on top of it and deliver value for it. Good question. I hope this was a good clarification on how that \$6 million became \$20 million for us, okay.

Your second question. I'm sorry, can you repeat that one?

Shreesti Rastogi: Yeah, I mean, this is my understanding, but what we are talking right now is what we are doing right now to protect our revenue stream, right?

Page | 27 Managed Services, Synchrony, AI this is not what we're doing historically.

So just the question is that what percentage of revenue or deals are like because of this that is one? And secondly how is this helping us in protecting our existing revenue if you can quantify that?

Roopam Narayan: So, let me once again and I think Ramesh covered this in his talk also is we'll not call it protecting the revenue. There is no protection of revenue against Gen AI. It will erode. Automation will always erode the revenue. The solution to that is what can we do using Gen AI which can give our clients higher value than what they can do internally with Gen AI and then comes these kind of constructs.

And your point is extremely important, because most of the plants are themselves under pressure right now. They don't have CapEx dollars. They don't have lot of investment. So, they are looking at vendors who will bring investment and deliver outcomes for next few years. So, we are in the right place there. We are the incumbent. We have shown this one. We have strong deliveries from technology. We are willing to take that risk, and we are willing to follow their technology guardrails, because everything that we are doing is following the client technology guardrails and we are giving the solution based on that.

So, from all aspects at UCB we have covered, the risk mitigation plans. We've covered their technology risk mitigation plans. We have covered their technology risk come with a financial model that works for them in the year when they need the savings. They need it now, okay. And we are no different from what they would have done anyway with their own technology teams in terms of bringing Gen AI and other things. So that's the part of it.

So, I'll say is that the thought process is not about protecting the revenue, it's about growing the revenue using Gen AI. I mean that's the way I'll put it. Protect the revenue would have been that if we didn't do anything how do I protect and how do I make sure that my volume does not get impacted by Gen AI, we are not in that business. I mean we all for creating more efficiency for our clients and faster. And it's all about giving or showing the impact and delivering the impact which will be better than any other vendor or even their own internal teams and therefore demanding that we get the higher share of business.

Participant: So, historically, when the IT companies used to take the in-house business from the customer, they used to take the resources also from the customer, that their manpower will go to the IT company and then efficiency again will come to the IT companies.

When we are offering

Page | 28 these services to the client, are we saying give us your manpower also, we'll take end-to-end solution for you and we will take care of your manpower also. How we use them? Efficiency will be on us. Is that how we are working?

Roopam Narayan: That's deal specific. It's not we are against it. It's not that we are for it. So let me just put it this way, rebadging of resources is always on the cards. But it's not the driver for this. Driver is Gen AI, driver is productivity. And we don't actually need because we are doing the same work from offshore. So, we don't have a gap. So many times, IT companies do it, because and we may have to do that if we went for a completely unknown business. There's no transition, so how do I go and run this. So then rebadging becomes a necessity.

In our case and specifically in the case I am rebadging is not a necessity. But it's at the same time it's an optional service. Obviously we're open to that but we're not forced to, because we have gaps in delivery or something like that. We don't have such situations here. I think I'll have to move because our time is up, but if there is something you raise the hand. Okay and your question please. Yeah.

Participant: Hi, I just wanted to know how does your client evaluate you versus the other companies who are also doing something similar? How do they evaluate the cost benefit what you are providing versus what any other competitor will provide and how do they ensure that efficacy of the tools are working?

Roopam Narayan: Both these questions will take it in the Q&A, and they are similar from the ROI and competitive positioning point of view. So, we will take it from there. Thank you. Thanks a lot.

Srikanth L: Hi, Srikanth, part of the practice organisation. I manage the core admin side of the work. Personal safe harbour statement, we might get a little too technical, especially me and my colleague Krithika when she comes in. So please in case if there are any clarification, happy to do that a little later.

So, what I am going to cover, I think Roopam and Ramesh talked about the different constructs of what we are doing in terms of adding value to your client. My focus would be on the Managed Services portion that Roopam talked about and the Synchrony services and taking examples of how will we do and how do we deliver this. We will talk about some examples, will talk about some of the solutions so that you are able to see that.

Page | 29 Okay, first example of complexity of the problem that we have. Typically, if you look at a payer and a provider journey, it's very, very siloed. So, you have different organisations within the provider teams who are talking to the payer organisations and different departments. It could be right from contracting, there is a separate entity which deals with all the documents, manages the relationship with the payer organisation. If you are looking at somebody on the claims side that's a separate team.

Even in the payer side or in the provider side these two entities have different systems, these two entities have different SOPs, these two entities have different guidelines. Normally, they don't talk to each other. The advantage we have is that with all the work that we have done over the last 25 years we understand each and every bit of these lines of businesses for both on the payer side, as well as looking at from a provider perspective also as to, hey, why are the friction points happening. Industry research shows that the payer and the provider friction points are costing close to around 40 billion worth of rework, repeat calls, repeat transaction, repeat claim submission which is impacting the overall administrative cost of a payer or a provider organisation. For example, if a claim needs to be paid accurately you want to make sure that your contracting details that need to be provided are very a

ccurate. If you don't

do that upstream if you have any mistake on the contracting side, it impacts all the downstream problems that you face in either claims or appeals or Care Management and so on. That is the complexity.

You were asking about, I think it was your question. What are the examples of where we think it's lot more difficult. It is difficult but that's also the opportunity. What's the opportunity historically what we did with some of our clients is we looked at impacting all the process improvement opportunities or point solutions which are there in these two boxes that I'm showing here. All those were hey we will do point solutions for contracting. We will do point solutions for claims. We will give efficiency of say 10% to 15% on the claims volume of work that we are doing. We will save another 5% because we are doing contracting work that is how traditionally we went about doing all the value addition and the value delivery that we did historically.

Fast forward now, what this has meant is for some of our mid-market clients etc where they have not been able to bring this all together because of our domain expertise, because of we having the view of all the different levers that needs to be brought in to make sure that we are able to give the end-to-end value, we have been able to save a lot more higher value dollars for our clients and we also have proof points.

Page | 30 One more example I will take is for the same client that Roopam talked about previously where about the 6 million to 20 billion. Around 18 months back I think there was one more question how do the client see

our value delivery compared to the others. For that particular client the client said that hey Sagility, we have a problem of looking at end-to-end processes. We don't have a view. Why don't you become the convener and create the innovation forum of bringing all the different other vendor partners of ours and make sure that you drive that innovation.

And that innovation idea that included many of our competitors, we were the convener, we were the champion of bringing all those solutions together. We did the entire mapping similar exercise looked at what are the value drivers, what are the important aspects that needs to be done, and we created an overall enterprise pipeline of projects worth close to around 45 million. And in that we drove some of the changes in terms of hey, what are the automation opportunities, what are the process reengineering opportunities. That's how we have been able to look at opportunity and drive value.

So in most cases the clients come to us and say you are the domain expert, you know contracting all the way to care management, you also have the provider view, how are you able to bring this all together and that's a common question and this enterprise transformation is framework that we created is an answer to what our clients really wanted. Even for larger clients if you just take the example that Roopam showed about the 6 million going to 20 million where the transformation saving is \$5 million. And that is transformation becomes the key focus area on the managed services side. What are the different levers? We have built point solutions which are core which requires domain knowledge. I'll just take probably a couple of examples right.

The last one which says command centre for late payment interest. Today for one of the clients a claim needs to be paid based on local state guidelines within 30 days or within 25 days. If the claim does not get paid on time, then it incurs interest. For some of our clients the interest that they pay out of the claim, the leakage is close to around 50 million, 40 million, 30 million over the last three-four years. So we created an Appeals Command Centre. This is based on identifying pure opportunities based on our domain expertise.

Create process mining, create analytics framework to make su

re that we

know what are the bottlenecks, where are the claims getting stuck, why is it not getting processed, what are the challenges because of the platform

Page | 31 where the platform is not doing what it is supposed to do? It is not that the tech is not there, but it was not doing the work it was supposed to do. So, what needs to be done to trigger auto adjudication process higher?

We created that command centre, we looked at creating charters then brought in the automation led by Agentic AI to say hey these are areas where there are high bottlenecks, let's automate these which will reduce your exposure to these claims not getting processed on time which is thereby which you are reducing the late claim interest. For that particular use case for 2025, we saved close to around \$15 million of late claim payment interest.

This is not an invoice reduction as Ramesh was explaining, not all value delivery is invoice reduction. This is the leakage that they were experiencing at an enterprise level. We have been able to reduce \$15 million worth of saving based on the command centre on the late claim interest. Today we have taken that command centre on late claim interest to looking at appeals and say how do we solve for appeal?

Like that we have created multiple point solutions for some of the mid-market clients where their technology is not very robust and they have not matured and they don't have ability to change the platform in the managed services construct, these point solution becomes the value drivers for us to say hey if you are saving \$5 million, where does that saving come from? It comes from these assets that we have created.

The layer below on the tech and AI led side, the technology team will spend a lot more time, so I'm not going to go into some of these areas that we are going to cover. But the other thing that I want to also call out is even before the Agentic AI what you call last one year of Agentic AI discussions that has been happening. Some of the value that we have given to our clients over the last four, five years has been very high. Say one of the

Medicare national plans, our admin cost reduction has been close to around \$11.5 million for last year.

Of this only 10% to 12% are probably invoice reduction. Most of it is enterprise transformation where we have looked at their overall administrative cost, internal other vendors and us put together and how have we been able to drive that admin cost reduction. In this case there was automation effort, there was what they called as a shift left strategy. A little technical but I'll explain a lot of the work that happens on payment integrity is as a result of things that could have been fixed upstream in the claims area. So, we looked at an opportunity of pure processor engineering.

Page | 32 It may not have been completely tech led or Gen AI. This was about looking at opportunity mapping the process using our domain expertise over the last 25 years we have been doing claims and we shifted all those and say hey what are the gaps that need to be addressed, what are the changes that need to be done in the platform and that project alone saved close to around \$4.5 million which is part of this \$11.4 million.

Another example is close to around \$5 million benefit on this I talked about the example of the late claim interest. For a blue plan another cost avoidance project. So, this is something that we have been doing. The clients see that we have given these values and Roopam talked about our strong relationship and they have seen the domain expertise shine through with some of the projects that we have been able to do and that's how we have been able to go to our existing clients as well as prospective clients and say hey these are the use cases. This is how we drive the value. This is how we use the transformation levers in the managed services construct and make sure that we are a

ble to pass on the savings to them.

So that is how whatever the construct that you saw in the previous slide, how do we bring it to reality in terms of saving is all these levers and you will see the clinical side of it and the MLR side of it from Krithika's presentation.

Next I'll show one more demo. Next is about a demo and this is about HealthBridge Connect. I'll give a little bit of a context here. While we are looking at Gen AI close to 30%, 40% of our clients' processes are very clunky still. They don't even have a digital platform. Forget Gen AI. So, we are also creating assets to say hey, what do we do for our clients in their journey of Gen AI how do we prep them.

There are some clients who say that hey I don't have portal where I can take bulk requests from providers to take care of their claims. That is a very big problem because my team is spending a lot of time taking these bulk requests. There is no portal. There are portals but it can't handle the volume at one single time. So now we created a portal which is HealthBridge Connect. Using this digital channel now we have made the process Agentic enabled.

Now we are able to use that intake channel, take all the requests from different providers, take the bulk request, have a different source then what happens with this is you will still have an Agentic process which will automate all these transactions but you still have also a digital portal which will make sure that whatever that fallout is which was earlier otherwise would become a call or it will otherwise become a claim you are able to manage that using a digital portal.

Page | 33 So that is the example that we are going to show in the next video. If you can go to the video about the HealthBridge Connect we can see what the power of that is.

Video Presentation Starts

I think one of the other questions that came about is, hey, how do we leverage what we do on the provider side? This entire workflow and the digital platform was created because we work on the provider side. We know what are the reasons and why they contact the provider, send those transactions, what are the fallouts, what doesn't get paid correctly on time and how do we make sure that we are able to mitigate that.

So, our payers appreciate the fact that we have this end-to-end view of the provider side as well. So if you look at the core admin side, 80% of the

cost is driven by how the payer and the provider interact through all the different channels, claim submission, faxes, emails, chats, you name it right, all those and a single transaction from a payer and a provider across different channels on an average cost around \$8 to \$10.

By making alternate digital channels available and then fast forward then you make it agentic enabled means it's ready for agentic deployment you can reduce the cost by say close to 60%, 70%. And again, you are taking the enterprise volume and not just our wallet share of the volume that the client is giving and you are able to use these kind of point solutions in your managed services construct. So, when we say that, hey, we will be able to save 30% of your overall admin cost, these are the proof points and these are the solutions that we use to make sure that we are successful in those constructs.

Move from Managed Services to Synchrony. Managed Services point solutions the ability for you to impact in terms of the value is still dollars in terms of 15%, 20% incremental savings because you are still working on the client's platform. You are still reliant on, they don't have the IT budget, they don't want to change the platform, you are still working, you are bringing AI on top of whatever you can to make sure and optimise the process and provide the saving.

In Synchrony you are bringing platform into play. I think Roopam talked about, this enables us to it becomes a force multiplier, right. Again, targeted to some of our clients

and we acquired BroadPath last year. One of the things that we acquired as a capability was our member acquisition. Sagility historically was not in that space so we acquired member acquisition especially on the Medicare side.

Page | 34 Using that experience of what we acquired through BroadPath on the member acquisition, we looked at the lifecycle on the Medicare Advantage from member acquisition, enrolment and premium collections and billing. During this entire member enrolment cycle, which is very high during the peak season from November to say January, February where you have a lot of volume of work that increases. How are you able to help your mid-market clients to bring this all together? Today they go to different partners, they have some amount of leverage in terms of bringing these technology solutions and some of these processes are still manual. There is a lot of regulatory requirements also. You have to make sure that you are submitting all these records once a member's plan is built to make sure that the enrolment kicks in. You want to make sure that you test the benefits that have been brought in are tested so that the member's benefit is correctly reflected for the claim's payment.

We bring all these together some of the partner solution build bring in the AI layer on top of it to make sure that for a client when we say, hey, we will do the synchrony the cost savings is much more than what they would have gone with point solutions. That's one example of how we have used on the Medicare Advantage side a Synchrony solution. Here we have partnered with two, one on the member enrolment side where they bring their enrolment platform Benefit one and then on the billing and collections area and then our own member acquisition which is on the services side that we have always been doing using the BroadPath experience.

Today this is something that we have launched as a productised offering and we are ready for next open enrolment which is the next season coming up in 2026. We are already working on a go-to-market plan in terms of, hey, what are the different Medicare Advantage plan in our existing portfolio that we have, where we just or not just focusing on the member acquisition space. Historically that's what we did. Now we can offer an end-to-end solution through the Synchrony solution.

So one, faster value for our clients in terms of immediate savings. We are able to bring this all together and we have for the client Sagility orchestrates this entire solution together and also stickiness where we are not just looking at services, but we are also bringing the platform which increases the stickiness where they will not be able to change the platform for a short-term basis.

Page | 35 So that's one of the examples of the Synchrony solutions. Similarly, Roopam talked about Synchrony using capability on the claim side. You are looking at Synchrony for the appeals and grievances process. So this is how whatever capabilities we have, we bring the agentic layer, orchestrate it, use our domain expertise to say, hey, what are the opportunities where things are not working, how do you reengineer the process, bring the technology platforms and thereby commit to the savings that we are providing to our clients.

So, two examples, one on the managed services side, one on the synchrony side. I will pause couple of questions if at all. I don't mind, thanks.

Participant: Are we going to the path which PBM had gone 10, 15, 20 years back?

Srikanth L: This is not necessarily PBM per se. This is even today we structure plans whenever a plan is getting sold if it is mid-market or if it is Medicare Advantage. On the services side we construct plans, test it out etc. But we did not have a platform which will take it and say, hey, where do you build a plan on and how will the benefit structure look like based on the enrolment. That is what we

are bringing with the platform. The services was something that we were already doing. So now we are looking at the platform to bring in and looking at both the services as well as the technology platform together.

Participant: In previous slide you mentioned about the cost saving effort which you showed to your client. So just want to understand the cost saving is mainly a function of elimination of repetitive task from the client ecosystem and showing them the benefit or it's structural challenges which they are facing in the operation?

Srikanth L: It's a combination of both. Structural challenges, if you look at all these costs, most of it is structural challenges. Repetitive task is the admin portion where the invoice reduction I said were out of this 11 million probably some of the repeated tasks where we are automating and ensuring that it gets automated that will be the repetitive task portion. But most of it will be at an enterprise level where you are looking at leakages that they were having because some of the volume that was being driven by either the platform not doing what it is supposed to do with a claim engine or if the process was broken, because you had an enrolment team looking at a different set of SOP versus a claims team looking at a different set of SOP which were not talking to each other, so we bring in our domain expertise.

Page | 36 So those would be the larger ones which contribute to these savings rather than just the repetitive task of RPA. That number in the past used to be higher, but since we ourselves have automated quite a bit of these processes, those repetitive tasks using RPA etc have reduced. Now it has become a lot larger in terms of how we are really looking at cost avoidance for our clients that they are incurring.

Participant: Let's say client rollout AI internally to find the leakage in their process, then what going to be impact on this?

Srikanth L: Today we are doing that for some of our clients where we have identified leakages for the clients based on how as I was explaining where we were the innovation leaders for one of the clients. That's exactly the exercise where they use us to say, hey, this is you know our process better. You tell us where are the leakages. Wherever there are AI infused technology that we can bring in, we say, hey, a claim assist solution requires AI, this is the agentic framework, let's deploy. Then we go to the next level of saying from a pure identifying that opportunity go into deploying those claim assist solution using agentic AI.

But if the client has already identified a project and identified an AI led solution that they want to deploy, they still come to us and we become a subject matter experts in terms of helping them identify which are the areas where the time to value is much more faster because they don't know the process as much as we know. So, they come to us and say, hey, what are the different levers? Is this a particular candidate which will give you 5% saving, 20% saving? Those are conversations we have as well if at all they have their in-house projects that they are driving. They use us for

those subject matter expertise.

Participant: One question, what would be the share of managed services and Synchrony to the revenue today?

Srikanth L: Maybe that can be answered in the Q&A session.

Participant: So we talk of these numbers, 11.45 and 4.5. If you can give us a reference to what it means to the overall contract size or the overall savings and what is the scalable up to that probably give a better idea what the extent of the benefit is actually.

Srikanth L: I'll give an example, that's why it's a little tricky also. Not all these \$11.4 million saving comes from our contract with them. If we might be doing a work of say \$25 million worth of book of business. In that 11.4 million does not mean that all of that was our value because we deployed

all these

solutions at an enterprise level. That's the main premise of the managed

Page | 37 services. The entire transformation is at an enterprise level, so it is our volume, it is the client's own volume, it is some other vendor's volume. So that's how the construct is. It is not just about arc, so generally whatever we say if on the managed services side if at all you are looking at the example that Roopam talked about, we have committed to a saving of around 5 million over 20 million that's typically a percentage that we look at, because some of these are point solutions that we bring, whereas in Synchrony it's a lot more higher.

Okay, I think we break for tea or coffee. Thank you.

Dhaivat Mehta : We'll come back to the hall by 4:25 p.m. so that we can start the session on time. Thank you.

[Tea Break]

Dhaivat Mehta: Hey, everyone. I hope everyone's had a good cup of coffee and tea. We want to make sure that we stick to our scheduled time. So I request everyone in the room to please take their seats. Gentlemen at the back, if I can have your attention, please. Gentleman at the back. And I request my colleagues outside to please help usher our delegates in the room. Gentlemen at the back. Hi, yes, thank you. We have a wonderful session coming up with Krithika who will talk all about Clinical. And Krithika you have the pleasure of the after -tea session. So, no pressure there. Can I request our friends to please have a seat? And CDR team, can we also request them to please help usher everyone inside? We'll have lots of chance for more conversations over dinner. Okay, Ashwini, most of our delegates are inside. Okay.

Krithika, over to you.

Krithika Srivats: Good afternoon. Can everyone hear me? They can't hear me. They can? Now you can hear me? In the back? Excellent! Good afternoon! My name is Krithika Srivats, I lead the Clinical Practice. My colleague Sri told me that I can't be too technical and so I asked AI to give me a version that's not as technical.

It came back and said, don't worry, your English is at fifth grade level. So take it as hopefully it's not filled with jargon. Anyway, Sri spoke about payer -provider synergy. Keeping the payer and provider issues in the centre and how can we bring enterprise transformation. My story today, what I'm here to talk about is keeping the patient in the centre of it.

Page | 38 Roopam talked about MLR rising. There's a lot of consumerism, aging population, a lot of things that's happening in the industry that's driving up the medical spend. So we're going to try and take an attempt at what that patient experience is and why some of these patient experiences that are not unique are actually rising the medical cost and shifting the MLR. So with that, we're going to talk today a little bit about a story of Graying Line.

Meet Abigail DeYoung. She's a 67 year old lady. She lives alone. She lives in a two story apartment. She has some financial insecurities. As a result she doesn't have transportation, she doesn't have a whole lot of support. She's at 67, still dependent to bring her own bread home. She has diabetes, she has hypertension and off recent she has been experiencing a lot of back pain. And anybody who has had back pain would know it's not something that just comes and disappears. So, like everybody else she has tried to put up with it, she has tried her conservative measures,

but nothing has worked and now she is really in need of, some intervention because she's no longer able to move and perform her daily activities.

So, if you look at the problems that Abigail has in numbers, Abigail is not alone. 75% of medical spend in the U.S. comes from people who have multiple comorbidities, at least two comorbidities. There are several access delays when there is social determinant s of health. That's when people have not sufficient access to care, not sufficient understanding of care needs

as well as other financial and educational and other type of constraint.

And they could cost anywhere from – intervening for back pain could cost anywhere from \$45,000 to \$70,000, \$75,000 and at an average Medicare members cost about \$1.2 trillion in the U.S. So the opportunity to really impact is pretty huge. But it's not just that, if you look at medical spend it doesn't come just from healthcare issues.

I also mentioned about access to care. When you have a clunky system that doesn't make it seamless to access care that definitely drives up the medical cost. So they say that some of you talked about provider using generative AI processes for providers. While that is happening in the industry as it stands, 100,000 nursing hours just to get prior authorisations. And these numbers here by in itself may or may not make too much sense but when you look at the big larger context of managing 75 million Abigails, you can do the math, 60% or so of services are still very manually transacted between the payers and providers.

Page | 39 Very rarely does anybody get complete information to make decisions. So when we talk about generative AI opportunities, they are huge in bringing together the longitudinal view of members today.

So all of this clunkiness not only result in; say for example, prior authorisations typically take 7 to 14 days to get approval before you go get the care but then by the time you add the number of prior authorisations, she's going to need whether it's for diagnostics, whether it's for conservative treatment like physical therapy, pain management, and then finally if she ends up needing surgery – you can multiply how many 7 times or 14 day times these services that she's going to have to wait for, really delaying her care to like three, four months.

So how do some of these solutions that we have, you heard Roopam and Sri talk about Synchrony Solutions, SmarTec solutions. How do we enable our services, our clinicians who are performing these prior authorisations and care management services. How do you enable them to be more efficient but also be more effective? Some of how we're going to talk through to understand what Abi's experience would look like and what type of impact we could create.

So human expertise meets algorithmic precision and that is the reason we titled it this way because, everybody, if Abigail went to a service provider being managed by Sagility or anybody else, the process remains the same. The provider has to request a prior authorisation, they have to review if it's medically necessary and they have to then perform the necessary evaluation and then make a determination. What we are trying to say is there are two ways how you can impact medical costs.

One is by addressing the waste and that's called utilisation management. You look at unnecessary care, but unnecessary care is just by itself is subjective. For example, if I come from a background where I'm used to self-medication, I'm used to dealing with pain, my pain tolerance is very high, I may wait for a long time to get care. I may not need a whole bunch of other; I may not try physical therapy, I may not try pain injections, I may directly wait for so long that finally what is needed is a surgery.

But if I'm also somebody who is very astute about how to care for myself, I would constantly be going to the doctor even if it's slightest pain I'm going to be constantly going to the doctor. So waste is not just, there's not a universal definition. It's very subjective, that's why it's very important to meet the patients or the members where they are. In the context of how their lifestyle is, in the context of what they understand of healthcare, of

Page | 40 their own health, how to access health, as well as in the context of some

of their social and behavioural issues.

Ramesh spoke about social determinants of health and social and behavioural issues

in his slide and the context of exactly this, if I have all it takes, if I have a caregiver at home, I'm not the breadwinner, the options of how I would go about my surgery is very different than when I'm the sole breadwinner and I'm the only person caring for myself.

So what we do today at Sagility is we manage the waste part of it through an integrated program called utilisation management. But we also have a quality of care solution, which I'm going to be talking about in the next slide, which addresses not a one and done. Nobody is one and done when you have chronic conditions, when you have extensive healthcare issues. It's not a one and done. So how do you simplify getting the member what they need through a program that's not one and done, then it's not too repetitive and it's not unnecessarily adding more cost to the system. So in this case the algorithmic precision comes from having a mechanism to identify Abigail in the context of who she is, not just that she has low back pain and not just that in this case her provider has recommended her for her to have a surgery. So what happens now is Abigail goes to the doctor, let's assume that she's had some of the conservative measures, where she is right now, her primary care doctor says you really need an ortho surgeon and the ortho surgeon said you need two, three levels of surgery.

Your back pain is because of a lot of issues in your spine, there's three levels for which I need to do a fusion. So the request comes in, typically requests comes in either via contact centre or via a Fax based solution.

There are provider portals, she talked about it.

Some of them can handle a lot of information, data exchange, more digitised format and others are not. We have a partner who has about a 90 plus percent adoption of portal. So right off the get go, that's a win solution because in the back of that portal we are able to enable that with algorithmic decision making. So at Sagility, we have a more digital front door approach, whether it's coming through a Fax or through a portal. And we're going to be seeing some of the demos for Ram and I are going to be talking a little bit about certain solutions which actually extracts all the information from facts and enables digitisation of the request in itself.

The reason for that is two parts. One is it significantly increases the decision timelines. I said 7 to 14 days earlier. There is a CMS regulation

Page | 41 that says that everybody has to make transparent and timely decisions still within 7 days. That's a significant improvement from where we are today but imagine waiting 7 days just to get a diagnosis done for any of these procedures.

But this enables us to at least meet the demands right now. Once the provider submits the request, there is something called medical policies. These are evidence based guidelines and what that does is it enables clinicians to have a standardised protocol to review and see if the service is actually needed. If the service is needed, you have to go through about 20, 30 pages of guidelines and they are not in the form of questions or anything. So the nurses have to interpret and make accurate decisions based on reviewing those guidelines.

What we've done is simplified that into an algorithm and so that when the provider is submitting the request, they answer three to five questions. And in 70% of the cases, they're able to get a decision in real time. If they don't meet the criteria, then it gets routed to a nurse. And the nurse again uses some generative AI solutions to streamline the process of review and we're going to demo that. And if it doesn't still meet the criteria, it actually goes to a MD who picks up the phone and he's talking to the surgeon and they're discussing to see does she really need the Lumbarexctomy?

And if she does, does she really need three levels of Lumbarexctomy? Let's contextualise that bas

ed on where Abigail is and then they make that decision. But what happens along the way is because the data has been digitised right from the beginning, all of this is summarised with which

criteria was met, which was failed. So that when the provider is calling, the MD is calling the provider, they're looking at transparent decision making process.

And so now you're actually reducing the payer provider abrasion, the friction points, because you're collaborative, not because you picked up the phone and called, but because the criteria that you're evaluating that patient against are fairly transparent.

So this process allowed us to do two things. It allowed us to actually look at the patient from the lens of not just a lumbar surgery. It actually allowed us to look at the patient in the context of what their social needs are, how they're going to cope with their surgery, because that's just as critical because I think Sri or Roopam mentioned about readmission.

Page | 42 That is a very big, there's about 30% of hospital admissions for people with chronic conditions that causes readmission within 30 days. So that's large, both in terms of spend in itself and the management of that process is multiple rework. So through this process, what we were able to then determine is that this member does not have the ability to handle a multi-level surgery because she's the sole breadwinner. You want her on her feet much faster. It also gives you the opportunity to see if she's going to continuously stay with her protocol.

So for this patient, one level surgery is more than enough. So not only have you reduced the cost, but you've actually kept the patient in the centre of that decision making process. And you will see in my next slide how this actually converts into not just reducing unit cost at the line item level here, but you're also going to see how that actually reduces further readmission cost and prevents future admission cost.

Couple of things I want to call out here, our partnerships as well as some of our point solutions enable us to have a very robust value addition to the mid-market. So you see on the right bottom here, the availability portal is a solution that can really drastically reduce manual transactions between payer and the provider. And that is the higher the volume, the better the economies from that particular solution. So it's a large enterprise sort of model today.

But we also have partnerships for the mid-market. Our mid-market solutions really aim at a couple of things. One is in clinical, unlike a lot of the administrative process, every clinical program needs a fairly high cost domain expertise. So for example, if you're managing oncology, you need an oncology team. You're managing musculoskeletal symptoms, neurologies, whatever you have to have specialties, specialists from each of those areas.

But when we are bringing multi-domain and we are simplifying those programs, you need to have the ability to manage it through very niche, targeted, multi-payer sort of an environment. So some of our partners actually provide that capability for us. So with this, in this particular example, Abigail has received her decision to have the surgery within two to three days – significantly improves provider experience, reduces friction with the provider, improves member experience.

Any of you that are familiar with star rating, there is a direct correlation from a survey for member experience. And it's not coming from managing their interactions, it's coming from, I mean it's not coming from handling

Page | 43 their calls, it's coming from managing interactions across the value stream.

So UM typically can reduce anywhere between 5% to 15% of medical spend. So something to just sort of keep in mind, a good integrated UM program and the opportunity in the industry is about \$200 billion to \$300 billion.

Now let's look at how Abigail

goes through bending the cost curve through the quality of care programs. Quality of care programs, the intent is a couple of things. One is clinical outcome, that's the most important. But Medicare plans especially, as well as across all lines of business, there is some of you may have heard of this term called HEDIS.

Essentially what it is healthcare effectiveness data being coded and managed proactively in a preventive manner. And the more you actually

identify and manage preventive health, you get better ratings than your star rating, your quality bonus. So in this case, we know we identified Abigail to have diabetes and hypertension, not because of some risk analytics, but because we got one interaction through a prior authorisation medical record.

So typically what happens, today as it is, if you talk to plan, they manage, they would have approved or denied that lumbar surgery based on whether it met the medical necessity criteria, so on and so forth. But that would have been a one and done transaction.

Then somebody is chasing Abigail because their risk identification flagged her because she has two comorbidities, diabetes and hypertension. So now they are calling her 20 times because they need her to go to the doctor and manage her diabetes, get her A1C s tested, control her hypertension. So there is a whole another program that's working just making outreaches to her. Then on top of that, you saw our integrated UM in the prior slide that got her to at least get the right level of care. But then post discharge is managed by another team typically. They follow -up and say, hey, you went to the hospital, you had a surgery, hope you have everything.

Here is Abigail, who's just come back, she's trying to manage herself and she's had a pretty major surgery. Imagine getting called 20 times just to say, "Hey, do you have everything?" Why can't we embed that into an integrated UM program so that we flag right away saying that she's going to need help when she goes home. Instead of sending her to another

Page | 44 rehab facility, delaying care, we know she has to get back on her feet very quickly.

Can we send her home with home health? Can we proactively recommend some physical therapy that's going to get her back on her feet? So, a good rounded post discharge care management program shouldn't be a standalone activity. It shouldn't come because somebody did some analytics, they got a trigger saying, so and so was in hospital. It should be seamlessly integrated into that care meeting, the member where they are.

And then last but not the least, we also have in Roopam's slide, you saw our Synchrony Aging in Place program. Today, aging in place is largely in the preventing long -term care admissions to facility -based care. But in a post -acute care, what post -acute care is essentially, acute care is anything that is right there done in the hospital. And then when they are discharged from the hospital, everything that follows, that's post -acute care. So by identifying other needs that's going to keep her at home safely , whether now she has fall risk maybe or she has two story home with her back pain if she's going up and down without the right type of training or equipment, she's going to fall and come right back to the hospital. It may be a different episode, but nonetheless she's going to be back at the hospital. So looking at what other type of needs she has so that she can continue to stay functionally independent at home is our long -term care, long -term resilience program. So an integrated solution that is enabled by AI, predictive models.

Today predictive models are more intelligent. The way we are looking at it is using Generative AI to mine information that comes across all interaction types. Whether that's coming because of a prior authorisation, it's coming in because there was a call that was placed specifically to ask fo

r where this provider for back surgery would be available. So sort of unstructured data across all channels, you have the ability to pull all that data together and then the domain expertise comes in really knowing how to develop the ontology, how to create those queries and risk stratification that can then drive each of these care pathways.

So the result of program like this clearly start rating, which results in very huge quality bonus payment, lower utilisation and I said about 5% to 15% impact on the medical spend, 30% lowered admission rates and more importantly programs like this really have 3x to 5x ROI and I'm going to talk

Page | 45 about that in just a second. So this is what is called as whole person

health.

You saw in Ramesh's slide he talked about whole person care.

Understanding root cause of poor health and managing it effectively through a combination of tools and technology available through better predictions, better predictive models and then having a workflow that can be seamlessly integrated between all these siloed functions, because today these are all independently managed siloed functions.

This is an example of a recent engagement with the client. There are a lot of numbers, I won't bore you with all of that. The very high level story is the client was spending, the client has elderly population with a lot of special needs. And their spend was about 3x, 3.5x more. Their medical spend was 3x, 3.5x more than their peers in the market and they were in sanction. What we looked at was we went and said, what are the opportunities to control medical spend? Out of the 3x increases, we identified two or three areas and one of it was home health. If you have somebody who is receiving home health services, the expectation is that your overall total cost of care is lesser than somebody who is not receiving home health care services. Yeah?

In this case, we went on to see where is; when people are getting home health care services, first of all, are they costing you lesser than somebody who is not getting home health service in the similar cohort? And if yes, what is that additional opportunity? If no, what should they be doing? We looked at it under two vectors. Vector one is called frailty risk and vector two is if they have behavioural health issues like dementia or depression, so on and so forth.

People on the left side who are lesser on the frailty risk, utilisation management is a good program that can control costs. Except you see here people who have no behavioural health issues, lesser on the medical and frailty risk, still constitutes to 3.6x more cost compared to somebody exactly like them not getting home health care service, which means your UM is not working. So somebody was asking about competition and how are your programs different and are you able to add value. Right there, this is a program that's done by competition. So you still identify about 8, 10 million opportunity when you bring in the vectors of predictive analytics, when you bring in that patient centric model.

On the top, that's about okay, it's comparable. You're receiving home health, you're not too far off from somebody who's not receiving home

Page | 46 health. So your UM, you can say, is working or at least it's not working. But on the right side, there are a lot of issues. On the right side, while the home health, the people who are receiving services may or may not be doing better or worse than the other, these are people if you don't manage them today with just good UM or an integrated care and case management, they are going to be coming back as future spend for us.

So really bundling care management as well as what this tells you is if you have somebody spoke about a \$6 million UM operations. This is exactly that. This client was spending about \$6 million in UM operation. But if their UM wasn't working, can we actually target and create cohort

ts and do the

same program differently, so that people who need to be in the respective buckets are getting the right type of care? So you're rightsizing your operations.

So this is a bundle on the right side. We actually bundle some of these solutions with care management. On the left side, we just enabled and enhanced their UM integrated program, resulting in about a \$24 million savings for not spending too much more on the UM operation.

So with that, I'm going to just start a video of one of our solutions, a generative AI solution. Ramesh mentioned about our award-winning Nurse Assist. So we recently got named in the Intelligence Excellence award by business intelligence group for our Nurse Assist. So you're going to see a video. The video just sort of tells you what the construct of the Nurse Assist is, but then we're actually going to be doing a demo in Ram's session. So with that, can you please turn the video on?

Video Presentation Starts

Thank you. Madan over to you. I think I'm right at time, thirty seconds to go. So, we'll park the questions for later. Thank you.

Madan Moudgal: Can everyone hear me? Okay. Good afternoon, good evening everyone. My name is Madan Moudgal, and I along with my colleague Ram Natarajan are going to take you through a journey of our technology capabilities. And you heard by now about the fact that our technology capabilities is one of the pillars of what makes us different and will ultimately ensure our success into the future. You also heard quite a bit about the fact that we claim a lot of credit for our domain knowledge. And that extends by the way into how we deliver our technology as well. So even when it comes to technology solutions, technology development, we rely heavily on our colleagues on the domain side. People like Krithika that you just heard from Sri and so many

Page | 47 other people within the organisation who allow us the benefit of their knowledge to make sure that we're able to deliver very cutting-edge technology that is suited to our particular industry.

Okay. So let me talk a little bit about our investment strategy into technology. Over the course of the last 10 years, we have built up what we believe is a fairly robust set of capabilities and we refer to that as our technology portfolio. Now these capabilities, think of them as building blocks. Now these are the building blocks that allow us to very rapidly assemble point solutions, very rapidly assemble solutions to address a particular business problem that comes our way, right.

And by the way, a lot of these technologies have been built up over the course of time. And by taking advantage of technology that's been available at that point in time. So think of it as a cumulative effect of having all of these technologies now available to us, as we now take on the next opportunity, which is brought to us obviously by Gen AI and Agentic AI. But Agentic AI by the way is not necessarily the solution for everything, for all of the problems that are out there. And I'm going to make a point about that as we move forward.

It certainly is a very, very powerful tool and we intend to use it as such. But clearly, we are also going to be taking advantage of some of the other key assets that we have within our portfolio. One other point I want to make is that, in the delivery of some of our capabilities and Roopam talked about Managed Services, we talked about our Synchrony solutions and so on. There is reference to enterprise applications as well.

Now we are not in the business of building enterprise applications and by definition enterprise application in our world could be like a claims platform. It could be a membership system, it could be a CRM. We don't build those. Rather, we partner with vendors who actually build those out. And where necessary, we integrate our capabilities with theirs to deliver those end-to-end solutions that Ro

opam, Sri, Krithika and others talked about.

So just in terms of our overall technology strategy, I wanted to make that point that we build componentry, if you will, modular building blocks. And those then come together are assembled by us, leveraging our domain knowledge to deliver cutting edge custom, if you will, in a lot of cases solutions. But at the same time, using components that are reusable, so that we don't have to start from scratch every time.

Page | 48 Okay, having given you that kind of an outline, I want to be a little bit more specific. So let's talk about what I mean by these components. And again remember I said earlier that this has been tools and capabilities that have been developed over the course of 10 plus years. Yeah. So it includes things like data models. I know Krithika just spoke about it, Sri earlier spoke about predictive models. So predictive AI has been out there for a number of years now and we have taken advantage of predictive AI to build some very cutting-edge algorithms and models and very effectively use them. And we intend to continue to use them into the future, because there are some problem statements for which a statistically based predictive model is more appropriate and a better solution than a Gen AI model.

And that's something to keep in mind. Like I said Gen AI is not necessarily the answer to everything. It certainly is the answer to a number of our problem statements that we have. We also have developed point

solutions. And I'll talk a little bit more about some of the examples here. We have been leveraging RPA, Robotic Process Automation. That's been out there for a decade or more. And we have certainly taken full advantage of it to build a library of automation bots. And by the way, because of the fact that we are dealing with legacy applications in our industry, large in some cases still mainframe run applications, a process automation bot is probably a better answer in some cases to automate a particular function.

So that's why we always look at where we need to apply our capabilities and then decide what technology makes sense. Now we certainly have not just delved into, but heavily invested in the Gen AI space. Over the last 24 months, we even made an acquisition, which you all probably know about in the generative AI space, brought some capabilities in, incorporated into everything else that we've been doing for a while now. And consequently, we have both in what we describe as our front office as well as in our back office, we have built a number of different solution sets for automation using generative AI capabilities, including large language models, small language models, and we'll give you a few examples of that.

Dashboards. Sri spoke earlier about LPI – late payment interest, right. So there are some capabilities that we had to put together in order to solve that particular problem. But ultimately, we need to deliver all of this information in some cogent, in some organised way. So that people can then take action on it. That's where dashboards become very important. And these dashboards by the way, when we build them, we again build

Page | 49 them with the intent that we'd like to apply these core capabilities to different types of use cases.

It may be in the one case solving an LPI problem, a late payment interest problem. In other case, it could be around managing appeals more effectively. So that's where the advantage of building things from the standpoint of configurability, reusability becomes so important. When we go about building something, we ideally would not like to start from a blank sheet of paper, because that takes the longest. So what we look to do is, we look to accelerators, we look to frameworks that if you in a sense provide you the skeletal structure on which you can assemble various capabilities.

So to that end, we have also invested in building out a fe

w frameworks

and accelerators. Now granted, they are not necessarily all homegrown, in some cases, we are also experimenting with accelerators that vendor partners have made available to us. And we constantly are on the lookout for best of breed capabilities there. Interoperability is a very big opportunity and a challenge within our industry. We talked earlier, some other speakers referred to disparate systems, legacy applications, the complexity of payer and providers interacting with each other and so on and so forth.

There was a question earlier about I think from someone here about the fact that providers are leveraging Gen AI quite extensively in order to level the playing field with payers. And by taking advantage of Gen AI, they are now automating some of the things that they do. For sure they are. I will give you a simple example. When they are reaching out to a payer to get a question addressed. Now they are making robotic calls rather than having to pick up the phone and call because that's more labour intensive. So payers get inundated with lots and lots of calls coming in and that becomes a bit of a challenge for them. There are solutions to that problem as well.

But if you think about it, a solution could be that you respond to a robotic call with another robot answering the call. But that's kind of a very clunky way of solving your problem. A simpler solution could be that if you had an API that the provider could reach into to get their problem answered through an API request and the API response with your answer. In a sense, HealthBridge Connect is getting us towards solutions that are a little bit more elegant, right? So we need to think in terms of the capabilities that are available to us, apply our domain knowledge and then come up with these solutions that make the most sense.

Page | 50 There is another element too, to keep in mind, which is cost. These solutions don't necessarily are not free. Particularly if you look at Gen AI, if you were to attempt to apply Gen AI for every last problem and you were to build it on the backs of these foundational models, especially the large language models, the cost can run up. So you have to be more careful in terms of how you select the right models, the ones that are most, that balance cost with accuracy, with latency. So these are all criteria that we look into, that we take the time to research and figure out what makes sense.

And that's where some of these frameworks come in, where you have the communication manager. The framework there allows us to switch out different LLMs, switch out different SLMs, small language models, where it makes sense. Now, we also have this reference to what we are calling clinical language models, where we look at models that are more adept at understanding medical terminology. So these are all the types of capabilities that we look into to make sure that ultimately the types of solutions that Kritika is looking to build within her practice area or that Sri is looking to build that it is working well. And that we can deploy it and also deploy it in such a manner that our clients are comfortable that we are securing their data, that we are securing their interest in a sense. And now to that end, one of the things that we have made efforts to do is to ensure that our engineering, our software engineering efforts are robust. That they follow very specific policies and procedures and that the controls are in place, so that we are securing our clients' assets. And what we have done in that regard is to ensure that we are SOC2 compliant and HiTrust compliant for all this work that we do.

Now, for those of you that are aware of this, this is in a sense a gold standard and a certification that gives a level of comfort to our customers that we have their best interest when it comes to managing their data and delivering these types of solutions to them.

So

I talked already about a few of these examples and the types of things that we're doing. So I'm not going to belabour this point, because I know it was also referred to earlier in some of the earlier speakers' comments. But this should give you a sense of the places in which we make our investments. And we will continue to make these investments as we move forward. Agentic AI is now very much in the fore and so we are starting to make further investments in Agentic AI and I am going to talk about an example of how that is coming together in order to deliver on a specific use case, okay.

Page | 51 Before I go there though, I wanted to also talk about the other point, which is our partner ecosystem, because if you recall, at my opening slide, I talked about the fact that when it comes to enterprise applications, we don't necessarily develop them, we work in tandem with our partners. So here, to give you a sense of our partner strategy, there is some platform vendors and you see some names up here, our platform vendors that we work with. And of course, as we deliver these managed services type place, there is a need for us to, and the Synchrony solutions, a need for us to implement some of these systems and to integrate to them. So we work with; we don't necessarily have at all times maintain a bench strength to be able to scale up all of these. It does not make sense in our business.

So what we do is we have a partner a robust partnership strategy where we partner with systems integration partners like the ones you see up here. There are other capability partners. I referred to robotic process automation. We've been doing it for a while and you all probably know that Automation Anywhere is a very well-known name in that space. And we've been working with their tool set for quite some time now. And like that there are some other vendor platforms as well that we're very adept at using. And of course I cannot not mention the hyperscalers. AWS and Azure are certainly two of the largest hyperscalers that in our industry, there's a heavy a lot of comfort with amongst our clients.

So we have ensured that our solutions the ones that I was talking about earlier are deployable and maintainable within these platforms and that

in a lot of cases we are also taking advantage of the tech stack that these platforms provide us.

Okay. I'm going to now double click a little bit just on Gen AI and Agentic AI for the obvious reasons, right. So one of the things that we have focused on in our strategy for how we are using Gen AI is to think of it in the context of a synergy between the agent, the virtual agent and the human agent. And I will use that term just to keep the two separate.

So there is a human agent and then there is a virtual agent. And we believe very firmly that in the future, they need to work in Synchrony. And so to make that possible, there has to be, if you will, a system of engagement between the two. So that you can coordinate and in a seamless fashion move information and task and triggers between the two.

And so there is, in a sense an interaction platform that enables that. And that's starting to be borne out in the types of examples you see below of some of the use cases where this synchronization is working very

Page | 52 effectively. And we continue to add like we have done in the case of the process automation, the robotic process automation arena. Now even in the Gen AI arena, we're starting to add to the number of use cases of application of Generative AI.

So whether you're talking about UM intake, the intake process that Krithika was referring to or you're talking about, let us say we are talking about appeal status and where someone is calling in to understand what is the status of an appeal that they have submitted. That is something that today is purely a manual process. But tomorrow it's likely going to be not just a human agent inv

olved, is very much likely going to be a virtual agent involved as well. So these are all different examples of how we're applying the system of engagement model to enable this combination of working together.

Okay, I'm going to conclude by taking you through something a little bit more detailed in terms of how we look at Agentic AI. And it's through the use of an example. Yeah. So prior authorisation, utilisation management. In the utilisation management world, a provider submits a prior authorisation request, prior to the service having been performed, asking for authorisation to move ahead with that service. So the prior documentation is submitted. And today that prior authorisation request, it can come through multiple channels. We still use Fax, believe it or not, in our industry, quite a bit of it in fact. And so it can come through Fax, it can come through paper, email, what have you, right?

Now what we have envisioned and what we are building is an orchestrator bot that is going to orchestrate a sequence of events that are going to take place. Just like you have today a human agent that receives this information and starts off a process. So there is first a need to do something called case creation, which is where you initiate this process by the creation of a case that again gets followed through to its logical conclusion. When this document comes in this prior document, it's got certain details on it.

Those details need to be extracted. You can do it the old fashioned way, which is you can read it, you can then key from image, if you will, into another system or you can extract that information. You see reference to OCR and NLP. Optical Character Recognition, Natural Language Processing. These are technologies that have been around for quite some time.

Page | 53 We can still take advantage of those. But we can; the entity that's managing that OCR process is not a human anymore. It's a Gen AI bot. In this case, a case extractor bot, which then triggers off a process after the information has been extracted to a case generator bot that summarises that information. Because it needs to be summarised as part of our process and then initiates within a case management system the creation of a case.

And there is a process for eligibility verification that can be handed off to another bot. But if you see at the end of this, you don't see a bot, but you see a human. Because according to this process, it still requires a human to authorise this particular case. Now the human may decide that this

warrants some further documentation to be received, in the form of let's say, they demand medical records before they provide approval for this prior authorisation.

So there is an entire medical records management process that kicks off. Where you have a medical records manager, another bot. And that then results in the submission of a voluminous document sometimes it could be hundreds of pages long. And now you have to extract information from it.

You have to summarise it. You have to annotate it. So that it is easy for the nurse practitioner who is at the end of this process to make sense of it. Today that nurse practitioner probably spends 30 minutes pouring through this detailed document, hunting and pecking and looking for relevant information. No longer necessary because it's already been done for you.

So the bot's taking care of that for you. And then there's the key step of the final decisioning. Even here, Gen AI can certainly play a role in referencing clinical guidelines, which are the rules that you consult in order to decide what to do with this particular case. And you could have the bot make a recommendation. But it's only a recommendation.

The final decisioning on that recommendation is left up to another human. So you see the symbiotic way in which this is all being done. So this is an example of how we're orchestrating using Agen

tic AI an entire

end-to-end process, which clearly shows bots and humans working together.

Okay. What we are going to do now is I'm going to turn it over to my colleague Ram who is actually going to take us through a little bit more of a deep dive into this through by use of an example, right. But before I turn

Page | 54 it over to him, this was my last point. I have about three minutes. I could probably take one or two questions. No, no questions? According to this I have three minutes. Okay.

Ram Mohan Natarajan: Can you hear me now? Thank you. Thanks, Madan. Good evening. My name is Ram Mohan. And I'm going to spend the next 15, 20 minutes with some of the agents that I'll show on screen on what we've been talking about so far. So we'll just take the same example that Madan spoke about, which is about prior authorisation. Take a scenario where the prior authorisation has got denied. So what happens is that the hospital is now going to send additional documents.

They're going to get additional proof. They're going to send medical records and all that, and that's what is called an appeal. Like, Sri spoke about the cost of a claim being about \$10 to \$20. But if you see some numbers here, the costs start multiplying significantly when it comes back as an appeal, because now it's going to come with much more complicated cases. And this could be one example, like I said, was on prior authorisation. It could be about a claim having 1,000 lines, and two of the lines were not paid correctly, and an appeal can come for that. It could be that there is something that the insurance saying that it is not medically necessary to do a surgery.

So there could be multiple reasons why this could come. And like you can see, it's an important part because the costs start increasing significantly. And the reason it's relevant is also because a lot of times when you think about admin costs, we're talking about one person sitting and doing a process costing X amount of money, whereas what we were talking about earlier on the clinical side and others, the impact of all this is significant. If you don't do it right, you're talking about some huge legal issues. You're talking about compliance issues, all running to multimillions of dollars.

So it's important to keep that context in mind. The other thing which is also important to keep in mind is that while technically you can use AI to do a lot of stuff, there are a lot of stuff that are also governed by compliance. We need to have explainability. We need to have the right documentation. And we'll show you how we have used AI and humans working together to address this problem.

So I won't get into too much more details about Star. I'll try and touch on it, if time permits, when we go through a demo. What I wanted to show is a quick video to set some more context on what the appeals is, and then

we'll talk about various agents performing this job.

Page | 55 Video Presentation Starts

All right. So, what you saw were actually screenshots of typically how an appeal document comes. You might have appeal documents like you saw in that example, over 100 pages. You will have handwritten notes. You will have documents with the doctor's signatures and the patient agreeing on waiver of liability. So there's a whole lot of attachments and documents that come there. So what we've got here are a set of agents who can these are all AI agents which can do the work. I'll just talk about two, three examples to just give you a flavour of how this whole Agent system works. So the first one, Madan spoke about it too, is the intake agent.

So what does this agent do is actually understand what is there in all these 100s of documents that come there. So first decision that needs to be made is whether it's really an appeal or not. Many times, you end up finding that what comes into the queue is not even an appeal. So that is determined

by that agent, which is actually checking what it is. It actually understands the intent of the document.

It checks whether the document is complete. It checks if there are any missing records and missing documents that come in. Simple cases, let's say the document is not signed, and in a normal case, the appeal needs to be rejected. What this agent will do is go to the letter generation agent, and the letter generation agent will shoot out the letter saying, this document is incomplete, or there are missing documents. Please submit the right one.

So the two agents working together, completing the process. The most simple example I could think of in the healthcare scenario. We'll talk a little bit more about how the clinical agent works, how the payer policy agent works, and all that. But before that, we heard this mention of this word expedited appeals. Expedited are basically urgent appeals, which need to be processed.

Technically, the time allowed is 72 hours, but most cases, it gets done in two to three hours. This could be because the patient's condition is deteriorating, patient is in pain, or anything else that could impact the patient or their experience of the member. So these are documents that come in. Again, like you saw, it could be one mention in a 100 page document. Now, how do we figure out that it has to be done; whether it's really an expedited or not? So if you can just continue the video, I'll just maybe show.

Page | 56 So what you see here is, you know, the agent is extracting documents as, that's what you see on the left panel. So it's extracting information from the image to know who the member is, the numbers. What is also critical is that a lot of this extraction is not just from an image. That needs to be validated with what's there in the legacy systems.

Ramesh spoke about it, how it's complex in healthcare. So you've got data sitting in multiple systems now. A simple example is, is a member eligible? That's sitting in some system that needs to be compared with the date at which the service is done, whether the person is eligible or not. Looks like a simple problem, but requires extraction from multiple systems there.

In the document, there is a big explanation. And what this agent has done is actually extracted why it thinks it's an expediter. So it's kind of given the verbiage which is sitting in the document. A nurse or the decision maker can just quickly look at it, see it gets highlighted in the document. In this case, we've taken a 7 page example.

But like I said, if it's a 100 page document, something gets highlighted. The nurse has to or the decision maker just has to look at this part. There is also a recommendation that comes. The recommendation where the AI is summarising the case, the agent is summarising it, you'll see it in the bottom of the screen. But really, it says why it's an expediter.

So this is actually a decision that's done. But because of compliance, it can't be given necessarily completely to an AI to do that, which is why there's still an expert that's there. And there is a whole lot of rules that get

built into. On the right side, there are also some examples why something should be called or expedited. It just doesn't go with the verbiage. There are a lot of policies to be considered. All of that, all those logics are also built into this whole system of Agentic that's handling this expedited case. Let's move on. Now, let's talk a little bit about a clinical example. And that's where I'll be with Krithika.

So we'll just take one example of somebody who requires a knee replacement. In this case, it's an appeal. They have not given that right document, but listen to this and I will just talk about it.

Video Presentation Starts

So what this agent does, I mean, in a simple case, if an ortho says, you require a surgery, we just can't go with that. So there are some guidelines that

are mentioned there. You need to check whether the person is able

Page | 57 to walk, climb. Does the X-ray also support these scenarios? So there's a whole lot of guidelines that you'll keep seeing on the left. And what you see is the agent is actually giving the rationale to why it thinks it is, doing this. This person has osteoarthritis mentioned somewhere in the document. This person is not able to walk, mentioned somewhere in the document or the X-ray findings.

So all that gets automatically pulled from all these sets of attachments or documents that come, but still given and just recommending an option, there could be multiple mentions because we're talking about 100s of pages of documents, which is where the clinician or a nurse needs to look at.

But what we are talking about is saving significant time for a nurse to sit and do this work rather than have a person do that. So this is one part. And similarly, before a decision should be done, where other kind of treatments checked, where they're on painkillers, there was physiotherapy tried. So there are a lot of guidelines like that that you will get to see on the left side.

And Krithika will actually talk about what has gone into building this in the back end.

Krithika Srivats: Can you hear me? Yeah, so basically, this has two parts, right? What you see on the green, that's actually the algorithm that's running in the back. And in the prior authorisation example, said a lot of times these policies are pretty clunky, 20, 30 pages long, sometimes much longer. And these are not in the form of questions.

So if you're reviewing the document, in no way can you come up with handful of these four or five questions. So there's a lot of sort of contextualisation of that policy that goes behind the backend. And then it gets converted into a decision logic essentially. Even there, that process in itself is sometimes very laborious. It can take about 100, 200 hours depending on how complex those guidelines are.

And we've used Generative AI to actually streamline some of that decision logic building to start with. But once you build that, the second thing that's happening is the Generative AI looking and making interpretation of these guidelines from the medical record.

So for example, if you see the first one here, it says, and such which conservative treatment have been attempted? First of all, it needs to understand what conservative treatment is. So we in some cases have simplified that at the question that says, okay, conservative treatment

Page | 58 could be physical therapy, some pain management, so on and so forth. So that is the decision logic, but then it still needs to understand pain medication.

In this case, it says Naproxen is prescribed here. It needs to understand that Naproxen is a pain medication. While that's not mentioned anywhere, it's just a treatment plan Naproxen. But the generative AI has then gone in using the SLM and the CLM that Ma dan spoke about, understood that Naproxen is a pain medication that is relevant in this case and so it then provides that as a recommendation. So these two things are working connectedly.

And then the third thing, although both in the case of appeal, UM or any other use cases where we've deployed this, the human in the loop

component is the fact that this is simplifying that information. The recommended finger that you see is enabling the nurse to see where that information is. It actually sometimes gives a confidence score saying it's available in two, three different pages, but I have most confidence in this particular section of the document, whether that's in history and physical, laboratory tests, so on and so forth. And then the nurse uses that information to quickly validate, okay, did the lab test actually show this or did the x-ray show this? And then they annotate it and what would have otherwise taken easily in an appeal!

Like this, it would take 30, 40 minutes.

This can you shave off about 12, 15 minutes just from simplifying this process.

Ram Mohan Natarajan: Thanks, Krithika. Let's move on. We'll just see one more agent in, in action. And what you will really see is not each of these agents acting independently. So this example that Krithika now spoke about will require an intake agent, may require a letter generation agent, will definitely require a clinical agent, may require a coding agent. So that's what you see on the screen. And some of these again in the back end, because it's pulling data from multiple systems will have its own agents which are able to fetch data from multiple systems there. So that's how this whole orchestration gets done.

And I will quickly show you a view of how it looks on the command centre. So like you see here, I mean, there are also limitations. There are a whole lot of stuff that needs to be checked. The entire rationale is given to help a person take a decision whether they should agree with this or they can overturn with that. So that's exactly...

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Okay, we'll now talk about the one called the payer policy agents. So here again, the contracts between a payer and a provider are voluminous documents. There are discounts agreed for different line items, too. There are also payer specific policies that also need to be included when you're doing a reimbursement or when you're doing claim processing.

So there are, in a way, a lot of standard operating procedure documents that need to be referred to pay out a claim correctly or if somebody appeals, need to recheck that. So the whole process and why it gets expensive is also because you are reconstructing the whole claim again with this new set of documents. And then based on that, need to reprocess everything. Let's play. I'll keep talking while it's playing.

So here, again, the extraction document is taking pulling data there. Here, again, there is a lot of verification that needs to be done now with the core claim system. So you'll see some of those coming up too. There is a SOP document where that's there. You can also see thumbs up, thumbs down there. So we use a lot of this to train our AI to see whether it's doing it correctly. So that's where a lot of our algorithms and our clinical LMs are going in to get this train. And that way, the accuracy keeps increasing as we keep progressing. But that's not the end of it all, because models by definition can hallucinate. It can also drift. It can create some errors.

So how do we actually have that whole control system in place is also a critical element of how do you run or manage agents. I'll show you some screenshots of how we do that. Madan also had on the slide about knowledge retrieval there. So you can ask a question, about a document, or you can talk in some cases, and you get the answer there. So this, again, using a knowledge retrieval agent, which is actually pulling information to help a human in case they have to make a decision or they need clarity on eligibility or any other information from the documents.

Like I said, again, integrates into multiple back end systems because these are answers coming in from multiple systems for somebody to take a decision whether they should overturn or uphold the decision.

So here is a quick summary. So we did see multiple screenshots. But as AI matures in some of our processes, we start with this. We give a full summary. You don't need to see all the documents, 100 page documents that we are talking about, right? It's now extracted everything.

Hey, member ID exists in the claims platform. That's all a person needs to have checked. So the answer is here. And the rationale is it says, here is

Page | 60 the member ID number. Waiver of liability document is there. Here is where it is. Are they eligible for a claim? Is the date of service fine? A

ll that

is there in the screen. So this helps improve our productivity significantly. But if they still have a doubt, they can go back to the document. They can go back to the screen. So we got those that I don't know if you managed to see. There were some icons on the top of the screen. So you just click that, get the whole summary, and then take a call whether you need to go back to the original document.

Yeah, let's continue playing here. So this is what I was talking about. So this is, again, another view of the command centre here.

Video Presentation Starts

So what you see here are screens. So you can find out the kind of exceptions that are coming in. This also talks about what we call as predictive ops you will see here, because the best part of all this is you're working with multiple data of thousands or hundreds of thousands of appeals that are getting done by all this agentic system. So one used to learn and train language models itself for this particular use case. But more importantly, for us to work on some of the stuff that Madan spoke about. He spoke about building predictive models.

Can we predict whether something is going to come back as an appeal? In which case, can we avoid the cost of a document coming back later by doing some things upfront? So it actually opens up a huge possibility in the world of analytics by making use of all the data that flows through these agentic systems.

So just to summarise quickly, we saw what Ramesh was speaking about as four different things that are different in a healthcare world. So one is you saw clinical documents. There are legacy systems involved. There's a huge amount of compliance and there are state regulations and federal regulations on what cannot be done or what decision can be taken by an AI that needs to be considered. So all of that are examples that you would have seen in this video. Thank you.

Over to you, Chris.

Chris Shiffert: Good evening or good afternoon. My name is Chris Shiffert. I'm the Chief Growth Officer at Sagility. I'm your last speaker today before we have our panel Q&A. Before I get started, or go through my slides, a couple of things I want to point out. One, and I think you hopefully agree after hearing about all of our services and solutions today, mine is probably the easiest

Page | 61 job at Sagility, in that I'm tasked with connecting all these great services and solutions with our clients. And in all seriousness, it's a lot simpler than I ever thought it would be. That's one.

Two, you heard a lot about the pillars of which this company was built and how we go -to-market. One of them being our domain expertise, our industry expertise. And I want to talk about that for just a second because contextually it really helps understand the growth story. Healthcare is a big umbrella. I think you've heard throughout, the course today that, within that big umbrella, our slice is payer and provider and within that mostly payer.

And if you just look at the payer space in the U.S., there's maybe just under 300 payers out there. Maybe not all of them are candidates to be clients of ours, but most of them are. So it's a pretty finite group of prospects that we're going after. And we don't have to do lots of analytics around our prospective client base. Our services and solutions are diverse enough that we can service the biggest of the big, as well as the small and mid-sized markets equally as well. We've got a pretty diverse portfolio set and are pretty adaptable to matching those with the right type of health plan client. I think that was it.

Let me jump into my slides. Okay, so what we want to talk about today in terms of the growth story is really three things. One, at the beginning of our time today, Ramesh, pulled up some information about how we've grown this past year both with our large clients, our top five, as well as the rest of the business. Th

the top five was about 10%, the rest of the business

I think was closer to 30%. Great year last year consistent with how we've done in prior years. Why do we think we're going to continue growing at a healthy pace?

Then we'll get into the small markets, smaller and mid-sized plans I should say. A much higher growth rate, why we're bullish on the continuation of that trend, how that fits into our larger strategy. And then third, our new services, new offerings, some examples of what's in the works right now. Some of it you heard today. Those are coming both from internal R&D as well as M&A activity, but that's kind of the third leg of the growth story that we'll hear today.

And then before I started to get into those details, we didn't call it out specifically in the context of pipeline accelerators, but you did hear a lot about channel or partners that we're using, solution partnerships, technology partnerships, analysts and advisors, things of that nature. I'd say in the past we did a little bit of a restructuring a few months ago in a

Page | 62 way that has really unlocked a lot of activity within our company around working with partners, analysts, advisors. And we've gotten some really, really good traction just over the last few months. And I'll go as we continue through this portion of it into a little bit of detail about how that's manifesting itself with our pipeline and how that fits into our growth story as well, okay.

So let's start with the continued expansion of our top accounts. Ramesh had mentioned that there had been some conversation with this group or similar groups about, hey, we've had these big clients for years and years and years. They've continued to provide steady growth. How can that be, right? How can that continue on indefinitely? Couple that with a lot of the conversation that we've had today and a lot of the questions that we received today about the role of AI and how that is going to could cannibalize our revenue models and things of that nature.

So how are we going to do that? Here's what I want to talk about. One, we have this legacy that goes way back around 25 years of continuing to grow those relationships. That's way too long to ignore to think it's just going to end in one year because we have a new technology environment or the industry is going through some duress right now. So history and the historical context is certainly part of it.

More importantly and more detailed and factual is when you look at our and we'll take; we've been talking somewhat interchangeably about our top five clients as well as the seven of the top 10 nationals that we're working with. I think you're all familiar enough with the space to know who those big national plans are, and probably have some understanding about their buying behaviours and things like that. But what we have here is a depiction of the penetration of those top seven or the seven national plans that are clients of ours across our service offerings. And just to provide a verbal key, the blue dots indicate we have a presence in our practice area with these clients.

The solid, if it's really solid we have a stronger presence. If it's a little less hollow it's a little less so meaning there's room to grow there. The greens are where we're pretty solid in there. Maybe not a whole lot of growth potential in those particular practice areas, but most importantly the empty purple circles represent where we aren't doing anything with those clients in those practice areas and is really the growth opportunity that we have in the coming years.

So I think even our team is a little caught off guard that we really have one client where we are present in all five. Two clients where it's four or five

Page | 63 and plenty of growth opportunity in the rest. So that is one of the things that really excites us about continuing that growth story with our large clients.

An

And then lastly as regarding this segment of our customer base is we've had some real success with very unique different types of business models. You heard Roopam mention managed services and he gave a real live example of a different kind of a construct that's been a winner for us. We also have two contracts right now where we are helping our clients who happen to be national plans build out captive operations or build

operate transfer types of arrangements where just by the nature of those types of deals, the relationship with those clients really changes. We're at a different, we're no longer in that vendor client relationship. We truly are partners. We're helping them build their future operations. And we see more room to grow with those types of deals.

And then lastly, we heard a lot about the MLR, the medical loss ratio types of services. Those as we move from the time and materials, basically the per transaction, the per hour types of billing arrangements into these types of constructs where we're delivering an outcome, we take on some risk, again, that takes you to a different level. We see a lot of promise and continuing to grow with those types of contractual arrangements.

My reflex is always to say do you have any questions, but I know I'm not supposed to do that, so I'll hold off on that. Okay. Two, the small and mid-market. So that table that we had in the previous slide, we kind of turned it upside down and wanted to show, how; the rest of our clients, the vast majority of our clients, we're really only in with one service line. I came from the BroadPath acquisition where we had roughly 30 clients. Of those 30 clients, maybe three had multiple lines of business when mapped to the Sagility portfolio. Tremendous growth opportunity with those. And that 30% where here we saw or 28.5%. We see this continuing certainly over the next couple of years as we get the story out.

And frankly, and I meant to mention this at the outset, as the industry is in this period right now where medical loss ratios are going up. The small and mid-market plans really, really, really need firms like us to help them even keep up with the national ones. So there's a lot of growth potential with those. I'm going way too fast I think.

And then finally strategic market expansion. We heard some of the story today about the Synchrony suite of solutions, really made tailored towards that mid-market, but it's going to be a growth driver for us. The market is ripe for it. We're counting on a lot for that. That is an example of

Page | 64 a build, coming out of our own R&D, leveraging a lot of partnerships, which also serve as their own accelerators. They've got their own growth organisations, their own pipelines. We support each other when it comes to that.

There's different flavours obviously of going to market with those, going to our existing clients with those workflow solutions, going to our partners clients with those workflow solutions, and then going to a net new for both of us. So it really does serve to accelerate the growth of the pipeline. Two that were acquired in terms of capabilities, the Medicare acquisition you heard earlier today that was one of the key offerings that came with the BroadPath acquisition. It was something Sagility didn't do. It's a new offering that we are now going to the Sagility book of business and expect a lot of success there.

And then before prior to the BroadPath acquisition, we acquired a company called DCI, which was an end-to-end payment integrity solution. Similar story in that kind of white space, green space for the Sagility book of business, also conveniently for the BroadPath book of business as well that we're going to continue to leverage those to get some growth. And then HEDIS and Star's is a last example of R&D driven innovation and new service lines, really focusing on the revenue side for our clients, making sure

they're maximising their reimbursements on their government contracts and things of that nature. So I'm sorry. It was really fast.

And with 16 minutes left, I would certainly say, yes, let's take some questions, but I know my team is terrified, if I were to answer any. So maybe I suggest instead we start the Q&A, the general Q&A a little bit earlier. Is that appropriate? Okay. Is that good?

All right. So we're going to pull some chairs up. Do you want to hand one to me?

Question -and -Answer Session

Dhaivat Mehta: Okay. So we had a few questions come in from the QR code, which was scanned. I would say most of them when we went through it were also asked by many of you when the mic came to you earlier. So we won't repeat those questions so that we can actually move on to more live

questions from all of us here. Some of our leaders are on stage and you know others are here as well.

Page | 65 I'll request the mic volunteers to be bold and not be shy. So if the mic volunteers can be in the middle of the hall, Shiva, if the mic volunteers can be a bit more bold and so that we can make sure the mic reaches the person who wants to ask the question. I will step off the stage and if you can please raise your hand the mic will come to you quickly and we'll try to answer that question.

Roopam Narayan: I think there were two questions which I had noted down which I didn't get the time to respond. One of the question was from you ma'am in terms of asking if the managed services case study was for the top five client or it was from there. So you probably saw it in Chris' slide, it's actually part of the top seven. It's one of those smaller LOBs of that client, and that's why it's a 25 million opportunity. So the way to think of it is that in a very large plan those LOBs exist where they cannot focus all the time on that and therefore they become the right candidates for managed services kind of outsourcing. So hope that answers your question.

I think there was a question from behind somebody had asked in terms of why people for managed services would choose Sagility versus competition. I think that was the question. Yes. So there is no right for us to go and demand the business as such. Competition is going to be there, competition is tough. They're equally good competitors in the market. The way to look at is in a managed services place where it comes is that if you're already there running that shop or running that business for the client, client has seen you perform. That's the first thing and that's where our delivery leader is here and we'll interact later on.

A very strong delivery track record, then Sri took about showed all those benefits we have consistently delivered over a period of time, 11.4 million of administrative saving, 5 million saving on late payment interest etc. All that we have already demonstrated. Now it becomes an easier discussion that if you give me this business where you've seen me deliver the day-to-day operation as well as transformation and now I'm going to risk my dollars, my money on delivering the result and transformation. I'm actually the risk mitigated partner for you to deliver those services. So that's the reason why we compete well in that kind of a space.

And it's always going to be, is that customer will create their own internal ROI or case of how much investment they need, what is the benefit they'll get internally at enterprise level and they'll compare with ours if we are giving better results, the business will likely come to us. So that's the case. Of course and internally also it's that their control points etc which we have to take care of in the customer side.

Page | 66 Somebody may want to give their business, somebody may not want to give their business, keep it in-house. So those kind of things happen. But roughly speaking, the reason why I made very clear managed services, we are

specifically targeting where we have incumbency, where we have a track record of delivering is because exactly the point that you're bringing out. That's a competitive strength there, okay. So these were the two questions. I don't think I had any other question, which I have not answered in that time. So, we'll go from the new ones.

Siddharth Vora : Yeah. Siddharth Vora from HSBC Mutual Fund. I'd like to ask a few initiatives which you will be doing for more cross sell of services. We saw a lot of scope in terms of top clients or mid and small clients as well that many of them are dominant on the claims management side, but other segments may be not working. So what is happening or it's purely a client maturity curve in terms of what they are accepting upfront and what they will do later on? More ideas or more initiatives in that?

Ramesh Gopalan: Yeah, I'll start it off and then maybe Chris and even Roopam can add to that, right? So you're right, right? So if you look at the -- we've answered this question before. If you look at the journey of outsourcing, people took some of the more administrative aspects as the easy candidates for outsourcing and offshoring. So claims was one of those candidates that a lot of the payers chose as their first option to outsource. One of the things that we've spoken to you and hopefully came out today is clinical

is a big growth area for us.

And clinical is in the relative scheme of things, it's a newer area, right? So most of the payers, I would say started looking at clinical not more than five to 10 years ago, right? Even our oldest clinical client is about probably 10, 12 years old. That's because there was the belief that the work was complex and the work couldn't be delivered by a partner and especially in an offshore kind of a situation, right. So and that's changed over the last 10 years.

We've proven to clients that we have the capability to find the right skill set even in some of our offshore locations. And we can deliver it to the same level of quality and outcomes that they can in -house. And the MLR being a big issue, like you heard to day, people are now more open to even newer programs. So Krithika spoke about care management and so on. As long as you can show an ROI, people are willing to spend.

So it's not a question of I'm currently spending X and I want to reduce that. It's even if you want me to spend incremental, if you can show an ROI in a new program, I'm willing to spend that. So that's a completely new avenue

Page | 67 for growth. And then some of the capabilities were acquired capabilities. We were doing payment integrity, but we didn't have the end -to-end payment integrity capability.

That acquisition got us those capabilities. And payment integrity is an opportunity where clients are not constrained by how many vendors they have. So it's more if you can identify additional dollars, then I'm happy to give it to you because you may not be the first pass vendor, but you may be a second or a third pass. You can still identify opportunities, you get paid. So those new capabilities are so obviously things that we can take to our existing clients.

So that's why you see some of the white spaces, either because we didn't have those capabilities up until recently or even in the evolution of outsourcing, some of those areas are more recent than the others.

Chris Shiffert: Yeah, I'd say I have one. The other if you looked at that chart and put, years of tenure by it, that would follow one, two, three, as well. In some cases, it just takes some time. Regarding the small and mid -market, there is still especially in that, we'll call it small and Roopam defined mid -market as a million and less, if small is 500,000 or 400,000 and less. There's still an awful lot of mission driven non -profit plans out there that really resisted outsourcing and still do to a large degree.

And they are now forced

as I hate to use that term, but the per member per month admin costs of the large nationals and even that next level down is so low compared to theirs. They're almost at a point where they have no choice. They really need to do some thing to address those administrative costs just to stay just to keep up with the rest of the industry. So that's taken some time, but it's changing, it's actually changing pretty rapidly.

The MLR charts that Ramesh showed, those so yeah, we took the publicly available information and showed you. That dynamic exists throughout the industry. So just the confluence of those two things is going to drive a lot more people towards specialists like us to help take some of the cost out. Hope that answered the question.

Anil Nahata : Thanks for a great set of presentations and demos. This is Anil Nahata of Parami Financial over here. I have a few questions. One is in terms of GTM, where you go to a customer who is a new customer to you essentially or one of the areas where outsourcing has not been explored much. What is the typical kind of a sales cycle and the time that you need

Page | 68 to convince a customer? And typically, how much kind of effort and do you need actual data to go along with the customer in such cases?

Chris Shiffert: What was the last part of the question?

Anil Nahata: Do you need to actually demonstrate some data or some outcomes to the customer as a pilot or something?

Chris Shiffert: Sure. So in those, there's a few a couple of ways to answer that. One, and this came through some of the acquisitions that Sagility has made with the Payment Integrity and BroadPath. Our solutions in the Payment Integrity example, they pay for themselves. It's an easy ROI and it helps

that we don't get paid unless we find some money to recover.

On the BroadPath side, that company grew up solving very immediate niche problems for plans, very low barriers to entry, oftentimes very, very short contracts. And part of the acquisition was, okay, let's leverage that to get into more new logos. And that's certainly been a proven path of success. Then the last thing I would say is, I mentioned the accelerators, the advisors and analysts. Those personally are my favourite. If a plan, if a potential client has engaged with an independent, a third-party advisor, either be it one of the big four, somebody who specialises in healthcare. We're making sure that those firms know who we are and what we do. They are in a very strong position to help a client you know define their problem, evaluate potential solutions, basically get about a third of the way through the sales cycle and then call us and certainly some competitors too. But all that really, really hard work upfront that takes a long time in a sales cycle and can be very difficult for a vendor to manoeuvre. If a third-party is doing that and we're jumping in the middle of the sales cycle, it compresses the time it takes to win that business and it's much more clearly defined for us.

Anil Nahata: So you would say in the third case that you were explaining about with the third-party involved and all, it will be a factor of somewhere between six to 12 months kind of a thing or lesser than that?

Chris Shiffert: I'm sorry, I didn't catch that. A sales cycle? If a third-party is involved, it's much shorter. Yes, closer to the six, right.

Anil Nahata: Thank you for that. The second question is when the customers are looking at non which are not basically outcome based contracts, so you don't have an outcome based contracts and now you're having the agents coming. So there's a new way of looking at things from different from an

Page | 69 FTE kind of a thing. So how are the customers looking at pricing and how are you looking at pricing in those scenarios?

Roopam Narayan: I think I can take that. So one is, which is usually the rebids, which are not very good for vendors, if y

ou're not the incumbent rebids, your chances of success are very, very low. And we are obviously not in the business of cutting the FTE hourly rates and then going with the lower option. That's not usually not our area. So even clients who are going with saying that there's no managed services and we don't even have adequate data to give a managed services proposal, what we are providing is we're giving a roadmap, I mean in many places we have gone through a standard T&M based approach.

I mean, one client that we grew last year quite a bit, server managed this one when the process stabilised and we showed that they had 18, 19 claims per hour, we started doing 25, 26 claims. Then we said that look, how are we doing this? Why don't we convert into transaction rates so that we share the benefits together? So that's what was this one. And now we're negotiating and discussing other models which can incentivise both the organisations.

So yes, when there's a new client acquisition, we have to go by the process, whatever is the client's process, but we give them in advance a roadmap that look, we may enter like this and in clinical cases, even with large, very large payers we have done this is that we understand your problem, but we also understand your process that you're going to give us partial volumes, income competition with others, our rate card has to be in line with that, we are perfectly okay with it.

But that's not why we are focusing on this business is that we agree to take you through the journey into partial outcomes and then fully outcome based kind of model, which fortunately for us some of our competitors and many of the incumbents are not even trying to do to their own business. So we are coming as disruptors there. So the differentiator is now or later in future, you will still require a Gen AI infused outcome based model so that you can get benefited by the new technology which is coming in without you yourself having to take the risk and cost of implementation of a new technology.

Anil Nahata: Thank you for that. And my final question is on the two segments that you are having, the broad segments, the payer and the providers. Of course, 90% of our business is the payer business, but you have a 10% on the

provider side also. So how do you see this provider side going forward? And what is your focus on that business?

Page | 70 Ramesh Gopalan: Yes, I'll take that question, right? So yes, in the interest of time, we didn't get into the provider business today. But I've taken up this question in the past. Providers is a segment that in the past historically, our focus is a lot more on the payer side, but we are doubling down on the provider side also.

If you look at one of our Agent AI solution was focused on the revenue cycle. So today, we are looking at the process and that is more amenable to an Agent solution because that's in a lot of cases, that's also currently an outcome based model. Providers, especially in the back end of the revenue cycle, they give us work and they pay us on outcomes, the cash that we collect for them. So we get the data from the client and everything else is dictated by us, starting with predictive modelling on what claims are likely to get denied, what claims we should follow-up at what point in time and so on. And so all of those point solutions are already there.

Now we are doubling down and saying, can we create an Agent layer on top of that and bring a lot more efficiencies to that process. So yes, that's also in the same roadmap with respect to technology and transformation. And we intend to double down on the provider business. And some of the other opportunities that we're also looking at providers, some of the solutions that Krithika was talking about in the clinical space, right? Today, a lot of what we do in provider is the traditional RCM based services. But we are also trying to take

some of the capabilities that we've built on the payer side with respect to some of our clinical solutions and trying to take them to the provider.

So from both those aspects, we are likely to focus a lot more on the provider and hopefully accelerate the growth on that side of the business too.

Atul Mehra: This is Atul Mehra from Motilal Oswal. Thank you once again. I have a question for Chris. If you had to grow at 2x the growth that you are currently growing at, what are the key constraints in terms of either teams or time or if you can explain with some examples? Thanks.

Chris Shiffert: It's less of a constraint than more of a what's the business mix, right? Some of our offerings implement much faster. Some of them take a long time. So growing at a rate like that is certainly doable for us. We have a very scalable model, our operations are, just the global footprint that we have that removes a lot of constraints that certainly I was used to at BroadPath.

Page | 71 But I'll go back to that my initial answer. It really depends on the business mix as some are harder to implement, take longer to implement than others.

Atul Mehra: But in terms of like you showcased in your presentation there are so many low hanging fruits in terms of cross sell, in terms of the new logos you'll have added etc. So typically when it comes to a client conversion, to like from a conversation to a conversion. I think there was question previously as well in terms of the lead cycle it takes and so on. So what is like in the conversation to conversion, what are the key roadblocks you all face when a conversion doesn't happen?

Chris Shiffert: So because a lot of times it's the first conversation they've had on some of these topics especially with those smaller plans, right. Nobody's approached them before with a, hey, we've got this clinical service, here's the value it provides. So you are initiating the sales process as opposed to, if they've identified a problem internally, organise an initiative to go find a solution for it. So that's where we are with a lot of the, especially, the smaller clients where there is that green spaces.

We're introducing that, maybe they thought of it before, but they never did anything about it. So it just takes longer that way when we're the ones that are the -- we're the impetus for picking up the initiative, not them.

Atul Mehra: And if there was one thing you could do, which you are not doing currently to further accelerate growth, what would that be?

Chris Shiffert: One thing, you want one thing?

Ramesh Gopalan: Yeah. I can talk of one other things, right? One of the things that

historically we didn't do well and like Chris said, we've started focusing a lot more on the partnership ecosystem. So thanks to both Roopam and Chris, and another teammate of ours. We've started focusing a lot more on the partner ecosystem. It does two things. One, it enlarges the scope of what you can deliver. The Synchrony suite of solutions is something that we couldn't be delivering on our own. We need partners for that. And two the point that Chris made, the minute we start working with a partner, it also kind of opens up other opportunities that you didn't have because they have their own pipeline. So that becomes part of your pipeline now. And so you can not only take their solutions to your existing clients, but it also opens up another channel of pipeline. I think that's one thing, I would think, we didn't do so well in the past, which hopefully will result in more deals in the future.

Page | 72 Baidik Sarkar: Thank you. Ramesh, hi. This is Baidik Sarkar from Unifi Capital. I think what my industry colleague was trying to ask you was what kind of growth rates are you willing to commit to yourself and us today evening. So if you could please address that for all of us, point number one. And my end of the question is, look, we've been acqu

isitive for the right reasons. But like

Chris said, there continues to be enormous amount of white spaces. So given that we're very close to deleveraging event in January of 2027, our cash accretion is what it is, how close are we to another M&A event? And what white spaces are we looking at? And financially, what kind of ROIs do you expect from that given sales cycles given the valuations are? So if you could just marry these three answers into a simplistic narrative.

Ramesh Gopalan: First of all, Atul is very open. So he can ask, if he really wants to know the growth rate, he would ask it specifically. But yeah, look, specific guidances we'll give with our earnings call that will happen in May. But broadly, given all that you heard today, we believe that there is no reason for us not to grow at historical growth rates. So that's the broad guidance I'd give. While there's been a lot of questions around AI and its impact and its disruption and so on.

There's nothing internally that we believe will constrain us from continuing to grow at historical rates. The questions around can you accelerate it further and so on are good questions, and obviously, we would also like to grow faster than we are growing today. But at least one thing that I can say, what we see, at least for the near term, I don't want to make a five year projection, is we will continue to grow at historical rates in the, like I said, low double -digits to mid -teens kind of a number. But specific guidances for the next financial, we will give closer to the earnings call.

Your second question, yes, M&A has always been a strategy of ours. And like I've said, historically, two reasons we do M&A. One, the BroadPath kind of M&A was more to get access to clients. And like Chris said, we have about 30 odd clients where we just do one service today, opens up a huge opportunity to cross sell other services.

And the second thing is from a capabilities point of view. Unfortunately, there are not a lot of BroadPath like targets, especially focused on healthcare alone, because that, I mean, we'd always love to shorten the sales cycle. And if there's an established relationship that makes the job much easier. But there are not a lot of BroadPath like targets available. So most of the acquisitions are going to be more capability focused. And as you saw in the presentation today, we are emphasising a lot more on

Page | 73 our clinical solutions, right. So there's going to be, I mean, there are a couple that we are evaluating, and I can't comment on how soon or how longer it will take to close those. But if we were to do an acquisition, the ones that we are looking at currently are more in the clinical domain. And yeah, ROI from an acquisition is obviously, as part of the business case, we anything that we pay, the multiples we pay compared to our current multiples and what's the accretion or dilution, all of those get into the equation. Most of the times, I mean, from an ROI perspective, acquisitions have worked for us, at least the recent ones that we've done. And you can rest assured that we'll pay the right value and make it accretive in the long run.

Chetan Shah : Hi, this is Chetan Shah from Jeet Capital . Just continue to what Baidik is trying to understand and something add to that. Can you just give us some idea about you like we have spent plenty of time on AI and AI related thing, whether it is a disruptor or an enabler or whatever it is all about. But can this automation of business implementation to our clients, thanks to AI and AI related activity, increase the size of the opportunity for us, one part that.

And second, some of the clients who are at the sideline as of now, either due to the cost, second due to any other reason can come into the fold of our opportunity space.

And third and most important which some portion Chris answer is that sales cycle is little

longer. One of the reason is the implementation of some of the modules of our businesses takes time and this can AI enable that to do it at a much faster pace and suddenly the client will be more than happy to get into the opportunity without disrupting his activity or ongoing business? These are the three.

Ramesh Gopalan: I'll try and remember the three, anybody wants to pick up. Roopam, you want pick up any of that?

Roopam Narayan: Yeah. I can take that and same thing probably you'll have to help me with the parts of the question. AI is definitely speeding up implementation and time to revenue for us. But there are certain cycles that you have to be clear of, like Medicare life cycle product that we talked about. AEP does not start till October. So even if we go sign the deal now, it's not going to. And really speaking, the strength is going to come in next calendar year, because the new plan benefit filing or new benefit design that the client will do is actually for calendar year '28. So it's really we have to time our revenue projection based on when these new services will get consumed

Page | 74 by the customer. And that happens based on the cycle of the business that goes on there.

Similarly, things like payment integrity. Even when we implement everything and start recovering or start showing which are the claims to be recovered or something, till the time recoveries actually happen, we don't get the revenue. So there is a cycle for the implementation, the readiness of the client side to flag those identified claims, review that and say, okay, now you go recover and then recoveries happen. So there are certain business cycles that we cannot speed up even with Gen AI or without Gen AI because those are business cycles, not operational cycles.

But then the other part of where the implementation, the IT services components and all, definitely there are lot of accelerators have come into the market. The testing has become much simpler, faster. So those things are taken care of. But they are all, they are just allowing us as to be right on time, quality and costs and be delivered in time.

The real cycle is the business cycle, which is linked to AEP, linked to claims recoveries, linked to claims processing actually starting. Most of the cutovers that happen when they change vendors or something is data service based and that is because health plans have accumulators in your annual this one is that your total service that you have deductibles, etc., is by calendar year. So a lot of those plans will not start with a new vendor on -- with the date of service date of anything other than January 1. So these are some of the constraints that we cannot change, okay? So that's really on the cycle.

The other two questions, if you can just come back on.

Ramesh Gopalan: Yeah. First question, I mean, hopefully, I'll answer it, but hopefully throughout the day today, that's what we were trying to address. The one message that I want all of you to take over is we are not viewing Gen AI as a disruptor. Yes, it is going to disrupt, but we are viewing Gen AI as something that's going to expand the scope of what we can offer and accelerate our growth. So if that's one message that I want all of you to take back today is that message.

To the question on how are you protecting your revenues, we don't want to use the term of protecting our revenue, because we are in the business of adding value to our clients. We are not going to stop generating efficiency because we have to protect our revenue. Our job is to generate

Page | 75 efficiencies and pass on those efficiencies to the client and make the relationship stickier so that we can continue to grow with those clients. So with that in mind, so we are not using the term protecting our revenue. We are using the term, we will embrace Gen AI, we will generate those efficiencies, we'll give them back to the c

lient, and we'll use these new models to go to our existing clients and other clients and win more business, right? So that's -- and you've seen with a number of use cases how we can enlarge the scope of what we do. Managed services, Roopam gave the example, a current 6 million can actually become a 20 million, even though, I'm committing to a 5 million cost takeout. There are models like that. We spoke about MLR, but it's not a question of cost of service reduction, but it's more a return on investment decision. So there are a number of examples we've given today to kind of dispel the notion that you have to view AI purely as a disruptor to your revenue. But hopefully the message we are trying to deliver is AI can also accelerate our growth.

Chetan Shah : Yeah, thank you so much. And just one very specific question. In of the clients and this is completely my personal assessment speaking to some of your existing or potential customer. One reason why the things get delayed is internally within the top or the mid layer team, is not ready to bring such technology into the system because some of them may become redundant within the organisation. Is there also one of the reason why, this is what we are getting the feedback. I'm not sure about this, but I'm just want to clarify that.

Ramesh Gopalan: I'll start and I'll ask Madan or someone else to right, which is very true. In healthcare in general, you can probably know this, that adopting newer technologies takes time. And hopefully, one of the things that we also told you is, one, they are slow in general. Two, also it's the nature of the industry. The regulatory complexity, all of the data protection, data privacy, all of those things generally are reasons why clients take more time to make sure that they don't do something that's going to cost the millions and billions of dollars to fix.

So a lot of times our use cases, while we have the capability to deploy some use cases, we are waiting for clients to give us permission to do that, because we are still working on the frameworks for the guardrails and how they -- the whole framework for deploying AI. Madan you wanted to...

Page | 76 Madan Moudgal: Yeah. So one of the things that to make AI effective and impactful, you need to organise your data. And that can be time consuming if you have not already taken the time to, for instance, build to do the data aggregation, build your data lakes and such that allow for this curated data then to be made readily available, it can be less than the impactful. So sometimes when we talk to our clients, they're busy fixing those things, and so they may want to delay or put us off for a period of time. There's still ways in which that we can bring about some change and make an impact, but we have to work around those constraints. Gen AI by itself can be an accelerator there, but there also as Ramesh pointed out, some amount of trepidation around, well, how is this going to expose us to certain risks? And then there are governance committees that get involved. They want to have their say.

So there's all of these types of gates that you have to cross before you get to the point of saying, okay, we get it, now we can move forward. A lot of times, we will get the buy in from our business partners on the client side. The IT partners sometimes will take longer to come around, and give us the go ahead. So it's just the nature of the process, and we need to work through it.

Namit Arora: Thanks. Good evening, everyone. This is Namit Arora from IndGrowth Capital. Firstly, many thanks for putting the day together. It's been very useful to have the entire leadership team here. I have one question around competitive landscape. How do you look at that and there were a couple of interesting slides, one was where you had your ecosystem of partners, for example, you even mentioned CTS and others. And the second, somebody m

mentioned that even when clients are looking at innovation, they've actually asked you to coordinate with several other players who may be your competitors. So give us some colour on how you think of competitive landscape for you, number one.

And number two is, as some of the larger other companies, let's say, like Accenture, IBM or Infy and others. I mean, I know your business is very, very specialised. You have domain knowledge. But as they sort of feel some pressure with AI and others, are they trying to make some inroads here? Just give us some thoughts on all of that. Thank you.

Ramesh Gopalan: Yeah, I'll start off and Chris, Roopam can add to that, right? Look, in the space that we are in, which is, again, we define it as transforming healthcare operations. We come across a set of, I would say about five, six competitors in most scenarios, right. But the market is broad enough,

Page | 77 I mean, if you look at the service lines, the service areas, the domain, it's large enough that there's ample room, in my view, for everybody to grow. More importantly, the things that differentiate us from any of them is what I started the session with. Our domain expertise and our broad service portfolio are two things that we think are superior to most of our competition. And being focused on one industry has its benefits. Obviously, your market is restricted to that one industry. But everything that we do today is focused on solving business problems in that industry. So a lot of our investments, be it in AI, be it in other tech solutions, is all extremely focused on solving business problems that most of our client's encounter, right. So that gives us the razor sharp focus as well. And that's always helped us deal with competition. But to your point, yes, it's not a huge list of competitors, but we typically see the same five, six names when we compete.

Roopam Narayan: Yeah. And I think you named names, so I'm not going to repeat them, but I'm just saying is that those vendors are already competitors for us. So it's no different from what's happening today. Yes, if they are pressured, they like to expand in the space we are in. But it's the same thing. They'll have to fight against our strong delivery, our incumbency, our relationships, our transformation that we are already bringing in. So we don't see that as a big threat that something will happen, because they have pressure on the IT services side and they'll come in, because they are already there and we are competing well against them.

And we have respect for those organisations, they'll definitely come with their strengths. But we have our own strengths in places they'll win, in places where we are winning we'll continue to win. So I think that ecosystem and that competitive dynamics is not likely to change.

Ramesh Gopalan: And the other thing I want to point out to in addition to what Roopam said is, our pricing constructs that we spoke about. So we are not going to market as a software vendor. We are not charging license revenue. Yes, I mean, I'm not saying we'll charge for implementation, but we can absorb some of those costs and amortise it over a period of time. So we are not looking at generating upfront revenue from some of the transformation that we do. So that's also a big advantage that we have compared to others who want to monetise it right up front.

Namit Arora: Thank you very much, Ramesh, Roopam, and the entire team, and all the best to the entire team. Thank you.

Page | 78 Pallavi Deshpande: Hello this is Pallavi Deshpande from Sameeksha Capital. The SaaS tools, I mean how has that uptick picked up? And in terms of our ability, our own, how many engineers would we have writing code?

Madan Moudgal: Is your question more about how are we using Gen AI to improve the productivity of our own engineering stuff?

Pallavi Deshpande: Right.

Madan Moudgal: Okay. Yeah. So certainly,

we have jumped in with both feet. We clearly understand the power that it gives us across the entire not just in from the standpoint of software coding, the entire software development life cycle. So there is an internal initiative that's underway. It started about a year ago, and we're coming up to a point where we're having our first measurement of the impact on that productivity gains. And the data so far is quite promising. So we will continue to double down on that. We certainly see the benefits. At the same time, we are also, I would say

cautious because it's a double edged sword. If you don't properly monitor and supervise the use of these tools, it can lead to some, not just bad practices, but it can also lead to errors entering into your code base. You have to be very careful about that because what we obviously don't want to do is to cause any of our clients to lose confidence in our abilities. So we are very carefully, but enthusiastically taking advantage of these capabilities.

Ramesh Gopalan: And the other reason is we don't build these out to clients directly. So for us, any efficiency that we can generate is very important. So we have no hesitation in using it to the fullest to generate whatever efficiencies we can.

Roopam Narayan: Just to complement Madan's team with the similar workforce type, the value creation projects that we are doing for top three clients, now we are doing for six clients. So obviously all the additive knowledge that we have built that Madan was showing those cumulative knowledge that also plays and also the productivity gains that we have with all these tools which are coming in.

So from with the similar cost structure, we are able to handle much larger client base for value creation projects.

Pallavi Deshpande: My second question would be what would be like you showed us different pieces of examples here or there. So like if I look at it right from the typical, right from the start to the end, member enrolment and entire billing.

Page | 79 Which pieces, or how should I say how do you imagine it with AI two years hence in this whole flow, where does which pieces get impacted most?

Ramesh Gopalan: I'll give a broad answer and Roopam will probably add to that. We think every single process that you saw in our process thing can benefit from the use of AI. So I wouldn't say there's anything out there where AI can't add value. Like Madan said, even with in and those are all broader functions and processes. Within that process, the tasks at a task level, we may not deploy Gen AI across the board.

There are some tasks that can benefit through other forms of agents. But at a process level and at a function level, I think every function can take the advantage of AI. But in terms of the impact from an efficiency point of view, obviously processes which consume a lot of unstructured data, we'll see a lot more benefits coming out of AI. Krithika and Ram showed the example of documents, 10 page, 50 page text.

Those kinds of documents when somebody has to manually go through them and make decisions and so on, versus the use of AI to at least put together the recommendation before the human reviews and makes the final call. The level of efficiencies that you can generate are far higher. Then a process which is already rules based on very structure. So that's the two ways I would answer the question. If Roopam, you want to add anything?

Roopam Narayan: No, I'll just bring back the same point. We are not coming with a mindset of trying to see what's AI proof or reduced AI disruption, because that's a losing game in the long run anyway. So think of it as AI is going to penetrate every part of the operations. Maybe some places your regulatory issues like anything which is about denial of access to care or delay of access to care or an adverse decision that you're making against a member or a provider. These will certainly

require a lot of human involvement for sure.

But other than that, you will have AI. Now there's always going to be a degree of effectiveness of AI, a process which is using a lot of structured data, a process which has limited volumes in each type of, let's say, claims spends. There are hundreds of types of claims spends with very low volume. Probably it will not be the right case for just going after Gen AI or reading SOPs and trying to solve this immediately. So we'll have those kinds of things which are coming up.

What we are looking at is assume that Gen AI is available as one more means of delivering the business process outcome. Now come with a solution which can handle and deliver client the outcomes. So our

Page | 80 thinking is different from the productive mindset of saying is that let's go focus in areas which will not be impacted by Gen AI because that's not in my opinion, that's not a sustainable way of growing the business. I mean

anybody else wants to add to that?

Ramesh Gopalan: I think, yes, we've made that point.

Ravi Menon: Hi, this is Ravi Menon from Macquarie Capital. Could you give a breakup of your payer revenue by service? That's how much would be claims, how much would be from Synchrony, how much would be provider that credentials validation stuff like that?

Abhishek Kayan: So I mean our payer revenues are around 90% of our total revenues. One-third of our payer revenues are claims revenues, one-third of our payer revenues are your clinical and payment integrity and the other one-third is a member and provider life cycle.

Ravi Menon: And how about the payment integrity and all that?

Abhishek Kayan: Payment integrity and clinical combined is closer to 30%, one-third.

Ravi Menon: And Synchrony itself?

Chris Shiffert: Synchrony cuts across, so we don't track it like that. We track things according to those service practice areas and Synchrony purposely cuts across all of that.

Ramesh Gopalan: And from a capability evolution like I showed. So the first three pillars are what got us today, and then the automation of complex workflows and Synchrony, those are more forward looking. So those are solutions that we are taking to market currently for future proofing our business.

Ravi Menon: And although you're very healthcare focused, I mean, how about adjacencies like say, in retail, I've seen that some of your competitors have, something for similar to the sort of leakages that are there and payments, you have solutions that could be addressed there?

Ramesh Gopalan: No, at this point, we want to continue to remain a healthcare firm. Like I've mentioned in the past, we are thinking about relooking at the definition of healthcare that we've focused on in the past, which has been restricted to payers and providers. We might expand upon that definition and look at adjacencies within the healthcare space. But that's the extent to which we will go, at least in the foreseeable future. So we don't intend going to retail or financial services and so on.

Page | 81 Varun Gandhi: Hi, I'm back here. Varun Gandhi from Finavenue Growth Fund, back here.

So my question is and it's trying to understand the core of your business model. So we work with healthcare systems like Availity or Health Access. But Sagility's position, so we act as a traditional BPO provider by bringing in our clinically trained workforce and trying to orchestrate workflows. But beyond that, what's the sticky element that makes the customer stick to you? Is it the execution prowess that you demonstrate?

Just trying to understand what's the proprietary element here that Sagility brings to the equation?

Ramesh Gopalan: I'm a little disappointed that after five hours, you're asking me that question. Anyway, so I mean, don't mind repeating. If we don't, if you look at me and my colleagues in the five hours, we didn't use the word BPO. Yes, broadly, you

want to classify us as a BPO, yes, we are a BPO. But we are not in the business of clients defining the rules and the process documentation and we following the documentation to deliver an outcome.

We built this business over 25 years, and today we believe we have the domain expertise to redesign processes to give clients business outcomes through changes that they haven't been able to implement themselves. And if, yes, if that's something, is something that we've done, like I said, over 25 years, and that those capabilities is what differentiates us. To the question on competition, yes, there are other people who operate in the healthcare space. We differentiate because of the domain expertise that we bring in.

And all of our transformation capabilities are focused on solving specific business problems that our clients have. And that's what helps us win business and grow the business. So I don't know if Roopam or Chris want to add to that. But today, a large part of why we win is the fact that we have the deepest understanding of how the ecosystem works. We also have a very good understanding of our clients' ecosystem and what kinds of solutions are most relevant for our clients.

And so it's not always, order taker mentality. So it's not that the clients determine, what we should do at what point in time. Yes, the relationship

might start that way, they have a need and they call us in, but the evolution of that relationship is we proactively taking solutions to them and solving their business problems.

Varun Gandhi: Understood. My second question would be, you showcased many AI products that we have, but these will sit as wrappers on top of these

Page | 82 healthcare systems that I earlier referred to. And so my understanding is that these products would largely be platform agnostic. If so, how susceptible are we to the risk that the healthcare system providers or these guys who are owning the tech stack, they tomorrow develop their own AI products to or Agentic AI products who are orchestrating the same workflows, then there's a good chance they may displace us. So some comments over there.

Madan Moudgal: Yeah. I'll start by saying that what we take to and make available to our clients is not just the technology. It's the technology and the services together in a lot of cases. So the entities that you refer to as the health system I think you call them health system. I think you mentioned health equity and people like that. They're offering a technology by itself. So, yes, you're right that over time, you'll -- they'll embed more Gen AI. We expect them to. And we expect to take advantage of the Gen AI capabilities that they've embedded in their platforms.

But there'll always be room for us to add additional value, because we combine those features with our additional services in order to deliver a full-fledged offering to them. That's of more value to them than just the technology by itself.

Varun Gandhi: But then a lot of the value capture would happen on the tech layer, rather than the services layer? Just trying to understand.

Madan Moudgal: I would say the value capture happens in the combination of the two. That's why we're delivering the value to them, in my view.

Ramesh Gopalan: See, we are not going to market saying we have the Gen AI capabilities. The contracts that we are signing up with clients, we are still accountable for the business outcomes. That's the biggest difference. We are not going to, and Gen AI or any other solution is an enabler to delivering the business outcome because my clients are still holding me accountable for the business outcomes, irrespective of whether I use 50% automation or 80% automation.

So in the whole equation, whether it's and a lot of the platforms and Synchrony that we are talking about, the orchestration layer could be done by us, could be done by our partners, could be done by a combination

of us and our partners. But ultimately, the client is seeing value in what's the cost of delivering that and whether you're still committing to the same business outcomes.

Varun Gandhi: Got it. So you're trying to say that the value is in the outcome rather than the process?

Page | 83 Ramesh Gopalan: Yes.

Varun Gandhi: Thank you for that.

Roopam Narayan: I think the other way of looking at it is, I think you mentioned Availity, Health Access, a few of these kind of companies. So everybody has a Gen AI play, but it's restricted to their platform. And the platform is not an end-to-end process, okay. The Synchrony Medicare life cycle that we talked about, think of where it's from the design of the benefit products to filing to that benefit information moving into the sales system, the consumer portal, and somebody making sales calls, brokers handling the same information, then you're enrolling the member, the same benefit information has to move into your premium billing and member enrolment system and into the claim system.

These are five, six different systems and everybody has Gen AI play in their own. But if I have to deliver this, which we are delivering as an outcome from end-to-end and that includes even paper fax enrolments which are coming in and which import and output is print out where you're sending out ID cards and everything is going to an external player. There's none of these platform vendors can have a Gen AI play across the entire life cycle. That's where we come in with an outcome-based solution and say that we have our own Gen AI agents, for example, fax intelligent content

processing is with us, output management is with us, orchestration layer is with us and then we are calling and we are working with the Benefit One products, GenAI module.

So it's something like that you're basically taking the entire outcome, then coming in how you can deliver optimally with the each one of those platforms and utilising what's the core automation that has been built into the platform.

Varun Gandhi: Effectively, you're saying that you're like the connection point between these different layers of system that we have?

Roopam Narayan: Connection point, orchestration point, responsibility of human in the loop, outcome delivered to the end.

Varun Gandhi: Got you. Thank you very much and thank you again for hosting us today.

Roopam Narayan: Yes, thank you.

Ramesh Gopalan: I think we are out of time. Any further questions, we can take your last question.

Page | 84 Participant: I have a broad question on margin front and our employee headcount, like is there any possibility that as we are wrapping up the AI layer in our existing offering, client may ask for the benefit pass on in future?

And second, our margins are more than 22% or 25% year about. Is there any chances that it may face some sort of compression going forward?

And on headcount front, you consider that going forward due to more and more AI led offering, we may reduce our headcount significantly considering the current strength of near about 40,000 employee workforce?

Ramesh Gopalan: Yeah. It's difficult today to give specific numbers. So but broadly, directionally, what we can say is, look, as we deploy more and more of this AI and Agentic AI solutions, if you look at our revenue productivity at a geo level, that is likely to significantly improve. Our overall today, headcount and revenue per FTE is also determined by the geographic mix. We have people in the U.S. who generate higher revenue per headcount. We have people in India who generate much lower revenue per headcount, right? So that geographic mix is still going to play out in the future.

But if you look at like -to-like, if I look at the revenue per FTE per employee in India today versus what it's likely to be two years or three years down the road, it's likely to show a significant movement upwards.

And then at the enterprise level, it will be a weighted average of what headcounts I have. So broadly, yes, We are confident that we'll be delivering more revenue per headcount at a geo level and depending on the business mix, it will also show up in the overall company level.

With that and with the growth rates that we are expecting, whether headcount will stay static, whether it will reduce or it will increase, but not increase at the same proportion as revenues, those are numbers we need to play out. But otherwise, at a geo level, like I said, you will see a significant improvement in revenue per headcount.

Participant: On margins?

Ramesh Gopalan: Margin, again, is a question of how we want to grow. So broadly, in the past, we've said that we are comfortable at the current margin levels we are in, while automation, transformation, Agentic AI could help us improve margins, we want to plow that back as benefits that we pass on to clients and continue to grow our business. And that broadly still remains the same. All of these tools will enable us to generate better

Page | 85 efficiencies. It's a question of what portion of those efficiencies we pass back to clients versus what portion that we retain for ourselves.

And broadly, we are happy with the margins where they are, so we'll try our best to retain these margins, while utilising the benefits that we generate to help us continue to grow. So that's been the broad strategy even in the past, and we'll continue to do that in the future as well.

Participant: Thank you.

Pallavi Deshpande: If you look at outsourcing penetration, 20% or 40% in your top five clients. What is stopping the faster growth in the industry basically. I mean is it the client itself being hesitant to outsource this, and so then..

Chris Shiffert: I didn't understand the question.

Ramesh Gopalan: Overall outsourcing penetration is low, what is stopping?

Chris Shiffert: Overall across the industry is low. I mean healthcare has traditionally been the most conservative industry in terms of embracing outsourcing.

A lot of that is regulatory driven. But I mean it's also, as always said healthcare and financial services are the most personal industries out there, because they, I mean, you're talking about your health and your finances, the two most personal things to you. Companies are always, they position themselves as the trusted entity in that interaction. So it's just natural that healthcare is more conservative that way.

But another way to look at it is we had a meeting a few months ago with one of the large consulting firms and they brought up the question of what really is a health plan? And it was a conversation that this gentleman said that he had been having with his health plan clients where they're really redefining what is core to their business. I mean 10 years ago you would have said clinical operations was core to their business and now that's the fastest growing segment of ours.

So I think health plans are also redefining, they're having that conversation constantly, which I think will lead to more outsourcing as they define what's really core to them, because they keep siphoning off processes and farming them out.

Pallavi Deshpande: And lastly, how open would clients be to rewrite their processes to take advantage of Agentic AI?

Ramesh Gopalan: Roopam, do you want to answer that?

Page | 86 Roopam Narayan: I think most of them are very open. But I think if somebody also brought in this thing of that contention on the legacy IT platforms or something. So think about it as a business organisation. You will always go for projects which will give you highest return and quickest returns. So many of them having legacy IT platforms is a big drive already happening where they're changing their legacy systems, because the IT cost itself was very high. So now you have, I mean while we're not saying that we are

protected

because of that, but that's also true.

I mean, if the saving of Generative AI and platform change is higher, is delivering higher returns and quicker returns, then the projects which are operational projects to implement Gen AI and reduce operational costs will take the backseat. So you will go with the higher ROI projects first and it's happened in a couple of cases for us where we have a clear path for the ROI and client has a very clear direction that they will use that in the Phase 2, Phase 1 for next two or three years as they are undergoing a platform change, because that's giving them \$10 million, \$12 million annual saving. And ours is giving them \$1.8 million savings. So there's no competition when that happens.

So everybody is extremely keen to bring in Gen AI, but at what point of time depends on other competing projects which may deliver higher our ROI and quicker ROI.

Pallavi Deshpande: Thank you.

Ramesh Gopalan: So thank you again for everyone for coming. So we will break now for drinks and dinner, but we'll all be available outside so we can continue the conversation. Thank you.

Dhaivat Mehta: Thank you, Ramesh. Thank you, everyone. Thank you for those amazing questions. I must thank our partners, CDR, Keystone and many of the teams that helped internally make this happen. All the teams at Sagility. Thank you once again. Let's continue this over dinner and drinks. Thank you.

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: May 2026

Sagility Limited

(Formerly Sagility India Limited, earlier Sagility India Private Limited)

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Corporate Identification Number: L72900KA2021PLC150054

Tel. No.: 080 -71251500, E-mail: investorservices@sagility.com , Website: www.sagility.com

Date: May 15 , 202 6

To,

The Manager The Manager

Listing Department Listing Department

National Stock Exchange of India Limited (NSE) BSE Limited (BSE)

Exchange Plaza, 5th Floor Phiroze Jeejeebhoy Towers

Plot No. C/1, G -Block Dalal Street

Bandra -Kurla Complex Mumbai - 400 001

Bandra (E), Mumbai - 400 051 Scrip Code: 544282

Symbol: SAGILITY

Dear Sir/Ma'am,

Subject: Transcript of Investors Call held on May 12 , 202 6

This is in continuation of the Investors/Analyst Webinar conducted on May 12 , 202 6, to discuss the audited financial results of the Company for the quarter and year ended March 31, 202 6.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby attach the transcript of the aforementioned webinar.

This information is also available on the Company's website <https://sagility.com/>

This is for your kind information and record .

Thanking You,

For Sagility Limited

Satishkumar Sakharayapattana Seetharamaiah

Company Secretary & Compliance Officer

M. No. A16008

Encl:a/a

Sagility Ltd.

Q4 & FY26 Earnings Webinar

Wednesday, 12th May, 2026 at 7:30 PM

MANAGEMENT • Ramesh Gopalan - Managing Director & Group CEO

• Srinivas Mattapalli - Executive Vice President and Group

Chief Financial Officer

MODERATOR • Siddharth Rangnekar - CDR India

QUESTIONERS • Santhosh Balan – Individual Investor

- Rohit Thorat – Axis Capital
- Baidik Sarkar – Unifi Capital
- Rishi Jhunjhunwala – IIFL Capital
- Vamshi Krishna – Kotak Securities
- Chirag Kachhadiya – Motilal Oswal
- Bhavik Mehta – JP Morgan
- Siddharth Vora – HSBC Mutual Fund
- Sameer Pardikar – Elara Capital

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Siddharth Rangnekar : Good evening, everyone, welcome to the Q4 FY 2026 earnings webinar of Sagility Limited. This is Siddharth Rangnekar from CDR India, I shall be your host for today. As a reminder, all attendee lines will be in the listen -only mode. There shall be an opportunity for you to ask questions after the presentation concludes. Please note that this webinar is being recorded.

To introduce the management we have with us today Mr. Ramesh Gopalan, Managing Director and Group CEO; Mr. Srinivas Mattapalli, Executive Vice President and Group Chief Financial Officer.

Before we commence, I would like to state that some statements made on today's discussion could be forward -looking in nature and may involve certain uncertainties and risks. A detailed statement in this regard is available in the Q4 and FY '26 results presentation that has been uploaded to the stock exchanges. I would now like to hand over the forum to Mr. Ramesh Gopalan to begin the proceedings of this webinar. Over to you.

Ramesh Gopalan: Thank you, Siddharth. Good evening, everyone. Thank you for joining us on our Q4 and FY '26 earnings call. FY '26 has been an exceptional year for Sagility. We delivered high growth and profitability in a very challenging environment. As we discussed with all of you on the Investor Day in March, healthcare payers are facing significant profitability pressures because of regulatory changes, lower than expected reimbursements and increasing medical utilisation. In this environment of intense cost pressures, clients are more receptive to partners like Sagility, who not just play a support role, but can help transform their operations and deliver better business outcomes a

t a lower cost.

Given our domain expertise, the breadth of our service portfolio and the trusted relationship we have with our clients, we are able to play a large part in the transformation journey through AI and tech -led initiatives. We saw steady growth through the year and a better than expected Q3 and Q4, which are the peak seasons for us on account of AEP and open enrolment.

We saw higher volumes across all of our practice areas. And equally important, our execution was very strong. To put the impact of AEP and open enrolment in context, our seasonal revenues accounted for 6% of FY '26 revenues versus 3% in FY '25, with an equal split across Q3 and Q4. Our strategy of expanding white spaces within existing accounts continues to serve us well. Our Top 5 grew year -over -year by 11.7% in FY '26. Our focus on mid and small market is also beginning to show results. We added 17 new clients in FY '26 and some of them are sizable regional plans and blues, which sets us up well for growth in the coming years.

As we mentioned on the Investor Day, our Synchrony suite of solutions which are outcome -focused and transformational managed service deals are getting the

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attention of many of our clients and prospects. The addition of BroadPath has further strengthened our ability to support seasonal and member -facing operations, particularly during peak enrolment cycles.

Overall, this reinforces our position as a healthcare -focused operations partner that combines domain expertise, technology and execution at scale. Let me now build on that with our performance for the quarter and for the year. We can move to the next slides.

Q4 marked a strong and disciplined close to FY '26, building on the momentum we saw through the year. For the quarter, revenue stood at ₹20,243 million, or \$222.1 million, representing 29.1% year -on-year growth in rupee terms and 22.2% in constant currency. Our organic year -on-year growth, excluding BroadPath, was also strong at 25.8% in rupee terms and 19.4% in constant currency terms, reflecting sustained demand across our payer and provider operations and continued expansion with existing clients. On profitability, Q4 adjusted EBITDA

was ₹5,036 million, or \$55.2 million with margins of 24.9%. Adjusted PAT for Q4 came at ₹3,069 million, or \$33.6 million at margins of 15.2%. Now looking at the full-year.

The full -year revenues were ₹71,929 million, or \$814 million, up 29.1% year -over -year in INR terms, and 23.6% in constant currency. Organic growth, excluding BroadPath, was 20.1% in INR terms and 15% in constant currency. For the full -year, adjusted EBITDA stood at ₹18,200 million or \$206 million, translating to a 25.3% margin and exceeding the guidance provided at the end of Q3, underscoring our ability to scale while sustaining resilient margins. The expected 110 bps margin decline versus FY '25 primarily reflects the full -year impact of the BroadPath acquisition.

Adjusted PAT rose to ₹11,306 million, or \$127.9 million, up 39.5% year -on-year with a 15.7% margin. Adjusted PAT margin expanded by 110 bps versus FY '25, driven by strong EBITDA performance, higher Forex gains, and lower finance costs. Commercially, Q4 was another very strong quarter. We signed \$30.7 million of potential steady state ACV supported by expansions and new SOWs across 18 existing clients and two clients added in Q4.

I'd also like to highlight the strong external validation we received during the quarter, with multiple leader recognitions from NelsonHall, Everest Group, and ISG, and the Augmented Intelligence Award for SmarTec Nurse Assist, which collectively reinforce a differentiated position in intelligent healthcare operations. I'm also happy to announce that the board has recommended a final dividend of ₹0.1 or ₹0.10 paise per share, subject to approval of shareholders. Next slide, please.

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In FY '26, payers contributed

ed 89.7% of revenues, while providers contributed 10.3%. The reduction in provider share reflects impact of the acquisition of BroadPath, which had a predominantly payer -focused revenue mix. Employee strength stood at 46,860 as of the end of Q4, driven by headcount reduction post -OE season. The slight uptick in attrition in FY '26 is attributed to higher seasonality compared to the previous year. If you move to the next slide. So this slide summarises all of the annual KPIs that we report every year. The notable point here is our top three concentration has fallen below 60%. And the other key point is the number of clients contributing to over 20 million, as you can see has grown to nine, which was four in FY '23, so more than doubled since FY '23. If you move to the next slide. Let me, like always give you some of the recent market trends. CMS finalised the Medicare Advantage rate increases. As if you remember, the same time when we announced the Q3 results, they had announced a preliminary almost flat rate for CY '27. But now that stands increased to 2.48%. So this gives a slightly more favourable environment for Medicare Advantage plans. But having said that, they are still under tremendous cost pressures because of increased medical utilisation. So what it means for Sagility is proposals that focus on cost takeout in administrative functions and also helping improve star ratings are looked upon very favourably by our MA plan clients.

The second thing is the House bill to extend or enhance the ACA subsidies. So this was another thing we spoke about in the previous quarters. But with this bill, assuming it passes both Houses, it gives a more stable market or stable premium for membership in the ACA marketplace and keeps the market at a steady level getting into FY '27. However, as we've mentioned to you before, our exposure to the ACA market is limited, but it still underscores the importance of cost takeout and AI-led initiatives in the ACA segment.

The next one is on State Medicaid expansion. As you know, the Medicaid segment has been impacted by the Big Beautiful Bill as well. Some of the incentives for expansion at the state level has been eliminated. So, there is likely to be a moderation in the Medicaid growth. Again, this is a segment that we've said, we have very low exposure to. But once again, this is another pressure from a membership and cost point of view, which means some of these plans also have tremendous pressures to take out cost in their functions.

Lastly, CMS launched what's called ACCESS Model, which is advancing chronic care with effective, scalable solutions. What this means is, CMS wants to incentivise outcome -based chronic care management with tech -enabled care as central to the model. While this is specifically targeted at Original Medicare, it closely aligns with what we've been trying to help Medicare Advantage plans with,

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which is to use technology to do risk stratification and enable care, as well as tech-enabled member support, and member engagement activities.

Moving on to the next slide. This quarter, we also launched a brand evolution. This is not just a cosmetic change. It's a reflection of how we are going to market as a healthcare-first tech and AI-led operations partner on outcomes. The brand promise is Sagility delivers value in healthcare operations with deep domain expertise, technology and AI-led transformation, and trusted collaboration.

So this promise defines how Sagility shows up for client in an era where healthcare operations must fundamentally transform. It rests on three core attributes : Deep domain expertise. We are a dedicated specialist in U.S. healthcare operations with more than 26 years of accumulated knowledge across end-to-end medical, pharmacy, and dental business segments, combining the depth of a niche expert with the breadth of a global enterprise.

The second

pillar is tech and AI-led transformation. This is technology deployed to solve specific healthcare problems with compliance and clinical safety as non-negotiable guardrails. Healthcare AI must be explainable, must be auditable, and must be regulator-ready.

The third and the most important pillar, which is trusted collaboration, which is where Sagility works side by side with clients, building transparency and shared accountability into every engagement.

The company's emphasis on we listen, we acted, we delivered captures a discipline of incorporating client feedback directly into operational improvements. This promise defines how Sagility delivers value. To scale it across markets, buyers, and deal cycles, it must be consistently experienced, not just articulated.

Moving on to the next slide. We recently had our client summit. We do this every year, and we had over 80 client attendees. The key takeaway from this event is the level of engagement and partnership we are seeing with our clients. We brought together senior client leaders to collaborate on three industry challenges, including medical cost pressures, member experience, and the use of AI in operations. Through this process, we worked with clients to co-develop solutions, and we are now moving into early pilots on selected initiatives.

This reinforces our approach of not just building solutions independently, but building them in partnership with our clients. With that, I'll hand it over to MR to walk us through the financials and then I'll come back for closing comments. Over to you, MR.

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Srinivas Mattapalli: Thank you, Ramesh. Good evening, everyone. I have recently joined Sagility as a Group CFO, and I must say that I'm truly excited to be here at a time when the company is delivering such strong results.

Next slide. I'm pleased to present an overview of Sagility's financial results for the fourth quarter and the fiscal year 2026.

In quarter four, Sagility delivered strong revenue growth and solid profitability. This performance is supported by consistent underlying revenue momentum. For the full-year FY '26, performance came in ahead of the guidance we had shared during our last earnings call, driven by strong operating execution, disciplined cost management, and a better-than-expected open enrolment season. I'll move to cash flow, as Ramesh has already given you a view of revenue, adjusted EBITDA, and adjusted PAT.

Our operating cash flow conversion for the quarter was healthy at 104.6%, driven primarily by an improvement in working capital and lower tax outflow in this quarter as compared to quarter three. At quarter-end, our DSOs stood at 87 days, comprising of 54 days of trade receivables and 33 days of unbilled revenue. While this is slightly higher than the 86 days reported in quarter three, the increase is primarily due to an accounting reclassification, moving from unbilled to financial liabilities. This had a net impact of approximately 4 days. But importantly, this reclassification had no impact on working capital.

On this slide, I'll highlight the seasonality in our business with a stronger second half. As you would notice, our revenue sharply increases in Q3 over Q2 and remains steady in Q4.

This increase in Q3 and Q4 is largely on account of additional seasonal revenues from open enrolment and AEP. As highlighted by Ramesh earlier, we had around **■**50 million of recurring seasonal revenues in H2. You'll also notice that our headcount has come down in this quarter as our open enrolment season concludes.

The adjusted EBITDA for quarter four was 24.9%. In this quarter, we recorded a one-time employee bonus as part of our transition in our salary hike cycle from a calendar year basis to a financial year basis. This one-time item impacted the adjusted EBITDA by approximately 1.7% in Q4.

This slide highlights our robust growth trajectory and our steady margin

profile. Our

3-year CAGR on revenue is 16.2% in constant currency terms. Adjusted EBITDA grew by about 17.7%, and adjusted PAT expanded at a significantly faster pace of 31.7% over the last 3 years. These growth rates are in dollar terms and includes the impact of acquisitions. This strong bottom line outperformance was driven by three key pillars: operational efficiencies, reducing finance costs, and higher other

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income, including forex. Overall this reflects our ability to consistently scale revenues while sustaining margins.

Moving to other financial indicators. Our adjusted EPS continues to grow faster than revenues, and our adjusted ROCE continues to be steady at greater than 50%. Cash conversion in FY '26 is lower compared to previous year, and this is a result of higher tax outflow, lower non-cash expenses, and higher non-cash income. And let me explain the few major factors here. In FY '25, we had received tax refunds in India for previous periods, which reduced the overall tax outflow for FY '25. Secondly, we also had a large SAR expense, which is non-cash in nature. And in FY '26, we also had higher unrealised Forex gains under our reported EBITDA. Finally, on debt, we are on track to repay our current debt completely by end of FY '27.

This slide is a little busy, but we'll give you an overview of our quarter's performance compared to Q3 and Q4 of previous year. And you also have the full-year numbers compared to previous year. We will just keep this on for a few seconds for you to observe the numbers. We can move on to the next slide.

On this slide, we present the adjustments to EBITDA. Our adjustments on EBITDA include adjustment made for M&A earn-out, stock appreciation rights, and other income and Forex gains. While our adjustments on adjusted PAT includes the adjustments made for EBITDA, as well as adjustment made towards intangible amortisation and exceptional items that we have booked in previous quarter for one-time impact coming out of the new labour code.

Going forward, this is a view of our debt repayment plan and earnouts and intangible amortisation. We give this every quarter. The changes that you see for FY '27 is mainly on account of foreign exchanges.

Next slide on balance sheet. Our balance sheet continues to be very healthy, and at the end of Q4, our cash position is ₹9,038 million, which enables us to continue to invest in AI capabilities and domain. Also continue to explore inorganic opportunities.

On cash flow, we have already talked on a little bit on one-off items earlier in my presentation. And going forward, I think we are very confident of sustaining these healthy cash flows.

With that, I conclude my presentation. Handing it back to Ramesh for his closing remarks.

Ramesh Gopalan: Thanks, MR. As the numbers have shown, our FY '26 performance was exceptional. Like I said, the industry continues to evolve with costs and regulatory pressures,

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and clients are looking to partners who can collaborate with them on their AI and tech-led transformation journey, not just as advisors or implementers of technology, but someone who can take accountability for business outcomes.

Our domain expertise, our investment in tech and AI, and our deep client relationships make us the right partner for our clients. We are carrying the momentum of a great FY '26 into FY '27. While deal timings may be a little unpredictable, we are confident of growing in the low double-digits in constant currency for FY '27. Our guidance for adjusted EBITDA margin is between 24% and 25%. And if the FX stays in the current ranges, it's more likely to track towards the upper end of this range.

With that, happy to take questions and hand it over back to Siddharth.

Question -and -Answer Session

Siddharth Rangnekar : Thank you. Participants who wish to ask questions, kindly click the raise hand icon at the bottom c

entre of your screen. We will wait for the questions to assemble. I repeat, participants who wish to ask a question are requested to click the raise hand icon at the bottom centre of your screen. We take the first question from the line of Santhosh Balan.

Santhosh Balan: Yeah. Congratulations for the good set of number. I just want to know, will there be any impact due to the AI in the future revenue?

Ramesh Gopalan: Yeah. So we discussed a lot about AI and its impact on the Investor Day, right? So the broad answer to your question is, yes. AI, we believe AI is something that's going to generate a lot of efficiency for our clients. Efficiency in the sense of increased productivity, lowering costs both on their administrative functions, and also helping improve member and provider experience. So while the productivity gains will reduce some part of our revenues, we believe that AI will also help us gain more market share as we look to implementing AI as part of our overall transformation of our client operations and take accountability for business outcomes. So that's broadly our position on AI.

As we said, we've grown at 15% in constant currency organically and we still believe that we can continue to grow in double -digits.

Santhosh Balan: How far we have adapted to this AI in our company organisation?

Ramesh Gopalan: Yeah. We've discussed that in the previous quarters. We've invested heavily in tech and AI. There are a number of use cases that we've piloted. We are working with several clients on some of these initiatives. But yes, we have implemented a number of use cases in various parts of healthcare operations. Thank you.

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Santhosh Balan: Okay. Thank you.

Siddharth Rangnekar : Thank you. We take the next question from the line of Rohit Thorat from Axis Capital . Rohit, your line has been unmuted.

Rohit Thorat: Yeah, hi. Thank you for the opportunity, and congratulations on a good set of numbers. My first question is regarding capital allocation policy. You have mentioned that you plan to extinguish the debt by end of FY '27. You have also increased the cash and cash equivalents on your balance sheet by a significant amount at the end of FY '26 versus at the end of FY '25. Are there any plans to increase dividend payments in FY '27, or payout would remain in the same range as of now?

Ramesh Gopalan: So let me answer the question and MR can add to that. That's a good question, right? So the debt repayment is something that we had even previously spoken about. And we plan to repay whatever is left in the debt in FY '27. So that's one outflow. Second is , we want to keep some funds for M&A activities. As we've said in the past, we are constantly looking for opportunities that will help improve our capabilities, both on the technology and transformational side, as well as give us access to more clients. So any such opportunities that are out there, we want to take advantage of that opportunity and we want to keep some funds for our M&A. Beyond that, yes, as we will look at the dividend going forward and though there's no firm commitment at this point in time, we'll take a look at what can be provided in the form of dividends.

Rohit Thorat: Okay. And on the M&A side, are you looking at acquisitions to strengthen your provider business or you would also look for any potential acquisition in payer segment as well if they help you expand your presence further among mid -market clients?

Ramesh Gopalan: Yes.

Rohit Thorat: Like, what would be the priority?

Ramesh Gopalan: See we are looking at acquisitions on both payers and providers, right? So obviously there are a number of things we look at before deciding if a candidate is the right one for us. At this point in time, I mean, we've discussed in the past the areas that we focus on both in payers and providers. So anything that can give us a deeper domain differentiation

in any of those areas or anything that can give us a technology capability in those practice areas are the acquisitions that we are looking at. So that's from a capability point of view. Secondly, any something like a BroadPath which gives us access to a large set of clients is another kind of acquisition that we would be interested in. So those are

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the two broad types of acquisitions we'll do. But we look for those kinds of acquisitions both in the payer and the provider sets.

Rohit Thorat: Yeah. Thank you. Thank you for answering my questions.

Siddharth Rangnekar : Thank you. Before we move to the next participant, we would request interested

participants to kindly raise their questions by clicking on the raise hand icon at the bottom centre of your screen. We take the next question from the line of Baidik Sarkar from Unifi Capital . Baidik, your line has been unmuted. You may speak. Baidik Sarkar: Ramesh, hi, good evening, and congrats on a fantastic year of execution overall. My wishes to you and the entire team. Couple of questions. We make note of the Q4 ACV number that you shared with us, but could you help us with the cumulative ACV number also that you're sitting with at the end of the year? I'm given to understand that a significant part of your book that runs on an ARR basis, right? I mean, there's an annuity -like component built into that. So if you could just help us cull out what that number is looking at. And that multiplied into the pricing hike that you guys just talked about, what does it set us up for a base case revenue growth for FY '27? This is without considering fresh organic opportunities that'll open up for the rest of the year. So if you could just help me with that part of the math, please.

Ramesh Gopalan: Yeah. So Baidik, nice to hear from you. Good question, right. So the math isn't as simple as just adding up the ACVs. But to answer that question, if you go back, we've reported ACV wins in each of the quarters, roughly in similar ranges in the 30s, right ? So if you add them all up, it'll probably add to somewhere around \$130 odd million. So these are ACVs, potential ACVs of the deals that we've closed, both with existing and new clients. Obviously, the timing of revenue generation of those deals will vary. So one is the ramp cycles that some of those deals go through. So the initial months of revenue may be different from the steady state ACV values that we quote.

And secondly, also, the part of the ACV would have been realised in FY '26 itself. So the incremental revenues in FY '27 is over and above what has already been registered in FY '26. And the rest of the revenues have to come from pipeline that gets converted in the first few quarters of FY '27. So it's that. So all of that is cumulative additions. To that, we'll have to also factor in any volume adjustments, right. Volumes in existing books of businesses could grow, could reduce depending on membership changes and other changes that are happening. Then there are other kinds of revenue reductions that we've spoken about, AI and automation related reductions that we've spoken about in the past. Then there's the geographic mix. If the same part of work moves from a higher revenue geography to a lower revenue geography, there is a reduction in revenue. So , all of

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this math has to add up to the final revenues that we kind of guide for FY '27. Does that make sense?

Baidik Sarkar: Yeah, no, I obviously understand the qualitative aspect of it, Ramesh. If you could just slice it by just one factor, right? For instance, the \$814 that we've reported this year in USD. What's the annuity component of that? A, there is one annuity component. Secondly, of the \$120 million that we won in ACVs, obviously we've delivered a lot of that in '26 itself. So I'm just trying to understand that, what's the basic run rate without organic accretion in '2

7? I mean, in other words, I could just ask you know, what your guidance for '27 is, which I eventually will, but I'm just trying to understand what the base has already prepared us for. And I mean, on top of that, I mean, that was my next question. On top of that, what does the pipeline look like? So I leave it to you, Ramesh, whichever you want to answer.

Ramesh Gopalan: Yeah. Look, the \$814 million, there is a steady state component and there is a seasonal component, right? Like we said, about 6% of our revenues were seasonal. And those seasonal components will reoccur in FY '27 as well, right?

That's one way of to split it. If I were to simplify your overall question and if you ask me, what is it that is locked going into FY '27, I mean, at least look there are always surprises in terms of volumes. So I can't say with certainty what it is.

But typically when we give a guidance about, I would say, I mean if I were to hazard a guess, about 7% to 8% of growth will already be factored in bas is the previous trends . And the rest of the growth has to come during the year.

Baidik Sarkar: Got it. Which then reminds me with the last part of the question, what's the qualitative, I mean sentiment you're witnessing in conversations today in terms of how large your bid pipeline is? If you could just give us a sense of, how that's moved over the last couple of quarters. What kind of growth rates are you building in just from conversations that you're having today?

Ramesh Gopalan: Yeah. Typically, look we've been reporting only on the deal wins, right? But if you look at the pipeline, roughly from a TCV perspective, we'll have a pipeline of close to ■570 million to ■575 million worth of pipeline, right? So these are all proposals

that we've submitted to clients. Qualitatively, if you look at, if you were to ask me on the quality of conversations, we are now, like I said getting into more managed service deal kind of conversations in which the timing of the deals could, like I said could be a little unpredictable because these are larger conversations. These are more transformative conversations where you are committing to cost takeout over a number of years.

And also expanding the scope of work by including both upstream, downstream processes, right. So the discussions take longer time. But given the cost pressures that most of our clients are under, there's a lot more interest in engaging in those

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conversations. So, we are very bullish on the kind of conversations we are having, except that some of these conversations could take longer than a traditional RFP - based, effort-based deal.

Baidik Sarkar: Right. Got it. Last question, Ramesh. I mean, given the industry itself is growing at 7%, 8% and we're growing double that rate, and of course there's the lever of pricing and our own tech initiatives. Would a number closer than, I mean less than last year's, but higher than par, which is about 17% to 18% in dollar growth rate be a fair assumption for the coming year?

Ramesh Gopalan: No, my guidance, Baidik was low double-digits, right? I mean, at this point in time, we are giving a number that we believe we can definitely meet. And every quarter when we do the earnings call, we will kind of guide you if we see an upswing to those numbers.

Baidik Sarkar: Sure. And on the margins, I mean, the FX was a tailwind, but assuming none of that comes through in FY '27, 25% is a defensible number?

Ramesh Gopalan: Yeah, 24% to 25% is what we are guiding. If FX being the way it is, we believe we can come closer to the upper end of that range.

Siddharth Rangnekar: Baidik, would request you to rejoin the queue as we have some participant questions.

Baidik Sarkar: Fine, thanks.

Ramesh Gopalan: Thanks, Baidik.

Siddharth Rangnekar: We take the next question from the line of Rishi Jhunjhunwala from IIFL Capital. Rishi, your line is unmuted.

Rishi Jhunjh

unwala: Yeah, thanks for the opportunity. Couple of questions from my side. One on margins. Just wanted to understand, firstly, did we mention initially there was a change in the wage hike quarter and it played out in this quarter, and as a result, the margins would have been higher? What will that number be? And secondly, just wanted to understand, given that we are ending the year at 25.3%, we are looking at, if we were to assume that the currency remains at current levels, we are looking at a most 7%, 8% depreciation. And still we are talking about margins not expanding beyond last year. So what are the headwinds and tailwinds to the margin assumptions that we are looking for FY '27?

Ramesh Gopalan: MR, do you want to take that?

Srinivas Mattapalli: Yeah, sorry. Yeah. One second.

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Ramesh Gopalan: So let me give you a high-level view. The hike cycle, I think we've discussed this in the past. I don't know whether we officially gave you the impact of that. As you know, when we started as Sagility India, our fiscal matched the calendar year. It was Jan through December. But when we became a public company, we changed the fiscal to April through March. So the last hike cycle was effective Jan 1, 2025. But we didn't do a full increment on Jan 1, 2026. We're going to make it effective April 1, 2026. To overcome those three months, where we effectively didn't give a hike, this is the one-time bonus that MR was talking about. That's the one-time call-out that he's making.

Rishi Jhunjhunwala: Sorry and the question on full-year FY '27?

Ramesh Gopalan: Yeah. FY '27, Rishi, that's a good question, right? There are a couple of things. One, obviously is, the Forex depreciation, the amount of depreciation is an unknown.

But the fact that rupee depreciation is key for at least compensating for part of the wage increases is a known phenomenon, right? So the hike that we'll give effective April 1, a part of that has to be absorbed by any currency depreciation. Secondly, the geographic mix is also changing. So we are starting to see more revenues delivered from our U.S. geography, which also has an impact on the weighted average margin, right? So those are the two big things.

And beyond that, any sort of price differences, price reductions and so on will also

have an impact. The positives are we continue to try and generate efficiency in our operations. The more technology we deploy, we try and make sure that we compensate for any cost commitments or cost reductions or price reductions that we give clients. So that's one factor.

Secondly, yes, if the exchange depreciates by more than what we need to compensate for hikes and so on, it'll improve our margin. So it's a sum total of all those functions. Given where we are today and taking into account the mix and all of these factors, we think we will be in the 24% to 25% range. But if things change, we will definitely update our guidance. MR, sorry, did you want to add to that?

Srinivas Mattapalli: No, I echo. I mean, basically, we will get an upside from Forex even at the current levels. And if it continues to sustain at these levels, yes, as we said, we'll hit somewhere near the top end of our guidance. And as Ramesh also pointed out, this Forex depreciation is what also allows us to compensate our employees with higher wages, etc. So that's a lever for us to offset it in addition to the cost efficiencies that we generate internally. So yes, I mean, if it sustains, we are confident of hitting somewhere near the top end of our guidance.

Rishi Jhunjhunwala: Fair enough. And just a second question. I see we have created an ESOP pool for 3.3% of equity. A large chunk of that is performance-based, where the vesting period is two years. In your stock compensation schedule, I do not see any material

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change for the next two to three years. So just wanted to understand how would this ESOP vesting

or granting will play out and how do we see that? Given that a large chunk of those will be at face value, how will that hit the P&L over the next two, three years?

Ramesh Gopalan: So we've just announced the scheme and it has to go out for shareholder approval, Rishi. So we'll give you a better view into those in the next earnings call. Just to correct, the grants will be made every year, and the vesting is over a three-year period. Not two years. Post-vesting, the exercise period is two years, but the vesting itself is over three years. Yes, as you mentioned, a large part of that will be performance-based, both at the company level and the individual level. But the exact number of units to be granted in FY '27 and the impact of that on the P&L is something that we'll come back to you in the next earnings call.

Rishi Jhunjhunwala: Understood. All right. Thank you so much.

Siddharth Rangnekar: Thank you, Rishi. We take the next question from the line of Vamshi Krishna from Kotak Securities. Vamshi, your line has been unmuted.

Vamshi Krishna: Hey, Hi, actually, a really strong quarter, Ramesh. Congrats on that. So just wanted to understand on the beat itself, given that there was almost a \$7 million beat in a single quarter. Were there any one-off engagements which contributed to this or something which came up during the quarter?

Ramesh Gopalan: Sorry, I didn't get that question. MR, did you get that?

Srinivas Mattapalli: Are you talking about revenue enrichments or cost?

Vamshi Krishna: Yeah. Yeah, compared to your guidance of 22.5%, you were at around 23.6% (CC).

Ramesh Gopalan: Oh, okay. Right.

Vamshi Krishna: Which is almost a \$7 million beat. Yeah.

Ramesh Gopalan: Okay. Yeah. So like we said, we had a better-than-expected Q3 and Q4, right?

Typically our seasonal revenues are roughly 3% of our annual revenues, but this year they were more like 6%. Part of it in Q3 we explained because BroadPath's significant peak happens in Q3. Whereas in Q4, we had additional seasonal revenues on the Sagility side, especially on the clinical side of the business, right which we had some visibility to getting into Q4, but it was higher than what we had anticipated. So that explains the difference between what we gave as guidance and what we actually achieved.

Srinivas Mattapalli: Yeah, just to add on to Ramesh's point, we had guided to about 5.5% of our full-year revenues as surge revenues. That has moved around 6% of full-year revenues.

That gave us uplift in quarter four.

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Vamshi Krishna: Perfect. Understood that. Second is on your client pyramid itself. Now that you have more than doubled your clients in the \$20 million bucket, but still I see the average client size in the 3 to 10 range, it's around \$27 million versus your top three clients, which are maybe more than 4x of that number. So incrementally, since you have a reasonable set of clients, where you have a minimum threshold of, or say maybe you must have proven your expertise. So will your incremental efforts be focused more on mining these set of accounts or you will be looking to add more

accounts?

Ramesh Gopalan: Vamsi in a way both, right? Our traditional growth continues to come from existing clients, right? And as we keep adding newer clients, we may start with a smaller deal size, but we have the confidence of continuing to grow those relationships. To your point, a lot of these clients in the \$5 million to \$20 million range, or just over \$20 million range, are still clients where we see huge opportunity. They may not go to the 4x that you're talking about of the top 5, but they definitely many of them have the potential to double or more than double, right?

So large part of our effort goes into continuing to mine those relationships and trying to grow them faster than the top five, and which has already shown in the results, right? Our top five grew at

11.9%, whereas at a company level we grew at

15%. So some of these non-top five grow much faster than the top five.

But equally important is we want to create more breadth in terms of our client portfolio. So we'll continue to look for opportunities in the mid and small market space. A lot of the transformational solutions that we're talking about today, we believe has a lot of applicability in that segment where we can help them take out a large part of their costs.

Vamshi Krishna: Perfect. And my last question is on the Provider segment. The revenues here have actually stabilised in an absolute basis over the last four quarters. Can you just shed some light as to what's happening in this business and what's the outlook? Just on, say, AI impact, will this be relatively higher compared to your payer business, or how do you see that?

Ramesh Gopalan: No. We don't think AI impact will be significantly higher in provider versus payer. I mean, it I think, like large part of what we do is on the revenue cycle and I mean, we get both effort-based as well as contingency-based pricing on the provider side. And so we are in the process of using AI to improve the efficiencies of a large part of what we do in the revenue cycle side. So we believe that that business will also grow. We'll take it offline, but that business has grown in FY '26 over '25. When you said stable, I'm not sure if you implied it didn't grow. It did grow, compared to FY '25. But we are looking at larger engagements even on the provider side. So we are in conversations, at least on a couple of opportunities where we are committing to give clients or prospects a significant cost take out opportunity if we were to do

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pretty much end-to-end RCM for that. So we are fully confident of continuing to grow the provider business as well.

Vamshi Krishna: Perfect. No, I was just referring to 1Q to 4Q, where it was \$20 million to \$21 million. But nonetheless, point taken. That it has grown on a Y-o-Y basis. Those are my questions. Thank you.

Siddharth Rangnekar : Thank you. We take the next question from the line of Chirag Kachhadiya from Motilal Oswal. Your line has been unmuted, Chirag.

Chirag Kachhadiya: Yeah. So what was the annual wage hike during the year across different set of employees? That is question number one. And second, you mentioned you changed the quarter of wage hike, if I hear it properly. Then will this pattern continue in FY '27 as well? And third, what is effective tax rate one can expect for FY '27? Yes, these are the three questions I have.

Ramesh Gopalan: I'll answer the second. MR will answer the first and third. No, once we move into the April through March increment cycle, then it'll stabilise. This is a one-time thing just for Q4 of FY '26, a catch-up. But starting April, it'll be regular increment cycles every April.

Srinivas Mattapalli: Yeah, couple of other questions that you asked. Obviously, the hike will depend on the different geographies. You know, obviously, given the difference between the U.S. versus India, we give the normal hikes, but this particular one-time was a quarterly one-time payout as we transition from a calendar year to a full-year basis. From a tax perspective, we expect broadly the same level of ETR to continue around 24% to 25% for both '26 and '27.

Ramesh Gopalan: Thank you.

Siddharth Rangnekar : Does that answer your question, Chirag?

Chirag Kachhadiya: Yes. Yeah.

Siddharth Rangnekar : Thank you. We move to the next caller. The next question is from the line of Sameer Pardikar from Elara Capital. Sameer, your line has been unmuted. You may Sameer, please go ahead. Sameer, we're not able to hear you. We move to the next participant and take the question from the line of Bhavik Mehta from JPMorgan while we request Sameer to rejoin. Bhavik, your line has been unmuted.

Bhavik Mehta: Hi, thank you. Couple of questions

ns. Firstly, if I look at the revenue guide at low double -digit versus 15% organically, you're doing in FY'26. So is this a conservative guide given how the macro is and you might want to wait and watch how the macro evolves before maybe increasing the guidance over the course of the year? That's the first question.

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Ramesh Gopalan: Yes, I mean, like I said, we're guiding today basis the visibility we have. Like I said, some of the deals, while they're different and more transformational, some of the timings of those deals could be a little variable. And that's why, basis the visibility we have, we are guiding to low double -digits. But we'll have better visibility as we go through the year and basis that we will re -guide on both the top end and the margin numbers.

Bhavik Mehta: Okay. Got it. The second question is on margins. Again, if I look at the band 24 % to 25%, the midpoint, it implies like a decrease versus what you ended up doing in FY '26. So just wanted to understand what are the puts and takes or the headwinds you're building in for next year?

Ramesh Gopalan: I think, we covered that, right? So MR, do you want to restate some of the factors? Yeah.

Srinivas Mattapalli: Yeah. First is, I mean, from a Forex perspective, we did say that if it persists at the current levels, we are reasonably confident of hitting the top end of our guidance.

Two, obviously, there is that aspect of employee wage increases that we do give, which is funded from the FX that we get. Three, we are also looking at a more onshore kind of revenues. Even if you see this year, the share of our U.S. revenues went up, which is traditionally slightly lower margins than our offshore business. So all of this combined to ensure that we are right now in this 24 % to 25 %. And as I said, if we're able to continue at this FX rate, we should be at the top end of our guidance, which does definitely denote a lower dilution than what you implied in your numbers.

Bhavik Mehta: Okay. Got it. Thank you.

Siddharth Rangnekar : Thank you. We move next to the line of Sameer Padikar from Elara Capital . Sameer, your line has been unmuted. You may speak. Yes, Sameer, please go ahead. It appears there is an issue at his line. I go to the line of Rishi Jhunjhunwala from IIFL Capital for a follow -up. Rishi, your line has been unmuted.

Rishi Jhunjhunwala: Sorry, I don't have a follow -up. Thank you.

Siddharth Rangnekar : My apologies. We move next to the question from Siddharth Vora from HSBC Mutual Fund . Your line has been unmuted.

Siddharth Vora: Hi, Ramesh.

Ramesh Gopalan: Hi.

Siddharth Vora: Ramesh, just a clarification from my end. You're saying that increasingly there is more revenues and the engagements are on -site. So if any change in nature or complexities, how is the overall deals evolving? At the same time, if there is a shift to on -site, there should be a natural lever to your growth rates versus a normal

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year. So how should we think about that while you are saying that your visibility currently is on the lower double -digits side?

Ramesh Gopalan: Yeah. So Siddharth, when we say onshore, it's not on -site, right? I mean, unlike other businesses, we don't deploy people to client offices or client locations, right? So this is delivering for a client from the U.S. geography because of whatever restrictions the client may have or because of regulatory reasons that the work cannot move offshore, right? So that's the kind of business.

For example, BroadPath, most of BroadPath delivery is onshore, right? While our attempt is to move any new business that we get that to offshore. Like I said, depending on regulatory reasons or client preferences, some of the work may have to be done onshore. Similarly, on Payment Integrity, some part of our delivery happens onshore. So growth in those businesses will have a larger onshore component compared to offshore

e.

Having said that, like I've explained in the past, things do tend to move from onshore to offshore as well, right? So while some of the newer clients may want to start onshore. Over a period of time, they may also be open to moving that work offshore. But at this point in time, if we look at some of the opportunities in the pipeline and where the growth is going to come from, the rate of growth may be slightly higher in onshore geographies compared to our offshore geographies. So that was the comment around margins.

But to your other point, like I said, we will revise the guidance, as we go along,

depending on the visibility that we have.

Siddharth Vora: Just a follow-up to that. Given the complexities and maybe more hiring nearshore, if not on-site, is how has the historical revenue share or the headcount share been on-site, nearshore and in India or in offshore locations? And do you see that changing going forward with advent of AI or things the way they are changing going forward?

Ramesh Gopalan: No. Right. For like I said, for clients who've already worked with us or who are used to the outsourcing model, given the cost pressures that they are under, if a work can be delivered in a lower cost geography, they would prefer that, right. So it's not a question of, there is a shift in perception, or there's a shift in work from offshore to onshore, right. So I'm not saying that. But as we get newer clients in the mid-market space, the newer clients may want who are not accustomed to the offshore model, they may want to start more onshore, right. And there are other kinds of businesses like Medicaid and others, where the onshore component, because of regulatory reasons, could be higher than the offshore component. So those are the main reasons. It's not that existing clients are moving work from offshore to onshore, because given the pricing pressures today, if existing clients

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can move more work from their in-house to partners like us, they would rather do it offshore than onshore.

Siddharth Vora: So you'll say your headcounts and revenue ratios between onsite, offshore will remain in line with your historical trends?

Ramesh Gopalan: With the revenue mix slightly increasing towards onshore. That's what MR was saying. One of the...

Siddharth Vora: I'm saying in terms of three years kind of a scenario...

Ramesh Gopalan: Yeah.

Siddharth Vora: ...or structurally, how we look at the business.

Ramesh Gopalan: Yeah. Nothing significantly different. Yes.

Siddharth Vora: Nothing different. Yeah. Sure. Got it. That's it from mine. Thank you so much.

Ramesh Gopalan: Thank you.

Siddharth Rangnekar : Thank you. We go to the line of Sameer Pardikar from Elara Capital. Sameer, your line has been unmuted.

Sameer Pardikar: My question is basically on growth. If I hear it correctly, the growth for us last year organic was around 15% odd. And we are guiding for a lower double-digit growth at a consolidated level. That means possibly organic growth could be even lower than that. So despite such strong numbers coming in, any reason for some lower growth for this year? Is it because of the AI compression which you talked about in the earlier call about 1% or 2% going to a little higher to 3% to 4%? Is it impact of some AI compression we are looking at, or what is the reason for it?

Ramesh Gopalan: So first let me clarify, right? As we get into FY '27, everything is organic, right? The last acquisition we did was in January of 2025. In FY '27, there is organic unless we do any new acquisitions. So the guidance of low double-digits that we are giving is for organic growth. So any inorganic components that we add during the year will be over and top of that guidance, right? So I hope that is clear, right? So it's not that I'm giving an overall growth number and the organic number is going to be lower. Guidance is for organic growth, right?

Sameer

Pardikar: Yeah. So my question was basically do we see some compression because of AI ?

Ramesh Gopalan: So the compression has historically been there and like I've said. So for example, the compression is going to be slightly higher than last year, right. So we've traditionally said it's about 1% to 1.5%, but we are predicting the compression to be more like 2% in FY '27. Not significantly higher, but definitely higher than the

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past. And those numbers will gradually inch up is the belief that we have. And we'll see how it plays out, right?

But every, I mean, even historically, whatever numbers we've grown at, it is net of all of those compressions because of not just technology and/or AI, but also, like I said, in our business there is geography shifts. So when work shifts from a higher revenue geography to a lower revenue geography, there is revenue compression, right, and volume changes and so on. There are a lot of reasons why there could be revenue compression. But purely if you look at technology, like I said, it's been historically at the 1%, 1.5% level, but we think it'll be more like a 2% plus this year.

Sameer Pardikar: And the second part is, when we have an unusually higher attrition for the quarter, do we typically have a moderation of this quarter from quarter four to subsequent

quarters? So I did not get that why the attrition was a little higher this quarter versus the historical numbers.

Ramesh Gopalan: It's the same reason why we also said we have a better actual revenue than what we guided, right? So we said we had higher seasonal revenue in Q4 than what we anticipated. And so that higher seasonal revenue, with the fact that seasonal, once that revenue goes away, the corresponding head count also goes away, right? So the higher attrition in Q4 was a result of the higher seasonality in Q4.

Sameer Pardikar: Okay. And we have observed unusual, the higher other expenses were very high in FY '26. So any maybe highlight for that number inching up in FY '26?

Srinivas Mattapalli: Yeah. It is.

Ramesh Gopalan: MR you want to it?

Srinivas Mattapalli: Yeah. A lot of it is account of higher IT costs and investment that we did in IT from an AI and transformation kind of a perspective. We also have rationalised some of our centres in a couple of our geographies, which has led to a little bit of write-off of assets. So those two would have contributed to a little bit higher cost. The first one being more primary reason.

Sameer Pardikar: So we do expect this number to moderate little in next year?

Srinivas Mattapalli: We'll continue to do our investments in AI and transformation, as I said. So we would expect that number to continue to be reasonably high.

Sameer Pardikar: Okay. Sure. Thank you so much.

Siddharth Rangnekar : Thank you. We move to the next question from the line of Vamshi Krishna from Kotak Securities . Your line has been unmuted.

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Vamshi Krishna: Yeah. Hi. Thanks for the follow-up. Ramesh, so just since you said there were higher than expected seasonal revenues during this quarter as well as last quarter.

So how should we think about the quarterly seasonality that will play out in 1Q? So should we expect this to be slightly steeper ?

Ramesh Gopalan: So broadly, Vamshi, like I said, while it's seasonal, we expect this seasonality to occur every year, right? So because of the BroadPath acquisition and also some of the more seasonal work that we've got, what traditionally used to be more like a 53:47 H2 to H1 split, is becoming more like a 54.5%, 55% to 45%, right? So and I think that's the way we think it'll continue into the future as well.

Vamshi Krishna: Perfect. That answers my question. Thank you.

Siddharth Rangnekar : Thank you. That concludes the webinar for today. Thank you members of the management. On behalf of Sagility Limited, we would like to request all of the participants to log

off now. Thank you.

Ramesh Gopalan: Thank you .

Disclaimer: This is a transcription and may contain transcription errors. The transcript has been edited for clarity. The Company takes no responsibility of such errors, although an effort has been made to ensure high level of accuracy.

Call: Jul 2026

Sagility Limited

(Formerly Sagility India Limited)

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Corporate Identification Number: L72900KA2021PLC150054

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The Manager

Listing Department

BSE Limited (BSE)

Phiroze Jeejeebhoy Towers

Dalal Street

Mumbai - 400 001

Scrip Code: 544282 Date: July 28, 2026

To,

The Manager

Listing Department

National Stock Exchange of India Limited (NSE)

Exchange Plaza, 5th Floor

Plot No. C/1, G-Block

Bandra-Kurla Complex

Bandra (E), Mumbai - 400 051

Symbol: SAGILITY

Dear Sir/Ma'am,

Subject: Transcript of Investors Call held on July 21, 2026

This is in continuation of the Investors/Analyst Webinar conducted on July 21, 2026, to discuss the unaudited financial results of the Company for the quarter ended June 30, 2026.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby attach the transcript of the aforementioned webinar.

This information is also available on the Company's website <https://sagility.com/>

This is for your kind information and record.

Thanking You,

For Sagility Limited

Satishkumar Sakharayapattana Seetharamaiah

Company Secretary & Compliance Officer

M. No. A16008

Encl: a/a

Sagility Ltd.

Q1 FY27 Earnings Conference Call Transcript

Tuesday, 21st July, 2026 at 7:30 pm

MANAGEMENT • Ramesh Gopalan - Managing Director & Group CEO

• Srinivas Rathnam Mattapalli - Executive Vice President

and Group Chief Financial Officer

MODERATOR • Siddharth Rangnekar - CDR India

QUESTIONERS • Akshat Agarwal – Jefferies

• Baidik Sarkar - Unifi Capital

• Rohit Thorat - Axis Capital

• Vamshi Krishna - Kotak Securities

• Rishi Jhunjhunwala – IIFL Capital

• Seema Nayak - ICICI Securities

• Sameer Pardikar - Elara Capital

• Rishabh Mehra - Demeter Advisors

• Arvind Arora - A Square Advisors

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Siddharth Rangnekar: Good evening and welcome to the quarter one FY 2027 Earnings Webinar of Sagility Limited. This is Siddharth Rangnekar from CDR India and I shall be your host for today. As a reminder all lines will be in the listen -only mode and there shall be an opportunity for you to ask questions after the presentation concludes. Please note that this webinar is being recorded.

To introduce the management, we have with us today, Mr. Ramesh Gopalan, Managing Director and Group CEO; Mr. Srinivas Mattapalli, Executive Vice

President and Group Chief Financial Officer.

Before we begin, I would like to state that some of the statements made on today's call could be forward-looking in nature and may involve certain risks and uncertainties. A detailed statement in this regard is available in the quarter one FY 2027 results presentation that has been uploaded to the exchanges.

I would now like to hand over the forum to Mr. Ramesh to begin the proceedings of this webinar. Over to you.

Ramesh Gopalan: Thank you, Siddharth. Good evening, everyone, and thank you for joining us for our Q1 FY 2027 earnings call. We are pleased to report a strong start to FY 2027.

Our Q1 performance reflects the continued relevance of our healthcare focused operating model, the depth of our client relationships, and the disciplined executions of our teams across geographies.

Before I get into the quarter's performance in more detail, let me briefly comment on the market context. U.S. healthcare organisations continue to operate in an environment where margin protection, cost discipline, and medical utilisation management remain critical priorities. While select payers have reported slightly improved or lower medical utilisation, the broader market continues to see pressure from rising utilisation, like medi-

cal costs, increasing

regulatory complexity, and membership volatility. In this context, leading payers are prioritising margin recovery, clinical and care management effectiveness, stars performance, and focused administrative cost reduction initiatives.

Against this backdrop, demand continues to favour partners that combine deep healthcare domain expertise with operational scale, technology, analytics, AI and a demonstrated ability to deliver measurable outcomes. And this aligns very well with our strategic direction of moving beyond fragmented process-led models towards more integrated, outcome driven operating frameworks that bring together domain expertise, technology and AI, operational execution, and accountability for results.

And we are starting to see traction with clients for managed service deals constructs, where we take operational ownership of, an accountability for a

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large part of the value chain and deliver committed outcomes at a much lower cost. We are also making inroads with Sagility Synchrony, our AI-led orchestration platform, connecting fragmented workflows across claims and adjustments, enabling faster decisions, greater operational visibility, and improved outcomes.

Our other strategic priorities are increasing our capabilities in the healthcare value chain and expanding in the mid- and small-market segments. Our CareSeed acquisition helps us on both these fronts, strengthening our capabilities in the quality area, especially for Medicare Advantage plans, and giving us 26 additional clients in the mid- and small-segment. I'll cover CareSeed in detail in the subsequent slides.

So with that, let's quickly jump into specifics for Q1. We entered FY 2027 following a successful open enrolment season, during which our teams delivered consistently across key payer programs in one of the most operationally demanding periods for our clients. As seasonal volumes normalised, we carried that momentum into Q1. The growth during the quarter was led by expansion within existing client relationships, with FY 2026 client additions beginning to scale and contribute more meaningfully, supported by sustained demand across higher value service lines.

Sagility delivered a strong start to FY 2027. Revenue for the quarter was INR 19,635 million, or \$207.8 million, representing 27.6% year-on-year growth and 15.2% growth in constant currency. Organic growth, excluding CareSeed acquisition, was strong at 27.3% in INR terms and 14.9% in constant currency. Sequentially, reported revenue declined versus Q4, reflecting the seasonal impact of open enrolment and AEP volumes that we support in Q3 and Q4. Excluding the seasonality, steady state organic revenue grew 5.1% quarter-on-quarter from \$197.3 million to \$207.3 million. Importantly, these seasonal revenues are recurring, and we expect the usual uptick again in Q3 and Q4 of FY 2027.

On the profitability front, Q1 adjusted EBITDA was INR 4,716 million, or \$49.9 million, growing 27.9% year-on-year with a margin of 24%. Adjusted PAT increased to INR 2,697 million, or \$28.6 million, up 35.1% year-on-year with a

margin of 13.7%. This margin performance was delivered while implementing our annual salary increases effective April 2026 and absorbing the impact of an increase in statutory minimum wage in Karnataka and Telangana. The increase in minimum wages in Karnataka was pretty significant, and so absorbing this reflects the strength and flexibility of our operating model. And MR will cover more details about this minimum wage impact in his section.

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Turning to new wins, our commercial momentum remained healthy with \$35.3 million of steady state ACV signed during the quarter across 18 existing clients and 1 new logo. Before we move ahead, I want to take a moment to highlight the external recognition we earned during the quarter, an endorsement of our talent proposition

, as well as our differentiated market positioning.

On the workplace front, Great Place to Work India ranks Sagility 11th amongst the country's 100 best companies to work for in 2026, and this was our first year of enrolling in the survey. ET Edge recognised us among the best organisations for women. On the market front, industry analysts continue to affirm our competitive positioning. We were named a major contender in both the Healthcare CXM and Revenue Cycle Management Intelligent Operations PEAK Matrix assessments for 2026. And Avasant recognised us as a leader in clinical and care management business process transformation in its 2026 RadarView. Next slide, please.

So this is the KPI slide. In Q1 FY 2027, payers contributed 89.6% of revenues, while providers contributed 10.4%. Our employee strength was 47,307 at the end of Q1, while quarterly voluntary attrition improved significantly to 28.6% from 38.1% in Q4 FY 2026, but was marginally higher than Q1 of FY 2026.

On the annual KPIs, following the CareSeed acquisition, we now have 109 active client groups, including 26 clients added through the transaction. Each of these 26 clients currently generates less than \$1 million in revenue.

With that, let's move to the CareSeed section. So quick introduction to CareSeed. We closed this acquisition in June this year. This is a company founded in 2012, headquartered in Kansas City. CareSeed delivers on HEDIS reporting and has two platforms, Forecast which provides HEDIS reporting and quality analytics, and Harvest which delivers cloud-based medical record review and chart abstraction. So you see the numbers, \$5.1 million was CY 2025 revenue with a 95% recurring revenue and a 31.4% EBITDA margin. 30 small- and mid-payer clients, but 26 additional clients as far as we are concerned with a 14-member strong team. So the core acquisition hypothesis was along the four pillars.

On the capability front, it strengthens our position in quality, especially for Medicare Advantage plans across HEDIS, CMS Stars, quality reporting, and care-gap orchestration. Technology, like I said, two modules, Forecast and Harvest. And we'll talk about the synergies and how this technology will help us to offer a more integrated quality operation. Cross-sell opportunities, 26 new clients. HEDIS as a service itself is a cross-sell opportunity because CareSeed today is a technology platform, and we can sell the abstraction services on the CareSeed platform. But more importantly, there are broader care operations

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that we can deliver using the CareSeed platform. And from a talent perspective, we get people with capabilities across quality, technology, and client management. And they have very established relationships across these 30 clients.

If you move to the next slide. So this is the value proposition, right? So while CareSeed does HEDIS reporting, the combination of CareSeed and Sagility can deliver an end-to-end quality operations continuum. So, it just not only provides technology to report on HEDIS, but like I said, at the minimum, we can do the chart abstraction that is required to complete the HEDIS reporting. But more importantly, we can create the chase list. We can integrate their Forecast and Harvest with our population health, AIP platform, which provides the workflow for care coaches and care managers.

And from a functionality perspective, it's just not identifying care gaps, but taking it further to care gap closure. So the member outreach, behavioural change using our whole person approach, all of this is possible, thereby delivering an end-to-end quality program for our clients. What this means is

health plans can move beyond HEDIS reporting to member level orchestration, while unlocking star improvement and revenue uplift. So the synergy potential between what CareSeed offers through a technology platform and Sagility's strong clinical practice

helps us deliver this end-to-end value in quality.

Going to the next section. What we also did in the last quarters, we engaged Everest Group to conduct focused research on the payer market trends and factors influencing partnership across 50 key decision-makers across payer organisations. And these were the key findings. So payers face mounting cost, workforce, and regulatory pressures. And 70% of them claim to have adopted AI, but only 10% of them reported measurable improvement. What that really means is people who are doing AI implementation on a piecemeal basis aren't seeing the returns that they expected. So redesigning large part of the workflows end-to-end is very critical before you embark on an agentic implementation of AI.

And 70% of the decision-makers identify domain-led intelligent operations as a priority, where healthcare expertise remains the vital foundation, right? So what that means is the deep domain knowledge that we consistently keep talking about is required for this workflow design and for AI implementation. And payers are also increasingly looking towards more strategic partners. And so our willingness to take accountability for end-to-end workflows, commitment to outcomes is something that is resonating well with payers, and this is more increasingly going to become the key criteria in partnership decisions.

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With that, I'll come back for closing comments, but let me hand it over to MR to walk you through the financial section. Over to you, MR.

Srinivas Mattapalli: Thank you, Ramesh. Good evening, everyone, and thank you for joining us today. Sagility had a very strong financial performance in Q1 FY 2027. Revenue for the quarter was INR 19,635 million, which represented a year-on-year growth of 27.6%, or 15.2% in constant currency. Excluding CareSeed, revenue grew 27.3% year-on-year, or 14.9% in constant currency. After normalising for open enrolment revenues in Q4 FY 2026, our sequential organic growth in constant currency terms was 5.1%.

Adjusted EBITDA grew 27.9% year-on-year to INR 4,716 million, with a margin of 24%. Adjusted PAT grew 35% year-on-year to INR 2,697 million, with a margin of 13.7%. Operating cash flow remained strong with cash generation at INR 3,161 million, translating into an EBITDA-to-cash conversion of approximately 70%. Collections improved with DSO reducing to 80 days from 87 days in quarter four FY 2027, comprising of 52 days of receivables and 28 days of unbilled revenue. Overall, the quarter reflects the resilience of our business with strong growth, healthy profitability, strong cash generation, and an improved working capital performance.

On this slide, let me provide you some context on the quarter-on-quarter revenue movement. Our business follows a predictable seasonal pattern driven by the U.S. open enrolment cycle. As a result, revenue strengthens in the second half of the year and then normalises in Q1 as open enrolment volumes taper off. Quarter four FY 2026 included approximately \$24.8 million of open enrolment revenues, which did not reoccur in quarter one. Therefore, the sequential revenue decline should be viewed in the context of this expected seasonality and not as change in underlying demand.

The steady-state revenue trajectory remained healthy. Q1 FY 2027 included INR 0.4 million from CareSeed, which became effective 11 June, 2026. After adjusting for the open enrolment revenue in quarter four, the underlying sequential growth was 5.1%, as discussed earlier. Let me also briefly walk you through the bridge from our quarter four FY 2026 adjusted EBITDA margin to Q1 FY 2027. We exited Q4 FY 2026 with an adjusted EBITDA of 24.9%.

During quarter one, margins were impacted by approximately 40 basis points from statutory minimum wage revisions and around 50 basis points from annual salary increases. We also saw approximately 100 point reduction in operating leverage

as seasonal open enrolment volumes normalised during the quarter.

These headwinds were largely offset by favourable foreign exchange movements, which contributed more than 100 basis points during this period. As a result, adjusted EBITDA margin for Q1 FY 2027 was 24%, again reflecting

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the resilience of our operating model despite absorbing both annual compensation increases and initial impact of the minimum wage revisions. The key takeaway from this slide is that while quarterly performance is affected by seasonality, the underlying fundamentals of the business remain strong. Importantly, we were able to maintain healthy margins despite these headwinds.

In this slide, I want to give an update on our Q1 performance in the context of our long-term performance trajectory. Over the last three years, we have consistently scaled both revenue and profitability. Our revenue has grown from INR 47,536 million in FY 2024 to INR 76,174 million on a trailing 12-month June 2026 basis, while adjusted EBITDA increased from INR 11,436 million in FY 2024 to INR 19,228 million on a trailing 12-months June 2026 basis. Most notably, adjusted PAT has more than doubled from INR 5,896 million in FY 2024 to INR 12,006 million on a trailing 12-months June 2026 basis, supported by strong operational execution and a lower finance cost base. This momentum has continued in Q1 FY 2027 with a healthy growth and resilient profitability, reinforcing our focus on delivering sustainable and profitable growth. Turning to some of the other financial indicators, adjusted EPS continues to grow faster than revenues, reflecting strong PAT growth. Adjusted ROCE remained above 50%, reflecting efficient capital deployment and the strength of our business model. Cash conversion at 70% improved versus FY 2026, supported by healthy operating cash flows and an improved DSO performance, partially offset by earnout payments relating to a previous acquisition. Our balance sheet continues to strengthen, with net debt reducing to INR 1,110 million and net debt-to-adjusted EBITDA at 0.06x.

Next slide. While this is a busy slide, this summarises our quarterly financial performance. The quarter included two impacts from the statutory wage revisions.

First, as called out earlier, the in-quarter impact of the minimum wage revisions was INR 70 million, reflected above adjusted EBITDA. Based on the current notification, we estimate an impact of approximately 120 basis points for FY 2027 on adjusted EBITDA. Second, a one-time past service cost item of INR 151 million related to gratuity and compensated absences arising from the statutory minimum wage revisions in Karnataka and Telangana. This has been reported as an exceptional item below EBITDA.

These estimates are based on the minimum wages notification currently in effect, and any revisions to the same could result in a change to the estimated impact.

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Moving on to the next slide. This slide represents the bridge from reported EBITDA and reported PAT to adjusted EBITDA and adjusted PAT. Adjusted EBITDA excludes M&A earnouts, stock appreciation rights, other income, and foreign gains and losses. Adjusted PAT further excludes intangible amortisation and exceptional items.

For Q1 FY 2027, it also excludes the one-time impact of the minimum wage revision recognised during this quarter. These adjustments are consistent with the way we represent underlying operating performance and are intended to help investors assess the performance on a comparable basis.

Moving on. This slide represents our forward-looking position of debt repayments, share price payment awards, M&A earnouts and intangible amortisation. We remain on track to fully repay our outstanding debt during FY 2027. This will further strengthen our balance sheet and reduce finance costs. The changes in FY 2027 are primarily driven by the CareSeed acquisition

debt

repayment and foreign exchange movements.

Moving on. Our balance sheet continues to remain very strong. At the end of Q1 FY 2027, we had INR 9,674 million cash and cash equivalents, providing significant flexibility to invest in strategic priorities and initiatives.

We'll continue to follow a prudent capital allocation approach, balancing growth and investment and balance sheet flexibility.

This slide summarises our cash flow performance. We generated INR 3,161 million of operating cash flow during the quarter, and our free cash flow was INR 2,416 million after fixed asset additions of INR 745 million. During the quarter,

we paid cash for M&A of about INR 1,360 million.

Net cash used in financing activities for INR 566 million, primarily reflecting repayment of borrowings and lease liabilities. We remain confident in our ability to sustain healthy cash generation while continuing to invest in growth.

With that, I conclude my remarks. Thank you for your time, and I'll now hand the call back to Ramesh for his closing comments.

Ramesh Gopalan: Thanks, MR. So in closing, we continue to execute on our long-term strategy of enhancing our service capabilities across the healthcare value chain, expanding into mid- and small-payer market, and investing in tech, analytics and AI capabilities to deliver on the transformative managed service deals. Our strategy is bearing fruit as we continue to see steady growth in our top-line against an industry backdrop of muted growth. While the operating environment remains dynamic and deal timing can be difficult to predict, we remain confident in our revenue outlook and reiterate our FY 2027 guidance of

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low double-digit organic growth in constant currency. On margins, we are maintaining our 24% to 25% guidance despite absorbing 120 basis points incremental impact from minimum wage increases in Karnataka and Telangana.

If the eventual outcome on minimum wages results in a lower impact, we could be at the upper end of that range or even higher. By the end of Q2, particularly as we enter the OE and AEP season, we expect greater visibility into the full-year outlook and will provide you a better update in our next earnings call.

With that, I'm happy to take questions and hand it over back to Siddharth.

Question-and-Answer Session

Siddharth Rangnekar: Thank you. Participants who wish to ask questions, kindly click the Raise Hand icon at the bottom centre of your screen. We will wait for a moment for the questions to assemble. We take the first question from Akshat Agarwal of Jefferies. Your line has been unmuted.

Akshat Agarwal: Yeah, thanks. Thanks for giving me the opportunity. Hi, Ramesh and Srin.

Impressive numbers, I must say. So please accept my compliments. I had three questions. Firstly, what is the proportion of our employees on statutory minimum wage that are residing in Karnataka and Telangana? I'm just trying to ascertain if other state governments increase minimum, statutory minimum wages, what is the kind of impact that is left for us to take? That's the first one. Secondly, I assume that the 120 basis points margin impact in FY 2027 is recurring in nature. If so, does the company have a way to recover this in the future, say in FY 2028 or subsequent years? And finally, what's driving the strong 5% sequential growth in the underlying revenues in Q1? If this trajectory is likely to sustain, why the low double-digit growth guidance despite the strong showing in Q1? That's all from my side. Thanks a lot.

Ramesh Gopalan: Thanks, Akshat. I'll answer some of them and MR can answer the others, right?

So on the first question, as you know, our operations in India, predominantly are centred in Karnataka and Bangalore. We also have exposure in Hyderabad, which also went through Telangana, also went through a minimum wage hike this quarter. The rest of the operations are across Ta

mil Nadu and we just

started operations in Indore, so much smaller; and we have some operations in Mumbai. So much, much smaller compared to Karnataka and Telangana. That's the answer to the first question. Roughly from a percentage terms, I would think that less than 15% to 20% of our employees are in states outside of Karnataka and Telangana.

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Your second, I don't know if it's the second question, the 120 basis point impact.

Yes, of course, it's not an impact that we anticipated at the beginning of the year. Like you said, it's not something that you can easily mitigate within the year. But we've already started thinking about ways to mitigate this impact. Like I said, we are expanding in states outside of these states and we'll continue to focus a lot more of our expansion in those states.

Secondly, operational efficiency is something that we anyway work on year-on-year, right? As I've explained in the past, our ability to retain margins is based on generating better operational efficiency year-on-year. And so this gives us an additional impetus to work harder on those operational efficiencies. And that's part of the reason how we believe we can absorb the impact even in the same

year. But the full impact in terms of mitigating that will probably take another 12 to 18 months for that to play out.

The last question. Look, the sequential growth, I wouldn't read too much into it. The sequential growth between quarters, we're not saying will continue to be at the same levels. But having said that, we are continuing to see traction across all of the clients. As I've mentioned in the past, we continue to derive a large part of the growth from existing clients. And the fact that our existing client base has grown over the last two, three years gives us additional opportunities for growth. Also, like I mentioned in my remarks, the new clients that we added in FY 2026, we are starting to see growth in those clients as well.

So overall, it's pretty broad-based growth across the client base, as well as in the high-value areas like clinical and so on. That's what is driving growth. The 5% may not continue every quarter. Overall, for the fiscal year, like I said, we're very confident of delivering double-digit growth. And towards the end of Q2, if the OE season pans out as we expect it should, we should be able to provide you much closer guidance.

Srinivas Mattapalli: So let me add a couple of items onto what Ramesh has just said. One, from an impact perspective, what it means is not only the folks who are on minimum wages get a hike to ensure that they are at that level. There's also cascading impact on people about to ensure pay parity across, right? It impacts a larger portion of people than the base associates whose salary is directly impacted, and that is translating into this entire 120 basis points impact. As a proportion, about 65% to 70% of our headcount is in Bangalore and Hyderabad, which are impacted by these minimum wage revisions.

Akshat Agarwal: Thank you so much. That's all from my side.

Siddharth Rangnekar: Thank you. We move on to the next question from the line of Baidik Sarkar. Your line has been unmuted.

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Baidik Sarkar: Ramesh, Srini, Abhishek, hi. Congrats on a strong quarter to the entire team yet again. Very strong headline numbers in terms of your organic growth Y-o-Y.

Would it be possible to break this down into the volume growth across the new clients that we've onboarded in this quarter?

Ramesh Gopalan: Baidik, we couldn't hear you clearly. It was very choppy. Could you repeat that question?

Siddharth Rangnekar: Baidik, you were not clear. Request you to repeat your question.

Baidik Sarkar: Yes. No, let me just try again with the question again. I was just trying to understand if you could break up the 15% growth into volume growth from existing clients and the volume growth from the clients you have onboarded in

FY 2026, which you alluded to. I am just trying to assess if the pipeline of the ramp-up from our existing clients, given the cost pressures that you spoke about. I am just trying to understand how strong the ramp-up from thereon has been. Because you seem to continue with your guidance of lower double-digit, which in the context of where the macros are, might be conservative, which is okay. But I'm just trying to split this growth of 15% between the newer clients and the older clients, and if there was a pricing lever, if at all that we exercised in this quarter.

Ramesh Gopalan: No, the last part is simple to answer. There were no pricing levers that we exercised, right? I've continued to say this in the past. Given the situation of our clients, the movement in prices is in the opposite direction, right? So there's more pricing pressure than any price increases that we would get. So there is no revenue growth because of price increases.

To your other question, split up the growth from FY 2026 clients to others. I don't have those numbers handy. We can come back to you with those numbers. But broadly, if you look at it, even the deal wins that we've been quoting every quarter, the ACV number that we've been quoting, that comes from at least every quarter in the last three, four quarters that we've quoted. Those wins come across 15 to 20 clients at a minimum every quarter, right? So the growth is pretty broad-based across clients. But if you can see the percentage of our top three, top five, they also continue to increase.

So our top clients, to your question on clients under pressure, yes, they are continuing to look at additional opportunities. We are continuing to sell additional services to those clients. And it's just not the volumes of the same work that we do, but it's also additional services that we manage to sell into those clients. But specific numbers, Baidik, I don't have it handy, but we can

come back to you.

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Baidik Sarkar: Yeah. So just a quick follow-up on that, Ramesh. You've been alluding to cost pressures and claims ratios in the U.S. for a while, I mean, that's public data. And the fact that most of our incremental work is ROI-based managed services, right? For which the offtake is pretty good. So in that context, a bit of a futuristic question. Should one assume that the only constraint to your growth is your ability to kind of scale up your delivery? Because I mean that's what the industry macros are suggesting, right? There is cost pressure, very little outsourcing. So what's the constraint? I mean, I know it's a bit of a pie in the sky question, but yeah.

Ramesh Gopalan: Yeah. No, I mean, you made it so simplistic. No, but on the contrary, scaling up execution is the least of our concerns, right? So I'm not trying to be arrogant, but we've always executed well. And our ability to scale up execution is probably one of our strengths. And as we scale, we still continue to deliver the same level of quality, right? Some of these managed service conversations take time, right? So for example, we are in active conversations on a number of such opportunities, and we've been in those conversations for three to six months, right? So some of these deals do take time, so timing is an issue.

And to your other point, I wouldn't say that all deals that we are winning are managed services deals, right? That's the direction we'd like to move. There are active conversations on managed service deals that we are currently having. But it isn't that every client that we are talking to is talking of a managed service contract or on an outcome basis and so on. We still continue to win specific process level work on an effort basis, be it FTEs or transaction rates, right? So that mix still continues to be there.

Baidik Sarkar: Right. And if I can just squeeze in one last question. I know you did allude to

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clarifying this after Q2. But the open enrolment season in Q3 and Q4 for us was, I think slightly ahead of expectations. Given conversations that you might be having with your clients today, any indicative trend as to which way that number might be going? Because we're coming off a very strong base from last year.

Ramesh Gopalan: Yeah. Look, the proportion of seasonal revenue to total revenue, we believe will continue in the same way that we had last year, right? With the addition of BroadPath, you're right, our seasonal percentages have gone up. And those percentages will most likely hold for FY 2027 as well. But the specifics of what exactly those seasonal revenues will be, look, most plans would be finalising their bids by this time. So we'll get to know specifics only by September. So that's why I said when we meet again in October, we'll have a much better sense of where those volumes will land, depending on individual client requirement. But overall, the seasonal revenue proportion to the total revenue, we believe will continue to be at the same levels as FY 2026.

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Baidik Sarkar: Got it. Just heading into Q2, unless there is a dramatic client churn, is there any reason to believe that we will not continue with this level of organic growth on a Y-o-Y basis?

Ramesh Gopalan: Baidik, you're asking the same question multiple ways, right? So we are still guiding to low double-digit growth, right? So yes, we did 14.9% organic year-on-year growth. Will it be exactly that number, plus, minus some number? But yes, definitely, we are reasonably confident of delivering the double-digit number.

Baidik Sarkar: Okay. Thanks, Ramesh. Best wishes.

Ramesh Gopalan: Thanks.

Siddharth Rangnekar: Thank you. We move to the next question on the line of Rohit Thorat from Axis Capital. Your line has been unmuted, Rohit.

Rohit Thorat: Yeah, hi. Thank you for the opportunity, and congratulations on a good set of numbers. My first question is on growth in top fourth and fifth client. If I look at TTM revenues in that cohort, revenues have remained relatively, like the growth has remained relatively soft, whereas every other cohort has done well. So any comments on that? Why growth is a bit lower on specifically on top fourth and fifth client compared to?

Ramesh Gopalan: Yeah. When we look at numbers, not every client grows every quarter. Right? Specifically, to answer your question, one of the clients in that cohort, we are moving a large volume from delivering onshore to an offshore location, right? So and I've mentioned this in the past, this is a very, what should I say, very

recurring part of our business where clients start some piece of work onshore, and over a period of time, they would like us to migrate that work to an offshore location. And that is actively happening in a large line of business for a specific client as we speak. And that's what is actually a reduction in revenue for the client, which is bringing that whole cohort down.

Rohit Thorat: Okay. Second question is on the margin part. So you have kept adjusted EBITDA margin unchanged at 24%, 25%. You are already at 24% in Q1. Going forward, there aren't really any margin headwinds for you. So any reason why you have not increased basically lower end of guidance? Do you foresee any potential margin headwinds which might impact margin going forward for KPI?

Ramesh Gopalan: See the first answer is the minimum wage impact for this quarter was only for a month and a few days, right? Because it was effective May 23rd in Karnataka. And we'll have a full quarter impact going forward from next quarter, right? That itself is almost more than double the impact that we had this quarter, right? So it's not the same. Beyond that, like MR mentioned, our hedges were also taken last year at a much lower value, right? Although it won't play out on the adjusted

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EBITDA, it'll play out in the actual

EBITDA and EPS. The full impact of minimum wage will be felt in Q2. And like I said, 24% to 25% is a broad range. We believe that at this point, we should do better than the lower end of that range. But we still wanted to see the impact of this minimum wage before we commit to a number. And we'll give you a more narrower guidance as we come to the end of Q2.

Rohit Thorat: Yeah. Thank you. Those were the only questions from my side.

Siddharth Rangnekar: Thank you. We move to the next question from the line of Vamshi Krishna from Kotak. Your line has been unmuted.

Vamshi Krishna: Hey, hi. Thanks for the opportunity, and congrats for a good set of numbers.

Ramesh, so my first question was on M&A. So with CareSeed, I think on the Investor Day you had alluded to two acquisitions in clinical services. I'm assuming both would be in care management. So how close are we for the other acquisition that we had planned, and what are the typical valuations of these assets? And second is that between BroadPath and CareSeed, we have added over 55 mid-market clients. Where are we in terms of cross-sell, and can CareSeed acquisition help in acceleration of revenue growth in the top three and top five client cohort as well?

Ramesh Gopalan: I got the second question, Vamshi. First question, I wasn't sure I got the full question. So you want to know what other acquisitions we are thinking of or what was the first question?

Vamshi Krishna: Yeah, which are the areas? Is it predominantly care management itself or it is...

Ramesh Gopalan: Yeah. On that, Vamshi, it's a function of, yes, areas that we want to increase our capability and what's available in the market. Clinical is a space that, like I said, it's an area that's seeing tremendous growth and it's an area that in which we are already strong. But for example, this is quality, but we are extending the quality, like you said to closing care gaps on the care management space. So other capabilities around these, we'd still be interested.

Like I've also mentioned on the past, while we are always interested to add capabilities on the provider side, when a lot of the RCM targets that came out didn't clearly add to our capabilities and the valuations were pretty high. But we continue to look for opportunities in the provider space, again, which can give us both capabilities that we don't have or increase the strength of our capabilities as well as give us access to new clients, right? So those are two areas we're definitely interested.

And anything specific to technology capabilities in the healthcare space, if we come across, we might be interested in more broader set of capabilities in the

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technology space. So those are the two, three areas that we would be looking at. What was your other question?

Vamshi Krishna: The second question was on the mid-market client acquisitions, which you...

Ramesh Gopalan: Yeah. Good question, right? So I think you're right. We've added a significant number of mid-market and small clients through these two acquisitions, BroadPath and CareSeed. So it gives us a good platform for us to sell it to those clients. But these clients, I mean, for example, BroadPath, while we didn't discuss, we continue to see a lot of good traction in the cross-sell opportunities

in BroadPath. We have six or seven opportunities and active conversations in the pipeline on BroadPath clients as we speak. CareSeed also, we're very bullish in terms of starting the cross-sell, right?

Our ability to take the CareSeed capabilities to larger clients, I mean, that is something that is yet to be seen, because, as you know, the technology platform that CareSeed currently delivers to is targeted towards the mid-market. Most of the large clients will already have established players for quality reporting. The platform play itself may not be the opportunity for larger clients. But the combined CareSeed

plus services, if there is a way we can package it to deliver some of the care management programs, then that could be an opportunity with large clients. But the cross-sell opportunities in the mid-market is pretty high. Vamshi Krishna: Got it. I have just one more follow-up. Last year, I think some of your large clients, there was aggressive enrolment during the second half because of which you had indicated some \$3 million incremental higher revenues than you had planned for the seasonally strong volumes. So when you say the seasonal strength will be recurring, you're including this surprise, or is that not really included?

Ramesh Gopalan: Not to that level of specificity. Like I said, when our seasonal revenues were more like the 3% prior to BroadPath, and now it's almost double at close to 6%.

That's what I meant that we would still have that level of seasonality even in FY 2027, right? In addition to BroadPath, we also got, yes, we got additional seasonal opportunities on the clinical space, which we hadn't done before FY 2026. And that is likely to recur in FY 2027 as well.

Vamshi Krishna: Got it. Those are the questions. Thank you.

Siddharth Rangnekar: Thank you. We move to the next caller from the line of Rishi Jhunjhunwala of IIFL. Your line has been unmuted.

Rishi Jhunjhunwala: Yes. Thanks for the opportunity. Ramesh, firstly, some of your peers have been hinting towards some tightening of spending around some of the payers in the payer market in U.S. Has it in any way affected us as well? I know you're

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reiterating your guidance on a full-year basis, but is there any kind of spending pattern change that you have witnessed there?

Ramesh Gopalan: On core operations, Rishi, I mean, it may be very client specific, but we are not seeing any general slowdown. Like I said, cost pressures continue to mount and clients continue to look for opportunities where they can take out costs, right?

If we have a good value proposition, we believe there is still opportunity out there. In response to Baidik's question, like I said, sometimes when you bid on a larger outcome-based managed service deal, it takes time. But other than that, I don't see any gentle slowing down, or at least we are not seeing in the conversations that we are having.

Rishi Jhunjhunwala: Got it. The other thing is, the other question is around penetration in top 10 national insurers. Please correct me if I'm wrong, we have reasonable exposure to 6 out of those 10. Just wanted to understand what do we need to do either from a buy or build perspective to have reasonable exposure to all 10 of them.

Ramesh Gopalan: Look, I've answered this question before, right? So the top 10 insurers also are the ones who have done outsourcing for the longest time, right? So it is in that, we're actually in 7 of the 10. It isn't that the other three haven't outsourced. So all the traditional opportunities might have already been outsourced. We are constantly trying to see what are some of the other areas where they haven't outsourced where we can penetrate. Like I said, clinical is an area, payment integrity is another area. So these are areas that we are constantly having conversations with them on. If we get in, it'll typically be in some of those areas where they haven't either traditionally outsourced or not outsourced to the same extent as probably claims and enrolment, right? So that's how we view entering other top clients where we are not present today.

Rishi Jhunjhunwala: Got it. And last question is on margins. I think you've maintained the margin guidance for the year, whereas the 120 bps, the minimum wage impact is an incremental headwind that has come through. A large part of that is getting offset due to currency, or do you think that the underlying operating margins are surprisingly better than what you were anticipating at the beginning of the year?

Ramesh Gopalan: B

oth, right? Currency has played a part and helped us to retain the guidance. As all of you know, that currency has depreciated quite a bit in the last three to six

months. So that's definitely an impact. But even otherwise, even in the underlying forecast, we had some efficiency initiatives planned, right? We are continuing to execute on those, and we'll increase our focus in some of those initiatives. It's a combination of both, right? It's both the exchange rate movement as well as some of the efficiencies we are trying to generate.

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Rishi Jhunjhunwala: Got it. And last question, Ramesh, is just in terms of M&A and the pipeline around it. You've done two now in the last five quarters. What are you looking at from an M&A perspective going forward? Do you believe some of the client acquisitions can be driven through M&A, if not being able to pass through? And as a result, do you have targets in mind, or do you believe there could be some capabilities buys that you can potentially look at?

Ramesh Gopalan: At least in the space we are in, it's very difficult to do an M&A because somebody is in a specific client, right? It's mostly around capabilities. Like I answered the previous question, clinical areas, the provider side, some technology capabilities. These are broadly the areas where we are looking at acquisitions currently.

Rishi Jhunjhunwala: Okay. Thank you so much. All the best, Ramesh.

Ramesh Gopalan: Thanks.

Siddharth Rangnekar: Thank you. We move to the next participant, taking the question from the line of Seema Nayak of ICICI Securities. Your line has been unmuted, Seema.

Seema Nayak: Yes, thanks for the opportunity. My question is regarding client addition. Q-on-Q client addition is at 27, and 30 new clients have been added from CareSeed. So does that mean active clients have reduced for the core business? And are these large clients or smaller clients?

Ramesh Gopalan: No. Seema, the question, we clarified, right? CareSeed had 30 clients, but out of the 30 clients, there were some common clients, right? So 26 client groups were the new additions to us.

Seema Nayak: Okay, got it. And can you mention the BroadPath revenue contribution?

Ramesh Gopalan: MR, do you have the specific numbers? BroadPath has been fully integrated into the business, right? Go forward, the numbers we can give you is the clients that came in as BroadPath clients, their revenue share we can give. But today, any new sale that we are making, any new logo that we are winning, it's very difficult to say, is it a BroadPath client or a Sagility client, right? It's a combined team now. MR, do you have the revenue number for BroadPath clients?

Srinivas Mattapalli: Yes. I think it's difficult to split, but we will come back to you on that.

Seema Nayak: Sure. So you had earlier mentioned that the expectation for AI-led deflation is up to 2%. So where does that number stand for you now?

Ramesh Gopalan: Yes. That's more of a range, Seema. We don't measure it on a quarter-on-quarter basis. Like I said, for us, the deflationary things are around two, three areas. One is the question on the cohorts that someone asked. When volumes

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move from an onshore geography to offshore geographies, there is obviously revenue deflation. So that's one thing. Technology, not just AI, even when we did other kinds of automation, we could reduce the manual effort and some part of the savings go back to the client. Now with AI, that's the third factor. So all of this put together is what I historically said, even before we had 100 to 150 bps and that could increase to 200 bps over the near future and maybe even go higher in the future. But specifically, we don't have a means to track that on a quarter-on-quarter basis. But we can give you a broader sense of that in the next quarter.

Srinivas Mattapalli: Just to add, Seema, that number is approximate

ly 13.5 million to 13.6 million for

BroadPath in quarter three. Quarter one, sorry.

Seema Nayak: Got it. Thank you and all the best.

Ramesh Gopalan: Thanks.

Siddharth Rangnekar: Thank you. We move to the next caller. The question is from the line of Sameer Pardikar from Elara Capital. Your line is unmuted. Sameer, your line has been unmuted.

Sameer Pardikar: Yeah. Is it possible to give a breakup of seasonal revenue for last year, maybe quarter three and quarter four of last year, FY 2025?

Ramesh Gopalan: Sorry, what is the question?

Sameer Pardikar: I was asking whether it's possible to give a seasonal revenue that we have given for this year, quarter three FY 2027, quarter four FY 2026. Is it possible to give

for last year, quarter three of FY 2025 and quarter four of FY 2025?

Srinivas Mattapalli: Yes. As I think Ramesh said, the proportion was much lower. We did about \$20 million in quarter three and quarter four of FY 2025 combined.

Sameer Pardikar : Combined?

Srinivas Mattapalli: That number increased to \$50 million last year.

Sameer Pardikar: Sorry, I missed that. You said \$20 million combined of quarter three and quarter four, right?

Srinivas Mattapalli: In FY 2025, I mean, which was about 3% odd of our revenues. That increased to about 6% of our revenues and about almost \$50 million.

Sameer Pardikar: When you mentioned that the seasonality that will be decided, intensity will be known only on the quarter two of this year. What basically drives this from maybe \$10 million to \$15 million a quarter to \$25 million a quarter, the difference of incremental \$10 million. So what is basically driving that?

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Ramesh Gopalan: Look, there are two factors, right? Last year, the increase was two reasons. One, the addition of BroadPath. BroadPath does a lot more seasonal business because they help clients with Medicare sales and enrolment. So that's a seasonal business, and so that increased the proportion. Like I said, we also got a seasonal clinical work from one of our clients.

We could see an increase because most of the times the way it works is when clients prepare themselves for Open Enrolment season, things that we have done in the past, clients traditionally come back to us and ask us to support them. There may be clients who, when they sit down to look at what their projections are, if they feel that they don't have enough capacity to handle that in-house, they may give us additional work for that period. Right?

So that's the part that we wouldn't know until closer to end of September.

Typically, the work that clients have relied on us for open enrolment season, they will come back to us this year as well for that work.

Sameer Pardikar: Okay. Logically, the incremental, you say from \$10 million to \$25 million is incremental is coming from BroadPath only. Logically, the organic number, or we can say the number should be around \$10 million to \$15 million. I'm not asking for a number as such, but this number might see some decline, not exactly \$24 million will be coming up for this year. Is it the right assumption?

Ramesh Gopalan: Why would you say that? BroadPath is now part of Sagility, right? Why would that change?

Sameer Pardikar: Okay. Is it safe to assume that same number will repeat for it?

Ramesh Gopalan: That's exactly what we are saying, right? We are saying it was 6% in FY 2026. We expect it to be a similar percentage for FY 2027 as well.

Sameer Pardikar: Yeah. Because...

Ramesh Gopalan: Similar percentage that's what we are saying.

Sameer Pardikar: Because for this year, the Y-o-Y growth has been quite on lower side, because the base now is up because of the quarter three and quarter four numbers. So just to understand what will drive us to go back to the strong high teen kind of a number from here on. The number for quarter three and quarter four has to be a similar number. That is what my context is.

Second was, basically, you

mentioned 120 basis points of wage hike includes the incremental impact of this Karnataka and Telangana wage increase. Is it the right assumption?

Ramesh Gopalan: The 120 bps impact is the minimum wage increase across Karnataka and Telangana. Wage hikes are separate and we are not giving you the percentage of that because that was factored into our planning.

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Sameer Pardikar: So incremental wage hike impact will be recouped by what we are trying to do here?

Ramesh Gopalan: MR, you want to take that?

Srinivas Mattapalli: Yes. It's going to be a combination of obviously operational efficiency and some impact from our gains from FX as we go forward. If you remember last time, we did talk about the 24% to 25%, and being on the upper end of that number as if FX continues to remain at those ranges. Since it has remained at those, we are now confident of our ability to absorb that 120 bps and still be in that range of 24% to 25% margins.

Sameer Pardikar: Sure. Thank you. Thank you for the opportunity.

Siddharth Rangnekar: Thank you. We move on to the next question from the line of Rishabh Mehra of Demeter Advisors. Your line has been unmuted. Rishabh, your line has been

unmuted.

Rishabh Mehra: Hi. I just wanted to get some perspective around your thoughts on, one, do you all expect your clients to see any more insourcing and stuff as they're getting tighter margins in the environment they're in? And secondly, have there been any conversations with them around trying to deflate revenue due to perceived AI gains? Those are the two main questions I have.

Ramesh Gopalan: The first question, I'm not sure. The basis for your question, right? As you probably know by now, we handle core operations for our clients, right? And insourcing this work, especially if it's not done in the U.S., if it's done in a different geography, will only increase the cost to the clients. So when they're under cost pressure, that's not the direction that they are likely to go. Right? So insourcing it from an offshore location to their own sites is only going to increase the cost. Right? So that's unlikely to happen. Your second question, yes. Obviously, the expectation of every client is can AI be used as a lever to reduce operating costs, right? Like I showed you in the research done by Everest, most of them have reported only very marginal improvements. They've not got the benefits that they anticipated.

Our value proposition to the clients is, look, if you are able to give us a significant part of the workflow, then we will be able to redesign those workflows and introduce agentic workflows and commit to a cost takeout, right? So that's our value proposition to the client, which is aligned to their objective of cost takeout in operations. Right? But the broad answer to your question is, yes. That's exactly what the clients want. But they've not been very successful in seeing those gains so far.

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Rishabh Mehra: Got it. Thank you. My second query was just around this new ESOP pool that you all had announced, which is supposed to be around 3% of your equity. Has any impact on bottom line been decided on that? We'd say that we'll revert after the Board meeting?

Ramesh Gopalan: No. We are still going through the various approval processes. We still haven't reached the stage of grants and so on. But once that happens, in a subsequent earnings call, we'll report that.

Rishabh Mehra: Got it.

Srinivas Mattapalli: The 3% is obviously not for one year. It's over a period of time for which the grants will be applicable. It will be in-line with what the rest of the market also sees.

Rishabh Mehra: Okay, thanks. And my last query was just around a couple of your line items. In your Investor Day, someone had mentioned that you all will see a large change in your internal efficiencies because you all are pushing a lot of AI interna

lly as

well. How would you see your IT investments and your other cost and your head count growth change over the next year or two years?

Ramesh Gopalan: See, I'll ask MR to take the investment question. On the impact. The impact is, look, the work that we do for our clients is what will impact head count, right? If I'm, let's say, doing a process for a client with 100 folks, and if the client allows me to use AI or implement AI and other transformation technologies, I may not require 100 people, but may require 80 people, right? The internal transformation that we are doing is more around all of the support functions, right? Can I hire more efficiently using AI? Can I train people more efficiently using AI, right? That's not really going to reduce your head count, but it's only going to, for example, reduce the speed to proficiency in my training.

Today, if I'm taking six weeks to get somebody proficient, can I take the help of AI and reduce the training timeline to four weeks, right? So those are the kind of efficiency initiatives that we are working on in internal transformation.

Rishabh Mehra: Got it. Thank you. That's it from my side. Thanks for the opportunity.

Siddharth Rangnekar: Thank you. We take the next question from the line of Arvind Arora from A Square Advisors. Your line has been unmuted.

Arvind Arora: Most of the questions have been answered. There is just one clarification. As you are saying, the shift from onshore to offshore, so it's a margin accretive for us, correct?

Ramesh Gopalan: In the general sense, yes, it should.

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Arvind Arora: Okay, understood. Okay, thank you.

Siddharth Rangnekar: That was the last question for the day. We thank the members of the

management for their time and the participants as well. This concludes the call for the day, and you may log off this event.

Ramesh Gopalan: Thank you .

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